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Japan

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OECD ECONOMIC SURVEYS

2001-2002

Japan

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BASIC STATISTICS OF JAPAN

THE LAND

Area (1 000 sq. km), 1995	377.8
Cultivated agricultural land (1 000 sq. km), 1995	51.3
Forest (1 000 sq. km), 1994	251.4
Densely inhabited districts[1] (1 000 sq. km), 1995	12.3

Major cities, October 2000 estimate (10 000 inhabitants):	
Tokyo (23 wards)	813
Yokohama	343
Osaka	260
Nagoya	217
Sapporo	182
Kobe	149
Kyoto	147

THE PEOPLE

Population, October 2001 estimate (1 000)	127 210
Number of persons per sq. km in 2001	337
Percentage of population living in densely inhabited districts in 1995[1]	64.7
Net annual rate of population increase (1995-2000)	0.2

Labour force in per cent of total population, October 2001	53.1
Percentage distribution of employed persons, 2001:	
Agriculture and forestry	4.5
Manufacturing	20.0
Service	61.2
Other	14.3

PRODUCTION

Gross domestic product in 2001 (billion yen)	506 111
Growth of real GDP, 2001	–0.2
Gross fixed investment in 2001 (per cent of GDP)	25.7

Growth of real gross fixed investment, 2001	–1.9
Net domestic product of agriculture, forestry and fishery, at producer prices, in 2000 (billion yen)	5 092
Growth of industrial production, 2001	–7.5

THE GOVERNMENT

Public consumption in 2001 (in per cent of GDP)	17.5
Current public revenue in 2000 (in per cent of GDP)	29.4
Government employees in per cent of total employment, 2001	8.4
Outstanding long-term national bonds in per cent of GDP (FY 2001)	78.1

	House of Representatives	House of Councillors
Composition of Parliament, October 2002:		
Liberal Democratic Party	239	113
Democratic Party	124	60
Peace and Reform (*Komei*)	31	24
Liberal Party	22	15
Communist Party	20	20
Others	38	12
Vacancy	6	3
Total	480	247
Last elections	June 2000	July 2001

FOREIGN TRADE AND PAYMENTS

(2001, billion yen)

Commodity exports (fob)	46 584
Commodity imports (fob)	38 056
Services	–5 315
Investment income	8 401
Current balance	10 652
Exports of goods and services in per cent of GDP	10.4
Imports of goods and services in per cent of GDP	9.8

	Exports	Imports
Percentage distribution:		
OECD countries	58.7	45.0
of which: North America	33.0	21.1
Far East	34.0	37.5
Other	7.3	17.5
Total	100.0	100.0
Crude material and fuels (SITC 2, 3, 4)	1.2	26.8
Semi-manufactured goods (5, 6)	17.8	15.9
Machinery and transport equipment (7)	67.3	27.3
Other (0, 1, 8 ,9)	13.7	30.0
Total	100.0	100.0

THE CURRENCY

Monetary unit: Yen

Currency unit per US$, average of daily figures:	
Year 2001	121.5
September 2002	120.8

Note: An international comparison of certain basic statistics is given in an annex table.

1. Areas whose population density exceeds 5 000 persons per sq. km.

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of Member countries.

•

The economic situation and policies of Japan were reviewed by the Committee on 14 October 2002. The draft report was then revised in the light of the discussions and given final approval as the agreed report of the whole Committee on 30 October 2002.

•

The Secretariat's draft report was prepared for the Committee by Grant Kirkpatrick and Hideyuki Ibaragi under the supervision of Yutaka Imai.

•

The previous Survey of Japan was issued in December 2001.

Assessment and recommendations

The recovery has been based narrowly on exports and inventory correction; with prospects for domestic demand weak, downside risks are important

The Japanese economy remains in a serious deflationary situation even while experiencing a cyclical recovery phase in mid 2002 underpinned by inventory correction and a sharp pick-up in exports. But the recovery is too narrowly based to represent a break with the pattern of generally low growth experienced through the 1990s. The still high capital/output ratio is likely to limit any pick-up in investment to a short term adjustment, while continuing weakness in the labour market is expected to restrain consumption growth to around one per cent per annum. More recently, a combination of factors – particularly low share prices in Japan and elsewhere, a marked appreciation of the yen and a moderating export expansion – has dampened growth prospects going into 2003. All in all, the economy may grow by only around ½ to 1 per cent per annum to the end of 2004 with deflation continuing. But the balance of risks is now on the downside given signs of slower growth in the world economy and the possibility of a further deterioration in financial conditions, which might lead to a worsening of deflation. Thus Japan continues to be faced with the daunting challenge of radically and quickly improving the functioning of its economic system and halting deflation.

Policy options have been narrowed by ineffective actions through the 1990s; to be effective, they must now cover a wide range of areas

In the current and prospective situation, policy options are to a great extent constrained by the past. The budget deficit has reached levels where further increases could well stimulate households to save more, and short term policy interest rates are effectively zero. Despite a bank recapitalisation in 1999, the banking system remains in a fragile state and public confidence in the banks appears to be low. Since the collapse of the bubble, structural reform packages promising a "rebirth" and a number of "emergency"

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programmes involving fiscal measures have come and gone – usually in response to short term concerns – without apparently doing much to correct the misallocation of resources. As a result, medium term growth prospects remain poor, even as the country enters a marked phase of population ageing which will make the fiscal situation more difficult. Against this background, policy will need to move on a broad front, since no one measure will likely be sufficient to return the economy to sustained growth. Macroeconomic policy is severely constrained with the main burden falling on monetary policy to deal with deflation. Fiscal policy, by contrast, will need to take a longer run perspective to establish household confidence that the government will meet its future commitments, while utilising the still considerable scope to improve resource allocation. Confidence is indeed a key issue, especially so in the banking system. How the banking system operates is still an important factor for both the short and medium run development of the economy. Structural policy will have a key role to underpin banking reform, to raise the effectiveness of macroeconomic policy, and to facilitate the reallocation of resources. Structural reforms will also need to give the public a feel for where the economy is headed and how it is going to get there.

Monetary policy has moved a long way over the past year but its impact is hard to assess

The Bank of Japan has moved a long way over the last year into the uncharted territory of quantitative easing under zero interest rates to deal with the on-going deflation. The target for current account balances of the banking system has been raised from above 6 trillion yen to 10-15 trillion since December 2001, with actual balances remaining at the upper end of the band. Moreover, they have allowed temporary deviations to meet extreme demands for liquidity. To support its financing operations the Bank has been purchasing outright 1 trillion yen of Japanese Government Bonds (JGBs) per month, effectively underwriting about a third of the general government net borrowing requirement. These significant moves, together with the reiteration to maintain the current policy stance until deflation ends, have helped to prevent financial market disruptions and also led to a downward shift of the yield curve. On the other hand, it is hard to identify a

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marked impact up till now on monetary aggregates, not to mention the real economy. The stock of broad money has shown no great acceleration, continuing to grow by around 3½ per cent while bank lending (adjusted for write-offs) continues to decline at a 2½ per cent rate, a pattern in place for some years now. These developments indicate just how difficult the situation is, with a dysfunctional banking system, widespread balance sheet problems, entrenched deflation expectations and zero short-term interest rates.

With downside risks important, monetary policy needs to move further into uncharted territory, perhaps with new instruments

The monetary policy stance has remained unchanged since last February. However, with downside risks now greater and prospects for an end to deflation in the short term poor, the BOJ will have to move further into uncharted territory. This will be all the more important in the context of a determined approach to resolving the problems in the banking sector. The Bank should raise further the target range for current accounts of the banking system. There are several methods which might be pursued to this end. Further purchases of JGBs is an option. Extensive support for the JGB market has already succeeded in driving up prices along the yield curve, and this has certainly helped the financial system to survive by realising large capital gains. The BOJ could also expand the range of assets it will purchase although such operations would need to be cautious in some of the domestic asset markets that are relatively small and where resulting price movements might be too strong. These operations should also be carried out in ways that are seen by markets as aiming neither at bailing out any particular institutions nor at achieving any specific level of asset prices. Adopting a time frame for deflation to end and setting a specific inflation target have been put forward by some observers. Such an approach might have a role to play as the economic situation evolves and the currently large uncertainty about the impact of monetary policy on the economy is reduced.

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The government appears to have met most of its fiscal policy objectives in FY 2001 and FY 2002 and has avoided a pro-cyclical fiscal stance

Fiscal policy has been caught between the repeated demands of the government parties for traditional fiscal stimulus and its own reform goals to redirect expenditures to more productive uses and to limit the borrowing requirement in FY 2001 and FY 2002 (the fiscal year runs from April to March). At the end of the day, the government was reasonably successful in balancing these pressures with the supplementary budgets of FY 2001 and the budget for FY 2002. Relative to a baseline budget projection, spending in priority areas was raised by some 2 trillion yen in FY 2002 and other expenditures, including public works, were cut by 5 trillion yen. Reallocation would have been even greater had the government succeeded in fully reforming the system of earmarked taxes for road building – a reform that needs to be pursued vigorously. While the government has met its self-imposed limit of 30 trillion yen new borrowing by the general account *ex ante*, it has been able to do so only through creative accounting. With respect to fiscal outcomes, borrowing on a national accounts basis adjusted for the business cycle and for one-off revenues rose by about ½ percentage point of GDP in CY 2001. The government thus avoided the danger pointed out in last year's S*urvey* of following down the revenue projections with further expenditure cuts. OECD projections for 2002 indicate that the fiscal stance should remain neutral with a cyclically adjusted deficit of some 7 per cent of GDP.

Fiscal policy in FY 2003 is likely to be marginally tighter, but will require tough policy choices to stay on track

For the FY 2003 budget, the government has made a sensible decision to move to an expenditure cap for the general account based on the FY 2002 initial budget, and the borrowing requirement of the general account will rise above 30 trillion yen. The expenditure plans are set to involve savings over the budget baseline of some 1 trillion yen, but the reduction of public works will only be some 3 per cent of the level in the FY 2002 budget. To facilitate the shift of funds to priority areas, the new budget outline allows the Ministry of Finance to approve requests from ministries for a 20 per cent increase while reducing other requests to keep total spending unchanged. The success or failure of the necessary move to reallocate spending will not be known till later this year. The move to a spending cap in the context of a weak economy should put the government

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in a better position than in the past to resist any calls for a supplementary budget later in the year. This would allow fiscal policy to finally achieve some stability and somewhat better transparency, a point advocated in previous *Surveys*. The OECD estimates that the fiscal stance could be broadly neutral in CY 2003, although gross debt will continue to increase to above 150 per cent of GDP. The outturn, however, may depend on actions taken to address banking sector problems and their repercussions on the economy. Nevertheless, there is little room for manoeuvre even in the short term, in view of the rising debt.

The medium-term fiscal perspective remains challenging and requires ambitious goals and a clear policy framework

Beyond FY 2003, the central issue is whether or not Japan succeeds in placing its public finances on a credible consolidation path which would minimise the danger of a sharp increase in interest rates and increased household savings via a Ricardian effect. The OECD projects that, on a general government basis, a primary surplus of 1¾ per cent of GDP is likely to be necessary to stabilise the debt/GDP ratio at some 180 per cent by 2010. With the primary deficit currently around 6½ per cent of GDP, significant consolidation is therefore required. In this light, the extent of fiscal consolidation envisaged in the government's *Medium-term Economic and Fiscal Perspective*, agreed upon in January, is far from sufficient. The *Perspective* projects the primary deficit of the central and local governments to be reduced to 2.2 per cent of GDP by FY 2006, the end of their projection period, with a view to eliminating it as soon as possible after FY 2010. However, this involves an optimistic assumption about an end to deflation, which is unlikely to be realised in the near future. The *Perspective* is a small first step towards defining a medium-term fiscal policy framework. It needs to be made both more ambitious in its objectives and more concrete, and make use of shorter run real spending targets to improve credibility. It should also spell out specific policy requirements that should guide current and future policy decisions. It needs to consider how the required revenues can be secured and spending cuts achieved against the mounting pressure for expenditure to rise, not least due to population ageing. In this respect, the heavy dependence of prefectural and local governments on the central government via public works and tax transfers, which has been a

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marked feature of public governance, also needs to be addressed. The government's sense that deep changes are required in order to develop regional dynamism is appropriate. Reforms in this area will take time and should be linked with fundamental tax and expenditure reform.

Fundamental tax reforms must be pursued to both improve efficiency and to broaden the base for a longer run increase in tax revenues

Despite the clear need to raise tax revenues in the coming years, the government has been struggling to form a strategy. In the meantime, it is being buffeted by the demands for short-term stimulus measures including tax breaks which need to be compatible with the goals of tax reform. Indeed, the government has conceded that tax breaks for FY 2003 will probably involve a reduction of more than 1 trillion yen in a revenue neutral manner over several years. As before, the objective should remain to streamline tax relief and allowances to broaden the tax base, which is at the moment very narrow both for individuals and for businesses, and to improve the incentive structure of the tax system. With respect to the latter, the changeover period associated with full consolidated tax accounting for companies should be as short as possible.

Disclosure of non-performing loans has improved, but the banks should be kept under pressure to restructure and to accelerate the disposal of bad loans

Although there has been important progress in bringing transparency to the problems in the banking system, it also serves to highlight just how much precious time has been lost. The more robust approach to non-performing loans (NPLs) taken by the authorities since September 2001, in line with the government's structural reform programme, has confirmed that the NPL problem has indeed been far greater than acknowledged. In addition, there are grounds for supposing that the scale of the problem is still not yet fully apparent, especially in the regional banks. The migration of deposits from smaller banks to larger ones in the run-up to the partial lifting of blanket deposit insurance in April indicates that the public lacks full confidence in the banks. It is important that policy consequences now be drawn. The government decided in October to postpone the re-introduction of partial coverage by the deposit insurance system in April 2003 by two years. The re-introduction of such a scheme is important to address the risk of moral hazard facing both banks and depositors. It is now crucial for the authorities to move ahead in several areas. First, they

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must raise pressure on banks to strengthen loan classifications and adopt realistic provisioning requirements. Second, the disposal of NPL should be accelerated, which will require incentives to dispose of problem loans. Third, the authorities must force bank restructuring, which could result in closure of some of them, and to insist on reforms to their governance and operating structures, including stronger internal management of credit assessments and evaluation. These actions may require the use of additional public funds, which has been avoided up till now on political grounds. Strong conditions should be attached to the use of these funds including managerial changes and the dilution of existing shareholders. Fourth, steps must be taken to deal effectively with the companies which are responsible for NPL. This would involve restructuring "distressed borrowers" into something viable, or moving the underlying assets to those who can put them to productive use – a process which would be facilitated by measures to develop securities markets. A key policy goal should be the return of good banks and good loans to the market as quickly as possible. Continued prudential vigilance may also be required to address problems in the insurance sector. At the time of writing measures were under consideration to meet the objective of resolving the NPL problem by FY 2004.

Profitability of the banking system must be raised,* inter alia*, by reforms of the public financial sector and by fees on accounts

Resolving the NPL problem of the banking system is only a necessary though not sufficient condition for a sound banking system: profitability needs to be restored. The margins on bank lending do not cover risks and the costs of deposit-taking activities. At the end of the day, it will be up to the banks to solve these problems or their management must be changed. However, there are problems of policy consistency that need to be addressed. The authorities have continued to pressure banks to lend to small and medium-sized enterprises (for the recapitalised and privatised banks, aggregate targets have been set) despite evidence that banks have not been able to charge interest rates commensurate with the associated risks. Moreover, some quarters have been guarded about the need to raise lending rates for a number of large borrowers in difficulty, although it is an important way for many banks to restore profitability. The presence of public financial institutions,

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including the post office, distorts the banking system and should be dealt with now and not at a time when the economy returns to normality. In the meantime, the postal savings should be obliged to pay deposit insurance and to introduce a fee on all deposits to reflect the costs, while the cost from universal service obligations should be compensated in an explicit and transparent manner. This would level the playing field and allow private banks to follow suit.

Japan must reverse the long running slow-down in productivity and growth to cope with ageing and the accumulation of public debt

Moving to a sustainably higher growth path will involve a major change in the way the economy has operated since the early 1970s. Over the past two decades, growth has been input intensive and characterised by ever larger inputs of capital, which have served to maintain labour productivity. However, this path is not sustainable since marginal returns to investment have now fallen to low levels. The key to the situation has been lower multi-factor productivity (MFP) growth, which has been evident since the early 1980s (excluding the short bubble period at the end of the 1980s when the relationship between the key macroeconomic magnitudes became highly distorted). As a result, the economy is remarkably unproductive, greater quantities of labour and capital being absorbed per unit of output than in other leading economies. At the same time, Japan is also characterised by the presence of flagship exporting industries and companies, which often set world standards for productivity. Thus the economy is dualistic, a high productivity, dynamic export sector existing alongside a low productivity domestic (or protected) part which is less productive than in other countries.

This will require more than picking the next export success but measures to achieve better resource allocation

The dualistic economy reflects poor resource allocation underpinned at first by cartels and restructuring agreements following the first oil price shock, and later by poor enforcement of competition law and uncertain and restrictive regulation. The banking system has also failed to force resources to move to more productive uses and has also contributed to the lack of effective labour mobility by helping to finance low productivity activities developed by firms to take care of their life-time employees. Political debate about economic prospects in Japan is often narrowly confined to questions about how to support the next key technology (for

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example, nanotechnology or biotechnology), and by extension the next expanding export sector. The problem in Japan is not in these activities but in the economy more generally and especially in the domestic sectors. However, urging greater productivity and better resource allocation at a time of unemployment is hard to sell politically. It is therefore necessary to emphasise that the process by which productivity increases is the key. Productivity gains from new ways of doing things or completely new goods and services will bring forth new demand. From this perspective, the government's sense that there are still many unused possibilities for fulfilling potential household demand is certainly appropriate. But for that potential to be tapped, fundamentals will first have to be put in order, in particular addressing barriers to exit and entry and the freer flow of resources.

Widespread measures to ease barriers to entry and growth, as well as to improve regulation, are needed

Regulatory barriers to entry and to the further development of enterprises need to be reduced and the process of exit substantially improved. The government has correctly given an important place in its reform plan to reducing barriers to entry through a programme of deregulation, especially in a number of service sectors. This programme needs to be pursued further even though many significant regulatory barriers, including those covering agricultural activities, would remain largely untouched. Faced with the political difficulties in making headway in such important areas of regulation, the government has proposed that "special structural reform zones" be established at the request of local authorities. They would be responsible for identifying the key regulations holding back development, which would then be eased or abolished in a specified area. The proposal is a pragmatic way forward that will create demonstration effects and should be implemented. What must be avoided, however, is for the programme to be taken over by each central government ministry, which would then open the way for interest groups to block a local area moving forward on its own. Moreover, it should be seen as a step on the way to nation-wide regulatory reform. Progress has been made in recent years to improve the process of formulating and executing regulation. Administrative procedures have been established in many areas, public comment periods for regulations have been introduced, and the

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principles for no-action letters put in place. However, there is some way to go before such features will become an integrated part of the culture of governance.

Barriers to exit should also be reduced and pressure on bad debtors tightened

With respect to the process of exit, a number of legal instruments are now in place although debtor in possession financing is still rudimentary. The existing framework would normally be enough for the market to work but it is clear that firms only refer to bankruptcy or reorganisation when it is too late. Pressure will have to be kept up on the banks to deal effectively with their non-performing borrowers and not to engage, for example, in debt/equity swaps which do not resolve the fundamental problems of an enterprise. But the government's own policy will need to remain consistent. In the last year this has been far from the case with some struggling companies benefiting from policy ambiguity.

Competition policy should be strengthened and the environment for foreign trade and investment made more open

Trade and competition policy also have an important role to play in getting the fundamentals right. The enforcement of competition policy needs to be strengthened by giving the Fair Trade Commission (FTC) coercive investigative powers, which should open the way for greater resort to criminal prosecutions, as well as by further increasing their staff and raising fines to levels at least commensurate with the violation. Its powers should also be extended to include sanctions against civil servants involved in bid rigging. To underline the government's determination to turn a new page, the secretariat of the FTC should be made an independent institution. Trade policy and attitudes toward inward foreign direct investment also have an important role to play. The government's intention to seek wide ranging free trade agreements, but as a complement to multilateral negotiations, is an important move but will need to be accompanied by reforms of, *inter alia*, the agricultural sector, which might otherwise remain a barrier as has been the case in other countries. The record on inward direct investment has been poor, inhibited by such factors as high land prices. Moreover, the regulatory environment is still cited by foreign companies as a barrier. Improving the regulatory environment, including better enforcement, would benefit both domestic and foreign firms alike, increasing competition and improving resource allocation.

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Regulation of network sectors needs to be further developed with attention given to enforcement and appropriate staffing of the regulatory authorities

In the network sectors, the regulatory framework is most advanced in the telecommunications sector. In some segments strong competition has developed and prices have come down from levels which were around the highest in the OECD area. Lower prices will help the government in its policy to promote the use of information and communications technologies. A more complex and competitive market is, however, highlighting regulatory issues that need to be addressed. The abuse of dominant market position by the incumbent remains a problem, requiring greater use of *ex ante* measures and stronger powers of investigation. Above all, more effective enforcement is required. It is also evident that the regulator (in this case the Ministry) needs to respond to the evolving market by hiring specialists rather than relying on rotation within the civil service. This issue will also be important in the electricity and gas sectors where deregulation is much less advanced and is one consideration – the other being the need to clearly establish impartiality – in moving to independent regulators. Lack of progress in the electricity sector stems from the excessive influence by the existing integrated companies over the government's policy-forming bodies. In all the network sectors, structural measures to establish competition must remain on the agenda.

Labour supply needs to be stimulated and better allocated…

To improve the allocation of labour, reforms are required in the direction of developing a more active and deeper external labour market. The supply of labour by women should be encouraged by reforms of the social welfare system and improved provision of child care. Non-portable corporate pensions, seniority-based wages and strong *de facto* employment protection have prevented the development of such a market to redirect labour and to provide signals for human capital formation. There is a limit to what policy can do since some of these barriers represent private arrangements. However, employment protection legislation could be placed on a more rational basis by the Diet specifying clearly the criteria to be used by the courts in assessing the acceptability of dismissals. Current moves to increase the flexibility of fixed-term contracts and other forms of temporary work should also be continued but are not an effective substitute for easing conditions for permanent contracts.

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... including moves to support the traditionally high labour force participation of old workers

Japan faces a severe problem with re-employment of older workers, especially for those over 60 years which is the usual age for mandatory retirement by companies. The current system is already evolving in the direction of a steep fall in wages after mandatory retirement and this development will need to be supported by further moves to establish flexible fixed-term contracts for these workers. But in the longer run private arrangements, which have encouraged a very steep age/wage profile, will have to adapt in the direction of more performance-based pay. The profile leading up to retirement should then be flatter and the disincentives to employ older workers less. The guidelines covering age discrimination give an exemption to companies if setting an age limit is necessary to avoid negatively affecting wage payments to existing workers. Consideration needs to be given to removing this exemption.

Which will also call for changes in human capital formation

The OECD *Growth Project* also identified human capital and technology as important for growth. Human capital has been one of the key strengths of Japan with its unique brand of company training. Government training policy has been, therefore, mainly oriented towards companies, not individuals until recently. The demand for skills is, however, changing together with the business structure, which has served to reduce enterprise training. On the other hand, the incentive for individuals to seek training that is not enterprise specific has risen. The government needs to take steps to promote the development of new institutions to cater to these demands such as by removing the outdated building regulation that calls for a great deal of free space. Financial aid will need to be redirected towards individual needs (including vulnerable groups) and to this end some form of training account or vouchers might be useful.

The government has sought to implement its reform programme despite intense opposition and should persevere with its efforts

In addition to action in the areas dealt with above, the government has been active in seeking to implement a much wider range of structural measures, the scope of which has often made it difficult for outside observers to keep track of progress. A great deal of legislation has been submitted, including initiatives to make urban re-development easier, and measures have been adopted not only to increase health co-payments but also to reduce fees paid to

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health care providers and to promote competition among them. The government has also taken concrete steps to reform government corporations, a key element of its reform programme. The decision to abolish the Public Housing Loan Corporation has already had beneficial effects on private banks. Faced with intense opposition from within the ruling parties in the context of a difficult economic situation, however, reforms of the other public financial institutions were delayed though their future should be decided by the end of the year. The new postal sector law in principle opens all activities to competition, although the entry requirements for basic postal services appear to be restrictive. The postal regulatory system remains to be developed, but it must have an independent regulator who ensures that competition is fair and not impaired by dominant players. Meanwhile, the struggle to reform road construction is continuing. These and other compromises noted above have contributed to damaging the reform credibility of the government, which could undermine the popular support for reform. Overall, however, significant progress has been made in moving towards the broad objectives set in June last year. Experience in other OECD countries which have had to embark on major structural reforms suggests that the government would need to persevere with reform efforts in a number of areas in order for Japan to restore a well-functioning and growth oriented economy.

Summary

Japan is faced with a formidable task of managing a transition from the system that once worked well but is now ill-adapted to a changing environment. Reforming that system is politically difficult because of well entrenched vested interests. Those opposing reform must realise that there is no alternative to revitalising the economy through structural reform efforts and that there is no more time to be wasted. The economy has entered a recovery phase but this must not prevent a stepping up of reform efforts. The incipient recovery is likely to be weak and, with risks now more on the downside, an anti-deflation package is under preparation. Concerted policy actions are necessary on all fronts in order to benefit fully from synergies between the various policy areas: advance in any single policy area alone will not

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ensure that Japan will emerge from its current economic problems. Monetary policy will have to take the lead in tackling deflation with additional measures to further increase liquidity. What the appropriate fiscal policy stance should be in the short run depends on whether the problems of NPLs will be addressed squarely. For the time being, however, a neutral fiscal stance is appropriate and further short term stimulus measures should be avoided. But the government also needs to better enunciate a medium-term fiscal strategy to ensure the consolidation which is going to be necessary to deal with the massive debt problem, the need for fundamental tax reform, and the challenges posed by ageing of the population. Such a task will be easier to accomplish if the economy could be placed on a higher growth path, which is the major aim of the government's broad reform programme, the implementation of which has been uneven. To achieve this goal, Japan needs to reinvigorate competitive forces that drive innovation and better resource allocation. This requires not only a much more vigorous enforcement of competition policy but also further regulatory reform that would open up new opportunities, reduce entry barriers and promote inward foreign direct investment. Better use of capital requires improved balance sheets and profitability of financial intermediaries, which should be facilitated by a more aggressive approach to the resolution of bad debts and bad debtors, and the restructuring of the financial system, including through the reform of public financial institutions. Better use of human resources requires a development of more active and deeper external labour markets, underpinned by a more effective social safety net, as well as the development of institutions that assist the formation of human capital that is not specific to an individual firm. Reform efforts in these areas, which generally go in the right direction but have been timid, must be stepped up. Finally, the government must persevere with its efforts since it is only in this manner that Japan will be able to step up dynamism and growth.

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Postscript

Two important policy announcements made at the end of October are not assessed in this *Survey* as the text had been finalised just before the announcement. These initiatives are directly relevant to the issues raised in the *Survey*. First, the Bank of Japan raised the target for current account balances held at the BOJ by 5 trillion yen – to a range of 15 to 20 trillion yen – with increased outright purchase of JGBs to 1.2 trillion yen per month. Second, the government adopted a comprehensive policy package for accelerating reform. The following paragraphs describe the government's policy package.

The government's package aims at promoting an early resolution of non-performing loans (NPLs) with a view to halving the ratio of NPLs to total loans at major banks by the end of FY 2004 (March 2005), while supporting the restructuring efforts of borrowers, preventing a credit crunch and strengthening the social safety net. The package is also aimed at reinvigorating the economy by front-loading tax cuts of over 1 trillion yen and accelerating regulatory reforms.

The principal pillar of the package is a programme for rehabilitation of the financial system, which is aimed at:

- *Ensuring stricter assessment of loan quality and adequate provisioning*. This is to be achieved though *inter alia* the introduction of discounted cash flow type methods to evaluate the quality of loans to large borrowers classified as "need special attention". The Financial Service Agency (FSA) also plans to publish the difference between the self-assessment of major banks and the results of its inspections on an aggregate basis and to conduct another round of special inspections for large borrowers by the end of March 2003.
- *Reinforcing capital adequacy*. To this end, tax changes are under consideration, including allowing tax deduction of provisions for loans classified "in danger of bankruptcy" or below and lifting the current freeze on a loss carry-back system which allows the use of losses to cancel out taxes paid in the preceding years. The necessity of establishing a new scheme, which would allow more flexible injection of public funds than under the current scheme that allows such an action only in the situation of a systemic crisis, will be examined. Setting a ceiling on deferred tax assets as a part of the banks' tier I capital will also be considered.
- *Strengthening the governance at banks* through the conversion of the preferred stocks held by the government into common stocks and administrative orders to re-capitalised banks depending on the degree of failure to achieve the goals set in their rehabilitation plans. A *Taskforce on Financial Issues* is to be newly established to monitor management at the re-capitalised banks and to check their restructuring plans.
- *Accelerating the resolution of* NPL*s and the rehabilitation of distressed debtors*. Measures in the programme including the tax changes mentioned above are to provide incentives to banks to sell bad loans. The government also plans to establish an *Industrial Revitalisation Corporation* to purchase loans from all banks except the "main bank" that "need special attention" but where the borrowers are judged as viable, and to support their restructuring by providing additional credit and equity. Meanwhile, the market for distressed loans is to be further developed through their securitisation.

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Postscript (*cont.*)

To cope with the possible increase in deflationary pressure and the rise in unemployment due to an accelerated resolution of NPLs, measures to strengthen the social safety net are under consideration. To this end, the government plans to extend employment subsidies to firms and to expand the existing public employment programme at local government levels. To prevent the adverse effects of a possible credit crunch, the government's loan guarantees for SMEs have been extended and public financial institutions are to support SMEs and restructuring firms.

Finally, to revitalise the economy, the government intends to accelerate the implementation of some deregulation measures and to accept further proposals for the special structural reform zones. As well, a tax reform bill, including some front-loaded tax cuts, is to be submitted to the Diet in early 2003.

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I. Recent developments: will the cyclical recovery lead to sustained growth?

Despite continuing deflation and weakness in the financial sector, the Japanese economy has recovered at a moderate pace since early 2002, led by a sharp increase in exports. The weak yen in early 2002 and the already low level of inventories have supported export growth and increased production, which in turn have led to an improvement in business sentiment. The recovery has been particularly strong in electronics and in other exporting sectors, especially automobiles. Activity in domestic sectors has also started to recover, though at a modest rate.

However, the pace of the recovery has been slowing since the middle of the year as the momentum of inventory rebuilding and the benefit of the weak yen fade and are not replaced by final domestic demand. Increased uncertainty about the world economy, lower stock prices and a stronger yen may serve to dampen business sentiment, constraining the recovery in private investment. The forces driving investment will in any case remain weak. With deflation expected to continue at current levels and real asset prices likely to remain in decline, profitability of the non-financial corporate sector could stay weak, pushing corporate restructuring efforts further. Such weakness in the corporate sector is reflected in the large stock of non-performing loans held by banks and in very low growth of household incomes, which in turn will restrain consumption. Moreover, an expected cyclical improvement in profitability will probably be used to accelerate the balance sheet adjustment of firms rather than, as in the past, to raise bonuses. Overall, the economy is likely to grow at only a relatively slow pace in the next few years, with deflation persisting for a while yet. Looking further ahead, much will depend on progress in implementing structural reforms to increase productivity and to stimulate domestic demand.

Recent trends and forces at work: a re-run of the 2000 recovery?

After a sharp contraction during the last three quarters of 2001, GDP growth stabilised in the first quarter of 2002 as exports rebounded while imports stagnated (Figure 1). GDP growth accelerated to 2.6 per cent (s.a.a.r.) in the second quarter, which is modest but well above its potential rate (currently

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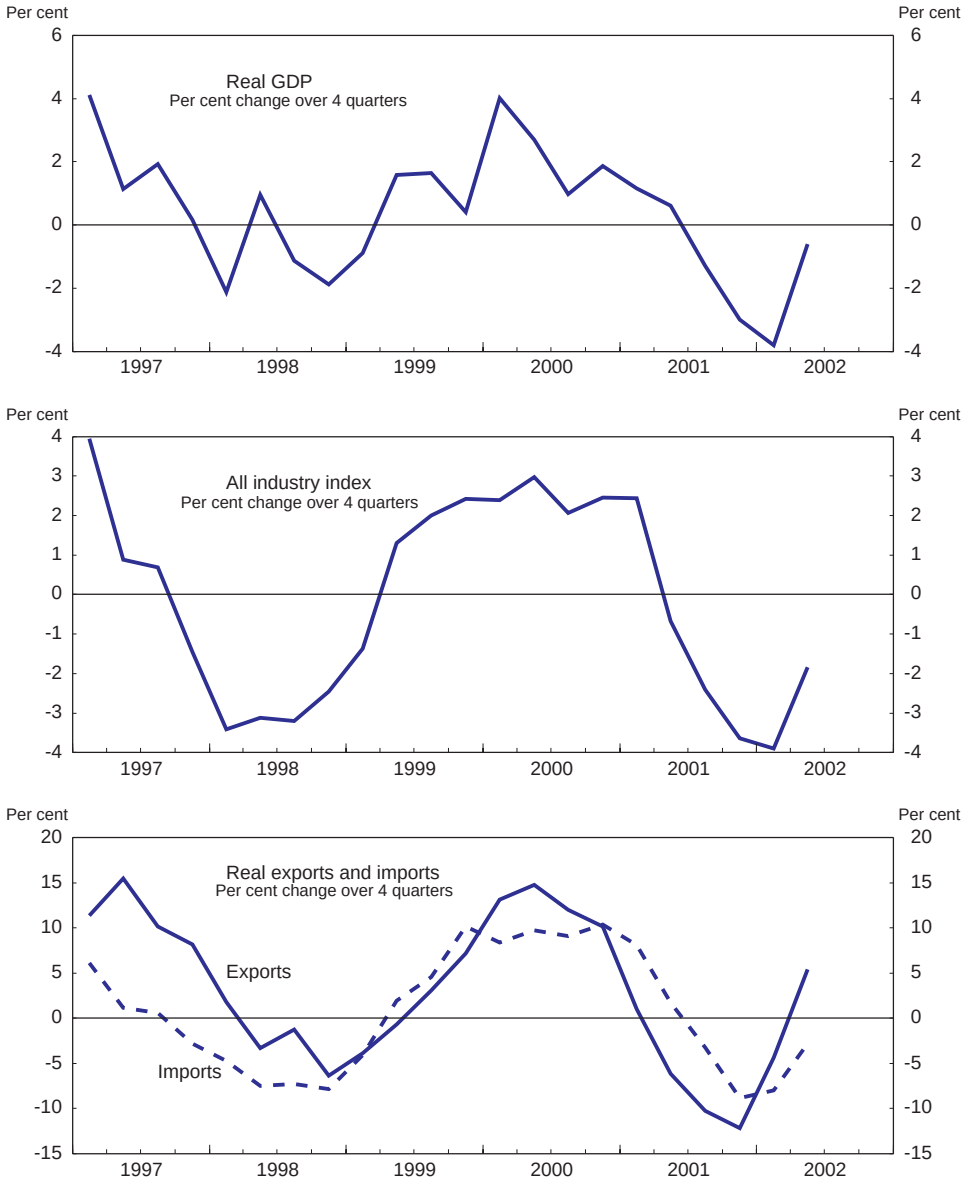
Figure 1. **Recent economic indicators point to recovery**



Source: Economic and Social Research Institute (ESRI), Cabinet Office, Bank of Japan and Ministry of Economy, Trade and Industry (METI).

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around 1 per cent).[1] The main driving force was once again exports, although there was an end to the inventory decumulation which had been retarding growth for the past year. Private consumption also returned to low rates of growth.

The current episode shares a common feature with the last recovery between 1999 and 2000: a recovery led by strong growth in exports and a rapid increase in output by the information and communication technology (ICT) industries. However, the overall picture is really rather different. The world economic situation looks more unstable this time than in 1999 and 2000. Although the OECD area is expected to grow by 1½ per cent in 2002 and by 2¼ per cent in 2003 (*Economic Outlook* 72), the recent deceleration of growth in the US has raised some doubts. In such a situation, the current Japanese economic recovery, which depends narrowly on exports, looks vulnerable to changing external circumstances. Another difference is that the current rapid recovery of output by the ICT sector is driven mainly by inventory rebuilding, while the recovery in 1999 to 2000 was accompanied by a much broader ICT boom, including rapid diffusion of mobile phones and internet services. Related to this point, the recovery in share prices in 1999 to 2000 was bullish, partly reflecting the ICT boom, but share prices are at a much lower level this time with the possibility of further weakness. This suggests that the growth momentum going forward will be less than that in 1999 to 2000.

Exports have slowed after the rapid recovery in the first half

After contracting throughout most of 2001, exports rebounded in the first half of 2002 growing by more than 20 per cent (s.a.a.r.). Imports grew by only 1.2 per cent during the same period so that the foreign sector made a strong contribution to GDP growth. Exports were led by broad sectors including the two largest export industries, electrical machinery and transport equipment. Exports by the former, including semi-conductors, grew by 34 per cent (s.a.a.r.) in the first half following a drop of 21 per cent in 2001, while exports of transport equipment increased by 20 per cent in the same period. Export growth to Asia surged by 36 per cent (s.a.a.r.) in the first half, while increases to North America and the EU were a more modest 7 and 4 per cent respectively.[2] The lagged recovery in imports reflected weak domestic demand and the softness of the yen in early 2002, though imports of intermediate goods such as electrical components have been growing steadily in line with the rapid increase of production.

However, there are signs that export growth has slowed since the middle of the year, reflecting weak world economic growth and a stronger yen. In volume terms, exports increased by only 3.6 per cent (s.a.a.r.) in the third quarter, while they fell by 13 per cent in value terms due to the appreciation of the yen. The short-term prospects for exports also remain sombre, with increasing uncertainty about world economic growth.

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Table 1. **The current account and external trade**

	1998	1999	2000	2001	2002[1]	Seasonally adjusted annual rates 2001 1st half	2001 2nd half	2002[1] 1st half	2002[1] 2nd half
	Trillion yen								
A. Balance of payments									
Trade	16.0	14.0	12.6	8.5	12.3	8.7	8.7	11.9	12.7
Exports	48.9	45.8	49.5	46.6	49.2	48.3	45.0	48.7	49.7
Imports	32.9	31.8	37.0	38.1	36.9	39.6	36.4	36.8	37.0
Services	–6.5	–6.2	–5.1	–5.3	–4.9	–5.7	–4.9	–5.0	–4.9
Income	7.1	6.6	6.5	8.4	9.1	8.0	8.7	8.6	9.6
Transfers	–1.1	–1.4	–1.1	–1.0	–0.5	–1.0	–1.0	–0.2	–0.7
Current account	15.5	13.1	12.9	10.7	16.0	10.0	11.5	15.4	16.7
Per cent of GDP	3.0	2.6	2.5	2.1	3.2	2.0	2.2	3.1	3.4
	Percentage change from previous year								
B. Trade in goods (customs basis), 1995 = 100									
Volume									
Exports	–1.3	2.1	9.4	–10.2		–7.8	–12.5		
United States	5.4	4.3	3.0	–14.9		–14.7	–15.3		
EU	13.4	–1.4	3.9	–16.8		–12.0	–21.7		
Asia	–15.3	9.7	17.1	–9.6		–5.7	–13.1		
Imports	–5.3	9.6	11.0	–1.4		2.9	–5.3		
Unit value									
Exports	0.7	–8.1	–0.7	5.5		8.2	2.9		
Imports	–5.5	–12.2	4.6	5.1		9.6	0.7		

1. Second half estimated by the OECD.

Source: Bank of Japan, Balance of Payments Monthly; Japan Tariff Association, Summary Report of Trade of Japan, and OECD.

The strong growth in exports in the first half of 2002, together with weak imports, led to a rapid increase in the trade and the current account surplus. The current account surplus reached an annualised 16 trillion yen (3 per cent of GDP) in the first half of 2002 with the trade surplus almost doubling to 11½ trillion yen (Table 1). The sharp improvement in the current account surplus also partly reflects the decline in the service trade deficit due to reduced travel after the September 11th attacks.

With low inventories, production has recovered

Prior to the export recovery, inventories reached a peak in May 2001 and then declined sharply through to mid 2002 (Figure 2). Adjustment was led by the electrical machinery sector, which cut inventories by 32 per cent by April 2002 from their peak in May 2001. The overall inventory index fell by 10 per cent during the

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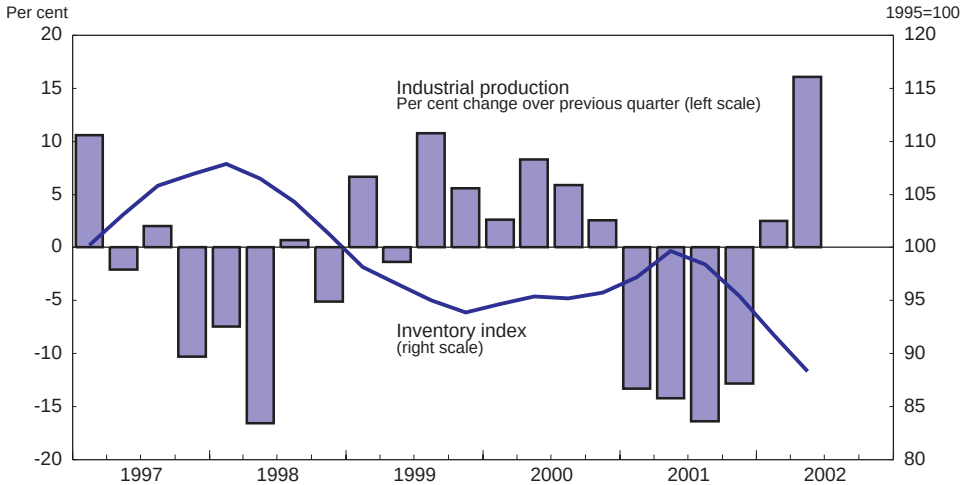
Figure 2. **Inventories are at a level where production rises**



Source: METI.

same period. The recovery in exports and low inventories drove the V-shaped recovery in industrial production. The increase was at first modest, around 3 per cent (s.a.a.r.), but gathered momentum in the second quarter, to 16 per cent. The recovery has also been led by electrical machinery, whose production rose by 14 per cent in the first quarter, accelerating to 55 per cent growth in the second quarter. The electrical machinery sector accounted for about three-quarters of the overall growth in industrial output in the second quarter of 2002.

Following a limited decline in 2001, activity in the tertiary sector also began to recover at a very slow and variable pace from the beginning of 2002. The tertiary activity index increased by ½ per cent (s.a.a.r.) in the first quarter, followed by a 1½ per cent decline in the second and a rise of some 2½ per cent in the third quarter. The recovery in these branches was led not only by transport and telecommunications but also by retail and wholesaling. Although the reliability of the private consumption-related statistics is generally very poor, many of them indicate that private consumption has been relatively stable since the beginning of the year. However, some signs of weakening in tertiary sector activity appeared in the middle of the year, perhaps reflecting the limited income prospects facing households.

Reflecting the recovery in production, business sentiment and consumer confidence have also improved. According to the Shokochukin survey, the business sentiment of small companies has recovered after a trough in

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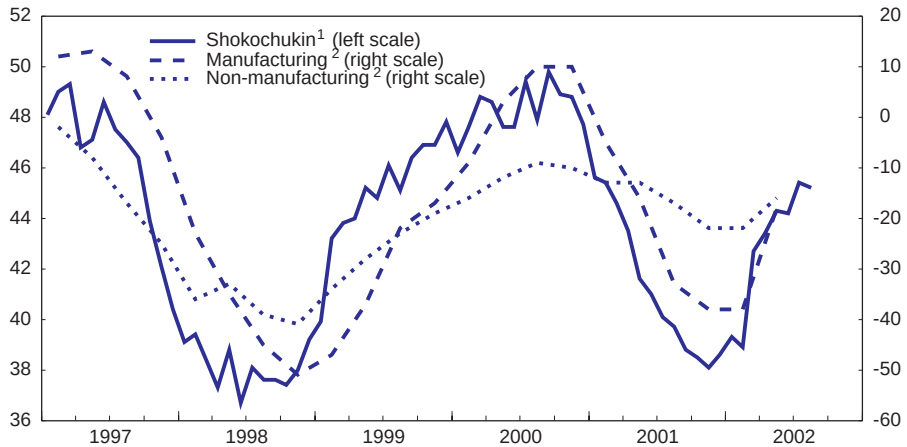
Figure 3. **Business confidence has rebounded**



1. The Shokochukin survey covers 800 small and medium-sized companies. The business conditions index is calculated in the following manner: Index = (number of improved firms + 0.5 × number of unchanged firms)/total number of firms × 100. If the index exceeds 50, business conditions are seen to be improving.
2. The diffusion index is derived from the BOJ Tankan Survey reponses: the number of firms judging their business conditions as "favourable" less those answering "unfavourable".

Source: Shokochukin and Bank of Japan.

November 2001 (Figure 3). The June Tankan survey of the Bank of Japan (BOJ) showed the strongest gain on record for the diffusion index regarding the judgement of business conditions by large manufacturing enterprises (difference between positive and negative responses).[3] The improvement in the manufacturing sector was also led by the electrical machinery sector, whose business sentiment bounced back substantially from the deterioration during 2001. However, the limited improvement in business sentiment in the September Tankan survey suggests that the business climate might have moved into a new phase since the middle of the year.

Monetary conditions have tightened somewhat due to the stronger yen

Even though bank loans have continued to contract, overall monetary conditions have eased due to a real depreciation of the effective exchange rate driven not only by the nominal exchange rate but also by deflation (Figure 4). However, conditions have tightened somewhat since the middle of the year (not shown) with the exchange rate appreciating from around 125 in June to the range

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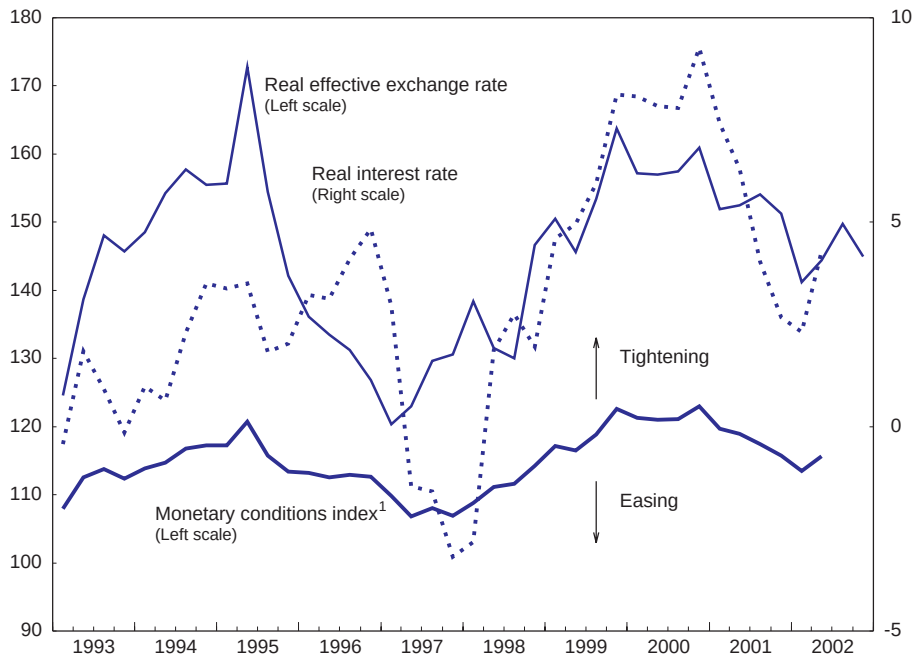
Figure 4. **Monetary conditions have eased**
1991Q1 = 100



1. The monetary conditions index is defined as the level change in the three-month deposit rate deflated by the four-quarter percentage change in the GDP deflator (adjusted for the 1989 and 1997 tax hikes) plus one-quarter of the percentage change in the real effective exchange rate of the yen (unit labour cost definition) against 29 OECD and 12 non-OECD trading partners. The weight (one quarter) was derived from INTERLINK model simulation properties.

Source: Bank of Japan and OECD.

of 115-120 yen/dollar. Reflecting turbulence in the world capital markets and some bankruptcies in Japan, risk premiums have risen in the corporate bond market and the value of outstanding bonds has remained flat. However, the market is only small, with bank loans comprising the bulk of external financing. Lending attitudes of financial institutions, as judged by small enterprises, have tightened somewhat this year whereas in the previous recovery of 1999/2000 there was a slight tendency to improve. For larger enterprises, which are covered by the Tankan survey, lending attitudes have remained fairly neutral. An important source of concern of the authorities has been the equity market, the Nikkei index having fallen to as low as 9 500 in February recovered to around 10 000-11 000 in the middle of the year before retreating once again to around 9 000 in early September and to

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beneath this level in October. The more important consequence of weak stock prices is not corporate financing *per se*, but a weaker balance sheet of the financial sector and reduced business sentiment.

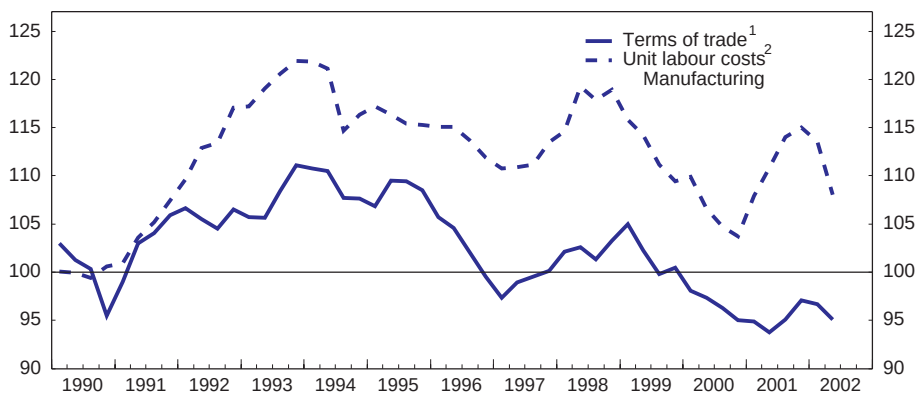
Profits have improved but the recovery is likely to be modest

With the economy recovering, firms expect a marked improvement in their profits for FY 2002. The September Tankan Survey of the BOJ suggests that recurring profits for all firms are expected to increase by 13 per cent in FY 2002 and large manufacturing firms project a 31 per cent increase in their profits. Since these firms are also expecting sales to remain almost flat in FY 2002, part of the expected gain in profits can be attributed to their restructuring efforts. Leading indicators of enterprise profitability such as terms of trade and unit labour costs have also showed an improvement in 2001 and early 2002 (Figure 5).

However, the recovery of profits could be much weaker than suggested by the BOJ's Survey because of the recent worsening in some leading indicators. For example, the terms of trade (in yen) has deteriorated since a peak in January 2002 with the yen appreciating and oil prices rising gradually. The cumulative improvement in the terms of trade from the trough to January was also limited to 6 per

Figure 5. **Profitability has been helped by better terms of trade**

Index 1990 = 100



1. Terms of trade is defined as the ratio of export prices to import prices in yen.
2. Unit labour cost is defined as the ratio of employee earnings to production in manufacturing.

Source: OECD.

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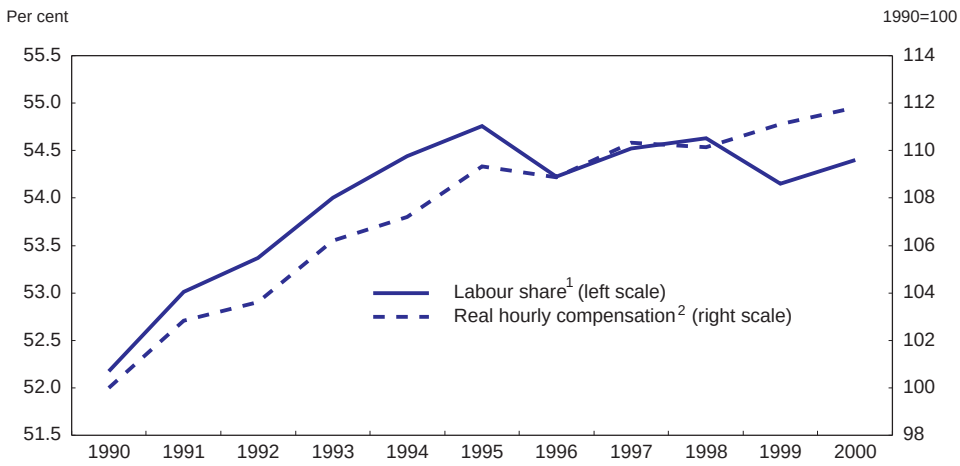
cent, which is only half the 12 per cent gain posted during the previous recovery from 1999 to 2000. The decline of unit labour costs has also been modest so far, suggesting a limited potential for improvement in profit margins.

Although firms are continuing with their restructuring efforts, the labour share remains high reflecting the tendency to hoard labour and the trend increase in labour costs. Throughout the 1990s, real compensation per hour increased steadily, reflecting shorter working hours and the ageing of the workforce (Figure 6). Working hours declined by more than 10 per cent between 1990 and 1999, while the share of employees above 50 years increased from 20.7 per cent to 26.1 per cent during the same period. This development resulted in higher labour costs as wage payments increase automatically under the seniority wage system. Firms have also tried to reduce labour costs by hiring more part-time workers and workers from employment agencies (termed dispatched workers in Japan).

The balance sheet adjustment differs between the manufacturing and non-manufacturing sectors. The debt to turnover ratio for the former has already declined to nearly the same level as in the middle of the 1980s, while that of the non-manufacturing sector has remained well above that level. One way to look at the sustainability of financial liabilities is to compare the size of the free cash flow measured by the sum of undistributed profits and depreciation with the long-term

Figure 6. **Firms still suffer from earlier wage increases**



1. Labour share is presented as the ratio of compensation for employees to nominal GDP.
2. Deflated using the consumer price index.

Source: OECD.

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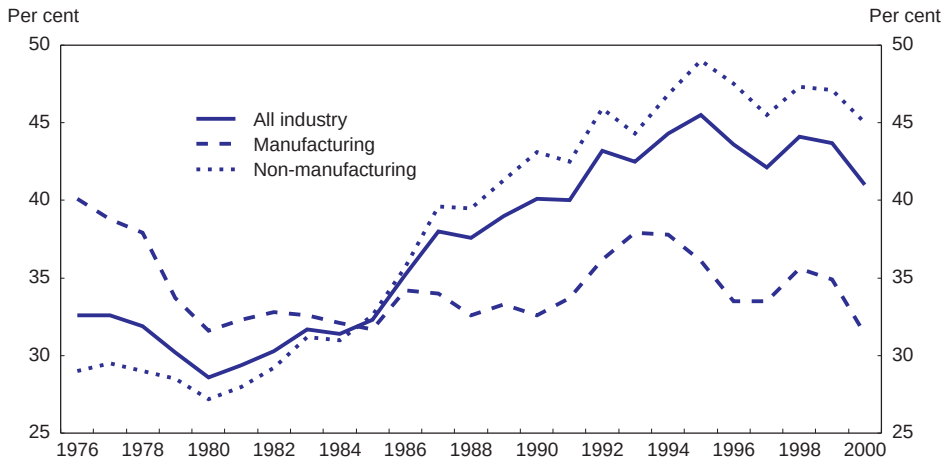
Figure 7. **Excessive debt is a problem in non-manufacturing**[1]



1. The debt-turnover ratio is calculated by dividing total liabilities, including short and long-term borrowing and bonds, by sales.

Source: Ministry of Finance.

liabilities including borrowing and bonds. The ratio for the non-manufacturing sector amounted to 800 per cent at the end of March 2001, though that for the manufacturing sector has remained at 300 per cent (Figure 7). If account is taken of the fact that a part of short-term borrowing involving weak enterprises is automatically rolled-over by banks and can therefore be considered long-term borrowing, the balance sheet adjustment in the non-manufacturing sector will take more time than suggested by the above figure.

Investment has been constrained by balance sheet adjustment

By the second quarter of 2002, business investment has been in decline for one and a half years. Firms expect a further 5 per cent decline in investment for FY 2002 according to the BOJ's Tankan survey. However, some leading indicators have begun to improve since the middle of 2002. Machinery orders (excluding volatile orders by electricity generation and shipbuilding) hit the bottom in the first quarter of 2002 and increased by 28 per cent (s.a.a.r.) in the second quarter. Floor space of construction starts picked up sharply in the middle of 2002, suggesting that investment in buildings also reached a trough in the early part of 2002. These leading indicators suggest that business investment could start to stabilise in the second half of 2002. On the other hand, with uncertainty about the prospects for the world economy growing and share prices remaining low, the timing of the recovery in investment could be delayed.

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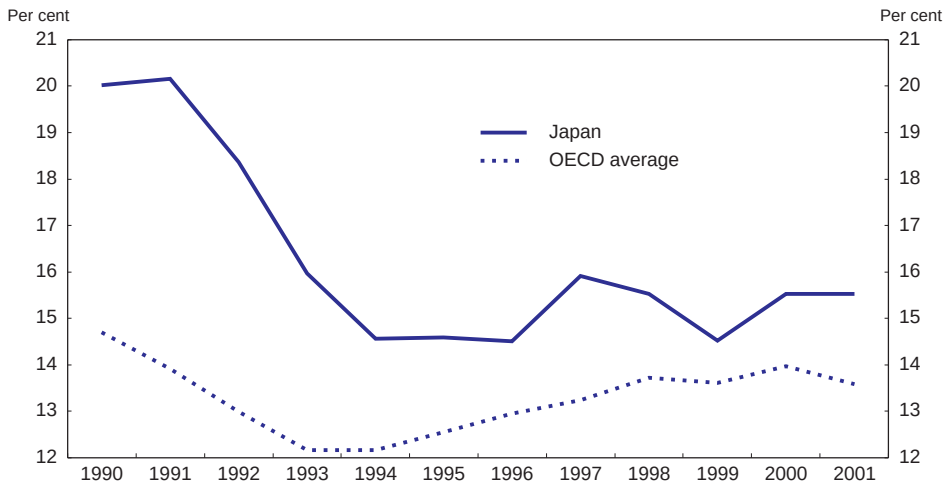
Even if business investment starts recovering, it will not be strong enough to lead to sustained economic growth. Although the investment to GDP ratio has fallen to 15 per cent of GDP from its peak in the early 1990s, it is still above the average of OECD countries (Figure 8). Continuing corporate restructuring and balance sheet adjustments are likely to constrain investment growth. In the past several years, investment has not responded fully to the increase in free cash flow. This is explained by the fact that profits have also had to cover the costs of corporate restructuring such as withdrawal from loss-making businesses and to adapt to new accounting rules, which require mark-to-market valuation and full provisioning of corporate pension liabilities.[4] According to the MOF corporate survey, such special losses reached 15.2 trillion yen in FY 2000, around 40 per cent of total recurring profit. The cumulative amount of special losses between 1990 and 2000 was 59 trillion yen. However, the decline in the value of assets held by firms in the post-bubble period may not yet have been fully reflected in their balance sheets. The value of assets held by non-financial corporations declined by 270 trillion yen on a national accounts basis, which far exceeds the cumulative amount of special losses.[5] Since real asset prices are still declining and firms continue to reduce the scope of unprofitable businesses, non-recurring losses could constrain new investment for several years to come.

Figure 8. **Investment is still high**

Ratio of business investment to GDP



Source: OECD.

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Japanese firms are continuing to invest abroad, but the recent shift of large manufacturing plants to China and an increase in re-imports of their products have raised particular concerns about "hollowing out". However, such concerns are not supported by the statistics. As of the end of 2001, 17.7 per cent of the stock of Japanese foreign direct investment was in Asia and only 3.3 per cent in China, while that in North America and in European countries accounted for 48.2 per cent and 23.5 per cent respectively. The flow of FDI to China increased in FY 2001, though it amounted to just 9 per cent of total manufacturing and 4.6 per cent of total FDI including non-manufacturing (see also Chapter III). Although some manufacturing sectors have started losing competitiveness under the current exchange rate, this is caused by the lower productivity growth in these activities in comparison with that in the most competitive sectors.

The labour market remains under pressure from restructuring

Some leading indicators of the labour market have begun to improve, but structural problems are becoming even more apparent (Table 2). Overtime hours for all industries increased by 2 per cent (s.a.a.r.) in the first half of 2002 after falling by 4 per cent in 2001, and new job offers also increased by 1.3 per cent (s.a.a.r.) in the first half. The unemployment rate, which tends to be a lagging indicator, has remained at around 5¼ to 5½ per cent from the end of 2001 to the middle of 2002. However, the rise in the unemployment rate has been moderate compared with the last recession in 1997 to 1999. The increase has been limited so far to ¾ percentage point this time, while it reached 1½ points in the last

Table 2. **Recent labour market indicators**

	1999	2000	2001	2001				2002		
				I	II	III	IV	I	II	III
Labour force (million)	67.8	67.7	67.5							
(%, change, s.a.)	–0.2	–0.2	–0.2	–0.1	–0.6	–0.1	0.2	–0.3	–0.8	0.3
Employed (million)	64.6	64.5	64.1							
(%, change, s.a.)	–0.8	–0.2	–0.5	–0.1	–0.8	–0.4	–0.1	–0.2	–0.9	0.2
Employees (%, change, s.a.)	–0.7	0.5	0.2	0.0	0.2	–0.6	–0.6	–0.1	0.0	0.5
Unemployed (million)	3.2	3.2	3.4							
(%, change, s.a.)	13.6	0.9	6.3	–0.7	2.1	4.7	6.5	–3.1	0.1	2.3
Unemployment rate (s.a.)	4.7	4.7	5.0	4.7	4.9	5.1	5.4	5.3	5.3	5.4
New job offers										
(%, change, s.a.)	–0.7	19.9	1.5	–3.4	–0.2	–3.9	–2.7	–1.0	6.1	1.5

Source: Ministry of Labour, Health and Welfare, Ministry of Public Management, Home Affairs, Posts and Telecommunications, Cabinet Office.

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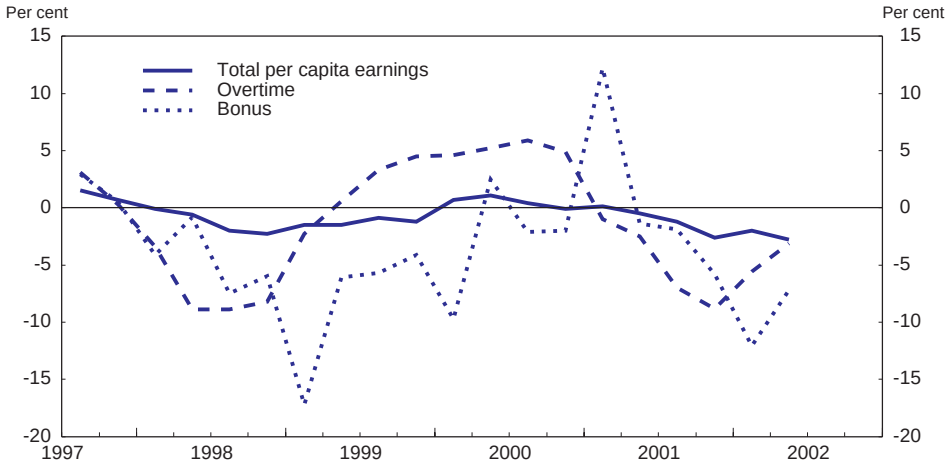
recession. The limited rise in the unemployment rate is mostly attributable to a sharp decline in the labour force. Total employment declined by 1½ per cent (s.a.a.r.) in the first half of 2002, but the labour force also contracted by 1¼ per cent during the same period. Reflecting firm's restructuring efforts to reduce labour cost, the number of permanent workers in the non-agricultural sector fell by 2.7 per cent year on year in June 2002, while temporary workers increased by 9.1 per cent in the same period. A high proportion of the unemployment rate is now thought to reflect rising structural unemployment. One measure of structural unemployment, derived from the relationship between job vacancies and the unemployment rate, reached around 3½ to 4 per cent in 2001.[6] This mismatch reflects an increase in the labour turnover ratio (total job separation over labour force) from 7 per cent in 1990 to 10 per cent in 2001 (it reached 12 per cent in 1999 and 2000). The share of long-term unemployment (unemployed more than 12 months) has also risen from 19 per cent to 27 per cent during the 1990s.

Nominal wages are expected to decline further in 2002 despite the expected recovery of corporate profits. Total wage earnings in 2001 fell by 1.1 per cent and by 2.4 per cent (year-on-year) in the first half of 2002 (Figure 9). The spring wage bargaining in 2002 (*Shunto*) was tight, with an increase in the base wage limited to 1.6 per cent, the lowest on record. The character of the spring bargaining, which has worked as a nation-wide coordinated bargaining system, has

Figure 9. **Household income remains weak**

Per cent change over 4 quarters



Source: Ministry of Health, Labour and Welfare.

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been gradually changing as wage increases now tend to be determined more at the individual firm level. This reflects the fact that the negotiation between firms and unions has placed a greater priority on maintaining jobs rather than raising wages. According to the Nikkei survey, the 2002 summer bonus is expected to fall by 4½ per cent on average. The weakness in wages reflects disruption to the traditional relationship between profits and wage payments due to the special losses arising from the corporate restructuring and the changes in accounting rules. The already high labour share has also forced firms to intensify efforts to reduce labour costs. These factors should continue to constrain wage increases for a while yet.

Despite the weakness in wages, private consumption has been relatively stable since early 2002. Surveys suggest that consumer sentiment is recovering gradually. The June 2002 Consumer Confidence Survey of the Cabinet Office, showed an improvement of consumer confidence for the second consecutive quarter, reflecting an improvement in employment prospects. However, the Survey for September indicated little further improvement. Since household income growth has been very weak, the recent stabilisation of consumption must involve a higher propensity to consume. One interpretation is that consumption might reflect greater household liquidity.[7] However, it is not yet clear whether the underlying trend of private consumption has improved. The BOJ's survey of consumer behaviour (*Seikatsu ishiki chosa*) conducted in March 2002 suggests that, despite an improvement in the judgement about the business climate, more consumers reported that they are cautious about increasing spending because of rising concerns about job security and the possible decline in future pension benefits. These two factors, which are thought to have constrained consumption for several years now, could continue. As the prospect for household income is poor, any acceleration of consumption in 2003 is likely to be limited.

Deflation and the decline in real asset prices have continued

Moderate deflation has continued for more than half a decade and over several business cycles, and even deepened in 2000 as the economy improved rapidly and the output gap fell by 1¼ percentage points (Figure 10). Indeed, it appears that conventional forecasting methods based on the output gap do not necessarily provide a good projection for prices (Box 1). The fact that deflation cannot be explained fully by the change in the output gap may suggest the significance of supply side factors such as the intensified competitive pressure due to higher import penetration and deregulation. The exchange rate also has an effect: wholesale prices (WPI) stabilised somewhat in the first half of 2002, reflecting the weak yen and higher oil prices. However, the WPI started weakening again in the middle of the year reflecting the stronger yen. The experience of the past several years suggests that, once an economy has encountered deflation, a cyclical recovery alone is unlikely to change the situation. Deflation itself has a mechanism

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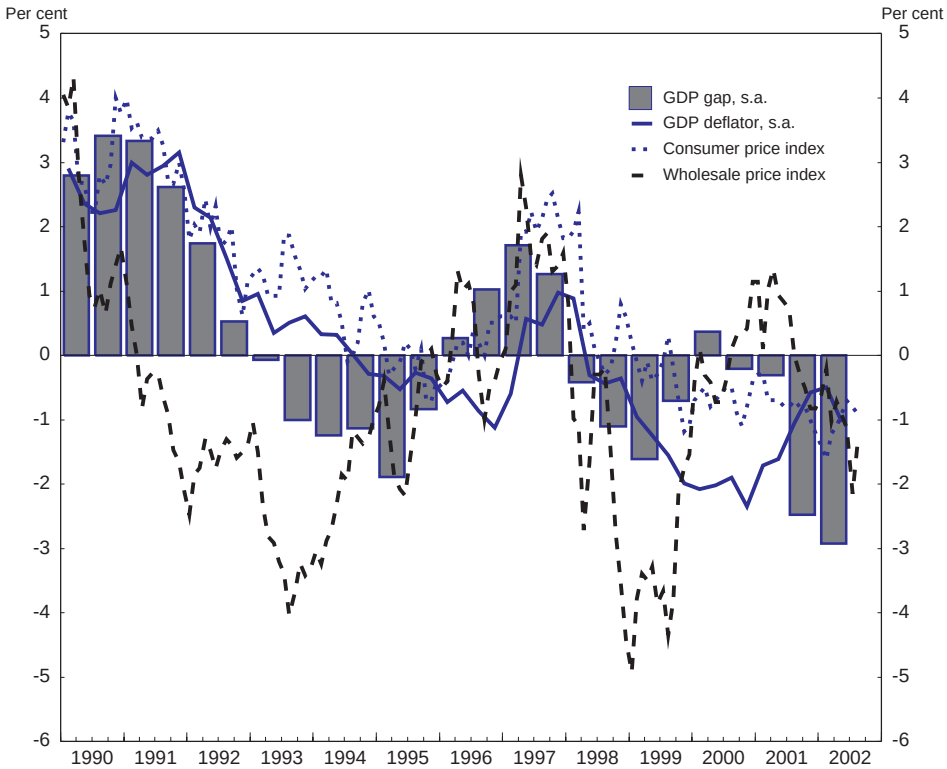
Figure 10. **The output gap and deflation are only loosely related**

Percentage change from previous year



Source: OECD.

which drives further deflationary pressure by raising real interest rates, depressing profit margins, lowering nominal wages and postponing consumption. The inertia of deflationary expectations also seems to be very important. In this sense, it is quite difficult to expect a rapid turnaround in the current deflationary situation in the near future unless drastic change occurs in the supply side (*e.g.* a sharp rise in import prices) or in policy.

Deflation in asset prices has also continued for a decade. In Tokyo the land price for residential areas is now less than half of its peak price, while that for the commercial areas has fallen to a quarter of its peak price. This has stimulated the construction of offices and condominiums in the urban areas, though a possible excess supply in the future is now a concern.

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Box 1. Forecasting deflation

Under persistent low inflation or deflation as seen over the past several years, it has become more difficult to forecast the development of prices based on a Phillips curve relationship between inflation and demand. Even in retrospect it is difficult to "forecast" the move from inflation to deflation in the 1990s.[1] Conventionally, the short-term path of inflation is thought to be determined by three factors: inflation expectation/inertia, the pressure of demand as proxied by unemployment or the output gap, and supply factors. In the long run, prices depend on money supply and public debt. However, deflation tends not to respond much to the output gap (Figure 10). Estimations show that the sacrifice ratio, defined as the percentage point increase of output required to raise the inflation rate by one percentage point, rises from 1.6 to 6.3 when the inflation rate declines below one per cent.

The difficulty in estimating potential output and an output gap also makes an inflation forecast based on a Phillips curve extremely difficult. Although the OECD has been using a conventional production function to estimate potential output, difficulties arise in a number of areas: there has been a drastic change in potential output growth from 4 per cent in the late 1980s to some 1 per cent; there is a possible over-estimate of capital stock due to the existence of unprofitable and unutilised capacity built up during the bubble period; basic statistics including GDP are poor and large seasonal fluctuations remain in the CPI and other deflators. One way to avoid this problem is to use another proxy for demand pressure such as an unemployment gap based on the NAIRU. However, the relationship between inflation and the unemployment gap has proved to be unstable due to labour hoarding by firms during much of the 1990s.

Responding to these problems, some studies have attempted to improve inflation forecasts by including expectations and monetary variables. Fukuda and Keida (2001) reported that the inclusion of inflation expectation derived from the consumer survey could improve the forecasting power of the model based on a Phillips curve. Another attempt is to utilise a P-star model, in which inflation depends on the price gap given by a linear combination of the deviation of money velocity from its trend and the output gap.[2] The P-star model, which takes into account equilibrium in both goods and financial markets, is thought to have more information about the longer term development of inflation than the conventional Phillips curve model. Kimura and Fujita (1999) suggest that the P-star model could have higher forecasting power about the future inflation rate beyond a one and a half year horizon, though its forecasting power of inflation in the short term is about the same as the Phillips-curve-based model.[3] Based on an estimation of the P-star model, Matsuoka (2002) also argued that the continuous fall in the inflation rate throughout the 1990s and up till now can be explained more reasonably by the price gap, which remained negative through the period, than by the output gap which fluctuated a lot.[4] However, one of the weaknesses of the P-star model is that it requires an estimated trend money velocity, which is difficult to obtain in the current situation where it has declined dramatically, reflecting the weaker intermediation function of the banking sector and possibly an increase in the precautionary demand for money.[5]

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Box 1. **Forecasting deflation** (*cont.*)

1. See for example, H. Hayakawa and H. Ugai, "Why did prices in Japan hardly change during the 1997-98 recession?", BIS *Papers* 3 and A. Ahearne *et al.*, "Preventing deflation: Lessons from Japan's experience in the 1990s", *International Finance Discussion Papers*, 729, 2002.
2. The concept of the P-star model is derived from the following steps. Assume the identity among price (p), money (m), velocity (v) and output (y) as : $p = m + v - y$ (all items are in logarithmic form). Given the actual money supply, the long-run equilibrium price (p^*), velocity (v^*) and output (y^*) can be expressed as: $p^* = m + v^* - y^*$. Subtracting the first equation from the latter gives the price gap : $p - p^* = (v - v^*) + (q^* - q)$. Negative price gap ($p < p^*$) suggests the expected rise in p to p^*. In this model, negative deviation of v from v^* is thought to reflect expansionary monetary policy, which could lead to the upward shift in demand curve, resulting in stronger pressure on inflation. See Hallman, Porter and Small, "Is the price level tied to the M2 monetary aggregate in the long run?", *American Economic Review*, 81, 1991, pp. 841-858. See also, Hoeller and Poret, "Is P-star a good indicator of inflationary pressure in OECD countries?", OECD *Economic Studies*, 17, pp. 8-29, 1991.
3. See Kimura and Fujita, "Financial distress, money, real economic activity, and prices", BOJ *Working Paper*, December 1999.
4. See Matsuoka, Will inflation be back? Analysis from the P-star model, Deutsche Bank Security, June 2002.
5. Kimura and Fujita predicted a rise in inflation in 2000 based on their estimated P-star model, though it did not happen. Matsuoka argues that the estimated price gap in his model stayed negative around that period, suggesting that his P-star model can explain the actual development of deflation, though retrospectively. The major difference between these studies is thought to come from the estimation method of trend velocity. The former discounted the change in velocity to reflect the increase in precautionary money holding due to the financial crisis in 1998, while the latter simply applied a Hodrik-Prescot filter to the historical data.

Prospects and risks

The projections presented in Table 3 are the same as in the *Economic Outlook* 72 where world trade volume is projected to accelerate from 2.3 per cent growth in 2002 to 7.8 per cent and 8.8 per cent increase in 2003 and 2004. They are based on the following assumptions:

- Oil prices are assumed to stabilise at 25.8 US dollars per barrel in 2002 and 2003 before returning to 25 dollars in 2004.
- With regard to fiscal policy, no supplementary budget for FY 2002 and FY 2003 is assumed. Tax revenue in FY 2002 is expected to be weaker than in the FY 2002 budget. Total expenditure by the central government in FY 2003 is assumed to remain at the level of the FY 2002 budget, while 1 trillion yen of net tax reduction is assumed for FY 2003.

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Table 3. **Short-term outlook**[1]

	2001	2002	2003	2004	2002		2003		2004	
					1st half	2nd half	1st half	2nd half	1st half	2nd half
Demand and output (volumes)										
Consumption										
Private	1.4	0.8	0.5	0.8	1.3	0.6	0.5	0.6	0.8	0.8
Government	2.9	2.4	1.9	1.7	1.9	3.0	1.4	1.7	1.7	1.7
Gross fixed investment										
Public[2]	–5.9	–3.0	–10.1	–3.5	–3.2	1.7	–15.2	–10.6	–0.8	–1.2
Private residential	–5.6	–4.0	–0.5	–0.5	–4.1	–0.6	–0.5	–0.5	–0.5	–0.5
Private non-residential	–0.1	–6.8	0.8	0.2	–8.1	–0.1	1.5	0.5	0.5	–0.5
Stockbuilding[3]	–0.2	–0.7	0.1	0.0	–0.8	0.3	0.1	0.1	0.0	0.0
Total domestic demand	0.4	–1.4	0.3	0.6	–1.5	1.3	–0.2	0.1	0.8	0.6
Exports of goods and services	–7.0	5.5	7.6	6.2	14.2	7.6	7.8	7.4	6.1	5.2
Imports of goods and services	–0.8	–1.2	3.9	4.5	0.1	6.4	2.9	3.4	5.0	4.5
Net exports[3]	–0.7	0.7	0.5	0.3	1.4	0.3	0.6	0.5	0.3	0.2
GDP	–0.3	–0.7	0.8	0.9	–0.1	1.5	0.4	0.7	1.1	0.8
Inflation and capacity utilisation										
GDP deflator	–1.2	–1.0	–1.6	–1.4	–1.0	–1.5	–1.7	–1.5	–1.4	–1.5
Total domestic deflator	–1.1	–1.1	–1.5	–1.5	–1.0	–1.5	–1.4	–1.5	–1.5	–1.4
Private consumption deflator	–1.5	–1.5	–1.6	–1.6	–1.3	–1.6	–1.6	–1.6	–1.6	–1.5
Unemployment rate	5.0	5.5	5.6	5.6	5.3	5.6	5.6	5.6	5.6	5.6
Output gap	–1.4	–2.9	–2.9	–2.6	–3.1	–2.8	–2.9	–3.0	–2.6	–2.6
Memorandum items:										
Net government lending										
(% of GDP)	–7.2	–7.9	–7.7	–7.8						
Gross debt	132.6	142.7	151.0	159.2						
Net debt	58.4	67.2	75.5	83.7						
Short-term interest rate	0.1	0.1	0.0	0.0						
Long-term interest rate	1.3	1.3	1.1	1.4						
Current account (% of GDP)	2.1	3.2	3.8	4.2						

1. Assuming an exchange rate of 122 yen to the dollar.
2. Including public corporations.
3. Contribution to GDP growth.

Source: OECD, *Economic Outlook* 72.

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– Monetary policy will remain easy with long-term interest rates gradually increasing from the current 1.1 per cent to 1.4 per cent in 2004. The three-month rate is assumed to stay close to zero.

– An exchange rate of 122 yen to the US dollar.

Growth is projected to accelerate to around 1½ per cent in the second half of 2002 and to stabilise at a moderate rate of around 1 per cent in 2003 and 2004. The appreciation of the yen from some 130 to 122, weaker momentum in inventory rebuilding and perhaps weaker growth in the world economy will constrain export growth from the second half of 2002. Nevertheless, with imports constrained by the modest growth of domestic demand, net exports should underpin growth through the projection period. Private investment is expected to stabilise from the end of the year as suggested by leading indicators, but the strength of its recovery is likely to be constrained by continuing corporate restructuring and balance sheet adjustment, and moderate gains for profits. On the other hand, public investment should continue to decline. In the absence of a supplementary budget for FY 2002, public investment, which stabilised in the first half thanks to the FY 2001 second supplementary budget, is projected to fall by around 10 per cent in 2003 before slowing in 2004. Consumption is expected to continue to grow, though at a very moderate rate, reflecting weak income prospects. With output growing at around potential, the unemployment rate could stabilise, but the expected gain in employment might be largely confined to temporary jobs. With net exports underpinning growth, the current account surplus could continue to rise from 3.2 per cent of GDP in 2002 to 4.2 per cent in 2004. Deflation is projected to continue throughout the projection period as mild economic growth and unchanged policies would prove insufficient to generate inflation.

The short term projections are based not only on the major macroeconomic forces at work but also allow for the effects of restructuring, including the plans of the government to clear the bulk of non-performing loans over the next three years. As such, the projection is similar to that of the government, which envisions several years of sharp adjustment with slower growth. The major difference concerns the projection for deflation, with the OECD taking a more downbeat view. As discussed in the remaining chapters, the government has also embarked on an ambitious programme of structural reform and past sector-specific reforms, such as in the telecommunications sector, are already making their presence felt. However, in the judgement of the OECD the reforms are not at this stage either advanced enough or significant enough to have a major effect on the macroeconomic outcome in the short term. This is hardly surprising given the lags between major structural reform and macroeconomic performance observed in many OECD countries, which has probably been due to the drawn-out nature of many reform programmes. However, the experience in Korea and some other Asian countries indicates that large sweeping packages, quickly implemented and supported by macroeconomic forces, can be very effective.

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At the time of writing (October), risks are skewed to the down side. Increased uncertainty about the world economy, low share prices which are currently more than 20 per cent below the March level, and the stronger yen could undermine business confidence and lead to a delay in the recovery of investment. Since the current economic recovery is narrowly based on export growth, any unexpected external shocks could easily dampen prospects. The switch from the current cyclical recovery driven by inventory adjustment and exports to sustained growth based on stronger domestic demand will require substantial progress in structural reform and in corporate restructuring of both the banking and non-financial sectors.

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II. The policy framework: achievements and evolving challenges

Overview

The policy environment has been very difficult over the past year because of unexpected changes in economic and political circumstances and the pressing need to "fight fires" on several occasions. As the government has moved from setting broad reform objectives to considering specific budgetary measures and legislation, opposition from entrenched interest groups and from factions within the ruling parties has become intense. Moreover, the political power of the government to enact its reform programme has weakened significantly, leading to difficult compromises, which in turn have served to impair the government's policy credibility. This has been compounded by the seeming difficulty of the government to get its message and news of its accomplishments across to the public.

After a promising start in the second half of 2001 when the government was able to more fully develop its reform programme, the going has been much harder this year. Around the start of 2002 the government became preoccupied with low stock prices, deflation and the potential for a banking crisis at the end of the financial year in March. Fear of a crisis was also underpinned by the planned restriction of the bank deposit guarantee from 1 April. A second supplementary budget was introduced very soon after a first supplementary budget in December with the aim "to prevent the economy falling into a deflationary spiral". Emergency measures to counter deflation and to control the slide in stock prices were introduced on the 27 February, the Nikkei by that time having fallen to around 9 500. The package included measures to accelerate the disposal of NPLs and to stabilise the financial system, including immediate actions to tighten short selling of shares. By the end of March the Nikkei had rebounded to around 11 000, an important level since banks must now mark to market their extensive holdings of shares. There was also a promise of more anti-deflationary measures in June, including a major tax reform, and the results of the special bank inspections were, as previously announced, published in April. However, the government also appeared to be in a more defensive posture. Important reforms of public financial

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institutions had been deferred and the government's involvement in the rescue of a large company from imminent bankruptcy raised concerns not only about its resolve, but also whether the policy process had really changed.

During the period from around May to October 2002, the macroeconomic and policy situation changed once again even as evidence of a recovery became stronger. Despite quantitative easing by the BOJ and several large interventions by the MOF, the yen-dollar exchange rate strengthened from 135 to around 115 – before weakening somewhat in October – causing concern about profits and exports. Moreover, with stock prices volatile and even falling to under 9 000 in early October, downside risks strengthened and the prospects for continuing deflation firmed. In the face of weak and variable revenues, the government moved to stabilise expenditures at FY 2002 levels for FY 2003 and established a medium-term budget perspective. Although clarity with respect to the NPL situation had improved, concern about the banks resurfaced, focused not only on their interim reporting for the 30 September but also on the final capping of all bank deposit guarantees at 10 million yen per depositor per bank from 1 April 2003. Official proposals to help regional banks merge, even with public funds, and other comments by the MOF that more bank restructuring was necessary, underlined once again that the problems in the financial sector were still not resolved. The session of the Diet was extended in July to pass legislation to advance structural reforms, including those related to the postal agency (Chapter IV). Moreover, tax reform appeared to be losing its direction with the danger that it would simply involve changing some tax breaks. At the time of writing, policy was once again in a state of flux. Deposit guarantees were extended for a further two years in order to give time for a new policy – still under consideration – with respect to banks and NPLs to take effect.

In view of the emphasis given by the government to wide-ranging reform as an essential component of its economic policy strategy, the first section below seeks to present an overall view of achievements to date. A detailed analysis is presented in this and the following chapters and a detailed listing of policy measures is in Annex I. The following section examines fiscal policy in the run-up to the FY 2003 budget and discusses the medium term issue of rising debt. It also covers reform of the broader public sector and the tax system. The next section examines the banking sector, reviewing policy and the progress in cleaning-up balance sheets. The final section reviews the experience with quantitative monetary easing during the past year and discusses policy options should the economy falter or deflation continue.

An overview of the government's reform programme

After coming to power in April 2001, the new government set about establishing a reform agenda making full use of a new institutional arrangement, the

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Council on Economic and Fiscal Policy (CEFP), which is chaired by the Prime Minister and includes several senior ministers. A reform schedule (*Kaikaku koteihyo*) was released at the end of September 2001 listing reforms for immediate implementation and others for legislation in FY 2002. This broad reform programme is summarised in Table 4. At the same time, the new Council for Comprehensive Regulatory Reform, which is directly under the Cabinet Office, has been making more detailed proposals about reforms in the administrative system, social welfare, health, urban revitalisation and education. Although it is important for reform to cover a wide range of related issues, the scale of the undertaking has made it difficult for observers to keep track of progress, especially so in view of the need to make compromises along the way and defer some proposals for another day. This has led to a widespread feeling that reform has stalled or has been watered down to such an extent as to make the project at best irrelevant. Underlying such scepticism is the long history of reform programmes and packages which at the end of the day have not lived up to the high expectations despite often appearing impressive in terms of the number of measures undertaken.[8]

The policy programme can be viewed from the perspective of:

- The stage of implementation. This simply checks what has and has not been done. Figure 11 shows to what extent proposed measures have already been put into effect or prepared for legislation.
- The degree to which reform measures serve the original policy goals. Since planned measures might be undermined during the process of negotiation, implementation is not necessarily regarded as a reform success. From this viewpoint, Figure 12 assesses the planned or implemented measure against the deviation from the objectives set in the June 2001 programme.

Contrary to public perception as reflected in the world's newspapers, the government has been very active in implementing its reform programme. From the perspective of both the progress in implementation and effectiveness, there have been successes especially in the areas of deregulation and entrepreneurship, which are not often credited to the government. A new law has been introduced to allow private developers and planners to manage city planning for designated sites in urban areas regardless of existing regulations including rules such as restrictions on floor area. This could facilitate the efficient use of land in urban areas, which is often under-utilised partly due to strict regulations. Public optical fibre networks located beneath roads and rivers are to be opened up to private agents and regulatory changes (to some extent related to earlier initiatives) have already encouraged the entry of many businesses into fast internet services (DSL). More public services such as health care, education and employment services have been opened to competition. Private companies are now allowed to manage nursing homes, while competition among health service

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Table 4. **Summary of the government's reform schedule**

1. Privatisation and regulatory reform

- Ease restrictions and encourage the entry of private agents into public services such as health and welfare (by March 2002).
- Revise the *Three-year Programme for Regulatory Reform* (by March 2002).
- Review the role of special public corporations and decide as to whether they are to be abolished, divided or privatised (by December 2001 for major 7 corporations).

2. Entrepreneurship and resolution of non-performing loans (NPLs)

- Encourage new business start-ups through promoting Technology Licensing Offices (TLOs), encouraging the use of stock option schemes and utilising government guarantees for SMEs (by the end of 2001 to March 2002).
- Promote resolution of NPLs through allowing the purchase of NPLs by the Resolution and Collection Corporation (RCC) through more flexible prices and establishing funds for corporate restructuring. Conduct special inspection of major banks to secure accurate borrowers' classification and sufficient provisioning and write-offs (by March 2002).
- Encourage individual investors to participate in the stock market by reviewing tax and stock market infrastructure (by September 2001 to March 2002).
- Prepare a framework for judicial reform with a view to adopting new bills within three years (by March 2002).

3. Social welfare and insurance

- Study the feasibility of individual social security accounts (by March 2002).
- Develop a programme to improve efficiency in the health care system (by March 2002).
- Review the pension system and related taxation to cope with possible changes in working styles.
- Expand nursing care facilities by allowing the entry of private businesses.

4. Intellectual assets

- Improve human capital development at elementary and secondary education as well as at graduate schools (to be funded by FY 2002 budget).
- Focus funds on four areas in allocating the science budget: life sciences, information technology, environment and nanotechnology (to be funded by FY 2002 budget).
- Provide schools and libraries with high-speed internet connections (by March 2002).
- Introduce competition to foster world-class universities through allocating more funds to selected universities (to be funded by FY 2002 budget).

5. Quality of life

- Strengthen social safety net by expanding training schemes and public employment programme (by the end of 2001).
- Boost measures to eliminate waiting list for nurseries (to be funded by FY 2002 budget).
- Establish recycling society by strengthening information efforts and developing infrastructure to deal with waste (to be funded by FY 2002 budget).
- Promote second-hand housing market by considering the introduction of new standards for evaluating existing houses (by the end of FY 2002).

6. More autonomy in local government

- Promote mergers of local governments (by March 2002).
- Review state subsidies, local tax transfer and allocation of tax revenue between central and local government.
- Review the way of allocating local tax transfer to local governments by setting objective standards (by March 2002).
- Encourage the establishment of world-class high-tech business ventures at local levels through promoting university-based ventures (to be funded by FY 2002 budget).

7. Fiscal reform

- Review long-term public works projects (by March 2002).
- Review use of earmarked taxes for road construction (to be incorporated in FY 2002 budget).
- Adopt a medium-term economic and fiscal plan (by March 2002).

Source: Council on Economic and Fiscal Policy, 26 September 2001.

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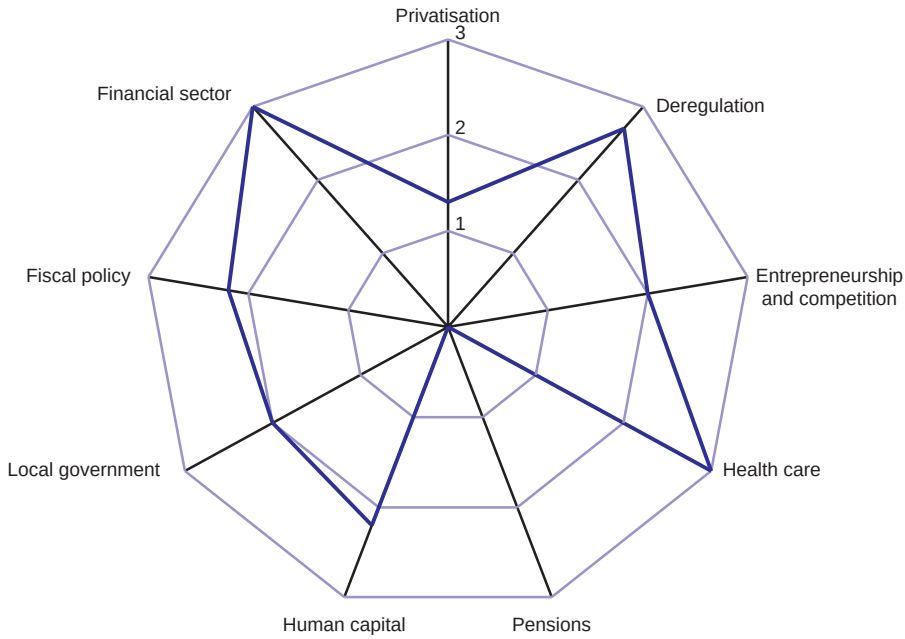
Figure 11. **The structural reform programme**

Progress in implementation



Source: See Annex I for details.

providers will be strengthened as the monopoly in the examination and payment of bills is removed and the restrictions on advertisement by care providers are eased.

In terms of fulfilling objectives, progress in terms of the quality of implementation in some areas remains poor reflecting to a great extent the political difficulties that the government has encountered and the compromises which it has been forced to accept. The two key areas of disappointment concern the financial sector and privatisation. The intention was to resolve the bad loan problem, but even though a number of measures have been put in place, for the time being the goal remains distant. With respect to privatisation, new laws establishing a public postal corporation in 2003 and for allowing the entry of private

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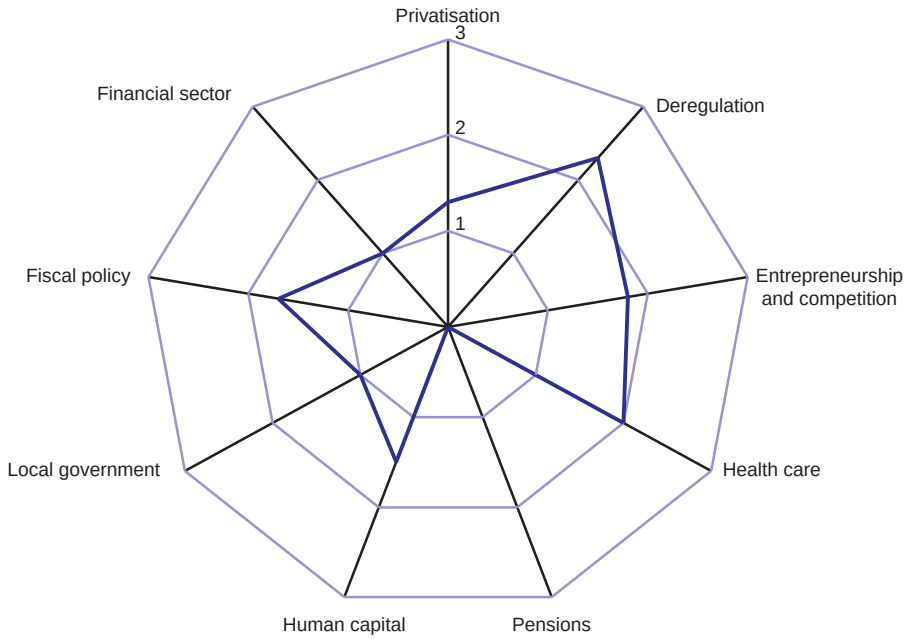
Figure 12. **The structural reform programme**

Progress in fulfilling goals



Source: See Annex I for details.

agents into some mail delivery services have been passed by the Diet. However, discussions about the privatisation of postal services and postal savings are continuing and entry requirements into general mail delivery appeared to be restrictive. Reform of public financial institutions has been suspended until the economic situation stabilises even though they contribute to depressing profitability of private financial institutions by preventing them from raising lending margins. Nevertheless, discussions by the Council on Economic and Fiscal Policy about reform options are continuing.

In some areas, notably pensions and local government finances, progress has been very slow and no concrete plans have been prepared yet. In such a complex area, it may be too much to expect the government to come up with a detailed reform plan in a short period of time, particularly when many other areas

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demand urgent attention at the same time. On the other hand, problems in these areas have been known for a long time and extensive discussions have taken place so that acceleration of policy decisions does not appear to be totally unrealistic. Pension reform is under discussion with concrete plans to be worked out in FY 2004 as part of a periodic review of the system, which has typically resulted in higher contributions and lower benefits but not fundamental change in the system itself. Pressure of an ageing population, however, makes it necessary for the next reform steps to go beyond the mere changes in parameters of the current system. As for the reform of local government finances, the complex adjustment system for allocating grants to local governments has begun to be streamlined, but a fundamental reform plan has yet to be formulated. The government is committed to decide about abolishing or reducing state-subsidised projects by the end of the year and to prepare a concrete reform plan for the structure of local government revenues by June 2003.

Overall, despite some compromises that had to be made, the achievement of the new government in pursuing structural reform has been significant during its 18 months in power. This should be seen against the experience in some of the OECD countries that are well known for their record of radical structural reforms, such as New Zealand (starting mid-1984) and the United Kingdom (starting in 1979). In both of these countries, substantial reforms were carried out, but spread over a decade.[9] There was no privatisation in the first three years of reform in New Zealand, and in the United Kingdom privatisation was given a high priority with the sale of British Telecom in 1984, five years after the reform programme was launched. As well, the politically most sensitive reform of the labour market in New Zealand had to wait seven years. Political difficulties notwithstanding, both of these countries managed to transform their economies from rigid, government-controlled ones to flexible, market-driven ones. Lessons for Japan are to persevere with reform efforts.

Fiscal policy and public sector reform

Fine tuning the fiscal stance in FY 2001: *the supplementary budgets*

With net lending running at around 7 per cent of GDP and gross public debt above 130 per cent of GDP, the current government faced a difficult situation when it began to give greater form to its policy programme after mid-2001 (Figure 13). At a quite early stage the government committed itself to a 30 trillion yen ceiling on the issuance of new public bonds by the central government in both FY 2001 and in FY 2002, even though it faced strong pressures for conventional fiscal expansion. Nevertheless, the government found it necessary to adopt two supplementary budgets in FY 2001, one in November 2001 and the other in February 2002. From the macroeconomic perspective the adoption of relatively small fiscal packages was intended to slow the sharp decline in public spending

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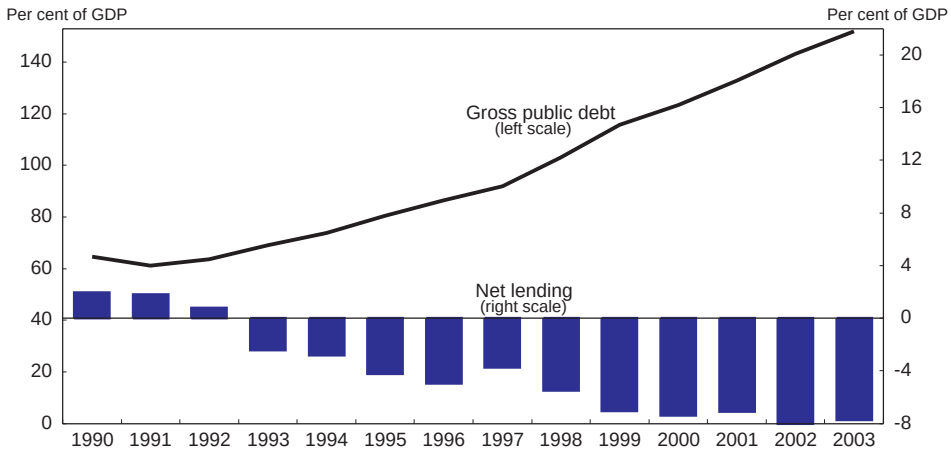
Figure 13. **Public debt continues to rise**
Per cent of GDP



Note: OECD estimates for 2002 and 2003.
Source: OECD.

rather than to expand it further (Table 5). Since the initial budget for FY 2001 was, as has been the practice for some time now, formulated against the previous year's initial budget and not against the actual spending outcome including supplementary budgets, additional budgetary measures were practically unavoidable. At the end of the day, the fiscal stance for CY 2001 appears to have been broadly neutral.[10]

The first FY 2001 supplementary budget was intended to implement the *Front-loaded reform programme* (*Kaikaku senko programme*) adopted in October 2001. The budget covered some areas of the programme, including employment measures such as grants to local governments for creating temporary jobs in public services, financial support for the employment insurance scheme, and a grant for the training scheme (Table 6). The budget also allocated some funds to subsidise public financial institutions for lending to SMEs. Total spending amounted to 1 trillion yen or 0.2 per cent of GDP and tax revenue was also revised down by 1.1 trillion yen. Public bond issuance remained within the 30 trillion yen ceiling.

Even before the first supplementary budget was adopted, the government and the ruling parties started discussing a second supplementary budget for FY 2001. Factions in the LDP demanded large scale fiscal stimulus measures, but the new government was aware that the public saw the discussions as a test of its determination to carry out its programme. In the event, the government remained

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Table 5. **Fiscal packages since 1992**

Billion yen, project cost basis

	Total amount	Social infrastructure investment					Tax cuts	Others
		Public works		Building and equipment	Public works by local government	Sum of 2-5		
		General public works	Disaster relief					
	1	2	3	4	5			
28 August 1992	10 700	3 400	500	550	1 800	6 250	0	4 450
13 April 1993	13 200	3 640	530	1 150	2 300	7 620	150	5 430
16 September 1993	6 200	1 000	450	0	500	1 950	0	4 200
8 February 1994	15 300	3 590	0	610	300	4 500	5 850	4 900
14 April 1995	4 600[1]	205[2]	718[2]	154[2]	0	1 077[2]	0	3 543[2]
20 September 1995	12 800	3 930	700	910	1 000	6 540	0	6 270
24 April 1998	16 700	4 500	200	1 500	1 500	7 700	4 600	4 350
16 November 1998	23 900	5 700	600	1 800	0	8 100	6 000	9 800
11 November 1999	18 000	4 486	700	1 614	0	6 800	0	11 200
19 October 2000	11 000	2 500[3]	500	n.a.	0	5 200	0	5 800
16 November 2001	1 000	0	300	100	0	400	0	600
1 February 2002	2 600	0	0	100	2 500	2 600	0	0
Cumulative	136 000	32 951	5 198	8 488	9 900	58 737	16 600	59 543

1. OECD estimate.
2. Budget figures, rather than project cost figures.
3. Only for the projects funded by the supplementary budget.

Source: Cabinet Office, Ministry of Finance and OECD.

Table 6. **FY 2001 supplementary budgets and the 30 trillion yen ceiling on issuance of public bonds**

Trillion yen

	Expenditures		Revenues		Public bond issuance
Initial budget		82.7		54.4	28.3
1st supplementary budget	Total	1.0 (83.7)	Total	–0.7 (53.7)	1.7 (30.0)
	Employment	0.55	Tax	–1.1	
	SMEs	0.25	Carry-over from FY 2000	0.4	
	Structural reform	0.20			
	Terrorism	0.05			
	BSE	0.03			
2nd supplementary budget	Total	2.6 (86.4)	Total	2.6 (56.3)	0.0 (30.0)
	Public investment	2.6	Revenue from sold NTT shares	2.5	
	Urban infrastructure	0.6	Contribution of local governments	0.1	
	Recycling and river rehabilitation	0.7			
	Research, museums, and ICT facilities	0.9			
	Facilities for nursing and child care	0.3			

Note: Figures in brackets are the cumulative sum.
Source: Ministry of Finance.

committed to the 30 trillion yen ceiling, but this was achieved at the cost of budget transparency, thus casting doubt on the appropriateness of such a limit.[11] The second supplementary budget was adopted to alleviate deflationary pressure, though it was not represented as part of the government's anti-deflation package. On a national accounts basis, the supplementary budget, which amounted to 2.5 trillion yen, led to higher net borrowing, and while gross public debt was left unaffected, net debt increased.

The FY 2002 *and* 2003 *budgets: are new priorities being achieved?*

The government's first annual budget, that for FY 2002, has given emphasis to maintaining the 30 trillion yen ceiling on new public bond issuance and on reallocating funds from unproductive to higher priority items. Since public bond issuance was initially expected to increase to 33.3 trillion yen in FY 2002, the budget required savings of some 3 trillion yen. In order to achieve this goal, the government announced in the August 2001 budget outline expenditure cuts of 5 trillion yen and increases in the priority areas of 2 trillion yen from the budget baseline scenario. In line with this guideline, spending on public investment, subsidies to public corporations, and transfers from central to local government have been reduced by 1.1 trillion yen, 1.1 trillion yen and 1.5 trillion yen respectively (Table 7). Expenditures in priority areas such as urban infrastructure,

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Table 7. **Reallocation of funds in FY 2002 budget**
Trillion yen

Increase in priority areas		Major reductions	
Ageing population: child care facilities, health care for poor and elderly, and child benefits	0.5	10 per cent cut in public investment	–1.1
Science, education and promotion of ICT grants for universities and R&D	0.9	Reduction in health care spending through reform measures	–0.3
Urban infrastructure	0.6	Transfers from central to local government	–1.5
Environment and regional economies Development of environmentally friendly infrastructure and switch from public works to subsidies in agriculture	0.7	Subsidies to public corporations (including cuts in general and special accounts)	–1.1
		10 per cent cut in ODA	–0.1

Source: Ministry of Finance.

child care facilities, grants for universities and R&D have been raised. An effort has also been made to improve the quality of subsidies to local government by replacing a part of the matching grant with a consolidated subsidy, which allows local governments more autonomy in implementing their plans. Although total spending by the central government for medical care has increased by 270 billion yen, health care reform measures such as revisions to medical fees and drug pricing and an increase in co-payments by the elderly should allow the central government to save 280 billion yen. As for the revenue side, the introduction of consolidated corporate taxation, which allows companies to offset profits in some subsidiaries by losses in others, is expected to cost 800 billion yen. However, to offset some of this potential cost, the corporate tax base has been broadened and the tax rate has been raised by 2 per cent for the next two years for those companies which opt for consolidation.[12] Consequently, the expected loss of tax revenues has been limited to 20 billion yen. All in all, on an *ex ante* basis the FY 2002 budget respected the borrowing limit of 30 trillion yen.

The success in limiting public bond issuance to 30 trillion yen needs to be discounted somewhat. As the economy weakened further towards the end of 2001, the expected tax revenue of the central government for FY 2001 was revised down by 2.8 trillion yen from the government's budget assumptions. To compensate partly for the revenue shortfall, the central government decided to transfer more money than usual in a special fund to the general account, though a part of the transaction does not affect net lending on a national accounts basis. Furthermore, due to a projected shortfall in tax revenues, the special account for Local Allocation and Local Transfer Taxes (LAT) continued to borrow 2 trillion yen.[13] Borrowing by the LAT special account resulted in increased net borrowing of the general government by the same amount on a national accounts basis. Since the

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practice of borrowing by the special account for LAT was initially intended to cease in FY 2002, the decision to continue that borrowing could roll back the efforts to improve transparency of the budget process. On the other hand, the decision not to follow down tax revenue projections with further spending cuts was appropriate and one advocated in last year's *Survey*.

The consolidated fiscal balance for the central and local governments is expected to improve in FY 2002 so long as no supplementary budget is adopted. Compared with the estimated deficit in FY 2001 including two supplementary budgets, the deficit in FY 2002 is budgeted to decline by some 2½ trillion yen (Table 8). However, on a calendar year and national accounts basis, the fiscal stance in CY 2002 is expected to be rather neutral as the FY 2001 second supplementary budget has been implemented in CY 2002.

The budget framework for FY 2003 imposes a cap on expenditures excluding national debt service and LAT transfers so that, with revenues weak, new debt issues of the central government will be greater than 30 trillion yen. The guidelines for general expenditures sets them at 48.1 trillion, slightly higher than in FY 2002 (47.5 trillion yen), which will involve savings of some 1 trillion over the MOF's budget baseline. Total expenditures of the general account (including national debt service and LAT) are set at close to 81.2 trillion yen, which is the same as last year's initial budget. Public works are to be cut by some 3 per cent (280 billion yen) which is considerably less than the 10 per cent cut programmed in the FY 2002 budget. However, it is a realistic target if no supplementary budgets are adopted. To facilitate the shift of funds to priority areas, the new budget outline allows ministries to request up to 20 per cent more than the current amount of discretionary spending, and permits the Ministry of Finance to increase allocations to productive projects from the broader options. But the Ministry of Finance is also authorised to cut requests in order for the total to be 2 per cent less than FY 2002. The increase in mandated spending, including social welfare, is also limited to 920 billion yen. The latter is expected to include a reduction in pension benefits and changes in some laws, thus requiring tough negotiations with ministries.

Since details of the FY 2003 budget were not available at the time of writing, the OECD has made the following assumptions to project the possible stance of fiscal policy:

- For FY 2002, no supplementary budget is assumed. Tax revenue is projected to be weaker than in the FY 2002 initial budget plan to reflect the possible significant downward revision in tax revenue for FY 2002.
- For FY 2003, a net tax reduction of 1 trillion yen is assumed (discussed in the following section). Total expenditure by the central government is assumed to remain at the level of the FY 2002 initial budget. Borrowing from the LAT special account is also assumed to continue, which serves to increase the deficit on a general government basis.

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Table 8. **Budgets of central and local governments**
Administrative basis
Trillion yen

	FY 2001[1]	FY 2002
Central government/General account		
Total expenditures	86.4	81.2
General spending	50.8	47.5
of which: Public investment	9.9	8.4
Debt servicing	16.3	16.7
Transfer to local governments	16.7	17.0
Transfer to Industrial Investment Account (IIA)	2.5	0
Total Revenues	56.4	51.2
Taxes	49.6	46.8
Non-tax revenues and others	6.8	4.4
Issuance of public bonds	30.0	30.0
Local government/LPFP[2]		
Total expenditures	93.4	87.6
of which:		
Public investment	31.3	24.6
Debt servicing	12.8	13.4
Total revenues	79.9	74.8
of which:		
Local taxes	35.6	34.3
Lump-sum grants	20.3	19.5
Matching grants	13.1	13.3
Issuance of public bonds	13.5	12.8
Consolidated central and local government balances		
Total expenditures	150.3	139.0
Total revenues	101.4	94.2
Deficit[3]	48.9	44.8
(% of GDP)	(9.7)	(9.0)
Reference:		
Duplication in revenue between central and local governments (a + b + c – d)	34.9	31.8
a) Local allocation tax	20.4	19.5
b) Local transfer tax		0.6
c) Central government disbursement	13.1	12.7
d) Contribution of local governments to the state's projects	1.1	1.0
e) Transfer from IIA	2.5	0

1. Including supplementary budgets.
2. LPFP: Local public-finance programme.
3. Borrowing from the special account for local allocation tax (LAT) is included in the deficit.

Source: Derived by OECD based on data from Ministry of Finance.

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Based on these assumptions, the OECD projects that fiscal policy in CY 2002 and CY 2003 would be broadly neutral on a cyclically adjusted basis, amounting to 7 per cent in both years (Table 9). The non-cyclically adjusted net lending could amount to around 8 per cent of GDP with gross financial liabilities of the general government rising to above 150 per cent of GDP, the highest among the OECD countries. The spending cap as a proportion of GDP could be almost satisfied in CY 2003, though it also depends on the prospects for economic growth and deflation. As a result, the net primary balance would decline slightly in CY 2003 as intended in the government's *medium term perspective*.

Table 9. **General government deficit and debt**

	1999	2000	2001	2002	2003	2004
	Calendar year, per cent of GDP					
Net lending	–7.1	–7.4	–7.2	–7.9	–7.7	–7.8
Net primary balance	–5.8	–6.0	–5.7	–6.6	–6.2	–6.3
Cyclically-adjusted net lending	–6.7	–7.4	–6.8	–7.1	–6.9	–7.1
Effects of taxes on postal savings		0.6	0.5	0.2		
Underlying cyclically-adjusted net lending	–7.0	–7.1[1]	–7.3	–7.3	–6.9	–7.1
Gross debt	115.8	123.5	132.6	142.7	151.0	159.2

1. The underlying cyclically-adjusted net lending for CY 2000 is adjusted for a capital transfer of 4.5 trillion yen.
Source: OECD.

Sustainability issues and the medium term fiscal perspective

With gross public debt already more than 130 per cent of GDP and set to increase further, the issue of sustainability has become increasingly important. For some market participants sustainability is viewed from the perspective of the probability of default. Some rating companies judged that this probability has increased and downgraded Japanese Government Bonds (JGBs) in late 2001 and early 2002. This provoked a sharp response from the government which challenged the rationale of their rating decisions.[14]

Another perspective, and the one taken here, focuses on the possibility for debt accumulation over time to cause financial disturbances and to impair the functioning of the economy. Such a probability distribution should not be viewed as increasing monotonically in line with the debt/GDP ratio. Rather, it should be seen as changing, perhaps sharply, from time to time, and as related to the stability of the economy with respect to potential shocks. To understand the current peculiar situation in Japan, it is important to distinguish the current stability in the bond market from the long-run risks. Despite rapidly rising gross public debt, the 10-year JGB yield has stayed between 1½ and 2 per cent for several years and even declined to 1.3 per cent after JGBs were downgraded in May 2002. Although

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some foreign investors reduced their exposure, domestic investors including banks and life insurance companies have been purchasing public bonds aggressively aided by the BOJ's injection of liquidity, and public financial institutions have also been very active in the JGB market. However, these same financial institutions are also increasingly vulnerable to a rise in interest rates from their historically low levels, an event that would also hit the budget to a greater extent than in the past. Yet the economy might be too weak for some time to come to cope with any major cuts in expenditures or increases in taxes, which would be necessary to bring rising debt under control. The government is aware of the issues and has adopted a *medium term perspective* which envisages a decline of the primary deficit of the central and the local governments to a half of the current level by FY 2006 and to almost balance in FY 2010. Whether the target is sufficiently ambitious is a key question.

Short term stability in the bond market conceals evolving risks

Debt financing has been very stable in the past several years with the 10 year JGB yield stable in the range of 1 to 2 per cent.[15] Moreover, the effective rate of interest on public debt (interest payments by general government divided by total public debt) declined from 5.7 per cent in 1990 to 2.7 per cent in 2000 as high-yielding bonds that were issued in the early 1990s matured. Gross interest payments as a proportion of total disbursements have accordingly remained low relative to the size of the public debt (Figure 14). Moreover, the government has shifted the issuance to shorter maturity bonds to benefit from the current low interest rate: the share of long-term bonds in new issues with a maturity 10 years or more has fallen from 49 per cent in FY 1990 to 30 per cent in FY 2001, while that of medium-term bonds with a maturity of 2 to 6 years has increased from 9 per cent to 40 per cent during the same period. In terms of the stock of JGBs, long-term bonds are still dominant although this is rapidly changing.[16] While the strategy to issue more short-term debt makes sense from a short run budgetary perspective and reflects demand by financial institutions to reduce the potential for capital losses, it does leave the budget vulnerable to a future back-up in rates.[17]

The current low levels of interest rates reflect the expectation of continuing deflation (or very low rates of inflation), the time commitment of the BOJ to maintain zero short term rates under such conditions and the prospects for sluggish economic growth. However, they are also underpinned by "excess" saving in the domestic economy. From 1996 to 2000 on average, net saving by the domestic private sector amounted to 8.2 per cent of GDP, while net borrowing of the general government reached 6.8 per cent of GDP (Table 10). A comparison of the first half of the 1990s with the later half indicates that the increase in net borrowing by the general government was offset by the decline in net borrowing by the non-financial corporate sector to almost zero. Such funds could have been channelled abroad, but over the period there has been a non-negligible risk of an exchange

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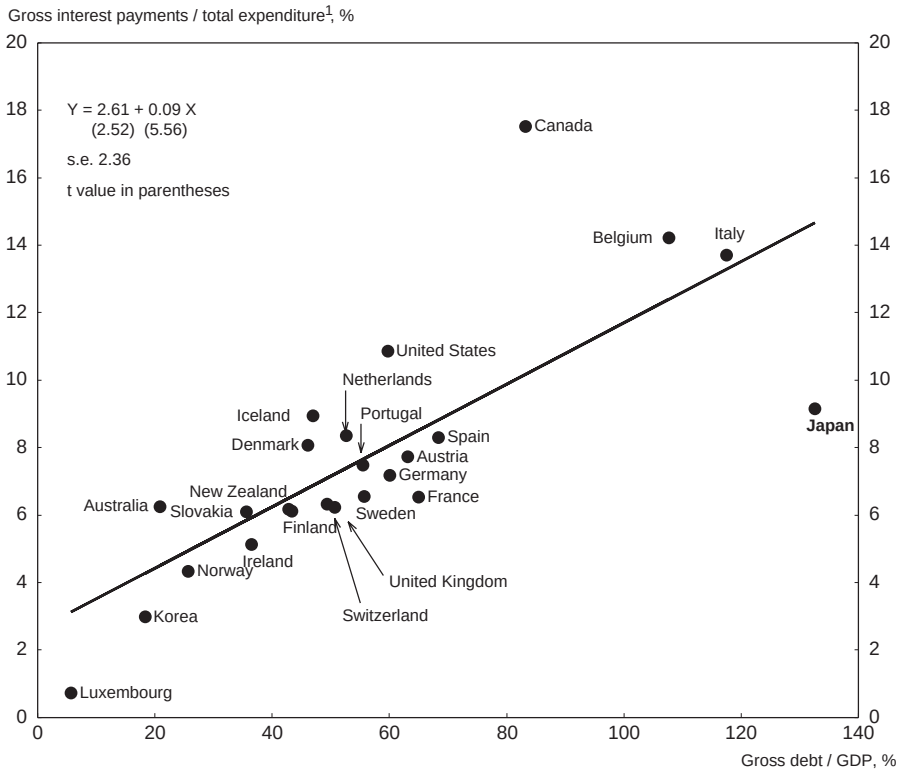
Figure 14. **Interest payments remain low**

General government including social security funds



1. Including capital expenditure.
Source: OECD.

Table 10. **Net lending by sector**

Per cent of GDP

	General government	Private sector	*Of which:* Households	Financial corporate	Non-financial corporate
1990-1995	–0.8	2.8	6.6	1.3	–5.6
1996-2000	–6.8	8.2	5.3	2.7	0.0

Source: *Annual Report on National Accounts*, Economic and Social Research Institute, Cabinet Office.

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rate appreciation and the private sector has not been able to accept much risk. Perhaps of even greater importance, however, has been the role of public financial institutions in the intermediation process. Weak business activity in the latter half of the 1990s has made available cheap funds for financing the fiscal deficit, while the weak economy has damaged fiscal balances at the same time, lowering tax revenue and worsening debt dynamics. Some see this situation as an unfavourable equilibrium in the sense that it will take some time to unwind, in part because of the lack of external pressure due to the current account surplus.[18]

A key feature of the bond market is that the public sector holds 59 per cent of the existing stock of JGBs while only 6.3 per cent is held by foreign investors and 3 per cent directly by individuals (Figure 15). Despite the substantial reform of the Fiscal Investment and Loan Programme (FILP) in April 2001, the share of JGBs held by the public sector has remained almost unchanged. The FILP reform abolished the requirement for the postal saving and the pension reserves to deposit all their funds with the newly established Fiscal Loan Fund (FLF), which has inherited the assets of the Trust Fund Bureau (TFB).[19] The FLF is now required to raise funds directly from the market by issuing FILP bonds. As a result, the share of JGBs held by the FLF declined sharply from 24.5 per cent in 1999 to 16.1 per cent in 2001. Nonetheless, the share of the public sector did not change as the Bank of Japan increased its share by 3.6 percentage points, reflecting the introduction of quantitative easing accompanied by larger outright purchases of JGBs. The share of the postal insurance and postal saving systems also increased by 2.5 and 1.9 percentage points respectively. These institutions also hold JGBs indirectly through the FLF. These holdings are not captive in the sense that they are offset by liabilities to households, *inter alia*, via savings deposits at the post office.

The huge holdings of JGBs by the public sector might serve to reduce market liquidity and make the market sensitive to actual or perceived changes in government policy. Many public institutions have adopted a buy-and-hold strategy which could reduce market liquidity and could lead to liquidity premiums being demanded by investors. The limited market liquidity could also make the bond markets vulnerable to shocks, as happened in late 1998 when the TFB announced that it would cease the outright purchase of JGBs. The announcement caused yields to surge. The captive holding pattern might also result in easing the pressure for improved transparency and accountability of fiscal policy.[20] Moreover, since the government is an issuer and a purchaser of public bonds, it has two conflicting interests; one is to maintain the profitability of asset management and the other is to lower the cost of interest payments for the budget.[21] Although public institutions are likely to continue to hold the majority of public bonds, the government has tried to increase market liquidity for JGBs and to sell more to foreign investors and to individuals (see Box 2). A bond market with improved liquidity and diversified investors could facilitate financing public debt, but it does not reduce the need to bring debt accumulation under control.

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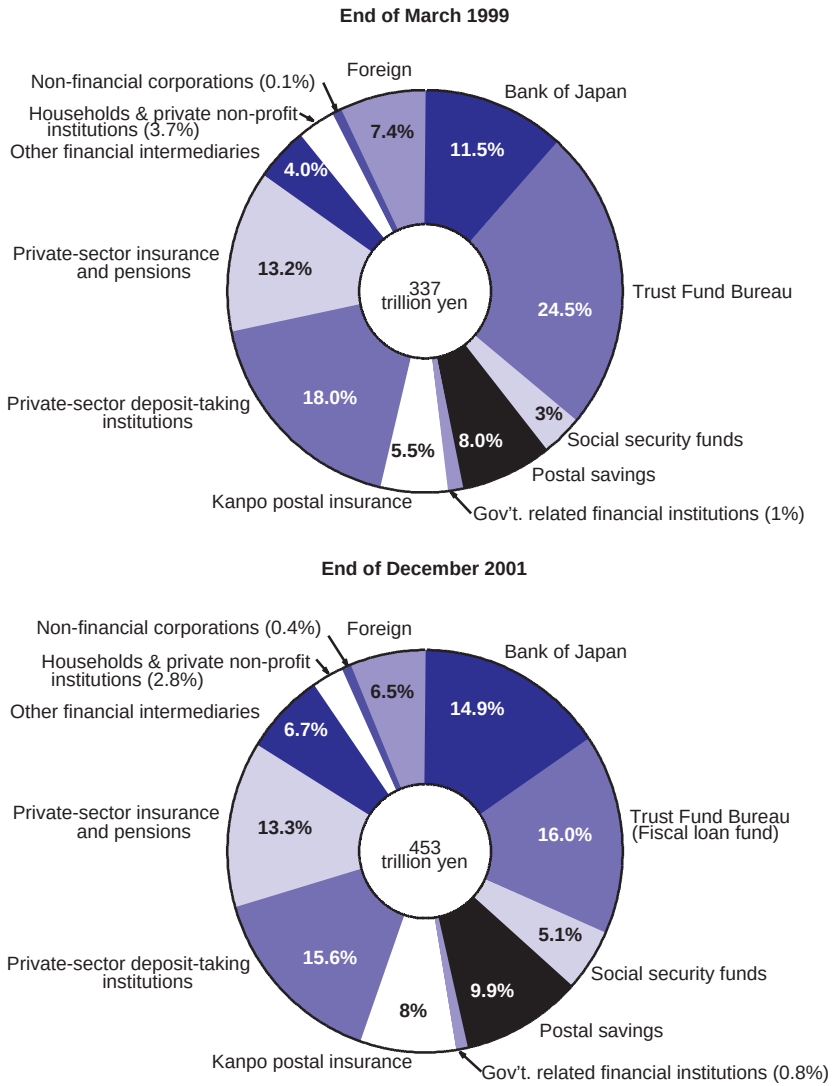
Figure 15. **The public sector is a major holder of government bonds**

Holdings of JGB's by sector (excluding FBs)



Note: JGB totals are based on market values adjusted for borrowing and lending transactions. Private-sector deposit-taking institutions = banks + trust banks – foreign banks. Other financial intermediaries = equity investment trusts + non-banks + dealers + independently managed investment trusts + other non-intermediary financial institutions. Foreigners = overseas + foreign banks based in Japan.

Source: Flows of funds accounts, Bank of Japan.

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Box 2. Improving the market for JGBs

The JGB market is the largest government securities market in the world. The volume outstanding is some 400 trillion yen or 3.3 trillion US dollars. However, its liquidity is the lowest of the major bond markets in the sense that the bid-ask spreads are the highest and the turnover ratio (frequency of trade) is the lowest among G7 countries.[1] Besides the large JGB holdings of the public sector, low market liquidity also reflects some other institutional problems.[2] Until recently, the security transaction tax and the withholding tax on bond interest discouraged trading by raising costs. The current arrangement for bond issuance, which allocates the new 10-year JGB to some 1 400 syndicate members, also affects the liquidity and pricing behaviour of the market. Although public bonds other than 10-year bonds are issued by auction, 60 per cent of the 10 year JGB is issued in this manner to the syndicate members while 40 per cent is allocated to them according to fixed shares at the average offer price in the auction. This arrangement has served to stabilise bond prices as a large proportion of new bonds is automatically allocated to syndicate members. However, it has weakened the linkage between the new and the secondary market as the price of new bonds does not necessarily reflect demand and supply conditions. It could also reduce liquidity in the secondary market because final bond holders are syndicate members (*i.e.* they do not have to buy bonds from dealers).

Since the late 1990s, the government has accelerated reform of the public bond market to improve liquidity and to smooth the issuance of some 100 trillion yen of public bonds including those for roll-over every year. The securities transaction tax was abolished in April 1999. The coupon-bearing JGBs held by non-residents were exempted from withholding taxes under some conditions from September 1999 and the coverage of the exemption was further expanded in 2001. The proportion of 10 year bonds issued by auction has been raised from 60 per cent to 75 per cent. The convenience of the transfer settlement system has been raised by making the transfer of JGBs fully paperless. Furthermore, the current syndicate underwriting system is being reviewed.

Some important measures have also been introduced to facilitate better debt management. The easing of stringent restrictions for buying-back bonds could allow the government to level the volume of annual redemptions. The government plans to start buying back the 10-year bond with redemption scheduled in FY 2008 to smooth the issuance calendar (Figure Box 2). Another important measure is the introduction of interest rate swaps by the Government Debt Consolidation Fund. In the current situation where long-term interest rates are at a low level, the government has an incentive to issue more long-term bonds with fixed rates, but investors who already hold a large volume of long-term bonds are reluctant to purchase them, fearing the risk of a fall in bond prices. In such circumstances, an interest rate swap allows the government to finance its debts on virtually a long-term fixed interest rate without issuing long-term bonds as it can issue short-term bonds and convert them to long-term fixed rate using the scheme. Finally, the government is also attempting to diversify the structure of bond holding by introducing a bond specifically designed for individual investors in early 2003. Transfers of the bond will be restricted so that it cannot be owned by financial institutions and the minimum unit of investment will be set at a very small amount, around 10 000 yen.

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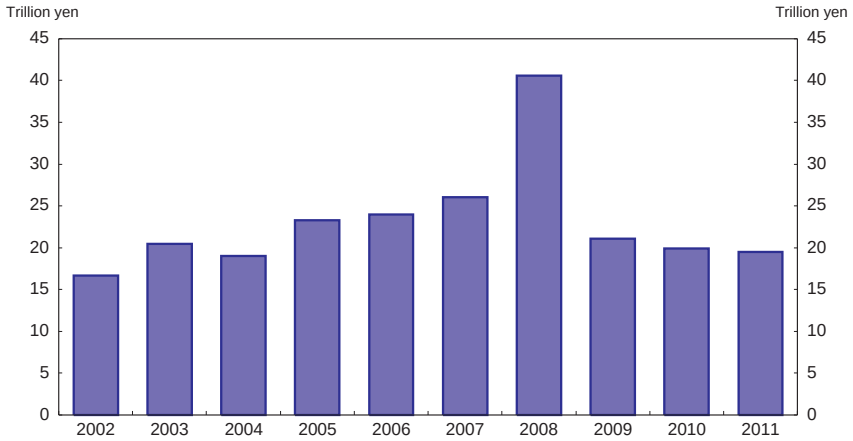
Box 2. **Improving the market for JGBs** (*cont.*)

Figure Box 2. **Redemption of 10 year JGBs could peak in 2008**
Trillion yen



Source: Ministry of Finance.

1. The bid-ask spread for the 10 year bond in Japan is 0.07 per cent of its face value, which is higher than those in many other countries (0.03 per cent for the US, 0.04 per cent for the UK and Germany, 0.05 per cent for Canada). The turnover ratio for the Japanese public bond, which is defined as the annual volume of bond trade over the existing stock of bonds, is 6.9, while those ratios in the other G7 countries are in many cases much higher (22 for the US, 21.9 for Canada, 33.8 for France, 7.7 for Italy, 7.0 for the UK). The ratio of non-marketable to marketable debt is also the highest in Japan (as of 2000, 28 per cent for Japan, 12.8 per cent for the US, 6.9 per cent for Canada, 10.2 per cent for France, 9.7 per cent for Italy, 22.5 per cent for the UK). See Mylonas, P. *et al.* "New issues in public debt management: government surpluses in several OECD countries, the common currency in Europe and rapidly rising debt in Japan", OECD *Economics Department Working Papers*, No. 239, 2000.
2. See Soejima, Hanajiri and Shimatani, "Strengthening the linkage between new bond market and its secondary market", BOJ, July 2001, and Shirakawa, "For improving the functions of Japanese public bond markets", BOJ, June 1999.

In sum, the peculiar nature of the bond market, the importance of public sector financial institutions, a current account surplus and continuing deflation all combine to give the impression of an innocuous fiscal position with low interest rates and easy budget financing. However, both the budget and the financial system are slowly becoming more sensitive to any back-up in interest rates, which

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in turn might be more sensitive to changing perceptions of economic and financial prospects than in the past. Deflation may help keep rates low in the short term but will eventually make the debt situation even worse and at some stage will make investors concerned for the capital value of the public debt they hold thereby raising risk premiums.[22]

The government's medium run fiscal perspective: is it ambitious enough?

If the current situation of nominal growth lower than the long-term interest rate were to continue, debt dynamic considerations suggest that public debt would continue to grow without any bounds until a primary surplus is achieved. A simple calculation indicates that the debt/GDP ratio could be stabilised at 180 per cent of GDP with a primary surplus of 1¾ per cent of GDP under the assumptions of 1 per cent nominal growth and 2 per cent interest rate.[23] Such a surplus in the primary balance would require enormous consolidation efforts as the primary balance presently shows a deficit of around 6 per cent. Unlike many European countries that succeeded in cutting spending during the 1990s, it is quite difficult for Japan to do the same since an ageing population is increasing spending pressure. Despite the recent reform of the medical care system, which is expected to contribute to cost savings of 0.7 trillion yen, total medical expenditure could increase by 5.6 trillion yen or 1.1 per cent of GDP in the next five years. Total benefit payments by the public pension system including tier I and tier II schemes are also projected to rise from 35 trillion yen in 2002 to some 50 trillion yen in 2010.

To illustrate the medium term economic prospects and possible fiscal consolidation paths, the government adopted the *Structural reform and medium-term economic and fiscal perspectives for* FY 2002 *to* FY 2006 in January 2002. Unlike many other OECD countries, Japan has not adopted a medium-term fiscal plan to date, so as to leave wide discretion for annual budgets. Moreover, only some broad targets have been set, rather than specific measures. The flexibility of this *medium-term perspectives* is even greater than that of the fiscal and structural reform law which was in force up to 1998 as the latter legislated spending caps on specific expenditures. The government's *medium-term perspective* is (see Table 11):

- Growth will remain slow in the period between FY 2002 and FY 2003 as adjustment in both private and public sectors should continue. Structural reform will be accelerated during this period with emphasis on creating new private sector demand and employment. Disposal of non-performing loans will also be expedited.
- Led by private demand, economic growth will eventually rise to 1½ per cent in real terms and 2½ per cent in nominal terms in FY 2004 and thereafter, *i.e.* with inflation of 1 per cent. The government will set a spending cap to keep total general government expenditure below or equal to the current ratio to GDP. This could lead to a decline in the

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Table 11. **The government's economic and fiscal perspective from FY 2002 to FY 2006**[1]

	FY 2001	FY 2002	FY 2003	FY 2004	FY 2005	FY 2006	FY 2010
Macroeconomy							
Growth rate of real GDP[2]	–1.0	0.0	0.6	1.5	1.5	1.6	1.9
Growth rate of nominal GDP[2]	–2.4	–0.9	0.6	2.3	2.5	2.7	2.9
Nominal GDP[3]	500.6	496.2	499.3	510.9	523.7	537.7	601.0
Inflation rate (GDP Deflator)[2]	–1.5	–0.9	0.0	0.8	1.0	1.1	1.0
Unemployment rate	5.2	5.6	5.6	5.4	5.2	4.9	4.2
Nominal long term interest rate	1.5	1.5	1.6	1.9	2.2	2.4	3.0
Balance of saving and investment[4]							
Net Lending (+)/Net Borrowing (–)							
General government	–6.9	–6.5	–6.3	–5.4	–4.7	–4.4	–2.9
Private sector	9.1	8.8	9.0	8.1	7.3	6.9	5.3
Rest of the World	–2.2	–2.3	–2.6	–2.7	–2.6	–2.5	–2.4
Fiscal conditions							
Balance of saving and investment[4]							
Net Lending (+)/Net Borrowing (–)							
Central government	–6.2	–5.4	–5.5	–5.0	–4.8	–4.4	
Local governments	–0.7	–1.0	–0.5	–0.4	–0.1	–0.1	
Total	–6.9	–6.3	–6.0	–5.4	–4.9	–4.5	
Public sector primary financial balance[4]							
Central government	–4.6	–3.8	–4.0	–3.6	–3.4	–2.9	
Local governments	0.3	–0.0	0.4	0.5	0.7	0.7	
Total	–4.3	–3.8	–3.6	–3.1	–2.7	–2.2	–0.4
Debt outstanding[3] (central and local governments)	569.6	602.8	634.3	664.8	693.3	719.9	808.1
(per cent of GDP)	(113.8)	(121.5)	(127.0)	(130.1)	(132.4)	(133.9)	(134.5)
Size of government[3] (expenditure of general government)	191.2	186.5	186.1	188.5	192.1	196.7	
(per cent of GDP)	(38.2)	(37.6)	(37.3)	(36.9)	(36.7)	(36.6)	

1. In this simulation, a state subsidy rate is assumed unchanged at 1/3 of "Basic Pension" expenditures. Changing the subsidy rate to 1/2 did not make much difference to the outcome.
2. Per cent increase.
3. Trillion yen.
4. Per cent of GDP.

Source: Cabinet Office, "Structural Reform and Medium-term Economic and Fiscal Policy", January 2002.

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primary deficit of central and local governments from 4.3 per cent in FY 2001 to 2.2 per cent in FY 2006. The government envisages that the primary balance of central and local governments could turn to surplus in the early 2010s.

The most important feature of the *perspective* is the expenditure target in terms of the ratio to GDP: the ratio of general government expenditure to GDP will be held at/or below its present level from FY 2002 to FY 2006. A target has been set for the central government's budget in FY 2003 limiting total expenditure to the level of FY 2002. This target has been introduced instead of the goal of keeping new government bond issuance to below 30 trillion yen, which was regarded as too inflexible if output proves weaker than expected. In the government's reference case scenario, total expenditure in proportion to GDP is projected to fall from 38.2 per cent in FY 2001 to 36.6 per cent in FY 2006, contributing to an improvement of the primary deficit by 1.6 percentage points. This projection assumes several consolidation measures such as: a 3 per cent per annum cut in public investment; reform of the health care system which allows the government to save 300 billion yen in FY 2003; 0.5 per cent annual cut in government employment; and a 1 per cent annual cut in other expenditure on goods and services. These savings could amount to some 5 trillion yen or 1 per cent of GDP in four years, compared with the case where these expenditures are assumed to remain flat over the same period.[24] These specific cuts in spending are merely assumed for the purpose of calculation rather than to bind actual budgets, though the fiscal policy principles[25] underlying these figures are intended to discipline the annual budgeting process to achieve the projected fiscal consolidation. Nonetheless, to improve credibility the government needs to make use of a shorter run real spending target and to spell out more specific policy requirements that should guide current and future policy decisions.

Success of the fiscal consolidation envisaged in the *medium-term perspective* depends on the strength of economic growth and, more importantly, on price level developments. As long as deflation continues and the nominal growth rate stays below the interest rate, debt dynamics will serve to expand debt further. Higher economic growth can help to lower expenditures and the deficit in relation to GDP, even if actual spending does not decline. Indeed, according to the government's scenario, the ratio of total expenditure to GDP is expected to fall from 37.6 per cent in FY 2002 to 36.6 per cent in FY 2006, although expenditures are expected to increase from 186.5 trillion yen to 196.7 trillion yen over the same period. However, there is a risk that deflation could continue over the next few years in contrast with the government's projection of zero inflation in FY 2003 and some positive inflation in subsequent periods. The OECD has calculated that the current output gap is around 3½ per cent in 2002. Thus, strong growth under this non-monetary view is necessary to fill the gap and to generate inflationary pressure. Table 12 illustrates how different assumptions affect the path of fiscal

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Table 12. **Different scenarios for fiscal balance of general government**

	2002	2003	2004	2005	2006	2007	2008	2009	2010
Assumptions									
Government scenario									
Real GDP (%)	–0.3	0.6	1.5	1.5	1.6	1.7	1.8	1.9	1.9
GDP deflator (%)	–1	0	0.8	1	1.1	1.1	1.1	1	1
Output gap (% of GDP)[1]	–2.6	–3	–2.5	–2	–1.4	–0.7	0.1	1	1.9
Case 1: lower inflation									
GDP deflator (%)	–1.0	–1.4	–1.2	–1	–0.7	–0.3	0	0.2	0.5
Case 2: OECD medium term reference scenario[2]									
Real GDP (%)	–0.7	0.8	0.9	1.3	1.4	1.4	1.4	0.6	0.7
GDP deflator (%)	–1.0	–1.5	–1.4	–1.4	–1.4	–1.4	–1.4	–1.2	–1.2
Output gap (% of GDP)[3]	–2.9	–2.8	–2.5	–1.9	–1.2	–0.5	0	0	0

	Estimated CY 2002	Government scenario		Case 1		Case 2	
		CY 2006	CY 2010	CY 2006	CY 2010	CY 2006	CY 2010
Estimates: General Government							
Total spending (% of GDP)	37.6	36.5	35.3	39.2	39.3	40.2	44.1
Deviation from the government scenario		–	–	3.2	4.0	3.7	8.8
Primary balance (% of GDP)	–6.6	–4.6	–2.9	–6.2	–5.3	–6.9	–8.1
Deviation from the government scenario		–	–	–1.6	–2.4	–2.3	–5.2
Gross debt (% of GDP)	142.7	155.7	158.8	170	187	175.6	215.6
Deviation from the government scenario		–	–	14.3	28.2	19.9	56.8

1. The output gap is calculated by assuming potential growth of 1 per cent, which is derived from the government's estimate.
2. The forecasting period of the medium-term scenario is extended up to 2010 by assuming the same level of potential growth and no further acceleration of deflation.
3. The output gap is based on the OECD's medium-term baseline in the *Economic Outlook* 72.

Source: OECD.

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consolidation. The major differences between the OECD's calculation and the government's are: the assumed economic growth and deflation rate; the OECD use of the general government (including the social security fund) on a national accounts basis; and the time frame (the OECD's extends it to 2010).[26] In the "government" scenario of Table 12, the government's medium-term perspective has been converted (by the OECD) to a general government and calendar year basis, with the other assumptions remaining the same. The difference between the government scenario and case 1 is only the expected path of deflation. Although the *medium-term perspective* assumes deflation to come to an end in FY 2003, despite the existence of a substantial output gap, case 1 assumes that deflation would fade only gradually along with the output gap and turn positive in 2009. Under this scenario, the primary deficit of the general government is expected to be still around 6¼ per cent in 2006 and around 5¼ per cent in 2010. This scenario also suggests that the ratio of total spending to GDP could rise from 37½ per cent in 2002 to 39¼ per cent in 2006, thus requiring further spending cuts to achieve the spending cap. Case 2 assumes the same amount of budget saving as in the government's perspective but real GDP growth and deflation is taken from the OECD's medium-term reference scenario in the *Economic Outlook* 72. Despite higher initial growth in GDP than the government's, this scenario assumes that deflation could continue at around 1¼ to 1½ per cent throughout the projection period. In this case, the primary deficit of the general government could rise to 7 per cent in 2006 and 8 per cent in 2010, with debt reaching over 210 per cent of GDP.

The Secretariat's simulations show that unless economic growth and positive inflation become once again the norm, the necessary budget saving to achieve the spending cap would become much larger than currently expected. Moreover, throughout the whole period the sensitivity of the economy to shocks would rise, with the danger of an increase of interest rates. On the other hand, a sharp cut in spending or a rapid increase in taxes could damage what might remain a fragile economy, leading to a failure of fiscal consolidation. However, there is a possibility that fiscal consolidation and economic growth can be achieved simultaneously if the government succeeds in establishing credibility about its fiscal consolidation plans. As discussed in the last *Survey*, when the fiscal deficit reaches a level regarded as unsustainable, a cut in government spending could lead to higher private consumption as consumers start expecting smaller government expenditure and smaller increases in future tax burdens.[27] A recent study about the past experience in Japan also suggests that a spending cut during the fiscal consolidation period between 1980 and 1987 might have boosted private consumption.[28] However, in order to obtain this effect, it is crucial for the government to achieve credibility through making consistent and transparent fiscal policy. The adoption of the *medium-term perspective* is a step forward, but more concrete and effective measures to cut spending will be needed to achieve

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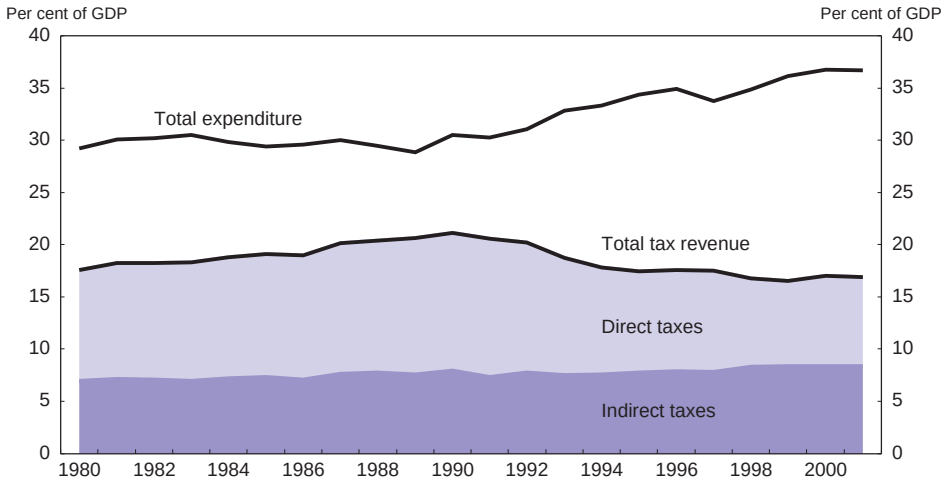
credibility. Although having some flexibility in the fiscal consolidation plan is important, as fragility still remains, the government should at least specify explicitly to what extent each expenditure will be cut over the medium-term and what mechanism will work to ensure the effectiveness of a ceiling on total expenditures over several years.

Tax reform

Spending cuts should be the first priority, but at some stage measures will have to be undertaken to raise revenues, which were undermined during the 1990s by a series of tax cuts. However, to ensure efficiency, revenue raising measures should be part of, or subsequent to, a broader tax reform package. Tax revenue declined in absolute terms as well as in proportion to GDP not only due to weak economic growth and deflation in the 1990s but also due to substantial cuts in tax rates for both personal and corporate income aimed at stimulating the economy (Figure 16).[29] These tax cuts were only marginally compensated by a broadening of the tax base and by an increase in other taxes such as value added tax (consumption tax). However, the experience of the 1990s and especially 1997/1998 when taxes and social security contributions were raised by 9 trillion yen or 1.8 per cent of GDP has made the policy community exceedingly cautious and also divided about the

Figure 16. **The budget's tax base has steadily eroded**
Per cent of GDP



Source: OECD.

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pre-requisite macroeconomic conditions for an increase in taxes. Unfortunately, the current tax reform debate has become confused by mixing questions about the short term stimulus or about reforms and their direction. The government has been discussing a comprehensive tax reform since the beginning of 2002, aimed at invigorating the economy in the long run, and a final reform plan is scheduled for release around the end of the year. However, soon after the discussion started, the broad direction for reform began to diverge among policy makers as both the CEFP and the government's tax commission discussed the reform separately, as did also the LDP tax commission.

The Prime Minister has stated that tax reform policy should be oriented toward the establishment of a tax system that will promote growth. As a first step, reform will include over 1 trillion yen of tax reductions that will precede other elements of tax reform and will be implemented in a revenue-neutral fashion over several fiscal years together with further spending reforms. However, the plan for tax cuts remains unclear since there were different views at the time of writing (October). The ruling parties and the government tax commission want tax credits for R&D and investment incentives for specific goods, with a view to improving the competitiveness of Japanese firms. In addition to their proposals, the CEFP is calling for a permanent lowering of the corporate tax rate.[30] Although the impact of any form of tax cut would be very limited (the planned size of 1 trillion yen, is only 0.2 per cent of GDP), what should be avoided is to contradict the aim of the planned tax reform, which is to streamline tax relief measures and to broaden the tax base, thereby ensuring a stable revenue structure, with tax credits only for limited purposes. Broadening the tax base should be sufficient for the necessary fiscal consolidation.

Tax reform should be aimed at strengthening the framework for various economic activities by removing distortions and by setting the right incentives for saving and investment, labour supply and fund allocation. As discussed in the 1999 *Survey*, the overall distortions resulting from the Japanese tax system are relatively small. The marginal tax rate on labour income is low in most income segments which suggests that the return to investment in human capital is not unduly affected by taxes. The wage structure itself is probably a greater disincentive (see Chapter III). The incentive to save and invest in physical capital also benefits from the low overall level of taxation. The corporate tax rate has been reduced to a level not far from that in other OECD countries. On the other hand, generous allowances in the personal income tax system, together with wide income brackets, restrict the tax base and weaken the government's revenue-raising capacity. A quarter of the employed currently do not pay income taxes. Although the VAT system has exempted few goods and services, the tax exempt threshold of 30 million yen for businesses far exceeds that in other countries. Furthermore, corporate tax revenues have shrunk since 70 per cent of firms are currently making losses and thus do not pay tax.[31]

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Since the Japanese tax system has relatively generous allowances, there is a substantial revenue potential from broadening the base for personal income tax. As illustrated in the 1999 *Survey*, the elimination of all allowances and exemptions for personal income tax could generate 30 trillion yen (6 per cent of GDP) of additional tax revenue for the central government and 10 to 15 trillion yen (2 to 3 per cent of GDP) for local governments if tax payer behaviour is unchanged.[32] The government plans to reduce the size of the special allowance for a dependent spouse, which currently allows households a special, income-related, deduction of up to 380 000 yen, in addition to 380 000 yen of the ordinary allowance for a dependent spouse. The elimination of this allowance could increase national and local tax revenue by 770 billion yen, though the government plans to leave a part of this allowance to avoid increasing a kink in effective tax rates, which could discourage labour force participation of a second earner. However, tax wedges could be reduced further if the ordinary allowance could be lowered as well. Another candidate is to abolish the allowance for pension benefits. Since contributions to pension funds paid by the younger generations are tax exempt, the allowance for benefits favours pension income twice. Moreover, with ageing population and fewer children, a smaller younger generation has to finance the pension system even though some of the elderly have a high level of income and assets. In these circumstances, taxing pension benefits should help improve equity, not only between generations but also within the retired generation.

The discussion of tax reform touches on the issue of transferring wealth from the elderly to younger generations, aimed at boosting consumption and residential investment by the latter. In Japan, the elderly (more than 65 years) hold assets more than 2000 per cent of their annual income and it is largely untouched by the time they die. The gift tax, which is higher than the inheritance tax in effective terms, inhibits the transfer from elderly to younger generations, constraining consumption by the latter. The idea of the government is to introduce a system under which gift tax paid in earlier years can be set against any tax due at the time of inheritance, while lowering the top rate from the current 70 per cent.

Although a consensus has not yet emerged, the government is studying a Dual Income Tax (DIT), under which all household capital income would be taxed at a single proportional rate, while labour income is subject to a progressive rate structure. Some Nordic countries have such a system since the 1980s and are satisfied with its performance.[33] The application of lower rates on capital as opposed to labour contributes to efficiency, as capital is in principle more mobile internationally. In addition, a proportional rate reduces distortions with respect to the choice between present and deferred consumption and also promotes tax neutrality between different sources of capital income. On the other hand, a dual system generates incentives to transform labour income into capital income, which self-employed and small corporate businesses would, on the basis of past experience, be most prone to do. The DIT could also affect vertical equity as

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capital income tends to be concentrated in the upper income brackets, though such impacts are partially offset insofar as interest expenditures stemming from mortgage loans and other deductibles are allowed only against the low capital income tax rate, rather than the higher labour income tax rate.

Public sector measures: pragmatic compromise or ineffective reform?

Reform of special-status public corporations and the FILP

A key element of the government's policy is to review the role of the large number of special-status public corporations, with the aim to either abolish or privatise a substantial number of them (Box 3). To accelerate the process, the government decided in November 2001 to abolish seven major public corporations including the *Japan Highway Public Corporation*, the *Government Housing Loan Corporation*, and the *Japan National Oil Corporation*. A framework for the consolidation of 163 public corporations was subsequently approved, of which 17 are to be abolished, 45 are to be privatised and 38 are to be made independent agencies. At the same time, subsidies to the public corporations are to be reduced from 5 trillion yen to 4 trillion yen in FY 2002. Although these decisions represent progress towards consolidation of the broad public sector, the effectiveness of the reform will depend crucially on the institutional arrangements and the design of the newly privatised or created corporations, which will succeed some part of the existing corporations.

The planned privatisation of the *Japan Highway Public Corporation* and three highway and bridge construction corporations shows how difficult the economic issues are going to be in unwinding many years of government activity, let alone overcoming the strong resistance of interest groups. According to the government's timetable, these corporations are to be replaced with new private institutions by FY 2005 with subsidies from the central government ending after FY 2002. Discussions about how they are to be privatised started in the middle of 2002 and a number of issues have quickly emerged. The first problem is how 40 trillion yen of liabilities held by those corporations should be financed as their current revenues are not sufficient to repay their debt without public money. Possible solutions include the continuation of subsidies, cost saving through cancelling planned new road construction (strongly opposed by LDP factions), and privatisation only for the operation of roads leaving road maintenance and construction to the government (strongly supported by some LDP factions). The first and the third options will not improve the situation as the remaining commitment by the government is likely to weaken the incentive to improve efficiency. At the time of writing (October), the committee considering these issues preferred a separation into several road operating companies and a road maintenance company, while construction of new roads would only be permitted for profitable

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Box 3. The scale and financing of special-status public corporations

A large number of special-status public corporations are engaged in various operations including finance, construction of infrastructure and fund management. Since their services have been thought of as quasi-public goods by past governments, costs are not necessarily covered fully by revenues and hence they require subsidies. However, a problem is that their operations have tended to expand excessively, leading to inefficiency. Until very recently, the Fiscal Investment and Loan Programme (FILP) received money from the postal saving and pension funds and allocated it to the many public corporations. Ample funds from the FILP, together with ear-marked tax revenues, drove the expansion of their operations still further. According to the Board of Audit, 45 FILP-funded public corporations, more than 50 per cent of whose equity capital is held by the central government, accumulated 352 trillion yen (69 per cent of GDP) of liabilities including borrowing (223 trillion yen), bonds (83 trillion yen) and some other liabilities, of which 246 trillion yen is funded by the government or the FILP (as of FY 2000). During the period between 1989 to 2000, long-term borrowing increased by 100 trillion yen to expand their operations. Besides these liabilities, which are required to be repaid, these public corporations also received 31 trillion yen of government subsidies and other public funds over the same period.*

Losses were often generated not only by inefficiency but also by the fall in land prices (typically for the residential site development corporations) and an increase in non-performing loans. For 16 major public financial corporations, the combined amount of classified loans amounted to 5.8 trillion yen out of 166 trillion yen of total loans in FY 2000.

Self-assessment by 31 FILP-funded institutions of the policy cost required to implement their current programmes indicates that 7.5 trillion yen of additional subsidies (present value) could be required. However, this estimate is much lower than the subsidies they received over the past 12 years, which amounted to 19 trillion yen.

See OECD *Economic Survey of Japan* 2000 for more details of the extensive but complicated network of public corporations.

* The figures refer to 43 FILP-funded public corporations.

routes. However, there is strong political resistance against any plans which would prevent construction of new routes, even though it is likely to result in more financial liabilities for these corporations. A key issue here is the lack of proper cost benefit analysis in the past, which allowed roads with very little or no economic justification to be built and the risk that inadequate assessment will continue and perpetuate such problems.

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As for the earmarked tax, which helped highway construction corporations to expand road construction, little progress has been made since last year to end the system due to strong by entrenched opposition. Although the revenue from one of the road-related earmarked taxes has been allocated to other expenditures in FY 2002, the basic framework has remained unchanged.

The planned reform of the *Government Housing Loan Corporation* seems to have already succeeded in activating the private sector. Although its objective to support securitisation of private mortgage loans is to be taken over by a new institution, the scale of loan provision by the corporation has been reduced even before the planned abolition of the corporation by FY 2006. Responding to the exit of the corporation from the mortgage loan market, private financial institutions have already started providing various mortgage loan services and have increased their share of the market. Apart from the case of the *Housing Loan Corporation*, however, reform of the major public financial institutions is still under discussion. The public financial corporations have more than 20 per cent market share in lending, providing loans not only to SMEs but also to major firms in heavy industry, in particular to utilities. The success of the reform of the *Housing Loan Corporation* clearly indicates that public financial institutions have crowded-out private institutions. To reduce their huge presence in the financial markets, reform in this area needs to be accelerated.

The reformed FILP system, in place since April of 2001, is expected to improve the efficiency of the FILP-funded corporations through closer monitoring by the market. However, for the moment the reform probably remains ineffective since the FILP-funded corporations have issued only 1 trillion yen of FILP agency bonds (or 5 per cent of FILP loans) in FY 2001. Although the planned issuance of FILP agency bonds is expected to rise to 2.7 trillion yen in FY 2002, it will still remain only 11.5 per cent of FILP loans. Meanwhile, the postal saving system has been requested to continue providing funds to the FILP until FY 2007 as a transitional measure. On the other hand, monitoring by the market might have started to work as the yields of FILP agency bonds have risen significantly above those of the JGBs. The premium that investors require for the FILP agency bonds now exceeds 80 basis points for some issues.[34]

Fiscal reform in local governments

The government's *broad outline for structural reform* adopted in June 2001 called for substantial reform of fiscal relations with local and regional government to improve efficiency. Some limited progress has been made so far. Since spending by local governments amounts to more than 60 per cent of total government expenditure, but their tax revenue is limited to 40 per cent of total tax revenues, massive fund transfers from the central to the local governments are required. The way in which this is carried out is important for incentives. In particular, a general grant from

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the central government to local governments (local allocation tax, LAT), which amounts to 20 per cent of their revenues, includes conditions which weaken the incentive to improve spending efficiency. Although LAT was originally intended to be allocated to local governments without binding its use, incentives to encourage particular spending, especially public works, were eventually incorporated. This tendency was strengthened in the 1990s to implement economic packages, leading to inefficient spending at the local level. To address this problem, some corrections to the LAT system have been made in the FY 2002 budget. The component of LAT that covers the cost of repayment by local government of some bond-financed public works has been reduced. While the LAT currently covers 60 to 70 per cent of the repayment cost for some public infrastructure, this proportion has been reduced to 30 per cent for public works such as river and coastal protection and agricultural roads, and to 45 per cent for ports and dams.

Another improvement is the change of the adjustment system for the allocation of the LAT to local governments. Although the allocation of LAT is basically determined by the population and natural conditions of each local government area, additional payments are also made to relatively small local authorities to compensate for their higher per capita administration costs. This additional portion of the LAT is currently based on the average unit administration cost for all local governments. The new measure uses the average unit cost of the largest two thirds of local governments to reduce the additional payment. However, more radical change in the fiscal relationship between the central and local governments is needed to give the local governments a stronger incentive to improve efficiency. Such radical reform will require an increase in their own tax revenues in return for a substantial reduction in the LAT and state subsidies. The Minister responsible for local administration has proposed to share total tax revenue equally between the central and local governments and to cut matching grants substantially, while retaining the current system of the LAT for a while. However, unless the LAT is substantially restructured, the incentive of the local governments to free-ride is likely to remain (though local electorates are changing opinions, and the recent re-election of the governor of Nagano, who had been opposed by conservative factions favourable to public works, may be symptomatic of change). In this respect, the government has committed itself to decide about abolishing or reducing state-subsidised projects by the end of 2002. It will also examine such issues as state subsidies, LAT and the allocation of tax resources between the central and local governments with a view to reaching decisions by June 2003.

Dealing with financial sector weakness

The health of the banking sector has remained a key concern of both the government and the international community alike. Low share prices, the

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expectation of deflation for a while yet and the lack of transparency with respect to non-performing loans (NPLs) have underpinned concerns about the capital adequacy of banks and the health of insurance companies. The situation came to a head in September 2001 with the collapse of a large firm, which had previously been classified as good by the banks, even though the company's bonds had already been downgraded. The situation led the government to announce special bank inspections focussing on large borrowers. Rightly or wrongly, financial markets took this as a sign that the government was prepared to act in a more radical manner. This section first reviews the measures taken to improve transparency with respect to NPLs and then examines the related question of what to do with the bad loans and the bad debtors. The third part asks whether banks are indeed strong enough to deal with NPLs and this leads into the following section on bank restructuring, deposit insurance caps and the safety net of the banking system.

Increased transparency of the non-performing loans

Strengthened resolve and the special inspection of loans

In addition to moving from biennial to annual inspections, the FSA launched special audits of bank loans, which were carried out from October to the end of the fiscal year on 31 March 2002. The inspection was limited to large borrowers whose market indicators such as share prices and credit ratings had deteriorated rapidly (it is not known how companies with long-standing low share prices or ratings were treated) and where the exposure of each bank was high. This resulted in inspections of loans to 149 companies. About 65 per cent of the evaluated companies belonged to four industries (construction, real estate, retailing and non-bank financial institutions). The volume of credit extended to these companies by the main banks was 12.9 trillion yen, which amounted to only 4 per cent of their performing loans. The relatively low figure suggests that a number of large companies did not fit the criteria and were excluded from the inspection. This is because just 58 companies are known to account for some 30 trillion yen of credit and some 30 large companies are regarded by many as the core of the NPL problem.

Out of the 12.9 trillion yen, 7.5 trillion yen of 71 borrowers was rated lower, and of this 3.7 trillion yen was reclassified to the two categories of bad loans (bankrupt and in danger of bankruptcy). In other words, about a quarter of the normal or watch loans examined were bad, which on the face of it points to weak risk management and disclosure by the banks. This is especially so since the banks knew that the inspections would be undertaken, and most raised their provisions and write-offs for their September interim closing of accounts far above that originally budgeted. It is not known how loans to these same companies by other banks, which were not subject to the special audit, have been classified.

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This is an important issue since in the past secondary bank lenders have often assumed that in event of difficulties, the main bank would assume their loans.[35] However, there is another interpretation about what the results of the special inspection imply. As a rapid change in the condition of the borrower was the criterion, the banks might in any case have changed the loan classification themselves. In any event, the announcement of tougher measures by the government appeared to have quite an impact: in fiscal year 2001, 21 listed companies (including nine companies on the first section of the Tokyo Stock Exchange) went bankrupt, the largest number ever. All of these happened after September.

Another indication of weak risk management and disclosure – at least until very recently – is the outcome of the inspections by the BOJ. In on-site inspections of 97 banks through December 2001, the BOJ examined loans to 21 300 borrowers (including SMEs and sound borrowers) with loans amounting to 325 trillion yen. Of these, 1900 or 8.9 per cent of borrowers needed to be downgraded, suggesting that the internal classifications of banks was not strict enough. The BOJ has not released a figure for the volume of loans involved and it is not known whether banks have been forced to downgrade these loans for their end of March results.

The FSA (following the government's 2001 programme) normally allows three years to deal with new bad loans of the major banks but is now urging that 50 per cent be cleared in one year and 80 per cent in two years. The large banks have reported loan losses of 7.8 trillion yen for FY 2001 (up from 4.2 trillion yen in FY 2000) rather than the 6.5 trillion yen foreseen at the time of the September interim balance when some banks already took account of the special inspection. Prior to the announcement of the special inspections, the estimate was some 3-4 trillion yen. The banks have thus recorded another large loss for FY 2001.

The increased regulatory pressure has led to a dramatic change in loan classifications by the banks with the value of NPLs rising by over 25 per cent from 33.6 trillion yen in FY 2000 to 43.2 trillion yen as of March 2002 (Table 13). The increase has been greatest (some 50 per cent) in the large banks that were subject to increased regulatory pressure and in these banks the figures were significantly higher than foreseen in September. At the regional banks the rise in NPLs has been very small, and surprisingly so given the widespread concern about their health and the health of local economies. Moreover, they frequently lend to companies following a lead bank so that a dramatic increase in NPLs for the major banks should have had some impact on them.

The amount of NPL*s is still regarded as greater than disclosed*

Although the special inspection (and the ongoing normal inspections) did identify additional problem loans, there is still a widespread judgement that the NPL problem is much greater than current estimates by the banks suggest

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Table 13. **Non-performing loans declared by the financial system**

Trillion yen

	Class 1[1]	Class 2[1]	Class 3[1]	Class 4[1]	Total	
A. Deposit-taking financial institutions (March 2002)						
Normal	487.3	–	–	–	487.3	
Need attention	33.2	66.8	–	–	100.0	
Special attention	n.a.	n.a.	–	–	19.1	Non performing Loans 54.2 trillion yen
In danger of bankruptcy	10.8	9.0	3.9	–	23.8	
Bankrupt, *de facto* bankruptcy	4.9	6.4	0.0	0.0	11.2	
B. All banks (March 2002)						
Normal	393.4	–	–	–	393.4	
Need attention	24.1	56.1	–	–	80.2	
Special attention	n.a.	n.a.	–	–	16.5	Non performing Loans 43.2 trillion yen
In danger of bankruptcy	8.9	7.2	3.3	–	19.3	
Bankrupt, *de facto* bankruptcy	2.9	4.5	0.0	0.0	7.4	
C. Major 13 banks (March 2002)						
Normal	250.8	–	–	–	250.8	
Need attention	9.4	36.4	–	–	45.8	
Special attention	n.a.	n.a.	–	–	11.3	Non performing Loans 26.8 trillion yen
In danger of bankruptcy	5.3	4.6	2.3	–	12.2	
Bankrupt, *de facto* bankruptcy	0.8	2.4	0.0	0.0	3.2	

1. Class I: Assets with no problems in terms of repayment risk or loss of value risk.
Class II: Assets deemed to include a higher than normal repayment risk.
Class III: Assets for which there are serious doubts about collection or value.
Class IV: Assets deemed to be uncollectable or without value.

Source: FSA.

(Table 14).[36] There are several reasons. *First*, the criteria for classifying whether a loan is current or not remains "lack of servicing for three months". But interest rates for bad clients are very low (in a large number of cases less than 1 per cent) and banks continually roll-over these large debtors to keep lending rates at the low short-term level.[37] With interest rates low, the criteria "current on interest payments" may not reflect the financial situation of a debtor adequately. One private sector study examined a sample of 2 819 firms with consolidated results classifying them by the rate of return on assets and by leverage. Taking the worst firms (153) with negative rates of return and high leverage and the worst 25 companies of the next category (also with negative rates of return on assets) suggests potential NPLs of some 78 trillion yen. *Second*, a number of large borrowers have already received debt forgiveness (with debt/equity swaps also used, see Chapter III) and the way in which this has been done might lead to the loan being classed too generously. A number of observers feel that the amount forgiven does not ensure the long run viability of the companies. Rather, the amount granted is the most that the bank could afford.

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Table 14. **Stricter loan classification doubles the estimate of NPL**[1]

	Total	S1	S2	S3	S4
Number of firms	2 819	1 359	840	467	153
Share[2]	100.0	48.2	29.8	16.6	5.4
Total liabilities[3]	477.0	82.2	144.7	220.8	29.3
Share[2]	100.0	17.2	30.3	46.3	6.1
Bank exposure[3]	235.3	31.3	69.1	116.5	18.3
Share[2]	100.0	13.3	29.4	49.5	7.8
Bank exposure/total liabilities[2]	49.3	38.1	47.8	52.8	62.5
Presumed reserve ratio need[2]	–	1.0	5.0	20.0	90.0
Presumed reserve need[3]	43.5	0.3	3.5	23.3	16.5
	Bank exposure (trillion yen)				
Class S4					
1-25			15.5		
Total (153 firms)			18.3		
Class S3					
1-25			60.0		
Total (467 firms)			116.5		

1. Loan classification scheme is based on RoA and leverage ratios. Thus S4 have zero to negative RoA and high leverage.
2. Per cent.
3. Trillion yen.

Source: Morgan Stanley.

The FSA has made significant progress in tightening loan classifications but the banks might still be catching-up with the situation. NPLs held by all banks increased by 9.6 trillion yen from March 2001 to 43.2 trillion yen at the end of March 2002. According to the FSA, the application of stricter classification criteria by banks about when a loan must be regarded as restructured, and thus classified as an NPL, led to an increase of such loans by 5.7 trillion yen in FY 2001. But the FSA is only now embarking on the second round with the tighter criteria so that additional NPLs should be expected. With respect to the rolling-over of loans, the inspection manual now defines a loan as non-performing when interest rates are not at the same time increased to an "appropriate level". With a further tightening of inspection standards and greater clarity about the "appropriate level" of lending rates, more NPLs should be expected. *Finally*, by applying the loan transition matrix to official figures for March 2001 (and for earlier years) some private sector analysts derive estimates for NPL consistently higher than that given by bank's self-assessment.[38] In other words, banks could be continually catching-up with the actual situation, which remains worse due in part to continuing deflation and with tighter standards.

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Dealing with bad debtors and bad loans

Options for the banks

In dealing with their bad debts, the banking sector removed a further 9.2 trillion yen from their balance sheets in FY 2001 and with losses on disposal of 9.7 trillion yen, the cumulated total of loan losses since March 1992 has reached 81½ trillion yen (about 16 per cent of 1995 GDP). Banks now have a wider range of options available for dealing with their non-performing loans than in the past, including a framework that eases debt/equity swaps (see Chapter III). The banks agreed with the Keidanren and other interested parties a set of guidelines along the lines of INSOL in 2001 (see *Survey*, 2001 for details) to cover multi-creditor out-of-court workouts including debt forgiveness by banks. These guidelines have been used on only six occasions to date since the banks have not been able to agree whether the main bank should accept a greater financial responsibility.[39] The advantage of such a set of guidelines has probably not been realised, even though they might have acted to restrain companies by making it clear to them that the days of forbearance were gradually running out. Failing agreement with banks, debtors appear to have turned to the courts by using the civil rehabilitation law, which increases the power of other creditors. In the first half of 2002, 22 listed companies have declared bankruptcy with liabilities of 1.4 trillion yen, which is a small volume in comparison with the last quarter of 2001. Eighteen of them have sought to follow restructuring plans through two legal instruments. The number pursuing non-statutory means is unknown. Reflecting concern by the authorities to save enterprises, the government-owned Development Bank of Japan has been authorised to set up a Corporate Re-organisation Loan System. Among other things, it will provide debtor in possession (DIP) financing (which is underdeveloped in Japan) to companies in distress that have filed for bankruptcy, provided they are "economically viable or socially useful" and involved in a business with the potential for growth.[40]

Reflecting a policy concept that took hold in early 2001, the government has supported the use of debt/equity swaps to resolve the NPL problem. The government's Development Bank of Japan and private investors have set up seven corporate reconstruction funds which are intended to provide assistance to firm restructuring. It is intended that the funds purchase shares from the banks that they have obtained in a debt/equity swap. Banks can also contribute the shares they have retained as investment in kind. This also helps them avoid any problems with exceeding the 5 per cent limit on shareholdings in a non-financial firm (although there are now some exceptions for swaps) and the need to reduce corporate shareholdings to 100 per cent of capital by 2004. The banks have also used direct sales to take NPLs off their balance sheets. The amount sold to private servicing firms remains confidential, but might amount to around 10 trillion yen. The secondary

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debt market has so far remained relatively small as banks wish to avoid low prices and in some cases are loathe to part with clients. The healthy banks can also now sell bad debt to the Resolution and Collection Corporation (RCC).

The Resolution and Collection Corporation

Following the decision in September to undertake special inspections, the government decided to strengthen the Resolution and Collection Corporation (RCC). In doing this they have resisted calls from a number of politicians to use the RCC to effectively save the banks by buying bad loans at book value and for the government's financial agencies to undertake widespread restructuring of private corporations.[41]

Since January 2002, the RCC has had greater flexibility in deciding the purchase price for bad loans (*i.e.* at fair value) and to buy them even from healthy financial institutions until March 2004. Its purchase price has risen from an average of 3.7 per cent to 6.9 per cent in the first quarter of 2002. The RCC can now also participate directly in auctions and by May it had taken part in 24 of them conducted by financial institutions, winning five. To avoid distortions to the auctions and to guard against allegations of preference for certain debtors, the RCC has a committee of five to decide the bidding price, which is based on a fixed formula. A new section was established in March 2002 to buy problem loans from healthy institutions and by the end of March it had bought 226 billion yen face value of loans. This was made possible by the government decision to increase its guarantee by 2 trillion yen. There is now 12 trillion yen available as guarantees for the purpose of buying loans from healthy institutions. The RCC also bought 141 billion yen of debt out of 400 billion yen it was offered. Buying at "fair value" does of course increase the risk that it might at some stage incur secondary losses.

Another technique is for banks to transfer NPLs to a special purpose company which then establishes a trust agreement with the RCC to collect the loans. The RCC, which has a trust bank license since August 2001, can then securitise the NPLs and sell them to investors. The first use of the mechanism took place in January 2002, when securities with a face value of 100 billion yen were sold for about a tenth of the face value. Another 230 billion yen was sold in March.

The RCC is able to buy third sector loans (joint ventures between municipal governments and private firms) from financial institutions, though transactions have been limited to date. The outstanding balances are around 10 trillion yen, mostly with regional banks. About 1 trillion might be sold to RCC and this has raised fears that financial problems could arise for municipal governments.

In dealing with the bad loans it has purchased, the RCC is not adopting a strategy of rapid disposal. This is because the RCC is handling the worst class of NPL. Bad debts with some potential for retrieving value have often already been sold to private servicing companies that are now well established. The RCC

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believes it will be able to secure more funds through collection of bad debts on its own rather than through selling to third parties. Another reason for not moving fast and selling loans in bulk is that it lacks legal powers and must foreclose on debtors on a case-by-case basis through the courts. Moreover, the RCC is not developing loss-sharing schemes with private investors that have been used to great effect in Korea.[42] The proposal at this stage is for the RCC to finance restructuring through management funds set up by the government's Development Bank of Japan. However, as the debts that are sold by the banks are in the lowest category, the possibilities for restructuring as opposed to liquidation should be quite limited.

Are the banks and insurance companies strong enough to cope?

The financial sector remains fragile. In FY 2001 the major four banks wrote off 6.6 trillion yen in bad loans and, with just 3 trillion yen in net business income, recorded another year of losses amounting to 2.8 trillion yen. For the banking sector as a whole, loan losses amounted to 8.4 trillion yen and, with capital losses, recorded a loss of over 6 trillion yen (Table 15). Moreover, there is reason to believe that the substantial rise in revenues by as much as 16 per cent at some banks has been due to interest rate swap transactions and will prove unsustainable.[43] Excluding realised capital gains from selling shares and real estate most major banks have recorded losses for eight consecutive years. About 40 per cent of the regional banks (38 out of 94 listed regional and second tier regional lenders) also incurred losses in FY 2001. They increased loan loss charges by 16 per cent to 1.9 trillion yen.

The condition of the life insurance sector is severe. Although policy cancellations have slowed somewhat, eight out of ten large companies suffered policy losses in FY 2001.[44] Negative yield spreads (1.2 trillion yen in losses) have continued to be offset by gains due to lower than expected mortality, but the decline of stock prices has hurt them further with 1.5 trillion yen in appraisal losses. Share sales have kept their solvency margins from falling further but to pay dividends, internal reserves have been drawn down by about ½ trillion yen. The capital linkage between the major banks and the life insurers has remained strong. A decline in subordinated credit to banks during FY 2001 was due to the bankruptcy of three insurance companies. At the end of FY 2001 banks held 2.2 trillion yen of subordinated credit and surplus notes issued by insurance companies which for their part held 5.4 trillion yen of stocks in the banks and provided them with 5.2 trillion yen of subordinated credit. The capital linkage is set to increase this year as insurance companies seek to raise new capital.

The fundamental problem facing the banking sector remains as before the acute lack of profits due to the inability or unwillingness to price for risk and to minimal returns on their deposit business. Last year's *Survey* noted that banks

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Table 15. **Net profit of the Japanese commercial banking sector has plunged**

Trillion yen

Financial year	1990	1991	1992	1993	1994	1995	1996	1997	1998	1999	2000	2001
Lending margin (A)	7.1	8.9	9.8	9.2	9.7	10.8	10.7	10.0	9.6	9.7	9.4	10.2
Other revenue (B)	2.6	2.2	2.5	2.8	2.1	3.3	3.7	3.6	3.1	2.5	2.3	1.4
Operating costs (C)	7.1	7.5	7.7	7.7	7.8	7.8	8.0	8.0	7.5	7.3	7.1	6.9
Salaries and wages	3.7	3.9	4.0	4.0	4.0	4.0	4.0	4.0	3.6	3.5	3.4	3.1
Gross profit (D) = (A) + (B) – (C)	2.6	3.5	4.5	4.3	4.0	6.3	6.4	5.6	5.2	4.9	4.7	4.6
Loan loss (E)	0.8	1.0	2.0	4.6	6.2	13.3	7.3	13.5	13.5	6.3	9.7	8.4
Net operating profit (F) = (D) – (E)	1.8	2.5	2.5	–0.4	–2.2	–7.0	–1.0	–7.9	–8.3	–1.4	–1.1	–3.8
Realised capital gains (G)	2.0	0.7	0.0	2.0	3.2	4.4	1.2	3.6	1.4	3.8	1.5	–2.4
Net profit (F) + (G)	3.8	3.3	2.5	1.7	1.0	–2.6	0.2	–4.2	–6.9	2.3	0.4	–6.2
Assets	927.6	914.4	859.5	849.8	845.0	848.2	856.0	848.0	759.7	737.2	802.1	754.0
Outstanding loans (domestic banks)	424.3	445.8	460.3	472.3	477.8	482.7	482.3	478.0	506.7	496.2	473.6	455.7

Note: Financial statement of all commercial banks. Other revenue (B) includes all the other profit such as dealing profits and fees but excludes realised capital gains of stocks and real estate. Realised capital gains includes gains of stocks and real estate.

Source: Japan Center for Economic Research, *Monetary Policy Under Deflation*, March 2001 (in Japanese). *Monthly Report*, BOJ (August 2002). Bank Statement, Japan Bankers Association.

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were considering raising lending rates by some 20 to 50 basis points starting in September 2001 with a follow-up this year. Such plans are only now (one year later) starting to take some form and are wholly inadequate. Indeed, many banks actually saw their interest margins deteriorate in FY 2001. One head of a large city bank stated in June 2002 that only 20 per cent of corporate clients had agreed to rate rises and that it would take three to five years for all clients to accept higher rates. The magnitude of the problem is enormous. Using actual loan classifications for FY 2000 and the published transition matrix and loan loss estimates from the BOJ, Fukao (2002) has estimated that loan losses will only decline slowly from some 6½ trillion yen in 2001/2002 to 6 trillion in 2005.[45] Under some other assumptions regarding a continuation of deflation, he calculates that banks will have to raise their lending margins by 80 to 100 basis points. Another study examined 3 361 companies and calculated the difference between the actual lending margin and the true credit cost for each company rating. It concluded that lending to BB+ companies and below involved losses for the banks with the loss margin rising to 200 basis points for lending to firms below a B rating. If only half of these firms could pay higher borrowing rates, the additional revenues for banks would amount to 3½ trillion yen. The study also showed that lending to A-rated companies was probably not profitable once account is taken of the opportunity costs of cross shareholdings. With respect to their deposit business, banks are earning only very little (Table 16). They could of course impose fees for their deposit business. However, to be successful government financial institutions would need to do the same and in any case, there is no guarantee that households would simply not hold more cash.

The other side of not pricing for risk is that the banks might be heavily under-provisioned on their loan portfolios. Assuming that the self-classifications of loans are correct, a number of observers have noted that provisioning ratios are too low. Japanese banks usually calculate loan loss reserves according to the FSA's

Table 16. **Banks have no incentive to expand their balance sheets**

Per cent

	Ordinary deposits	Time deposits (1 year)
Deposit rates (A)	0.014 <0.001-0.020>	0.037
Deposit insurance premium (B)	0.094	0.080
Short-term money market rates (C)	0.002	0.122
(C) – (A) – (B)	–0.106	+0.005
Year-to-year change of outstanding balances	+22.2	–8.0

Source: Bank of Japan.

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Bank Examination Manual. Normal loans and substandard loans without arrears or reduced interest rates are reserved for the expected one year loss rate; substandard and doubtful loans are reserved at the expected three year loan loss rate. Since most loans are rolled over frequently, the one year loan loss reserve underestimates the net present value of future loan losses in the first category. One researcher has used loan loss rates derived from the BOJ data on actual loan losses and has allowed 1 per cent for migration of normal loans to substandard categories.[46] Under these assumptions, banks were at a minimum under-provisioned by 7 trillion yen at the end of FY 2001 (*i.e.* March 2002). For FY 2001, NPLs have risen by 9.6 trillion yen but specific loan loss provisions have only increased by some 0.7 trillion yen. The FSA has stated that since the value of bad loans, which carry high provisions, has been substantially reduced, the ratio of provisions to NPL has also fallen.

Although the banks are well above their required capital assets ratios (8 per cent for internationally active banks and 4 per cent for others) the structure of tier 1 capital is weak. As of March 2002 banks showed 33.4 trillion of capital but 8.0 trillion of this is a deferred tax asset.[47] Under Japanese tax law, losses can only be carried forward for five years, but it is sometimes claimed that banks have calculated the reserve over a longer period. The key factor, however, is expected profitability. Even for the larger banks it is not evident that they will be profitable in the coming five years and so will be unable to benefit from the tax savings. The FSA announced in the first half of 2002 that the calculation of such reserves would in future be audited. The FSA and a number in the ruling party have called for the tax loss period to be extended to at least 10 years. This could have the effect of accelerating bad loan write-offs by the banks. Under current arrangements it would also raise deferred tax assets in the capital structure even though future profits are uncertain and would be even more distant.

As discussed in last year's *Survey*, capital is also sensitive to stock prices since gains have been gradually realised over the 1990s to pay for the bad debt write-off. At present, a 10 per cent fall wipes out about 18 per cent of banks' capital net of under-provisioning and deferred tax credits. The Nikkei 225 index was around 13 000 in March 2001 but in early 2002 and again in September it fell to around 9 500. In October, the index even fell to under 9 000. This situation represented a real threat to the banks which explains the drastic actions taken in March to restrict short selling and to talk up the market. Moreover, in October the BOJ announced that it was prepared to purchase around 2 trillion yen of traded shares held by banks with a rating of at least BBB-. Purchases will take place directly from the banks at market prices up to September 2004. Since January of this year the new Bank Shareholding Purchase Corporation has been in operation as part of plans to reduce bank shareholdings to 100 per cent of Tier I capital by 2004. In order to avoid market speculation, the corporation has to date released no details about its operations. Individual banks appear to believe that acknowledging any

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sales to the body might be taken by the markets as a sign of financial weakness. Under-provisioning of NPLs, uncertain deferred tax assets, and sensitivity to stock prices all contribute to making the capital base weak and unstable.

Toward the capping of deposit insurance and further restructuring

Capping deposit insurance…

Since 1 April 2002, a new banking system safety net is in place, the introduction coinciding with the first move to lift full deposit insurance. The major method for dealing with a failed bank is intended to be purchase and assumption (P&A) with liquidation and payoff being only the second choice. The new system is intended to build on the experience through the 1990s in that it:[48] seeks a prompt solution in order to keep down resolution costs and maintain the franchise value of the failed bank; reduces moral hazard and resolution cost by limiting deposit insurance cover; and maintains the financial function of the failed bank as far as possible through the use of a bridge bank.

The authorities proceeded with the planned restriction of protection on time deposits to 10 million yen per depositor per bank on 1 April this year, with the intention to lift the remaining exception on 1 April 2003. As could be expected, the move resulted in a large shift of deposits from time to current accounts and to cash, which was also facilitated by the current low level of interest rates and deflation. In addition, in the period around March there was a shift from smaller institutions which were regarded as more risky; by the end of May aggregate deposits at the country's city banks were up by 17.9 trillion while combined deposits at regional banks increased by only 1.1 per cent or 1.8 trillion yen. Deposits at second tier regional banks decreased by 0.8 per cent or by 0.4 trillion. Regional banks appeared to be relying on ordinary deposits that were fully guaranteed until next year. The uncertainty that might have underpinned such financial flows was compounded by calls such as that by the National Association of Shinkin Banks and by a number of senior politicians to delay the implementation of the changes. The Prime Minister requested the FSA to consider changes in August and there followed a period of uncertainty when it appeared that unlimited coverage would remain for interest free accounts used to settle transactions. In early October the government finally announced a postponement for two years to FY 2005 and set up a group to develop another programme to resolve problems in the banking system.

… led to concern about the structure of the banking system

Although the nine major banks have now merged into five groups, their coherence is at present often more apparent than real and whether they will be able to raise profitability and cut capacity is questionable. Indeed, one analyst

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has pointed out that to attain the same earning power as foreign banks, they will have to triple profits, cut costs by 25 per cent and sell half their property. The situation has led to much speculation that further mergers are likely. However, simple mergers and integrations will not solve the problem of the larger banks whose gross margin/expense ratio is probably already at a low in comparison with the volume of funds administered.

Concern about the health of the regional banks when deposit insurance was supposed to be limited for all deposits from April 2003 led the FSA to propose wide ranging policy measures. In comparison with the large banks, restructuring is much less advanced with the regional and second tier banks, which have only declined by 4 to 118 and 18 prefectures are still home to three or more of them. The FSA wishes to encourage mergers between such banks by simplifying the merger process, providing tax incentives and changing the deposit insurance system. In a marked break with policy up till now, it proposes to inject funds backed by government guarantee (they requested 1 trillion yen at the end of August) into those new regional institutions where their capital ratio has been temporarily reduced by merger and the associated costs, providing that they "compile sweeping business restructuring plans that promise improved profits". The call for more generous tax treatment seems to be aimed mainly at lengthening the loss carry-forward period which would reduce a disincentive to the prompt recognition of NPL. Under present regulations it would also increase the volume of deferred tax credits which are also counted as Tier I capital. With respect to deposit insurance there have been proposals that if a bank merges it would be able to double the deposit insurance cap on time deposits so as to maintain funds. Capital shortage of these institutions appears to be a major concern.

With respect to credit associations and credit cooperatives, concerns are even stronger. From July 2001 to March 2002, 13 credit associations and 32 credit cooperatives failed with 29 of them occurring in the November/December period (*i.e.* after the September interim accounts). Prompt corrective action notices were also issued to others. Reflecting the FSA's policy, 13 associations and 68 cooperatives were either merged with healthy institutions or had their good assets and liabilities transferred to them. At the start of FY 2002, 343 associations and 204 cooperatives remained.

With the state of the banking system uncertain, there were serious doubts about whether the termination of the deposit guarantee in April 2003 would have been effective in reducing the risk of moral hazard and in subjecting banks to market disciplines. The new safety net, which the Prime Minister can invoke, is not just for cases of systemic crisis involving, by definition, big banks but also for cases where there is a fear that failure of an institution could threaten "orderly credit conditions" including damaging a regional economy. In these cases the fund can be used to fully protect depositors at a threatened institution. It is difficult to

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envision the authorities permitting depositors to incur losses when a small institution fails but to suffer none in other cases that, apart from a regional impact, might appear very similar. Such concerns were strengthened by the decisions taken at the start of 2002 when two small institutions collapsed (before the first limitation of deposit insurance went into force) and were taken over by the Japan Bridge Bank. The authorities let it be known in the newspapers that not just old but new deposits would be fully guaranteed. On the other hand, watering down the end of unlimited deposit insurance or delaying the move are also not very attractive options and would damage credibility. Moreover, the pressure on banks to restructure would likely ease.

Assessment

Even though the authorities have made advances in dealing with the NPL problem that should not be under-estimated, low bank profitability and a weak and unstable capital base will make it difficult for banks to deal with the remaining, still very significant stock of NPLs. The problem became more acute as the end of full deposit insurance on 1 April 2003 came closer and served to focus policy trade-offs. Up till now, the authorities have been pursuing two objectives, but subject to the political need to minimise the use of public funds:

- *first*, to reform and to modernise the financial system by strengthening market forces and diversifying sources of finance (*e.g.* the Big Bang programme); and
- *second*, to maintain financial system stability and to avoid a financial crisis.

Until October it appeared that overwhelming priority was being given to the second objective at the cost of compromising modernisation. In particular, the authorities had started to undermine the reason for limiting deposit insurance: to reform the governance structure of the banking system by reducing moral hazard through forcing the banks to consider risks when lending, and depositors the risks when choosing to place their deposits. With respect to the large banks, there were already hints that they are too big to fail and for the smaller banks the proposals of the FSA to cumulate the sum insured when banks merge, unless a temporary measure, reversed the original intentions of the policy. Taxpayers' money might be saved and a financial crisis avoided, but at the cost of continuing a dysfunctional banking system. The simple extension by two years of unlimited cover for demand deposits was the cleanest solution available so long as it leads to a refocus on the first objective through a determined effort to deal with the problems in the banking sector.

The objective to modernise the financial system has also been compromised by other considerations. Lending to SMEs has been given a high priority with the recapitalised and privatised banks both under pressure to extend loans. While calling for this "public responsibility" article of the Bank Act to be followed,

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the banks are also being urged to increase profitability and to restructure. Lending to SMEs will only be profitable once banks regain their capacity to take risks and charge appropriate interest rates. At the same time, the actions of the public financial institutions, including the postal savings system, have severely reduced the freedom of manoeuvre for the banks. Yet reform of these financial institutions has been delayed although discussions are continuing.

In view of the poor quality of the loans it is buying, the RCC has decided to handle bad loans on a case-by-case basis which will take time. This will help maintain a property overhang. But, as before, the bulk of the overhang, which will affect the economy more generally, is due to tardy disposal by the banking system. Pressure is growing for the bid price of the RCC to include a subsidy to banks. This needs to be avoided since it only postpones the use of taxpayers' funds and is a second best option to a direct capital injection, which in turn does not solve the problem of profitability. In sum, unless more radical measures are finally taken, financial sector weakness can be expected to continue for some time and will serve to maintain the difficult circumstances which have plagued the operation of monetary policy.

Monetary policy: the experience with quantitative easing in a deflationary situation

The monetary base has expanded markedly…

Since the last *Survey* in October 2001, the Bank of Japan (BOJ) has continued to feel its way forward in unfamiliar territory. In line with last year's recommendations and consistent with the government's reform programme, it has raised its target for current accounts of the banking system at the BOJ. The target has been raised in stages from above 6 trillion yen in September to 10-15 trillion yen by December 2001 (Table 17). Since the introduction of the quantitative easing policy in March 2001, the current account level has risen fourfold and the overnight rate has been pushed down to 0.001 per cent. The monetary base has also risen by some 30 per cent, driven in part by a surge in public demand for cash due to uncertainty about the imposition of a limit on deposit guarantees from 1 April 2002. Nevertheless, the stock of broad money and liquidity have continued to grow at around 3-4 per cent, much the same as through most of the 1990s (Figure 17). As a result, money velocity (the nominal GDP/money ratio [the reciprocal of the Marshallian *k*]) has continued to decline.

In addition to dealing with the general threat of a deflationary spiral, monetary policy has also had to cope with difficult financial conditions, which have raised the demand for liquidity. Reserves were increased in the immediate aftermath of September 11 and were kept at a high level in the run up to the interim closing of accounts for the banking system at the end of the month. Demand for

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Table 17. **Measures relating to money market operation in support of higher liquidity targets**

	Guideline for money market operations		Measures
Sep. 2001	Current account balances: above 6 trillion yen	Sep. 18	1. A reduction in the official discount rate by 0.15% to 0.10%. 2. An increase in the maximum number of days on which the official discount rate can be applied for use of the Lombard-type lending facility: from five business days to ten business days for the September 2001 reserve maintenance period.
Dec. 2001		Dec. 10	Introduction of electronically processed Lombard-type lending:
	Current account balances: 10-15 billion yen	Dec. 19	1. Increase in outright purchase of JGBs to 800 billion yen per month. 2. Measures to strengthen money market operations: *a*) more active use of CP repos; *b*) expansion of eligible collateral to include ABCPs, and expansion of eligible ABSs for market operations; *c*) increase in frequency of all office BPOs; *d*) abolition of the practice of changing participants in rotation within eligible counterparties.
		Dec. 21	Revision of the criteria for selecting counterparties to treat the amount of successful bids with more significance.
Jan. 2002		Jan. 16	1. Introduction of eligibility criteria for ABCPs. 2. Abolition of one-year rule (limiting eligible JGBs to those issued more than a year previous) in outright purchase of JGBs; the new rule excludes the two most recent issues for each maturity. 3. Revision of selection process for eligible counterparties to BPOs (increase in frequency of counterparty selection of all office BPOs < from once a year to year-round > etc.).
		Jan. 31	Increase in the upper limit for bidding in short-term fund providing operations: for purchase of TBs/FBs (repo and outright), BPOs (all office and head office), and JGB repos, the limit was raised from half of the offered amount to all of the offered amount, and for CP repo operations from 100 billion yen to 200 billion yen.
Feb. 2002		Feb. 21	Reflecting the MPM decision on January 16, newly selected counterparties for all office BPOs (for February 2002) were announced, increasing the number of eligible counterparties from 120 to 125 institutions.
	Current account balances: 10-15 billion yen, more ample fund provision	Feb. 28	1. Increase in outright purchase of JGBs to 1 trillion yen per month. 2. Temporary lifting of limit on the number of days that the Lombard-type lending facility can be used at the official discount rate from the March 1 to end-March reserve maintenance period. 3. Examining operational issues to include loans to the Government's special account for the allotment of local allocation tax and local transfer tax and loans to the Deposit Insurance Corporation as eligible collateral for money market operations.
Mar. 2002		Mar. 20	Loans to the Government's special account for the allotment of local allocation tax and local transfer tax and loans to the Deposit Insurance Corporation added to eligible collateral. Newly selected counterparties at all offices (for March 2002) were announced, increasing the number of eligible counterparties from 125 to 131 institutions.

Source: BOJ.

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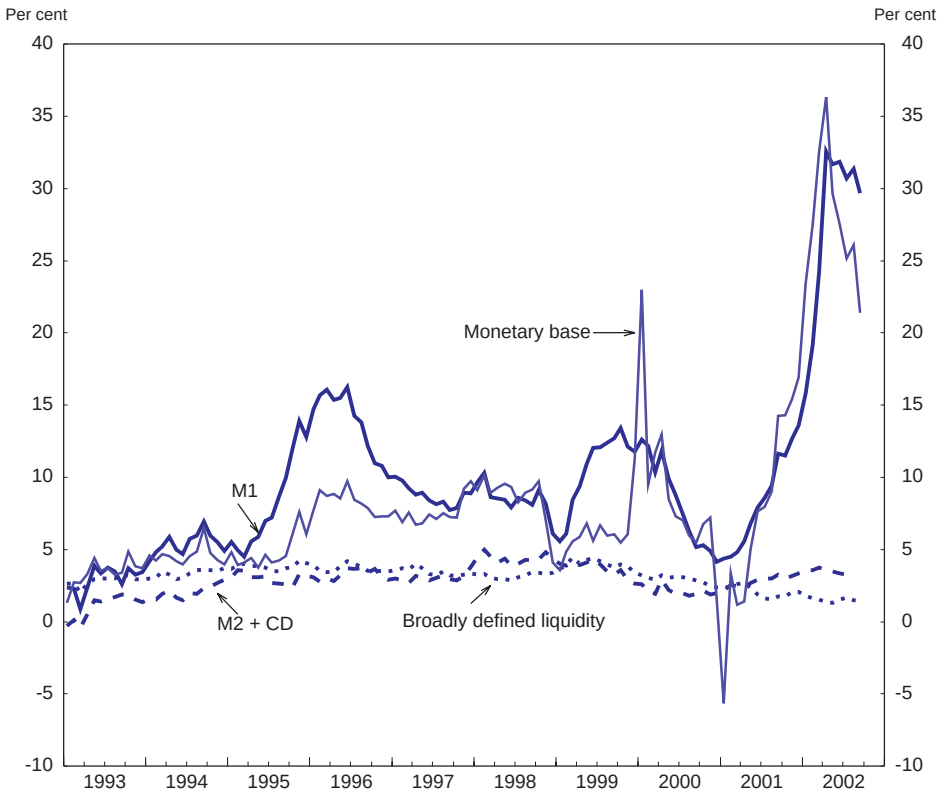
Figure 17. **The monetary base and money supply have diverged**
Per cent change over 12 months



Source: Bank of Japan.

reserves remained high until the end of the year, averaging around 8 trillion yen, due to increasing concern about the financial system. The demand for reserves increased in the new year in line with rising concerns about the potential for a banking crisis at the end of March. This fear was prompted in part by the very low level of share prices at the time. With the BOJ committed to providing liquidity to stabilise the banking system, reserves actually rose to a peak of 28 trillion yen before falling back to the top of the BOJ's band of 15 trillion yen where it has remained up to August of this year (Figure 18).

A key point from the experience since the introduction of quantitative easing until Spring of this year has been that the rise in current account balances at the BOJ appeared to be driven to a great extent by an increase in demand by

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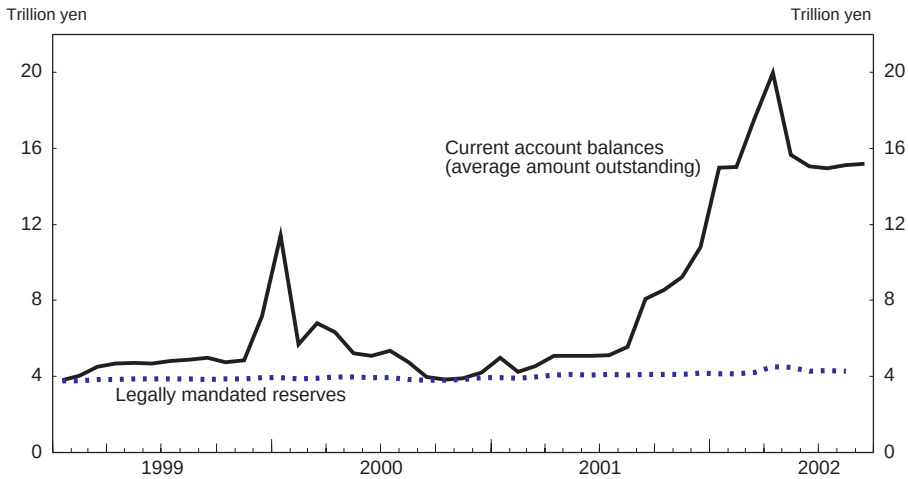
Figure 18. **Free reserves of banks have surged**
Current account balances of financial institutions at the BOJ, trillion yen



Source: Bank of Japan.

the banks, rather than by the BOJ actually forcing liquidity into the system. With the interest rate already effectively at zero and the overnight inter-bank market practically moribund, banks have simply not been prepared to raise their current accounts at the BOJ further. Indeed, by December 2001 around half the current accounts at the BOJ were held not by the domestic banking system but by foreign banks taking advantage of swap transactions.[49] The difficulties facing the BOJ in the situation of effectively zero rates can be seen in their funds supply operations. The BOJ's short term market operations have faced increasing difficulty as banks have very little incentive to participate. In the period January to April this year, 192 operations were undertaken with 133 under-subscribed and this pattern has continued. This has forced the BOJ to use JGBs as an important instrument and is also one of the reasons for the decision to raise monthly outright purchases of JGB's from 800 billion yen per month to 1 trillion yen per month. Moreover, the BOJ widened the range of collateral for market operations by including asset-backed securities and loans to the DIC, and has lengthened the maturity of its market operations (Table 16).

... but why have results been seemingly modest

The key success to date for the monetary policy framework has not been an acceleration of the growth of monetary aggregates such as money and credit,

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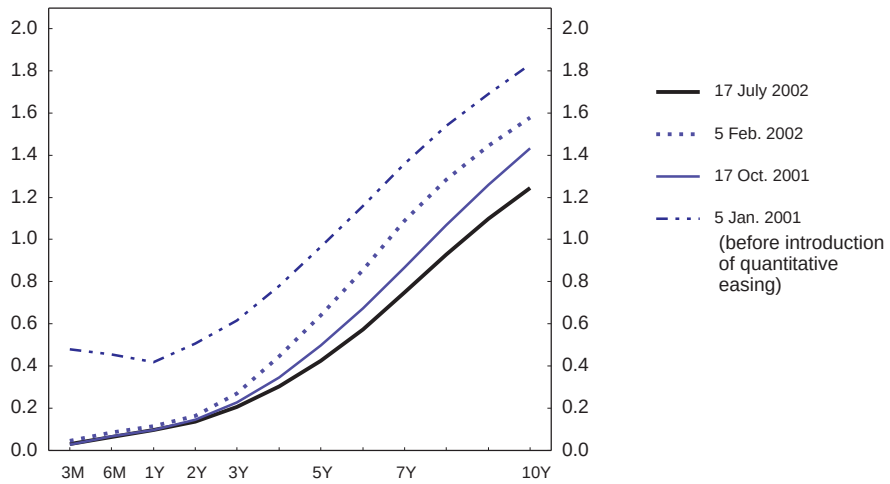
Figure 19. **The new monetary policy has pushed down interest rates**



Source: Datastream.

but rather a significant lowering of the yield curve, especially for the medium term maturities (Figure 19). This indicates that the "commitment effect" – not to change policy until the CPI is rising steadily on a year-on-year basis – has been successful in affecting market expectations. Comparison of the euro-yen future rates with the last period of "zero rates" through 1999, when the criterion for lifting the policy was less specific, shows a much stronger effect on interest rates (Figure 20). Long-term rates have remained relatively stable in the range of 1.3 to 1.6 per cent despite the marked rise in BOJ purchases since August 2001. Taken together, the development of interest rates suggests that financial markets expect deflation to continue for quite some time. The prices of other financial assets such as equities and land prices appear to have been unaffected by the BOJ's operations, the latter continuing to decline.

Although bank reserves have risen, lending has declined thereby restraining growth of the money supply. Under normal conditions an increase in the supply of reserves would be expected to lower the overnight rate and to stimulate commercial lending, possibly leading to an increase in the balance sheet of the banking sector. However, with interest rates very low, banks have very little or no margin to conduct their normal deposit taking function, and in their commercial lending operations their inability or unwillingness to raise credit spreads is also leading to losses (see above). The intermediation function of banks thus remains blocked.

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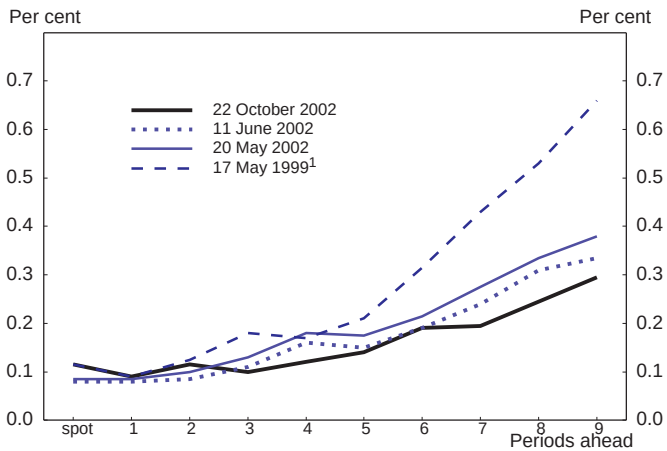
Figure 20. **Markets expect low rates to continue**
Euro-Yen interest rates futures (3-month)



1. Just after the introduction of the zero interest rate policy in 1999.
Source: Tokyo International Financial Futures Exchange.

The dramatic rise in current account balances at the BOJ in the period from September to January of this year coincided with a marked weakening of the nominal effective exchange rate by some 10 per cent. Conversely, from the end of March the tendency has been for the yen to appreciate against the dollar and this became particularly marked around the middle of the year. Over the same period, the outstanding balance of the current accounts of banks at the BOJ fell back from a peak of 28 trillion yen to around the upper limit of 15 trillion yen: the month on month growth rate has been negative. These movements have led a number of observers to conclude that the relative rate of change of the money base has been an important causal factor. If correct, it would suggest that at least one monetary transmission mechanism has remained intact and potentially powerful. It could also imply that the policy stance has in fact been unintentionally tighter since February. Coming at a time of dollar weakness, the economy would then have been subject to an unwanted tightening of financial conditions. Such a conclusion, however, rests on weak foundations. This is because most of the evidence examined above points to the BOJ meeting an increased demand for liquidity on the part of banks rather than forcing liquidity into the system. However, following the end of the financial year in March, demand for liquidity fell off steeply and during this time banks undoubtedly had excess reserves with the BOJ. As was to be expected, net purchases of foreign bonds and equities by Japanese institu-

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tions picked up strongly during this period amounting in the May-July period to around 1-2 trillion yen per month.[50] Foreigners withdrew at a modest pace from Japanese assets at the same time yet the yen appreciated over the period.

The Ministry of Finance (MOF) conducted foreign exchange market intervention through the BOJ as its agent on a number of occasions but particularly in the May-June period.[51] Following sustained weakness of the dollar, from 22 May to 28 June the MOF intervened on 7 days as the currency appreciated. Interventions exceeded 4 trillion yen, the largest quarterly amount since the early 1990s, yet did not appear to lead to any marked changes in the current accounts of the banking system at the BOJ and the money supply remained fairly stable. With reserves already at the upper limit of 15 trillion yen, the BOJ sterilised the intervention.

Although monetary policy is only expected to affect the economy with a substantial delay, the fact that deflation has not changed by all that much since the start of 2001 – and that deflation expectations do not seem to have changed greatly[52] – raises questions about the transmission mechanism and the policy stance. In general it appears that the demand for liquidity and money stocks have increased markedly. Real liquidity held by households has increased, driven in part by low interest rates and by uncertainty about the banking system, which has led to a withdrawal from time deposit accounts to the more liquid demand deposits. There could be a direct effect on demand but it might not be great: several studies find that an increase of real liquid financial assets raises private consumption with an elasticity of around .05.[53] Monetary policy usually influences portfolio allocation by households through lower interest rates, but this route is now effectively at an end. On the negative side is the continuing decline of the velocity of circulation (*i.e.* an increase in money demand), which according to the p-star approach would help to explain entrenched deflation.[54] What explains such an increase in money demand remains unclear, especially in view of the relatively small number of observations, which make econometric work hazardous. But a likely candidate is deflation itself.[55] Such a potential trap serves to focus attention not just on the current policy stance but also on the exit strategy more generally.

Options for the future

Experience over the past year has served to underline the difficulty of operating monetary policy in a deflationary situation wherein nominal interest rates are effectively zero and with no institutional possibility for them to become negative. The situation would be difficult even in the presence of a healthy banking system, which is currently not the case. Under such conditions the commitment effect is particularly important and the BOJ appears to have been successful in changing market expectations about its policy intentions. However, it is also depressing that the financial markets clearly expect deflationary problems to be around for some time to come. This is so even in the current relatively favourable cyclical environment. Adding a time frame commitment to reaching the BOJs target not to change policy

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till deflation has been clearly halted might therefore not bring much under current conditions since with so much uncertainty about how effective monetary policy instruments might be, it would be very difficult to establish credibility. It is often argued that an explicit inflation target in Japan (which could be a band for the inflation rate) would serve to change expectations and thereby lower the real rate of interest. At this juncture, however, the unpredictability of the transmission mechanism, and therefore the effectiveness of policy instruments, makes it hard to see how this desirable effect would occur. Of course, especially in a situation of more normal bank behaviour, there will certainly be a role for an explicit inflation target. With respect to the key question of policy instruments, it is important that the experience to date has failed to answer a key question which concerns policy options: what would happen if the BOJ simply forced a large amount of liquidity into the system? The fact that they have been able to quadruple the current accounts – something which last year would have been regarded as improbable – appears to have been greatly facilitated by a shift in the demand curve for reserves rather than an exogenous increase in supply. The experience since February 2002, when banks probably did have excess reserves, is suggestive but would not normally be sufficiently convincing to underpin a new policy initiative. If the Bank had raised its target for current accounts by 4 trillion yen it would not have been necessary to sterilise the foreign exchange intervention in June. This would have made it possible to gauge potential effects a little better.

The policy debate, however, must be put in a more forward oriented context, where several related policy issues stand out: what should be done if the situation deteriorates due *inter alia*, to the recovery in trading partner economies remaining anaemic; what should be done if deflationary forces threatened to strengthen with an accelerated disposal of NPLs; is there a deflation trap which would call for a big push to break through (*i.e.* is there a re-entry issue); and if there is, how can the BOJ most effectively bring about a large rise in the money supply.

In the event of structural measures which might strengthen deflationary forces the BOJ should stand ready to act. An increased demand for loans by the DIC in the context of a more rapid disposal of NPL should be met by the BOJ, which up till now has involved a government guarantee. Indeed, the BOJ has already moved in this direction: since February, loans to the DIC have been accepted as eligible collateral for monetary operations and by August it had acquired nearly 7 trillion yen face value. Such support would have the added advantage that it is not just simply adding to excess reserves. By contributing to the reduction at the same time of risk weighted assets held by the banks their potential for lending would also rise and their cost of capital would decline.

A deterioration of the business cycle would present another set of challenges. Rather than staying on hold, the BOJ would have to push further into uncharted territory by creating additional liquidity. This could be done by

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purchases of financial assets including JGBs, other domestic securities and foreign assets (which in the opinion of some is permitted by law for the purpose of providing reserves). With respect to JGBs, experience over the past year shows that interest rates could as likely go up as down and just adding to liquidity may not bring much. However, if the context were to include commitments to fiscal consolidation, the risk of a rise in JGB interest rates would be correspondingly lower. The way is already clear for the BOJ to buy other domestic financial assets but these markets are extremely small and it raises the issue of effectively supporting some private firms. In purchasing such assets the object of the operation would be more to change asset prices than to raise overall liquidity. Operating on the company bond market would probably only be successful if it stimulated a big increase in direct borrowing. Unlike in the US at the beginning of the 1990s, the Japanese bank crisis has not been accompanied by a substantial increase in the size of this market.[56] However, if successful, the banking system would run into even more difficulties so that this does not appear to be an attractive option. Experience up to August 2002 seems to suggest that purchases of foreign bonds and assets would likely have to be on a very large scale to make much of a difference to monetary conditions.

It is now clear that once an economy moves into deflation, it does not operate in the same manner: there is an inflection in normal relations or marked non-linearities such as that represented by the liquidity trap. A key question therefore is whether continuous but marginal changes in the policy stance are enough to exit from a deflation trap. This is worth asking since the important change in monetary policy rules in March 2001 and a significant increase in both bond purchases and in bank current accounts at the BOJ does not yet appear to have done the trick. A systematic forced increase in liquidity may well be necessary, rather than the policy of discrete change followed by a wait and see period. It would of course have to be accepted that the economy might well overshoot when it swings back into an inflation setting, which would require a rapid change in the policy framework, perhaps to inflation targets. However, the costs and uncertainties associated with continuing deflation, particularly with respect to the build up of public debt and the pressure on the balance sheet of debtors, also need to be taken into account when considering how to move forward monetary policy to deal with the deflationary problem. In sum, monetary policy will need to press forward to expand liquidity aggressively, in a concerted effort with structural and fiscal policies to stop deflation.

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III. Improving the sources of growth and higher living standards

A return to growth is increasingly urgent in Japan to facilitate dealing with the serious fiscal situation and the rapid ageing of the population. Maintaining living standards in the face of an ageing and shrinking population requires substantial increases in productivity per worker. But to underpin this, multi-factor productivity will need to accelerate, reversing a trend that has been in place since the first oil price shock of 1973. Labour and per capita productivity have been driven increasingly since that time by high rates of investment but the marginal returns have been declining. The problems essentially arise from the inability of the Japanese economic system to reallocate resources efficiently, be they human, entrepreneurial, intellectual and financial, thus requiring reforms in a wide range of areas.

Maintaining a consistent policy focus on productivity is difficult in any country but particularly so in Japan. The presence of a strong export sector, which has often set world standards for efficiency, has led to a public preoccupation with exports as almost synonymous with growth. As a result, the question about sources of future growth is often put in terms of which industries will grow and be the winners (*e.g.* nanotechnology and biotechnology) and how they should be supported. High performance export industries also serve to distract attention from getting the rest of the economy to work more efficiently and it is here that there is considerable scope for improved performance. Emphasis on leading sectors and exports can lead to distrust of general systemic approaches to growth issues, a tendency reinforced by a barrier to thinking about improved productivity at a time of rising unemployment and widespread discussion about job sharing. Yet the evidence in Japan and elsewhere, which has been examined by the OECD *Growth Project*, is that general market mechanisms that are allowed to function without excessive restrictions are paramount, even though it is not possible to fully explain the variation of growth over time or between countries.

The general market mechanisms which are clearly connected with growth include those factors determining the nature of the competitive environment for goods and services and that determine the allocation of resources. The list is long,

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including the ease of entry and exit by entrepreneurs, the rules of competition and trade and the institutions determining the allocation of labour. These factors have long been viewed as essential for growth and have therefore comprised the core of OECD structural surveillance. More recent studies have renewed interest in the role of human capital, technology and R&D, and the special role of ICT in stimulating productivity gains. There is in fact a close relationship between the factors touched on above that the *Growth Project* has served to better substantiate. For example, the *Growth Project* has documented a close positive relationship between the degree of competition and productivity growth; and competitive telecommunications systems have accelerated the diffusion of ICT, which has in turn contributed to productivity growth. Any division of these inter-related factors into two chapters is thus somewhat arbitrary. This chapter deals with the elements of policy which the *Growth Project* characterised as "Getting the Fundamentals Right". The following chapter deals with a number of, nevertheless, important issues including competition in "network" sectors, human capital formation and issues surrounding what is loosely termed technology and innovation.

The first section of this chapter reviews the productivity and growth record, placing the 1990s in a cross-country and time perspective and uses the results of the *Growth Project* to identify main drivers at the macroeconomic level. The analysis points to some puzzling features that are related to the dualism of the Japanese economy. These are best explained by micro/structural factors. The second section, therefore, examines the competitive environment including entrepreneurship, barriers to entry and to exit, the overall regulatory framework, and the openness of the economy. The third section focuses on the need for labour mobility, better job matching and increasing the labour force participation rate for women. The final section draws together the main conclusions. This section also includes the customary update of progress in structural reform more generally.

The productivity and growth record

Productivity has been slowing for several decades with growth being factor intensive

A critical feature of growth for quite some time now has been its reliance on increasing inputs rather than improvements in efficiency.[57] During the period of convergence, with catch-up to international standards, growth was exceptionally rapid due to high rates of growth of both MFP and capital inputs. GDP grew at an average annual rate of 9¼ per cent in the period 1956-1973. Population growth was also rapid which translated into labour force growth of 1-1½ per annum. MFP growth was in turn driven by economies of scale and by the transfer of workers out of agriculture and other low productivity sectors into export sectors where productivity was high and growth rapid.[58] In the period after 1973 growth slowed markedly (as in many other countries) to around 4 per cent in the period 1975-91

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and the underlying components also shifted. The picture is, however, obscured by the "bubble" period at the end of the 1980s, which should be considered an aberration. Inter-sectoral shifts of employment to maintain or raise aggregate productivity became more difficult and capital accumulation became the main driving force for growth, supported by a steady increase in labour force participation (Figure 21). Labour productivity has been underpinned since then by extraordinary inputs of capital which have contributed to a declining rate of return through the 1980s and into the 1990's that is now far below that in other OECD countries. The subsequent slowing of capital accumulation has in turn led to the reduced growth of labour productivity (after adjustment for the significant trend decline in hours of work) (Figure 22).

A consequence of this long run pattern of input-intensive growth is that the economy is surprisingly unproductive. One study shows that the Japanese economy is 31 per cent less productive than the US economy in terms of labour and 39 per cent less productive in terms of capital (Table 18). The Japanese economy uses 11 per cent more labour input (hours) per worker and 13 per cent more capital input per hour worked than the US to maintain its level of output.

The extraordinary capital intensity of Japanese growth is apparent in Figure 23. The comparison with Germany is interesting since it also had to embark on a long process of post-war capital accumulation. Nevertheless by the early 1970s this process had run its course, the investment ratio had come down with, as a counterpart, a consumption share of GDP some 5 percentage points higher than in Japan. The pattern of potential output growth has also shown a more pronounced path than in other countries, although the pattern of slowdown after 1973 was shared with the major European economies.

The 1990s saw this slowing growth trend continue

Average GDP growth in the 1990s fell to 1½ per cent following 4 per cent growth in the 1980s, and MFP probably declined from around 1 per cent per annum to only a half of that, although these measures are very imprecise (Table 19). Conventional growth accounting shows that reduced labour and capital inputs contributed more to slower growth during the decade than did reduced MFP growth. The reduction of labour input has been driven by several opposing tendencies. The growth of population of working age turned negative around 1995, and average hours of work have continued to decline, in part reflecting more part-time work. On the other hand, labour force participation has risen. The contribution of capital stock to growth declined, probably due to the lower marginal rate of return on capital from an already high capital to GDP ratio. The capital-output ratio nevertheless continued to rise, which can imply that MFP growth has fallen to a new lower steady state level.[59] Although the OECD estimates point to much slower MFP, the decade has been difficult enough to render estimates more than usually

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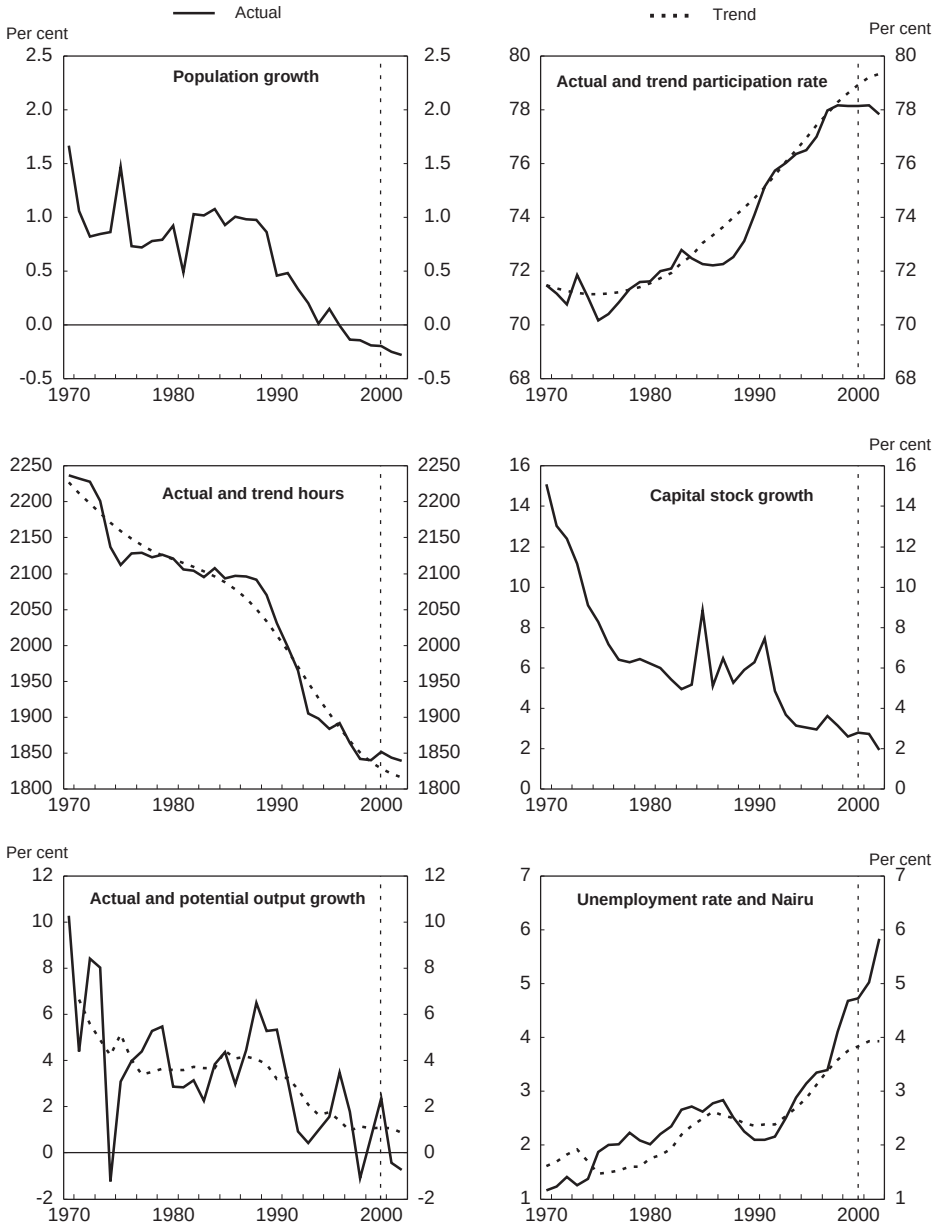
Figure 21. **Factors underlying growth**



Source: OECD.

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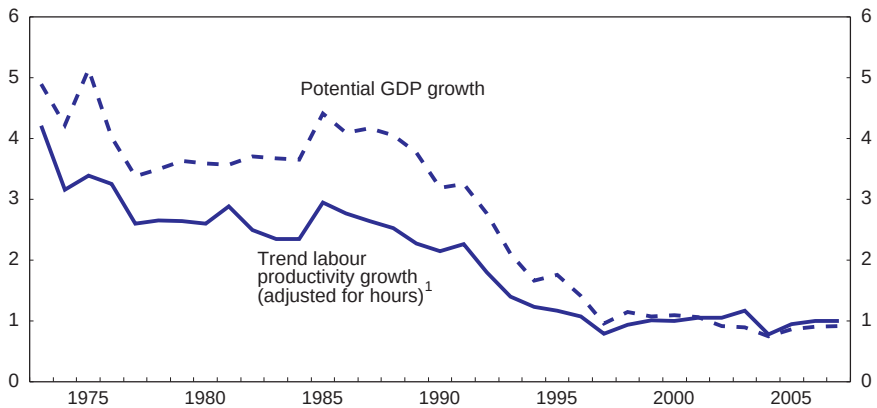
Figure 22. **Labour productivity growth has declined**
Annual averages, percentage points



Note: For a description of the derivation of potential GDP and labour growth see *Economic Outlook 70.*
1. Between 1990 and 1992 Japan moved from a 6-day to a 5-day week.
Source: OECD.

Table 18. **Productivity is low**
Index: United States = 100 in 1999

	Japan	United States
Capital productivity	61	100
Capital per hour worked	113	100
Labour productivity	69	100
Labour inputs per worker	111	100
GDP per capita	77	100

Source: McKinsey Global Institute, 2000.

uncertain. MFP is given as a residual after accounting for the volume of inputs, but the different inputs are linked and are not exogenous.[60] With business cycle conditions unfavourable during the 1990s and evidence of widespread labour hoarding, the decline in labour input might easily be understated – which would lead to an apparent decline in MFP growth. While this is a plausible story, there are nevertheless indications that MFP has been slowing, reflecting longer run developments which were also at work during the "lost" decade. The key question is why MFP has slowed so much over several decades?

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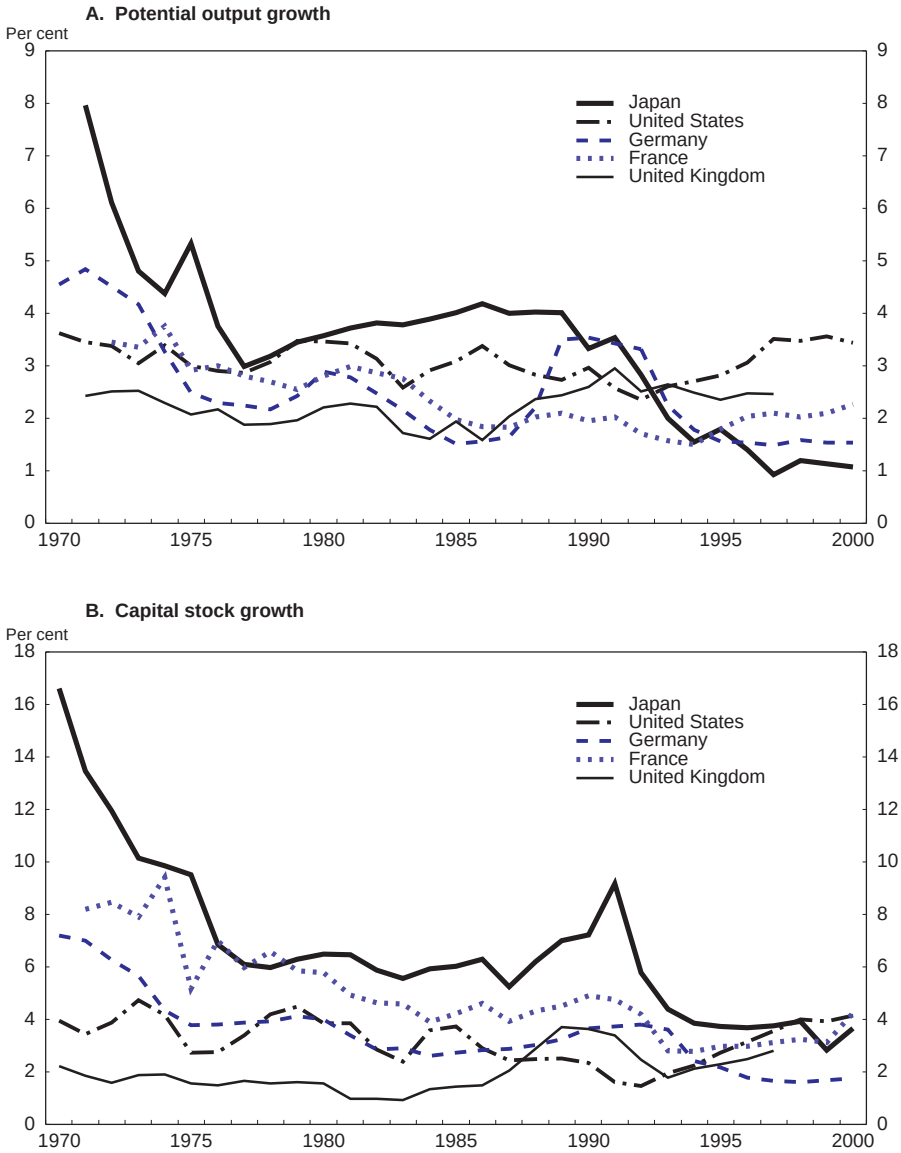
Figure 23. **Growth has slowed more in Japan**

Annual percentage change



Source: OECD.

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Table 19. **Accounting for growth**
Annual rate of change

	Labour input	Capital input	MFP	Output in business sector
1980-89	0.5	6.9	1.0	4.3
1990-99	–0.9	3.8	0.4	1.4
Difference 1980s-1990s	–1.4	–3.2	–0.6	–2.9
(contribution)	(–0.8)	(–1.3)	(–0.6)	

Note: Figures before 1990 are based on SNA68, while those for 1990-99 are based on SNA93. Difference between 1980s and 1990s partly reflects the shift of the system of National accounts. The calculations are not detrended and use actual factor shares.
Source: OECD.

The macro perspective of the Growth Project *does not explain the* Japanese slowdown

The OECD *Growth Project* considered a broader set of macroeconomic forces driving growth and its development over time.[61] The *Growth Project* focused not on growth but on growth per head of working age population which slowed continuously from the 1970s to the end of the 1990s. Although other countries have also exhibited a slowdown over time, it is more marked in Japan and less well explained by regression models which include investment and trade intensity (relative to GDP) and human capital formation (defined as cumulative years of schooling). However, in Japan, these macroeconomic forces suggest strong growth per capita. A "missing variable" which was also investigated by the *Growth Project* for a smaller range of countries concerns R&D intensity which was found to be positively related to productivity growth – and also for Japan. The R&D/GDP ratio is high in Japan and, moreover, it is mostly privately financed which the *Growth Project* showed improved the impact on productivity. The R&D/GDP ratio remained constant through the 1990s rather than increasing as was previously the case. It is thus unlikely that the excluded variable, R&D, can "explain" the growth slowdown over time.

One response to the results for Japan is that the major macroeconomic forces for growth might not have been adequately measured and/or the indicator utilised might be intermediated by institutions or behaviour in a way that reduces their impact on activity. For example, human capital and investment might have been misallocated through inadequate market mechanisms. The *Growth Project* recognised the need to consider the microeconomics of human capital, R&D/innovation, and openness as well as the need to understand the role of factor market and product market institutions. These are particularly important in Japan in explaining the growth record and future prospects.

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Leaving much to be explained by structural factors

Estimates of MFP growth exhibit a very wide variation between sectors and over time, although caution is required since the national accounts methodology changed in 1990. Even in the boom-dominated 1980s, a number of sectors showed poor productivity growth, including services and the highly protected textile and food processing sectors (Table 20). Not surprisingly, finance and insurance, while their output is difficult to measure, showed high productivity growth rates during the boom period. Previous *Surveys* have identified construction and real estate as sectors with major restructuring problems. Indeed, the deterioration of MFP in these two sectors reduced overall MFP growth by around 1 percentage point. These sectors expanded substantially in the 1980s and suffered from the burst of the financial bubble in the 1990s. As the banking sector continued to provide loans to these sectors even after the bubble burst, low profitability and excess capacity have remained, leading to the deterioration in their MFP. Moreover, MFP has declined in the construction sector even as public works surged

Table 20. **A number of sectors have poor productivity growth**
Average annual rate of change in MFP

	1980 to 1989	1990 to 1999
	Per cent	
All industries	0.9	0.3
1. Agriculture, forestry and fishing	–0.8	–4.7
2. Mining	–4.6	–4.4
3. Manufacturing	2.4	1.5
a) Food products and beverages	–4.7	0.5
b) Textiles	–2.1	1.4
c) Pulp, paper and paper products	1.0	–1.8
d) Chemicals	8.2	1.5
e) Petroleum and coal products	1.1	–0.4
f) Non-metallic mineral products	3.7	–1.2
g) Basic metal	–4.1	–0.1
h) Fabricated metal products	4.8	–0.3
i) General machinery	4.3	–0.6
j) Electrical machinery, equipment and supplies	15.1	7.9
k) Transport equipment	2.0	1.9
l) Precision instruments	4.6	–0.3
4. Construction	0.9	–7.1
5. Electricity, gas and water supply	–2.2	–1.1
6. Wholesale and retail trade	1.4	2.3
7. Finance and insurance	7.4	–0.1
8. Real estate excluding rent	–3.8	–6.8
9. Transport and communications	2.0	2.0
10. Service activities	–8.7	–1.0

Note: Figures for 1980 to 1989 are based on SNA68, while those for 1990 to 1999 are based on SNA93.
Source: OECD and *National Accounts*, Japan.

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during the 1990s. The financial sector itself also faced a sharp decline in MFP growth in the 1990s. These findings point to the need to accelerate restructuring in the construction and real estate sectors as well as to restore efficiency in the financial sector. But Table 20 also points to something more significant: a dual economy.

The characterisation of Japan as a dual economy with some leading-edge manufacturing industries and lagging domestically oriented sectors is confirmed not only by inter-sector differences in MFP growth rates, but also by estimates of productivity levels across countries (Table 21). While Japan is very productive in export-oriented industries such as autos, steel, machine tools and consumer electronics, the level of productivity in domestic sectors such as retailing, construction and food processing is a half or less of that in the US, and also significantly lower than in Germany. One view is that services and construction are less traded internationally, so that competitive pressure is weaker in those sectors and more variable across countries.[62] There is good evidence that domestic sectors – including food processing – are subject to less competition from foreign rivals both through imports and inward FDI than in many other countries (Box 4).[63] Domestic competition also matters. One detailed study of companies suggested that weak domestic competitive intensity, little exposure to global best practice, poor management skills and market distortions in the domestic sector reduced the pressure on firms, thereby leading to lower efficiency.[64] This conclusion is supported by Porter, Takeuchi and Sakakibara (2000) who reviewed successful and unsuccessful cases of industrial policy in Japan. They concluded that at the end of the day, competitive markets and standard setting by the government were crucial in those sectors in which Japan has enjoyed success.[65] By contrast, productivity has grown least in those sectors where competition has been suppressed by

Table 21. **Open sectors have high labour productivity**

Index: United States = 100

	Japan	Germany	United States
Auto	145 (127)	93 (84)	100
Food processing	35 (42)	95 (84)	100
Steel	121 (110)	100	100
Computer	95	89	100
Consumer electronics	115	62	100
Metal working	119	100	100
General merchandise retail	54	96	100
Healthcare	93 (75)	n.a.	100
Telecom	82 (51)	51 (42)	100
Construction	45	70	100

Note: Figures in parentheses are MFP.
Source: McKinsey Global Institute, Bailey and Solow, 2001.

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Box 4. The case of two low productivity sectors: a lack of competitive pressure

Food processing and construction are two sectors characterised by low productivity levels and low or even negative productivity growth. In both cases, the quality of the regulatory system and curbs on foreign and domestic competition are key factors.

Food processing is one of the largest manufacturing sectors in Japan employing 11 per cent of manufacturing labour. It is characterised by small establishments and productivity is low compared with the United States: multi-factor productivity (MFP) is only around 40 per cent and labour productivity only 35 per cent of the levels in the United States. Productivity in France is about the same as in the United States so that the explanation is, arguably, not related to consumer demand for freshness and quality. There are many small processors that do not compete nationally and especially in the packaging segment there is so much product proliferation that some processes cannot be automated. Detailed studies, however, show that some firms are as productive as those abroad, begging the question why they cannot or do not expand. The cause for the current situation appears to be due to the lack of foreign competition as a result of trade barriers and the absence of FDI – and the discouragement of it – in the packaging industry. Lack of domestic competition is also important, but this might be due to the highly fragmented nature of the retail sector. The structure of the retail sector has been maintained to some extent by the regulatory barriers to large stores and also to the slowness with which banks have moved to deal with non-performing loans (NPL) in the sector. Tax policies and other measures have supported small stores (see the 2001 *Survey* for details). In France the growth of large retailers has led to the development of large food processors with smaller firms moving to niche markets involving higher valued goods that cover their higher costs.

The construction sector is marked by the absence of domestic and foreign competition. This is made possible by bid rigging on the part of firms (*dango*, see the 2000 *Survey* for details), complex relationships with suppliers making it difficult for new entrants to cut prices, and well known government standard prices. A number of practices have also come to light with public institutions distributing contracts between firms with a preference in many cases for local enterprises or (in some instances) for those in which former civil servants are employed. Construction costs are among the highest in the world and cannot be fully explained by earthquakes, urban density or by a high level of employment of non-construction workers (*i.e.* in security, directing traffic, making the site tidy). A more important factor has been the lack of competition for inputs which has led the sector to pay prices for cement and steel far above world prices. Another set of issues arises in the residential construction part of the sector, which is also characterised by low productivity and lack of dynamism. Price competition is limited in this area and the lack of standardisation of materials and methods lowers productivity. Lack of dynamism in residential construction is also related to the underdeveloped state of the second-hand housing market due to high transactions costs, other regulatory impediments and the lack of standardised property appraisal (see the 2001 *Survey* for details).

For detailed information see, McKinsey Global Institute, *Why the Japanese Economy is not Growing: micro barriers to productivity growth*, Washington July 2000.

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cartels (in the 1980s) and by import restrictions. These perspectives lead to some striking working hypotheses: the low level of the productivity in domestic service sectors (including construction and some manufacturing sectors) suggests that Japan still has great potential for productivity growth. From the policy perspective therefore, an important source for future growth may not be exclusively in the high technology export sectors (which will nevertheless remain important for the economy), but in the less glamorous domestic and protected sectors.

Raising productivity in domestic sectors is in itself insufficient unless it is accompanied by product and supply innovation which is usual in a dynamic market economy. In other words, the process of innovation will involve raising demand at the same time. The potential for such a development in Japan is suggested not only by microeconomic studies, but also by macroeconomic developments. For example, in the housing sector, building laws have restricted redevelopment of housing yet potential demand by households appears to be strong (see 2000 *Survey* for details). At the macroeconomic level, a puzzling factor has been the high household savings rate and the very high level of household assets left by senior citizens.[66] After declining continuously till the end of the 1980's in line with the ageing population, the savings rate stopped falling in the 1990's and remained at a high level throughout. The high level of prices relative to OECD standards for items such as housing might be one factor at work but in a rapidly ageing society uncertainty about the future and the possible supply of goods and services relevant for their needs might be another. The conclusion is not more public provision but greater possibilities for potential suppliers to discover latent demand (Box 5).

In sum, weak growth during the 1990s reflects a longer-run slowdown of dynamism with growth becoming more input intensive and demand driven by exports and investment. Seen from a macroeconomic perspective, growth performance should have been good with R&D, human capital and the rate of investment all favourable. The fact that these proved ineffective suggests that other factors, termed "fundamentals" by the *Growth Project*, have been more than usually important. With the labour force already declining, the rate of return on assets low and the world competition for mobile resources more intense, future growth prospects will be determined by how policy deals with these resource allocation issues.

Promoting a competitive environment

A review of the empirical literature for the *Growth Project* (Ahn, 2002 and Ahn and Hemmings, 2000) concluded that a large number of studies do confirm that the link between product market competition and productivity growth is positive and robust. This result is also generally supported when composite measures of regulation are compared with the change of MFP in the OECD area

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Box 5. Innovation and growth

The Ministry of Economy, Trade and Industry's advisory Industrial Structure Council has produced a report on *New Growth Policy* which draws on the ideas of Yoshikawa and others. The main cause of Japan's economic stagnation is seen to be high savings in great part due to uncertainty about the future and to the weakening of the virtuous cycle between innovation and demand. Mobile phones and convenience stores are examples where the process of innovation, productivity growth and demand still works, but there are barriers of a structural nature preventing innovation (or new forms of supply) from meeting latent consumer demand in other areas. Such demand is expected to arise in the areas of social services for an aged society, leisure and demand for associated activities, and further education. Based on surveys the report estimates that consumption of new goods and services could amount to 39 trillion yen in 2010 as opposed to 24 trillion under a no change assumption. Stimulating supply will involve regulatory reform, some technology programmes and a socio-economic system to incite innovations. The latter is projected to include greater labour market mobility, more individual involvement in organising their own training, and flexible wage structures. Under the assumption that reforms are carried through, the economy is seen to have a potential for growing by 3 per cent on average from 2006 to 2010 with a contribution from consumption of 2¼ percentage points. Employment in the economy would rise by some 3 million relative to the no change baseline, with employment growth marked in the service sector. Unemployment would decline and female labour force participation would rise.

This "strategy view" marks a welcome break with a great deal of political opinion, which remains focused excessively on exports and the need for newer technologies (*e.g.* nanotechnology and biotech). Indeed, in this domestically driven scenario, some deterioration of the contribution from net exports is projected. Many of the detailed propositions to support such a scenario are discussed in more detail below.

Note: *Interim Report of the New Growth Policy Committee*, Industrial Structure Council, Ministry of Economy Trade and Industry, July 2001.
Source: H. Yoshikawa, *Japan's Lost Decade*, LTCB, 2002, Tokyo.

(Figure 24).[67] A first section examines the enforcement of competition policy, which has been relatively weak in Japan,[68] with cartels and "refusal to deal" prevalent in some sectors at different times. The openness of the economy, both trade policy and barriers to FDI, is then discussed since it has important implications for competition. The following section takes up the key area identified in the *Growth Project*: entry and exit including the role of the banking system in delaying adjustment. The final section deals with the ongoing evolution of corporate governance and the regulatory process more generally.

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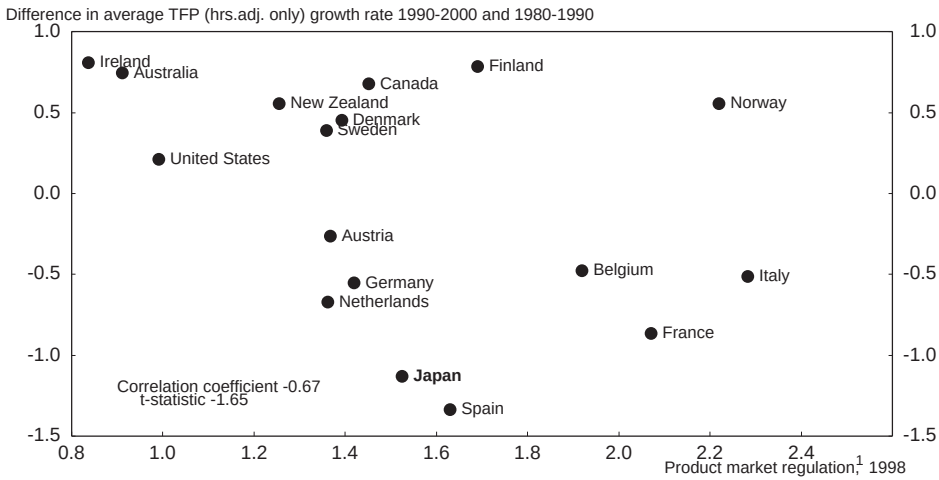
Figure 24. **Less stringent regulation is associated with improved productivity**



1. The scale of indicators is 0-6 from least to most restrictive. See Nicoletti *et al.* (1999).
Source: OECD.

Competition policy

Last year's *Survey* noted favourably that the government was committed to strengthening the Fair Trade Commission (FTC) in order to increase the role and efficiency of market forces. Indeed, there were suggestions, supported by the *Survey*, to shift the FTC from the Ministry of Public Management, Home Affairs, Posts and Telecommunications to the Cabinet Office. However, resistance over the past year to change has been intense which has also been the case with structural reform more generally. A key issue documented in some detail in the public expenditure chapter of the 2000 *Survey* is bid rigging in public works projects.[69] Under the existing Anti-Monopoly Law it is not possible to punish public servants for their involvement. A new law, which gives the FTC statutory powers to require heads of ministries or agencies to take necessary measures to eliminate and prevent the involvement of public servants, went into force in July. However, there are no explicit sanctions. The organisation of public tendering restricts competition, not only in the poorly performing construction sector but in business more generally (Table 22).

While the new civil litigation system (since May 2000) for those harmed by anti-competitive practices is a step forward, it cannot compensate for the lack of aggressive enforcement by the FTC. Prosecutions of competition violations

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Table 22. **The relative quality of the Japanese business environment**

Adjusted for per capita income, 1999

	Rank[1]
Advantages	
Railroad infrastructure development	3
Domestic supplier numbers	3
Public investment in non-military R&D	3
Domestic supplier quality	4
Adequacy of average years of schooling	4
Buyer sophistication	7
Quality of scientists and engineers	4
Quality of science research institutions	8
Extent of locally based competitors	6
Demanding regulatory standards	9
Intensity of local competition	8
Disadvantages	
Hidden trade barrier liberalisation	45
Computer utilisation	26
Legal barriers to entry	39
Ease of access to loans	31
Venture capital availability	42
Quality of business schools	50
Difficulty of financing start-ups	35
Air transport infrastructure quality	29
Openness of public sector contracts	56
Stock market access	30
Financial market sophistication	26
Financial disclosure requirements	25
Tariff liberalisation	24
Business information availability	19
Adequacy of private sector legal recourse	26
Administrative burden for start-ups	37
Port infrastructure quality	18
Bureaucratic red tape	20
Road infrastructure quality	17
Effectiveness of antitrust policy	17
International direct dial communications costs	17

1. Rank refers to Japan's ranking on each measure compared to 58 nations surveyed.

Source: Porter *et al.* (2001), calculations based on data and models from The Global Competitiveness Report 1999.

continue to average fewer than one per year. For example, the FTC imposed administrative sanctions, rather than seek criminal penalties, on major chemical companies for their participation in a price cartel. The same companies had been involved in similar activity in the early 1990s. Although this cartel constituted a major violation of the law, and therefore could have been subject to criminal

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charges, the FTC did not refer the case to the public prosecutor. The FTC cited lack of evidence due to the fact that it does not have coercive discovery powers – only the prosecutor has such powers. This situation does not constitute an efficient allocation of powers, which should be corrected by the FTC obtaining coercive investigating powers. In addition, reforms will also have to include much stiffer fines and the legal flexibility to offer leniency. This combination creates a powerful tool for investigating and deterring cartels and bid rigging. Financial sanctions imposed in Japan remain low by international standards. The European Commission can levy up to 10 per cent of the world turnover of a company (and some consider that this is still inadequate relative to potential gains), and the US courts can impose a fine of up to two times the loss or gain from the cartel. But even after the amendment in May 2002, fines are capped at 500 million yen in Japan, a level low enough that companies may simply factor the possibility of payment into their budget plans. Administrative surcharges can be higher, but are still well below the fines that are being exacted elsewhere. To increase the exposure of companies to further penalties, the prescription period for violations should be extended, for example, to five years from the discontinuation of the violations. But raising sanctions is the key to deterring such actions.

Enforcement and implementation of competition policy should also be a responsibility of ministries, which maintain substantial regulatory powers and are often said to continue to issue informal guidance. An example concerns the foundation of a joint holding company of two major domestic airlines. Widespread reports indicated that the Ministry of Transport was favourable to the merger, but on this occasion the FTC ruled it as unacceptable since it formed an effective duopoly of the domestic market. The FTC is said to have insisted that landing slots, which are controlled by the Ministry, be given up to competitors and that essential facilities such as check-ins also be opened to other airlines.[70] The final deal saw the two airlines giving up only nine slots, to be allocated to new airlines, with a further three slots by 2005 if required. Taking into account the FTCs concern about the possible reduction of competition, the newly created entity has reduced fares by 10 per cent for three years. The whole process appears to be very opaque, and "encouraging" the incumbents' fares to remain low might even reduce the incentive for new airlines to enter the market. Fares should be set by market forces working in a competitive framework. The Ministry continues to allocate landing slots from time to time using conflicting criteria (see the 2000 S*urvey*).

The FTC is widening its scope to examine competition issues in social services and the number of staff is also set to increase. In addition, it also co-operates with the relevant ministries in producing competition guidelines in the electricity, gas, and telecommunications sectors. In view of its growing responsibilities, the FTC might even be understaffed. But it is not only a matter of numbers: the FTC still does not have enough professional economists to handle its responsibilities for complex enforcement and problems in network industry regulation. And

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lack of suitable staff is even more of a problem in the line ministries that are now also assuming greater responsibilities. The tradition of generalist staff rotating every two years may not fit well these new and often complex tasks.

Increasing the openness of the economy

A major strength in the past has been the competitiveness of Japanese producers on world markets. The country's increased integration into the world trading system has underpinned growth.[71] However, the world economic system is evolving far beyond trade only in goods while regional integration has accelerated. For example, integration has been marked in Europe and in the NAFTA area. However, when considered from different perspectives, Japan appears to be relatively closed so that it may not be well positioned to reap the benefits of the new global economy:

- Trade: the combined ratio of exports and imports is on the low side even by the standards of being a large economy, some 20 per cent compared with 38 per cent for the euro area and 26 per cent for the United States.[72] The pattern of trade flows has normalised somewhat in comparison with the mid-1980s with greater imports of manufactured goods and increased intra-industry trade. However, manufactured imports remain very low as a share of GDP.
- Investment: Japan remains a remarkably closed economy in terms of inward FDI stocks although flows have picked up in recent years (Figure 25). Outward investment flows normalised during the late 1980s and in the 1990s with greater flows to other OECD countries. Nevertheless, Japan remains only a small source of annual FDI in the world economy, ranking twelfth in the OECD after Sweden and Switzerland.

Trade policy: promoting regional trading arrangements

With respect to trade policy, the country has been in the unusual position of not belonging to a regional trade arrangements (RTA) although 60 per cent of its trade is with countries which are members of one (*e.g.* NAFTA, EEA, ANZCERTA, AFTA). This has led to fears that the commitment to pursuing only multilateral arrangements might have left Japan at a disadvantage. Indeed, there is now some econometric evidence from a study using a gravity model of trade which suggests that exports could have been some 13 per cent higher (in 1997) and imports 8 per cent higher (total trade volume 11 per cent higher) in the absence of RTAs.[73] Moreover, it appears that FDI has displaced some exports (to Europe and the United States) as Japanese companies have chosen to locate production within a trading bloc. AFTA is still in its early days and is not nearly as deep as other RTAs. Nevertheless, it is as potentially important to Japan as the EEA and even more so if a free trade agreement (FTA) between China and ASEAN comes into existence.

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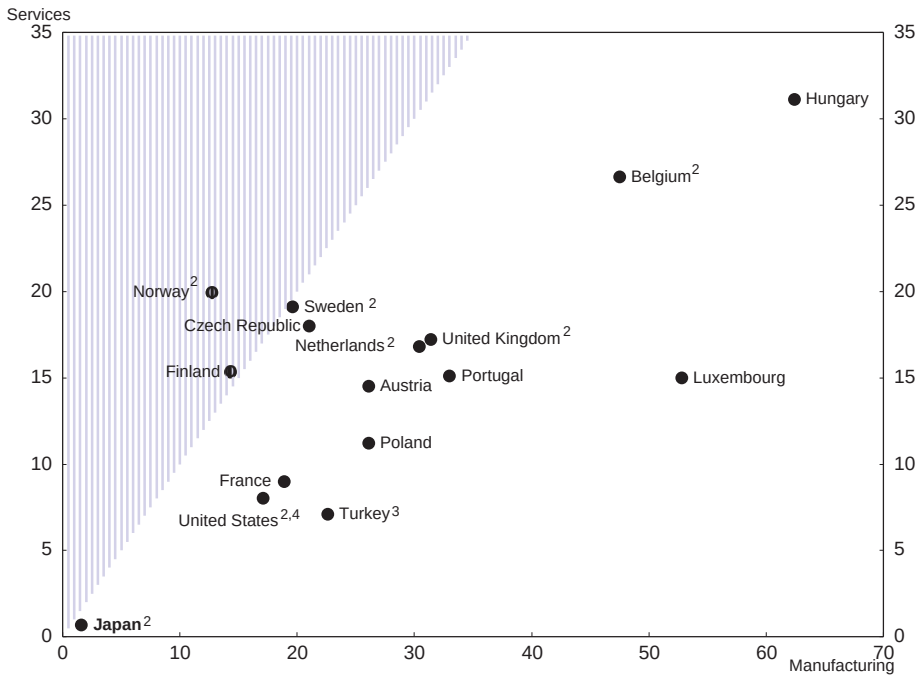
Figure 25. **The economy is remarkably closed**

Foreign controlled share of total services and manufacturing turnover[1]



1. Foreign-controlled turnover/domestic turnover.
2. 1997.
3. 1994.
4. The data used for foreign affiliates are broken down by industry of sales to be comparable to national total data.

Source: OECD, FATS database.

Concern about RTAs and the desire to re-invigorate the economy led Japan to adapt its policy last year in negotiating an FTA with Singapore.[74] Nevertheless, the government quite rightly views FTAs as complementary to the WTO process, which remains the main pillar of trade policy. After Singapore, feasibility studies have been launched *vis-à-vis* ASEAN, Thailand, Korea, Mexico, and the Philippines. The contentious issues which will need to be addressed include agricultural products. Negotiations will become easier once the implications for agriculture of the WTO's Doha round become clear.[75] Free Trade Agreements have been discussed in the Council for Economic and Fiscal Policy, and between relevant ministries and agencies. Studies using an applied general equilibrium model point to benefits of about one per cent of GDP per annum from extending the geographical coverage of FTAs.[76] In such static models the level of prospective

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benefits depends very much on factor mobility whereas in dynamic models including economies of scale, improvements of productivity and investment, the returns are usually much greater. To realise these potential gains will, however, require structural reforms.

Incoming foreign direct investment: informal barriers

An increased presence of foreign companies can contribute to higher productivity in several ways. First, it adds to the intensity of competition in domestic markets and especially in those sectors which have been protected. The increased competition should lead to increased productivity and, to the extent the foreign firm is successful, its increased market share will also raise overall productivity. Second, FDI will provide managerial dynamism, particularly in weak protected sectors with high prices. In such sectors FDI will also help to improve regulatory quality and improve transparency. A good example of this to date is in the telecommunications sector. Finally, it may also help to change those labour practices that have become counter-productive. However, barriers to FDI remain.

Not only is the level of inward FDI low but Japan (and its regions) do not compete aggressively for FDI as do most other OECD countries, including those with a higher level of per capita GDP. The low level of FDI was due in the past to direct government barriers, but in most cases these have been lifted.[77] Officially supported cartels and lack of enforcement of "refusal to sell" provisions of the law were also important in some sectors, serving to control supplies to new entrants and also preventing the company from exporting to Japan.[78] The current barriers are now more in the nature of the general business environment (see Table 22) and the associated regulatory structure. Direct econometric evidence is provided by Fukao and Ito (2001) who show that FDI penetration in the service sector (three digit level) is higher in sectors with a lower presence of government activities and a lower presence of official restrictions.[79] There is also a less than open attitude on the part of some government institutions including the FSA, which is now taking a much more cautious attitude to FDI in the banking sector. The continuing barriers to FDI were also well illustrated in 2002 when the Ministry of Agriculture stated that Japanese people would not welcome FDI in a large private food processing company, a sector of the economy that is particularly inefficient.[80] It even stated that dairy farmers would prefer the company to merge with several co-operatives. Increased inward FDI, which will support future growth and strengthen competition, will thus depend on regulatory reform including an improvement in the quality of regulation and a fundamental change in policy outlook, particularly at local level.

Now that land prices, which constituted a major barrier to some FDI, have come down, it is time to make improvements in other areas. A particular barrier that needs to be addressed as part of the current revision of the corporate code is the inability of foreign companies to acquire Japanese firms by using share swaps.

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Arguments put forward by interest groups to the effect that the prohibition protects domestic shareholders from being "forced" to accept shares in unknown foreign companies appears dated in the context of a well developed system of brokers and the integration of the world's financial system. There are also some complex tax issues that can restrict M&A activity and which need to be reviewed.

Outward FDI *and trade: increased regional integration should drive future growth*

Looking forward, Japan is fortunate to be located in a region which is growing rapidly and that should see rising regional integration in the future. Such dynamism is being driven by rapid growth in China whose imports and exports are set to surge following its entry into the WTO.[81] Trade with China is already growing rapidly and it is now Japan's second biggest trading partner after the United States. Japanese firms are also raising their investment in China, often with the goal of transferring labour intensive operations to that country with the intention to re-export to Japan. Gains from comparative advantage are thus being generated in a manner similar to regional integration elsewhere.

Despite the advantageous gains from trade both now and in the future, many in Japan persist in seeing China as a threat with some senior politicians even calling for an appreciation of the Chinese currency. There is also much talk of the "hollowing-out" of Japanese industry by investment in China and of China "leapfrogging" the development process and therefore becoming a direct competitor in third markets. Trade relations were also allowed to reach a low point in 2001 when Japan introduced provisional safeguards for three agricultural commodities, while China retaliated by imposing tariffs on three industrial products. Following extensive discussions between the two countries, the safeguards were allowed to lapse in November. The outcome serves to confirm the conclusion in last year's *Survey* that consumers economic interests had been outweighed by other concerns.

Even putting aside the positive effects of rising incomes on China's imports, concern about "hollowing out" is misplaced. Japanese investment in China is still small (the stock is only some 0.02 per cent of Japanese GDP) and is in any case more profitable than investment in Japan.[82] As for competition in the goods markets, there is little evidence of leapfrogging and the overlap between exports to the United States is only around 20 per cent.[83] This is actually an upper limit, which does not fully allow for quality effects and for exports by Japanese firms from China to the United States. It remains true of course that at the margin the two countries are competing, but for the Japanese firms the response should be either to improve productivity or move to a higher value market niche. For the economy it will be necessary for resources to exit from some activities, such as textiles, and to move to other sectors. The process of exit and entry is, however, one that is proving difficult in Japan.

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Entrepreneurship: promoting entry and exit

The process of entry and exit appears to be more difficult than in many other countries, particularly since 1973, with important consequences for growth. The White Paper on SMEs suggests that the rate of firm turnover is about 8-9 per cent compared with 16-22 per cent in other OECD countries (Figure 26). The link between competition and productivity relies in part on entry and exit. A study for the *Growth Project* based on micro data shows that firm dynamics (*i.e.* birth and death, growth and decline of individual firms), while not the most important component of innovation and aggregate productivity growth, nevertheless makes an important contribution.[84] In some sectors, such as those with fast changing technology, entry is a key factor, but in others exit is a key to productivity growth. As in many European countries, regulatory barriers to entry are important (Table 22). However, in certain aspects Japan has also had excessive entry. The strong commitment to lifetime employment and the lack of emphasis given to profitability means that firms have competed in all market niches rather than specialising. Moreover, to absorb employment they have also tended to expand into the same areas at the same time (Porter *et al.*) and into fields in which they have no evident comparative advantage, such as steel companies opening theme parks. This has led to inefficient – and probably excess – investment and to low productivity and profits. Correspondingly, the process of exit has been exceedingly difficult (despite the widespread use of recession cartels and agreed cuts to capacity in the late 1970s and early 1980s),[85] and is a major factor explaining low productivity in key sectors such as construction and retailing.

Entry

Although the rate of business start-ups increased somewhat between 1996 and 1999 the trend has been firmly downward for several decades including the boom years of the 1980s. The consequences appear to be similar to other countries: multi-factor productivity growth is positively related to the business start-up rate in the sector.[86] The relation reflects more than sector expansion since the business start-up and closure rates are also closely related.[87] With land prices falling through the 1990s, start-up costs should have eased, thereby promoting new businesses. However, a survey has found that this has not happened: start-up costs are still 40 million yen if real estate is purchased and 10 million yen without. The self-financed portion amounts to some 30 per cent. This could be a barrier for entrepreneurs, particularly as the bankruptcy code (unlike in the United States) does not protect their home and car.

Venture capital is thought to remain in short supply and what there is appears to be rather light in providing managerial assistance to the new enterprise (Figure 27). Moreover, venture capital institutions tend to handle a comparatively large number of cases (see the 2000 *Survey* for details). A great deal

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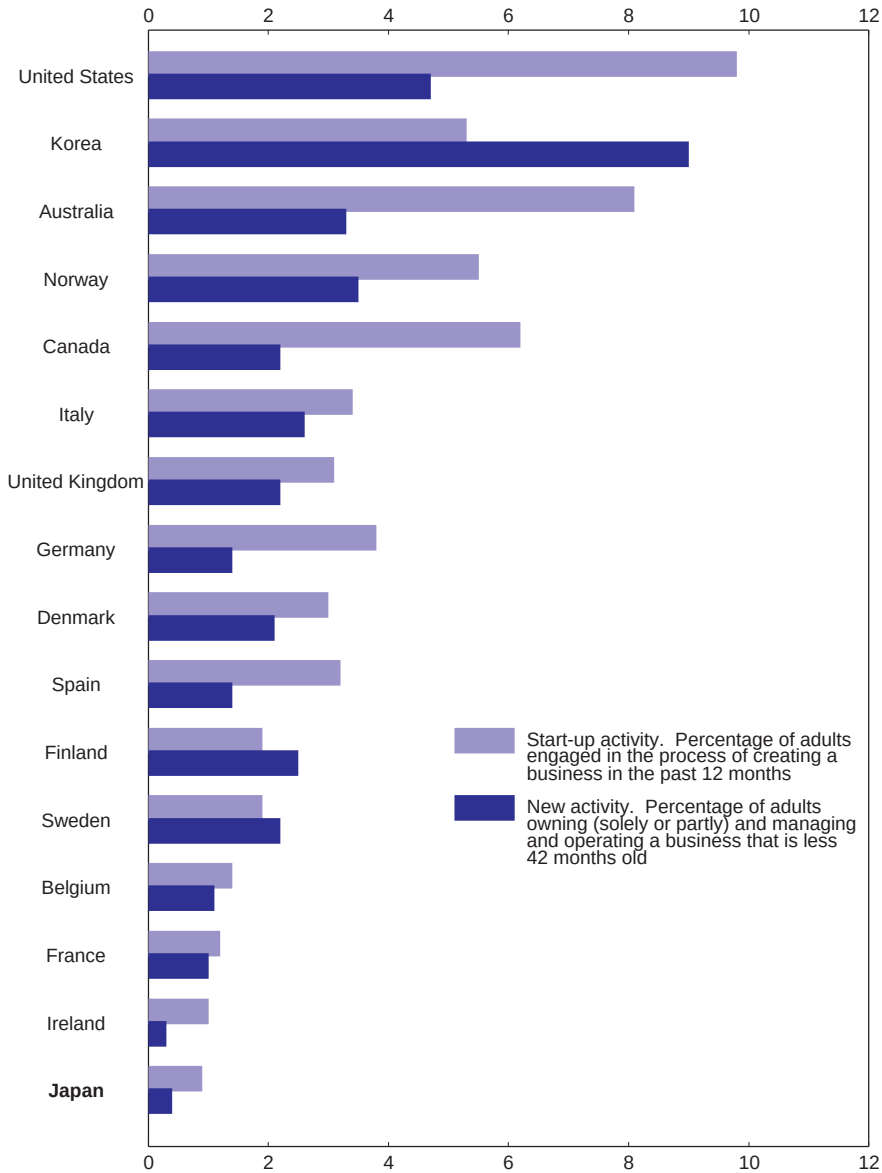
Figure 26. **The level of start-up activity is low**

The level of entrepreneurial activity across OECD countries



Source: Global Entrepreneurship Monitor 2000.

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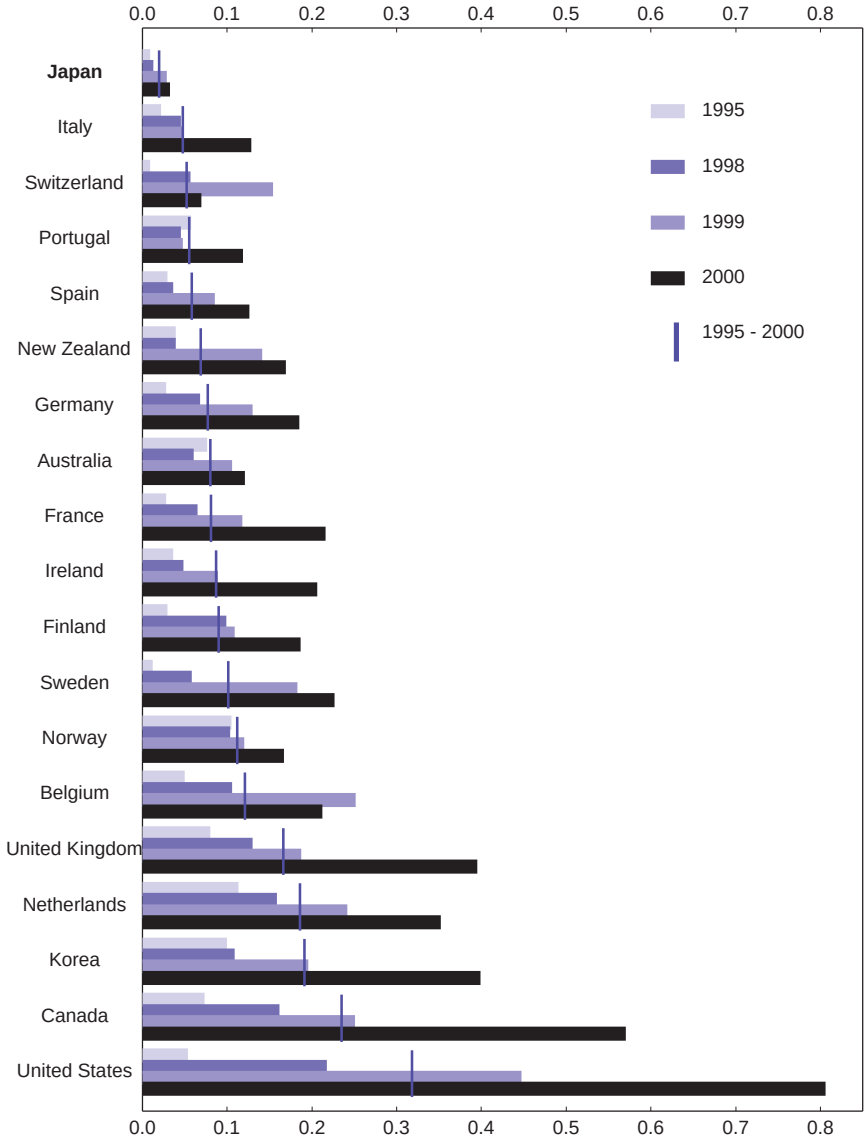
Figure 27. **Japan is behind in venture capital**

Venture capital investment in early stages and expansion
"country of management" approach, % of GDP



Source: EVCA. various Yearbooks, NVCA, various Annual Reports, Canadian Venture Capital Association (CVCA), Asian Venture Capital Journal, The 2002 Guide to Venture Capital in Asia.

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of hope has been placed in the development of three competing markets for venture securities in recent years (*i.e.* NASDAQ Japan, the Tokyo Stock Exchange special board (MOTHERS), and JASDAQ, the over-the-counter market of the Japan Securities Dealers Association in Tokyo). MOTHERS and NASDAQ Japan adopted an auction system similar to that of NYSE and the latter also introduced a market maker system. The exchanges have promoted the adoption of quarterly disclosure of financial results and of corporate governance arrangements. One of the markets (MOTHERS) has also tightened its de-listing requirements to increase confidence in listed stocks. IPOs on the three exchanges are expected to be 150-160 in 2002 up from 147 last year but the volume of finance to be raised is expected to be sharply down, NASDAQ Japan closed in August.

Against this background, the government has introduced over the years a large number of measures to aid start-ups. But the key issue is to lower regulatory entry barriers which might also open the way for more FDI (*e.g.* Box 6). Support for start-ups include management training, loans, subsidies and special tax treatment. However, the support system appears to be complex and confusing with a participation rate of only 10 per cent by new entrepreneurs. A single source has been proposed but it would need to be accompanied by efforts to reduce regulatory barriers to entry more generally. An important initiative proposed by the central government is the creation of "special structural reform zones". It is intended for local authorities to take the initiative in identifying key regulatory barriers to development in a given area. The proposed system would then allow them to give a waiver to avoid such regulatory hurdles. Examples might be a port facility being given a waiver from say some labour regulation, or an industrial park being allowed to employ foreign engineers more easily.[88] In many instances, the barriers are not due to local actions but to the central government. A graphic example of the lack of power at the local level was illustrated in Mie prefecture. Having promised to cut regulation of economic activity, the prefectural government discovered that it only controlled some seven regulations, with thousands directly controlled by the central government. Unfortunately, the proposal to create "regulation free zones" with local initiatives is already facing opposition from Ministries, which wish to bring the programme under their control, with each having their own programme. This would risk allowing interest groups to block an area or city moving ahead on its own. The key should remain local initiative, which makes it easier to identify specific regulatory barriers. However, the initiative should be seen as a pragmatic way forward with the objective in the end to extend the regulatory reform nationally. The importance of opening opportunities more generally is acknowledged by the government, so that its economic strategy includes a very wide range of proposals (Table 23).[89]

The process of exit: bankruptcy and restructuring institutions

A significant problem has been the slow exit process from activities that are no longer profitable. This is particularly the case in the troubled sectors such

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Box 6. Barriers to entry in the professions

An important aspect of the move to a more transparent and accountable system of both business and public administration is a greater demand for legal and accounting services. Demand for such services is also rising with the gradual formalisation of corporate governance and commercial relations. However, entry to these two occupations is restricted by formal and informal regulatory barriers.

Last year's *Survey* welcomed the Judicial Reform Council's recommendations to, *inter alia*, ensure an adequate supply of candidates for the restrictive bar exam by allowing law schools to be established from 2004 with the objective of increasing the number of lawyers. Moreover, the new government announced that it would implement the recommendations. Nearly one year later it appears that the process has become entangled in a dispute involving not just the current members of the bar but also members of the government. The case highlights the tendency for regulations to undo what is intended at the outset as well as the complexity of the legislative system, with the government having to deal with LDP policy councils before submitting a bill to the Diet. The idea of post-graduate law schools was strongly opposed initially by judges, prosecutors and lawyers who argued that quality would be jeopardised if the number of legal professionals increased significantly. In response, the government promised that the schools will thoroughly train people from a wide range of backgrounds. The training system will, however, remain complex: the judicial apprentice system run by the supreme court for people who pass the bar examination will be maintained even after the post-graduate system of practical education is introduced. The freedom of association between foreign and domestic lawyers remains highly restricted and a regulation even disallows the use of foreign partnership names in that used by a Japanese practice.

Accounting and audit is another crucial business service activity hamstrung by restrictive practices and regulation. Japan has only 14 000 certified public accountants (CPA) (one tenth of the CPA/population ratio in the United States) with 800-900 passing a very difficult examination each year. Demand is set to rise further if the Tokyo Stock Exchange demands that quarterly audit reports be released to the public as in other financial centres. Yet the restrictions which are intended to preserve "high quality candidates" have not prevented a string of misleading corporate accounts being issued. Reforms will need to aim at boosting numbers, and with some further convergence to the international accounting standards (IAS) underway, the qualification system will need a more fundamental review.* Moreover, the accountancy sector should be made more competitive by allowing firms to advertise and by liberalising audit fees, which are currently set by the Financial Services Agency. Audit firms and consulting activities are generally separated in Japan thereby lowering the danger of conflicts of interest.

* Accountancy services will also come under pressure to reform from commitments to GATS and movements to greater acceptance of mutual recognition. For a discussion see F. Kimura, "Globalisation and harmonisation: the case of accountancy services in Japan", in T. Ito and A. Kreuger, *Trade in services in the Asia-Pacific region*, NBER, 2002.

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Table 23. **The new three-year programme for regulatory reform: a summary**

Medical care
- Liberalisation and computerisation of examinations of medical fee bills and reinforcement of the functions of the insurers
- Review of the regulations of management of medical institutions
- Review of the medical fee system

Welfare and childcare
- Competition on equal terms among various management bodies in in-facility long-term care
- Expansion and qualitative improvement of childcare services
- Review of regulations concerning social welfare corporations

Human resources (labour)
- Securing smoother job transition (expansion of the job placement market)
- Increase of temporary workers and expansion of fixed-term work contracts, etc.
- Measures for dealing with new types of workers

Education
- Development of competitive environments for higher education
- Reform of elementary and secondary education

Environment
- Reduction of greenhouse gas emissions
- Reviews of various systems concerning waste/recycle problems

Urban renaissance (housing/land, public works)
- Ensuring transparency of the real estate market
- Review of various systems related to cities, such as planning
- Facilitation of condominium rebuilding, etc.

Competition policy
- Expansion of the open and competitive bidding system

Legal affairs
- Clarification of the scope of legal affairs that are to be monopolised by lawyers
- Ensuring speedy reorganisation procedures through the revision of the Corporate Reorganisation Law

Financial sector
- Legislative measures for over-the-counter sales of Exchange Traded Funds (ETFs) by registered financial institutions including commercial banks
- Establishment of a new transfer system for reducing settlement time and cost

Agriculture
- Examine the current system and situation with regard to farming corporations and take measures to facilitate joint-stock corporations to be established for farm management

Distribution
- Development of a regulatory system for franchise systems
- Investigation for the early review of the "guideline" of "Daiten-Ricchi Ho"

Energy
- Expansion of the scope of liberalisation of electric power retail sales
- Expansion of the scope of liberalisation of gas retail

Transport
- Acceleration of introduction of one-stop services of import and export procedures at ports
- Regulatory reform in the truck transportation business (shift in the charges and freight regulations from the current prior notification system to the *ex post* facto report system, abolishment of the regulations regarding business areas)

Source: The Three-Year Programme for Promoting Regulatory Reform (revised), Cabinet Office, April 2002.

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as construction, retailing and food processing. Underlying the system has been the process of governance that placed little emphasis on servicing capital, strong *de facto* employment protection combined with a commitment to life-time employment by management (see below), and a banking system that has extended extraordinary forbearance and large scale debt forgiveness to companies in difficulty until only recently (Chapter II). The role of the banking system has been particularly important. A number of studies have failed to find much evidence of a credit crunch during the 1990s. Nonetheless, there is evidence that the banks stifled growth by misallocating credit.[90] Bank support for troubled and non-competitive firms prevented the needed restructuring of non-financial firms from occurring, but banks in turn suffered from weak balance sheets reducing their capacity to force such a redirection of finance. Exit is now picking up strongly and deepening, although the process is far from optimal.[91]

In dealing with reorganisation and bankruptcy there is an important role for debtor in possession financing (DIP) and the government recognised its importance in the Emergency Package of April 2001. Legal changes are being investigated with the intention to legislate any revisions in FY 2003. In the meantime, the government's Development Bank of Japan (DBJ) has been authorised to set up a Corporate Reorganisation Loan System which, *inter alia*, provides DIP financing to companies in distress that have filed for bankruptcy, provided they are "economically or socially useful" and involved in a business with the potential for growth.[92] The market remains small, only amounting to some 100 billion yen most of which is provided by the DBJ.

The small size of the DIP market, despite the fact that lenders are said to be able to earn some 1-2 per cent in fees and charge up to 300 basis points above LIBOR, is due to regulatory/legal barriers that should be changed and behavioural patterns which might only change over time. On the legal and regulatory side, lenders are not accorded "super priority", with tax and labour claims taking precedence over DIP loans.[93] Moreover, although the FSA has now stated that DIP loans will be treated as "healthier loans", following changes to the examination manual in 2001, banks still have to disclose them as loans to bankrupt companies, hence inflating their bad loan numbers. Legal and regulatory changes are therefore required in order to facilitate reorganisation and exit from activities. However, efficient DIP financing also depends on a company filing for bankruptcy in time while there are still unimpaired assets and cash flow. In Japan companies often file for bankruptcy only just before they become insolvent – or otherwise not at all – due to the social stigma involved. The Civil Rehabilitation Law (*Minji Saisei-ho*) was intended to encourage firms to file sooner, but some observers feel that this has not happened to date.

There are now several procedures for firms to settle with their creditors and these will have an impact on resource allocation. The multi-creditor

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out-of-court guidelines (based on the "London conditions" set down by INSOL International) provide a framework for, *inter alia*, debt/equity swaps. Companies would need to hold a creditors meeting to discuss a restructuring plan and they must win endorsement from all creditors within three months. The plan would need to show a return to pre-tax profits within three years and negative net worth should also be redressed in a similar period. Shareholders would also be required to suffer a loss and the management would resign once a plan has been agreed. These guidelines have been used on only a few occasions (see Chapter II for details). The preferred path has been via the Civil Rehabilitation Law, which has been used by 1 502 companies up to the end of 2001 with accumulated debts totalling just over 12 trillion yen.[94] Courts can approve a restructuring plan more quickly than under existing laws and approval is required by only half the creditors as opposed to two thirds under other procedures. Courts can also protect vital assets against a creditor. Another advantage of this route is that it ensures that shareholders and not just creditors bear part of the losses: the courts can authorise a capital reduction as part of the plan and allows companies to issue new shares to creditors once the reduction has taken place. This makes debt/equity swaps in the context of a restructuring plan easier. One criticism often heard is the lack of a statutory creditors committee.

The normal bankruptcy law and the corporate restructuring law (*Kaisha Kosei*) remain available, but with the latter a restructuring plan requires on average two years to be approved and so has not been the preferred method.[95] There are now proposals to bring the restructuring provisions closer in line with those of the Civil Rehabilitation Law in 2003. Courts will be allowed to approve large asset sales without creditor approval of the reorganisation plan. This would allow subsidiaries, plants, etc. to be sold rapidly. As with the Civil Rehabilitation Law, the reorganisation plan would need to be approved by over half the creditors rather than two thirds as at present, and the plan would need to be agreed within one year. Finally, DIP financing would be given clear priority if the firm under reconstruction fails.[96] However, in contrast to the Civil Rehabilitation Law, existing top management must leave the company under this rehabilitation procedure.

The developing framework and practice of corporate governance

The relationship of corporate governance systems to growth and, more importantly, its sustainability is controversial. Given the importance of other factors such as the degree of competition, a consensus on anything but specific aspects might never be reached.[97] In Japan, "insiders" dominate practically all aspects of corporate governance and this is strongly related to two other features: high gearing and excess use of capital with consequent abnormally low returns. It would appear then that "outsider" influence should be increased, but this is not simply a matter of having more outsiders on the board. Rather, shareholder rights

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need to be better enforced since they are the only group with a focus on the rate of return to investment. Such a rebalancing should also include more demanding accountability of fund managers. It should be noted that large exporting firms already give a greater weight to shareholders, but this is not true of the domestically-oriented sectors.

The amendments to the commercial code include a mixture of good and bad features from the perspective of corporate governance (especially shareholder rights) and the efficiency of Japan's capital markets. On the positive side, on-line voting will be permitted and needless restrictions on capital structure, per share value, stock options and share buybacks, including opening the possibility to hold treasury stock, have been eliminated. On the other hand, the minimum period between mailing the notice of a shareholder meeting and the distribution of proxy forms will remain two weeks.. Given the fact that 95 per cent of shareholder meetings take place during the same week of June (85 per cent this year) and 77 per cent of these on the same day, little time is available for shareholders to vote responsibly. This is also important given the rise in foreign shareholding and might partly explain problems some companies are said to have had in obtaining a quorum for shareholder meetings.[98] In response, the new code makes it possible for firms to reduce the quorum requirements for extraordinary resolutions from above 50 per cent to one third. In the context of tight cross-shareholding by friendly firms the provision could be problematical. As such resolutions cover aspects such as mergers, the proposal may weaken the power of a number of shareholders to defend their interests. This is particularly so seeing that most mergers are not negotiated on an arms length basis. Having a quorum above 50 per cent at least means that management will have to convince a larger number of shareholders and not just a group of "stable shareholders" who usually control at least a third of the issued capital. A notable omission from the amended code, is that the prohibition on using shares of a foreign company to finance mergers and acquisitions in Japan has not been lifted.

The new corporate law allows firms to choose between three models for their board of directors and increases the role for more clearly defined outsiders.[99] The corporate officer has also been established in the new law allowing a formal separation of overall supervision from the management of daily operations. Firms can choose to move to a US-style system where the responsibility for overseeing management will be with non-executive directors. The statutory board-level auditor (*kansayaku*) would then be abolished. Those introducing the new system will be required to set up three committees, which are composed mainly of outside directors, charged with auditing, appointing directors and deciding compensation of each director and corporate officer. Outsiders must account for a majority of members of these committees. The law also specifies that the outside directors should never have worked for the company or its subsidiaries. Firms can choose to stay with the present system but will be required within three years to

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increase the number of statutory auditors. A variation of the existing system has also been established by which a critical assets committee will be set up that promises the firm greater decision making flexibility.[100] The company which establishes such a committee must have 10 or more directors and at least one non-executive director.

Although enterprises have accepted the corporate officer system and have started to appoint more outside directors, indications are at this stage that the US style option for the board does not have a large following. One recent survey indicates that some 50 per cent of major companies (some 300) have introduced the chief executive officer (CEO) system.[101] The motive for doing so appears to be as part of reforms to decrease the size of their boards, which have come down to an average of 15 directors (25 per cent smaller than three years ago).[102] A growing number of firms are also increasing the number of outside directors but their numbers remain small. Moreover, there is a trend to appoint people from firms with no relationship to the company. Nevertheless, many companies are cautious about introducing the new US style system often arguing that the pool of suitable candidates to be outside directors is not large enough. This is in part because lack of job mobility among talented managers means that not many individuals are available with generalised business experience. In any case, they argue, outside directors will be put off by the potential for shareholder law suits.

Improving the quality of regulation

Despite welcome moves to increase transparency and accountability of the regulatory process through the introduction of comment periods for the public and no-action letters (by which the authorities confirm that a proposed action by a firm will not lead to regulatory action), there is still a long way to go before Japan reaches comparable international standards which should, *inter alia*, promote inward FDI. The Administrative Procedure Law has been in existence since 1994, and the public comment procedure since 1999. For 88 per cent of applications received by the central government there is now an explicit criterion for judging the application and for about 80 per cent there is a standard procedure. These ratios are much lower at municipal level.[103] Nevertheless, submissions to the Council for Regulatory Reform suggest that the regulatory system is still regarded by many as unsatisfactory. It remains hard to know what the rules are and, when they are known, they are applied arbitrarily. The problem appears to stem from fundamental attitudes toward clarity even though it seems to vary greatly across ministries and institutions. For example, some ministries treat the comment period and the incorporation of comments in only a pro-forma manner.[104] For fiscal year 2001, comments were requested on 331 cases but these resulted in revisions in only 56 cases. Public comments were not requested in 11 cases that concerned cabinet decisions which are exempted from the procedure. Some key regulators

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Box 7. The spread of regulation and increased barriers to entry: the example of fitness clubs

Fitness clubs started up in Japan during the 1980s but before long two Ministries set up a system of permits, mandatory lectures, study sessions, credentials and levels for sports club professionals. The Ministry of Health and Welfare (MHW) created the Foundation for Activities Promoting Health and Bodily Strength which licensed two categories of workers: health exercise guides and health exercise practice guides. In conjunction with the Ministry of Education they then jointly sponsored the Japan Health and Sports Federation which granted permits to the first category while the MHW founded the Japan Aerobics Fitness Association which granted permits for the latter category. The Ministry of Education then set up the Japan Gymnastics Association that devised two credentials for Sports Programmer at the first and second level with fees to be paid. The Central Association for Prevention of Labour Disabilities then requires the instructor to attend twenty days of study sessions at a significant cost before obtaining a permit to be either a health care trainer or a health care leader. Thus to be an aerobics teacher requires dealing with four agencies and to pay for six permits.

The example illustrates several features dealt with in this *Survey* and in the 2000 *Survey*. First, the widespread use of agencies, foundations, etc. that are related to the Ministry responsible for the activity and for regulation. Moreover, these bodies are invariably staffed by retired civil servants from the same Ministry (*amakudari*) and are responsible for managing their own revenues. Second, the regulations control access to an activity and restrict business to the routine path. However, they frequently tend to leave the activity itself largely unregulated.

and officials do not appear to see the primary role of government as providing a supportive and facilitating framework for market operations.[105] This means that the temptation to back up new systems of governance with old style administrative measures and controls must be continuously resisted. Yet the mechanisms to do this are weak and the tendency to revert to old practices strong (Box 7). A good example of this weakness concerns the application of the no-action letter system, which is in principle a big step forward even though only nine have been issued so far in FY 2002. However, each administrative body has established its own guidelines with the risk of inconsistent application and understanding. Moreover, the letters are not legally binding and there is no clear appeals procedure.

In some cases, regulations simplified in one area have been replaced by new ones elsewhere as other administrative institutions rush to fill what might be regarded as a void. This appears to be the case with the new Large Scale Retail

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Location Law, which came into force in June 2000. There appears to be excessive and sometimes inconsistent regulation at local level which the Council for Regulatory Reform believes has led to procedures becoming more complicated and expensive. A number of affected parties have called for the new law to be backed up with strict enforcement and by access to an appeals procedure. These calls raise a key issue which is probably at the heart of continuing complaints about the regulatory system: weak enforcement.

Improving the allocation and supply of labour

Enhancing growth prospects requires labour market policy to meet two challenges: maintaining labour supply and utilisation over the medium term, and promoting/assisting the redeployment of labour from poorly performing activities. The Japanese population is estimated to start declining from 2007 and the population of working age has already been in decline since the mid 1990s. The most recent projection by the National Institute of Population and Social Security Research in January 2002 is for the population to reach its peak of 127.7 million in 2006 and then to decline to 121.1 million in 2025 and 100.6 million in 2050. The dependency ratio (share of population above age 65) will accordingly increase from 17.4 per cent in 2000 to 28.7 per cent by 2025. The expected fall in population is not only due to a delay in the timing of marriage but also to a significant decline in the number of children per couple.[106] Many experts suggest that women tend to avoid having children in favour of maintaining their employment. Faced with these developments the participation rate of both the older population and women will need to be increased or at least held at present levels to maintain labour supply.

Low aggregate labour productivity is *prima facie* evidence of misallocation of labour. Improving labour allocation necessitates greater labour mobility and a much larger role of external labour markets than hitherto. Pressure for change in this direction will rise with progress in the reform of the banking sector, which provided financial backing to the misallocation of labour and the dependence on internal labour markets. External labour markets are underdeveloped, which means that essential market information that is also important for human capital decisions by individuals might be inadequate (see Chapter IV). The reasons for this situation come down to private arrangements which were efficient in the 1950s and 1960s but which now involve negative externalities. Being essentially private contracting arrangements they are difficult for public policy to address. The key institutions are: a seniority-based wage structure that discourages labour mobility and makes firms unwilling to hire mid-career workers;[107] lack of portability of firm-based pensions;[108] lack of information; and a promotion system based on a firm-specific age cohort.[109] It follows from such a system that the practice of employment protection is extremely important for the workers involved (*i.e.* the insiders). The potential levers for policy are changes in employment protection

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legislation (EPL), support for job matching and training institutions (Chapter IV), and measures to raise female labour force participation and employment of older workers.

Easing the restrictive employment protection practices

The tradition of life-long employment (prevalent in large firms but also respected in spirit by smaller enterprises) appears to remain very much alive despite the difficulties of the 1990s and the large reduction of employment in manufacturing.[110] In the past, firms have kept redundant workers during a downturn, while inter-firm and occupational mobility has remained restricted. To support the practice, firms have often diversified into completely different activities, financed by free cash flow and easy bank lending. Labour policy has also supported such firms by providing employment subsidies. Public infrastructure projects in rural areas have been used to absorb unemployed and redundant workers, even though they might be a very costly policy measure. However, with economic growth weak during most of the past decade, firms have intensified restructuring efforts to reduce excess labour and they have increasingly replaced permanent employment with part-time workers and temporary workers. Since chronic excess labour in some industries seriously lowers productivity and profitability, a shift of labour from those unproductive sectors to productive activities needs to be promoted through enhancing labour mobility. This requires both easing the actual implementation of employment protection legislation (EPL) and strengthening the social safety net, which is poorly developed in Japan. Empirical studies suggest that easing EPL could increase employment by encouraging the participation of youth and women, offsetting some negative impacts on employment for the prime-age groups. A number of studies also show that strict EPL could affect growth and innovative activity, though the precise impact depends on the type of wage bargaining in place. The institutions in Japan appear to be consistent with industries such as auto-production or steel with a cumulative knowledge base, but less suited for a range of other activities (Box 8).

International comparisons of employment protection (OECD, 1999) indicate that Japan is one of the countries where it is relatively strict.[111] In particular, protection for regular employment is strict, as shown by Table 24, which ranks Japan at 20th among 27 OECD countries (*i.e.* Japan's employment protection is stricter than 19 other OECD countries). Restrictions on temporary employment are also relatively tight, though they might have become somewhat weaker than the table shows as the evaluation is based on the situation in the late 1990s. Among the components of protection for regular employment, difficulty of dismissal is the third strictest among OECD countries. Even though only a few requirements for dismissal are set in the law, the courts request firms to justify the fairness of redundancies by demonstrating appropriate past efforts to avoid the action (*e.g.* through in-house transfers or

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Box 8. Labour market institutions and growth

Innovation and productivity growth might be directly driven by the degree of competition and by the value of the property rights created by IPRs, but the actual process is likely to be intermediated by labour market institutions and by technology. For example, in some industries technological change or innovations might require downsizing so that the strategy chosen by the firm will be influenced by the cost of labour adjustment (determined by the *de facto* stringency of EPLs) and by its ability to use the internal labour market. The latter will in turn be influenced by the nature of the technology. In a cross section study of R&D intensity in 18 OECD countries (including Japan) covering 18 manufacturing industries, Bassanini and Ernst do not rely on direct proxies of competition but make use of the cross-country comparable indicators of the regulatory framework maintained by the OECD (including tariffs and non-tariff barriers to trade, inward oriented economic regulation and state control, administrative barriers on enterprise start-ups and regulation of intellectual property rights). Labour market indicators, which were developed for the Jobs Study, include measures of *de facto* EPL and whether the industrial relations system is characterised by co-ordination or not.* Japan is characterised as co-ordinated although this year's wage round (see Chapter I) was accompanied by greater wage variation than usual, both within and across sectors. The key results of the study are:

- There is an unambiguous negative association between R&D intensity and indicators of non-tariff barriers and inward oriented economic regulation.
- Stronger protection of IPRs is positively associated with higher R&D intensity although there is a problem in interpreting the causality.
- Some aspects of labour market flexibility are positively associated with R&D intensity in low tech industries and in all industries in countries with decentralised wage bargains with little co-ordination.
- Conversely, in countries with a co-ordinated system of industrial relations (which includes Japan) there seems to be a negative association between labour market flexibility and R&D intensity in industries with a more cumulative knowledge base (*e.g.* auto production). With such technology, employment protection and co-ordinated industrial relations regimes encourage the formation of firm specific competencies allowing firms to exploit the potential of the internal labour market. This appears to characterise Japan well.
- By contrast, where the technology appears to be less incremental (entrepreneurial in the terminology of the authors) labour market flexibility appears to be necessary to maintain R&D intensity and productivity gains. It follows that to the extent the old labour market institutions are carried over to these new sectors, Japan would suffer a comparative disadvantage in such industries.

* An industrial relations system can be said to be co-ordinated when: *i*) the wage bargaining process is centralised or co-ordination among employers and/or trade unions sets a uniform band of wages; *ii*) employers and trade unions co-operate as regard to decision making inside the firm; and *iii*) business associations (and/or a tacit code of conduct concerning firm behaviour) have an active role in solving free-rider problems across firms (training, standard-setting, basic research).

Source: A. Bassanini and E. Ernst, "Labour market regulation, industrial relations, and technological regimes: a tale of comparative advantage", CEPREMAP *Working Paper*, 2001-17. S. Scarpetta, *et al.*, "The role of policy and institutions for productivity and firm dynamics: evidence from micro and industry data", OECD *Economics Department Working Paper*, 329, 2002.

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Table 24. **Japan has relatively strict employment protection**

	Score for Japan[1]	Highest countries	Lowest countries	Rank of Japan
Regular employment				
Regular procedural inconveniences	2.0	3.8 (Korea)	0.0 (US, Canada)	12
Notice and severance pay for no-fault individual dismissal	1.8	5.0 (Portugal)	0.0 (US)	16
Difficulty of dismissal	4.3	4.5 (Portugal, Norway)	0.3 (UK)	25
Overall strictness of protection	2.7	4.3 (Portugal)	0.2 (US)	20
Temporary employment				
Fixed term contract	1.5	4.3 (Italy, Turkey)	0.0 (US, Canada, UK, Ireland)	13
Temporary work agency	2.8	5.5 (Turkey)	0.5 (US, UK and others)	18
Overall strictness of protection	2.1	4.9 (Turkey)	0.3 (US, Canada, UK, Ireland)	17
Collective dismissals	1.5	4.5 (Sweden)	0.4 (New Zealand)	2
Overall EPL strictness[2]	**2.4 (2.3)**	**3.7 (Portugal)**	**0.2 (US)**	**17 (14)**

1. Higher score suggests stricter EPL measures.
2. Figures in brackets are based on the weighted average of three components.

Source: OECD *Employment Outlook* 1999.

retraining) and by showing that the procedures are reasonable.[112] However, many observers feel that the courts' requirements for justifying dismissal are too strict, virtually prohibiting firms from dismissing staff for economic reasons. As a result, they make widespread use of early retirement programmes, which means that adjustment is confined to older workers. Recruitment is also usually cut and any openings filled by short-term contracts. The current system which is based on the courts' judgement is also thought to be unproductive and also unfair as firms are not able to know *ex ante* whether their dismissal decision is acceptable or not. Responding to these critics, the Council for Regulatory Reform has recommended that the Ministry start discussions for legislating specific criteria to judge whether a dismissal is acceptable.

There has been some progress in the deregulation of temporary work agency employment (dispatched workers) and fixed-term contracts. Lifting the ban on having dispatched workers in manufacturing plants is under consideration, though the ban still remains in some other areas such as health care, ports, construction and security services.[113] The maximum term for middle-aged and elderly dispatched workers has also been extended from one year to three years, but only as a temporary measure for the period 2002 to 2005. However, the contract term for others is still limited to one year. An extension of the maximum

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duration from three to five years for fixed-term labour contracts for those who have special skills and knowledge or for those over age 60 (often the mandatory retirement age for companies) is under consideration and needs to be introduced.

The unemployment benefit scheme is well designed to prevent moral hazard and to maintain incentives for job search by limiting the duration of benefits to a maximum of 330 days and through a re-employment bonus. However, coverage is narrow with only 40 per cent of the unemployed receiving benefits. The scheme has been expanded to cover more temporary workers since FY 2001 by abolishing the minimum requirement for annual income and monthly days of work. The duration of benefits has been effectively extended by allowing a maximum 2 year extension of benefits for middle aged unemployed who participate in public training schemes. The government has also expanded the safety net for the unemployed not covered by unemployment benefits such as self-employed, and for those whose unemployment benefits have run out by introducing a loan scheme for these people. Although there is some rationale for expanding the unemployment benefits scheme, more attention should be paid to reviewing the strict eligibility for welfare benefits and the weak protection for individuals from bankruptcy, both of which cause serious social problems.

The introduction of work sharing to avoid job cuts by reducing work hours has now entered into the public debate. However, since many firms suffer from excess employment and low productivity, the introduction of work sharing in such conditions could end up depressing productivity even further. In March 2002, the government, representatives of labour unions and the employers' association agreed how to introduce work-sharing arrangements in Japan. The type of work sharing recommended is the promotion of flexible work styles such as part-time work, rather than the uniform reduction of work hours for all workers. Although they do not exclude the possibility of forcing a uniform cut in work hours and a compensating wage reduction at the time of economic recession, they also agreed that such an arrangement should be temporary. However, it is hard to see how such a major move could be reversed once already in place.

Active labour market policy – recent progress and remaining problems

Public expenditure on labour market policy is quite low, amounting to only 0.8 per cent of GDP, which is slightly higher than the US but significantly lower than in many other OECD countries (Table 25). Spending on active labour market measures amounts to 36 per cent of these expenditures, which is also relatively low among the OECD countries.[114] As for the components of active labour market measures, the emphasis is on spending for job creation in the public sector training and subsidies for private sector employment. However, facing a continuous increase in the unemployment rate, which reflects both weak economic growth and a rising mismatch between job offers and applicants, the

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Table 25. **Expenditures on labour market policy are much lower than in Europe**
Expenditure as a per cent of GDP[1]

	Japan	United States	France	Germany	Sweden
1. Public employment services	0.2	0.04	0.18	0.23	0.25
2. Labour market training	0.03	0.04	0.25	0.34	0.31
3. Youth measures	–	0.03	0.42	0.08	0.02
4. Subsidised employment	0.08	0.01	0.37	0.32	0.27
5. Measures for the disabled	0.01	0.03	0.09	0.27	0.52
6. Unemployment compensation	0.55	0.30	1.38	1.89	1.33
7. Early retirement	–	–	0.27	0.01	–
Total	**0.86**	**0.45**	**2.96**	**3.14**	**2.70**
Active measures (1-5)	0.31	0.15	1.31	1.24	1.37
Passive measures (6 and 7)	0.55	0.30	1.65	1.90	1.33

1. All figures are those in 2000 (fiscal year for Japan and United States).
Source: OECD *Employment Outlook*, July 2002.

government has expanded active labour market measures by introducing a series of employment packages since 1998.

Better job matching

Job-search assistance is the least costly active labour market programme and many evaluation studies indicate that it is also the most cost-effective. It is also generally accepted that private placement agencies should co-exist with the public employment service to improve the cost efficiency of their programmes through competition.[115] Regulations covering private placement services have been eased recently, and private agencies are now allowed to offer job placement services for most job categories. Since February 2002, private agencies have also been allowed to charge client job seekers in the field of management and technology, whose annual income is 12 million yen or above. The restriction on the maximum commission which private agencies are allowed to collect from client firms has been abolished. However, to start a profit-making job placement service, permission by the authorities is still required.[116] Abolition of the requirement to obtain permission to start a non-profit-making job placement service is under consideration in line with the recommendation by the Council for Regulatory Reform. Despite the recent progress in this area, resistance to the greater use of private agencies still exists with some concerns about their impact on equity. However, part of the social function of the public employment service can be delegated to private agencies by, for instance, paying fees to them to place long-term unemployed or disadvantaged groups.[117] The quality of the public employment service also needs to be improved. Recent steps in this direction are

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the introduction of "career consultants" (career counsellors) and the attempt to provide one-stop service at the public employment service, including job placement and training.

Grants for job creation

Among the various measures taken by the government, particular emphasis has been placed on subsidies to firms that hire workers. These measures include employment and training subsidies for firms in 15 new and growing sectors (Special grants for creating employment in the New and Growth sectors), employment subsidies for firms that hire middle aged workers from 45 to 60 years old (Special emergency grants for job creation), and employment subsidies for firms that accept transfer of workers from other firms (Special subsidies for the transfer of human resources). Table 26 shows the utilisation of these three measures. Although eligibility for these schemes has been subsequently relaxed, take-up has so far remained very low.[118] However, there is a difficult trade-off for policy makers. If eligibility is eased further in order to encourage firms to participate in the programmes, then more abuses could be generated, resulting in smaller net gains in employment due to increased dead-weight costs and substitution effects.[119] Indeed, many evaluation studies outside Japan show that subsidies to private-sector employment yield only small net employment gains due to such effects.[120] As stressed in previous Surveys, *ex ante* and *ex post* analysis of these schemes remains wholly unsatisfactory, despite the administrative reforms which have set up a policy evaluation unit.

Table 26. **Grants for private sector employment remain underutilised**

As of August 2002

Measures	Budget and targeted increase in jobs	Actual results	Ratio of target achieved
Special grants for creating employment in the New and Growth sectors (August 1999-July 2002)	Approx. ¥ 109 billion, 168 000 jobs	69 866 people (subsidies applied for: 70 098)	Ratio to targeted numbers: 41.6%
Special emergency grants for job creation (January 1999-July 2002)	Approx. ¥ 60 billion, 200 000 jobs	18 197 people (subsidies applied for: 20 585)	
Special subsidies for the transfer of human resources (January 1999-March 2001)	Approx. ¥ 29.8 billion, 70 000 jobs	13 729 people (as of March 2001)	Ratio to targeted numbers: 19.6%

Source: Ministry of Health, Labour and Welfare.

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Public employment programmes

Although spending for public employment programmes has been traditionally very small, it has expanded substantially due to recent employment measures. A fund was set up for local governments in 1999, financed by a special grant from the central government, to promote employment in such public projects whose implementation is entrusted to private companies and non-profit organisations (NPO). Initially, a 200 billion yen special grant was made available, aimed at creating 300 000 jobs in such areas as computer instructors at schools and assistants for elderly care. The public employment programme was expanded substantially by the FY 2001 first supplementary budget, which introduced a new scheme and allocated an additional 350 billion yen to the programme with a view to creating 500 000 jobs in the public sector. In the new scheme, the labour intensity of the projects has been increased and the contract term, which was limited to 6 months in the old scheme, can be extended up to 12 months. Although this kind of temporary employment programme in the public sector can be used as a means of helping the unemployed maintain contact with the labour market, particularly during a recession, the experience in OECD countries suggests that such measures have been of little success in helping unemployed people get permanent jobs in the open market. In this regard, it is important to ensure that they do not become a permanent employment subsidy scheme.

Despite unemployment, more should be done to stimulate labour supply

Although increasing the labour force participation of women and the elderly is very important since the population is projected to decline from 2007, progress in this area has been limited. Even though women's educational achievement is well above the OECD average, their participation rate has considerable scope for rising. At around 55 per cent it is almost in line with the average of the OECD countries, but much lower than those in Nordic and Anglo-Saxon countries. The particularly low female participation rate for the age group 30 to 40 years suggests that careers for women might have been disrupted by childcare. This is partly explained by lack of childcare facilities. To alleviate the situation, the government plans to expand facilities by 50 000 places in FY 2002 and by 100 000 in FY 2004. More importantly, the social security system tends to discourage labour supply by a spouse by waiving contributions to the pension and health insurance systems up to a threshold number of hours and income.[121] Women may also be adversely affected by being less well placed to put in the traditionally long working hours that are necessary for promotion to higher managerial levels.

As noted in last year's *Survey*, the difficulty in hiring older workers arises from their high wages due to the seniority-based wage and promotion system relative to their actual productivity. However, shifting the seniority wage system to a flatter wage profile based on performance pay would require the specification of

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tasks and responsibilities of individual workers within firms and would also need strict performance assessment. Both of these would require major changes to the management systems currently in place. A third of large companies have already adopted re-employment schemes for workers who have reached mandatory retirement age. In these cases salaries are much lower than before, often only around 50 per cent. However, with unemployment benefits based on pre-retirement wages (available for one year) and with the replacement rate around 60 per cent, such workers might be discouraged from accepting employment. A wage profile that better reflects productivity prior to mandatory retirement is necessary. The desirability of maintaining high labour force participation and employment rates of the elderly is also due to the gap between the mandatory retirement age set by firms (usually 60) and the eligibility age for public pensions, which is being raised gradually from 60 to 65.

To deal with the situation of older workers, it is sometimes argued that effective age discrimination legislation is necessary. In principle, one could even call for ending the system of mandatory retirement. Such changes would be counterproductive in the present structure of the labour market with age and seniority based wages and strict employment protection.[122] As already discussed above, since firms are virtually prohibited from dismissing employees for economic reasons under the current implementation of EPL, mandatory retirement is crucial for firms as a means to adjust staffing levels. And rising wage costs are also capped by mandatory retirement. To maintain employment of the elderly, an easing of the court's interpretation of EPL is important and laws and regulations should be carefully adjusted so as to encourage changes in labour market institutions.

Improving the fundamentals: an overall assessment of structural policy

The key issue facing the government is not only how to bring the economy out of a protracted recession but also how to place it on a secure path for adequate future growth, even at a time when the population will start to decline. For this to take place, productivity growth must be improved, especially in the under-performing sectors, and resources will need to be shifted from them to more productive activities. Administrative guidance and overall direction of financial flows might well have worked in the past – although this is still arguable – but for the future, market incentives should drive the way. Foremost among these will be the process of competition, although the impact on growth will also depend on corporate governance arrangements and the operation of an external labour market. A general summary of recent developments of structural policy and recommendations for measures which are needed to move the economy in this direction is given in Table 27.

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Table 27. **Recommendations for structural reform and assessment of progress**

Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2001 Survey	Survey assessment/recommendations
I. Reform the financial sector		
i) Recapitalise the banking system	For new bad loans, major banks are requested to write off 50 per cent in a year and 80 per cent over two years so as to eliminate them within three years. A share-purchasing corporation has been established to assist banks in reducing their equity holdings. Greater flexibility has been given to the Resolution and Collection Corporation (RCC) in deciding the purchase price of bad debts to increase purchases from sound banks.	Raise pressure on banks to improve loan classification and establish appropriate provisions. Speed NPL disposal. Force bank restructuring including closure of banks. Bid price of the RCC should not include a subsidy to banks.
ii) Shore up the life insurance sector	A proposal to allow a reduction in the guaranteed return on policies before the failure of insurers is under discussion.	Need to review the process of de-mutualisation of life insurers as only a few have been incorporated. Create flexibility to lower guaranteed returns. Caution on deeper capital links between banks and insurance.
iii) Tighten regulatory oversight and boost transparency and disclosure	Special inspection for major banks focusing on large borrowers has been introduced. The first result was published in April 2002. Protection of time deposits over 10 million yen per depositor has been lifted since April 2002. Planned abolition of the remaining restriction postponed until April 2005.	Introduction of the special inspection is good progress, though tighter loan classification is still needed. The re-introduction of such a scheme is important to address the risk of moral hazard facing both banks and depositors, and the pressure for bank restructuring needs to be strengthened.
iv) Review the role of state-owned financial institutions	The government housing loan corporation will be abolished by FY 2006. Reform plans for the other major public financial corporations are under discussion.	Reform of public financial corporations and postal saving should be dealt with immediately. Postal savings should be obliged to pay deposit insurance and to introduce a fee on all deposits to reflect the costs, while the cost from universal service obligations should be compensated in an explicit and transparent manner.

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Table 27. **Recommendations for structural reform and assessment of progress** (*cont.*)
Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2001 Survey	Survey assessment/recommendations
II. Enhance product market competition		
i) Accelerate deregulation	The Council on Regulatory Reform has adopted a comprehensive deregulation programme for the next three years. Proposed introduction of special zones for structural reform attracted more than 400 proposals by local governments and private sector.	The planned special zones for regulatory reform should be introduced with local initiative respected. It is a first step to nation-wide reform.
ii) Further strengthen competition policy	A government council has proposed to strengthen competition policy by raising fines and expanding the scope of FTC's investigation.	Strengthen enforcement activity by giving FTC coercive investigative power and by raising fines to at least the value of the violation. Need more professional economists in FTC. Make secretariat of FTC independent.
iii) Take steps to encourage competition in network sectors	Asymmetrical regulation of telecommunication and the disputes settlement commission were introduced by new telecommunication law in 2001. The regulator and the FTC have issued competition guidelines for telecommunication business including rules governing the operation of the incumbent. Discussions underway for further liberalisation of the electricity market. The Diet passed new bills, which established an independent agency for postal and related services and defined conditions for the entry to mail delivery service. New agency is allowed to enter or remain in competitive markets.	Set-up independent sector regulators. Need more effective enforcement of pro-competition policy to counter the abuse of market power by the dominant player. Greater use of *ex ante* prohibitions and stronger powers of investigation are needed. Increase interconnection and transmission capacity and separate transmission from generation. The entry requirements for basic postal services appear to be restrictive and the regulatory system needs to be clarified. Clearly define the extent of universal service obligation of postal banking and postal insurance services provided by the new corporation and compensate directly in an explicit and transparent manner.
iv) Eliminate use of supply/demand adjustment mechanisms	The entry restrictions due to supply/demand adjustment were removed for taxis in February 2002. Such restrictions still remain for port transporters except major 9 harbours.	Emergency market excess clause for taxis should be applied with prudence.

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Table 27. **Recommendations for structural reform and assessment of progress** (*cont.*)

Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2001 Survey	Survey assessment/recommendations
III. Promote industrial restructuring and boost technology and innovation		
i) Update the Commercial Code and ease restructuring	The Diet has passed the revised commercial code, which allows firms to adopt a US-type management system. Replacement of statutory auditors by an audit committee including outside directors is optional with alternative of maintaining improved statutory auditors system comprising outsiders who are at arms-length to the enterprise.	Outsider influence should be increased further not simply by having more outside directors but by enforcing shareholder rights. Lowered quorum requirements for extraordinary resolutions such as mergers could weaken the power of a number of shareholders to defend their interest.
ii) Revise the patent law	Revised law for patent attorneys has been in force since January 2001.	Monitor new system.
iii) Increase emphasis on basic research and improve efficiency of public technology spending	The basic plan adopted in March 2001 envisages allocating 24 trillion yen over the next five years to four areas: IT, environment, biotechnology and nanotechnology.	Continue university reform. Get the university structure and incentive right to improve the efficiency of spending. For allocation of R&D look at companies own priorities first and allocate spending accordingly.
iv) Encourage more start-ups and venture business	Support for start-ups including management training, loans, subsidies and special tax treatment is provided by the government. NASDAQ Japan, one of the three major venture capital stock markets, closed in August 2002.	Reduce regulatory barriers to entry in goods and service markets as well as in the professions. The special zones for structural reform could be an important step forward to lower entry barriers.
v) Streamline bankruptcy procedures	The guidelines for debt forgiveness based on the London condition (by INSOL) were agreed in September 2001 but little used. Corporate restructuring law (Kaisha kosei) is planned to be revised in 2003 to bring the restructuring provisions closer in line with those of Civil Rehabilitation law (Minji saisei).	Legal and regulatory changes are required to facilitate the use of debtor in possession financing (DIP). Support the greater use of the London rules.
IV. Liberalise the agricultural sector	Provisional safeguard measures introduced on three agricultural commodities lapsed in November 2001. A restriction on agricultural land area for rice producers is to be replaced by production quota by regions in order to encourage enlargement of production scale per unit. Additional measures for easing the entry of corporations into agriculture are under discussion.	Promote competition and encourage larger-scale operation.

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Table 27. **Recommendations for structural reform and assessment of progress** (*cont.*)
Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2001 Survey	Survey assessment/recommendations
V. Use market-based instruments to improve environmental outcomes	The Recycling law in which consumers shoulder costs of recycling some electrical goods, is in force since April 2001.	Monitor new system.
VI. Boost public sector efficiency		
i) Introduce multi-year budgeting and a medium-term fiscal plan	The government adopted a medium-term economic and fiscal perspective in January 2002.	Spell out specific policy requirements that should guide current and future policy decisions. Include short-term real expenditure targets.
ii) Give greater responsibility to local governments for spending decisions	A part of matching grant has been replaced by a consolidated subsidy. Reform in transfer system between central and local governments is under discussion.	Improve allocational efficiency in local government budgets by reforming transfer system and shifting tax revenue to local governments.
iii) Reduce importance of earmarked funds	A part of the revenue from a road-related earmarked tax has been allocated to other purposes in FY 2002 budget, though the basic framework has remained unchanged.	Promote de-earmarking of revenues.
iv) Increase use of user charges and vouchers	No progress.	Use more vouchers in job training and vocational education.
v) Promote greater use of cost-benefit analysis	Policy cost analysis was extended to 31 major FILP public corporations.	Need proper *ex ante* cost benefit analysis to prevent inefficient infrastructure construction by government and public corporations, especially in road construction.
vi) Improve the bidding system especially at local level	A law to prevent the involvement of government officials in bid-rigging was rejected in 2001 in favour of warmings from FTC.	Review the tendering system which favours local SMEs and leads to higher prices. Bring officials under the enforcement of the FTC.
VII. Reform the pension system		
i) Overhaul the public component to put it on a sustainable basis	The next periodical pension reform is planned in 2004.	Source of government financing from 2004 needs to be settled. Avoid the gradual, parameter oriented approach to the reform.
ii) Ensure the corporate pension system is adequately funded	New laws were passed in 2001.	Move to support implementation of a new system of corporate pension funds, which allows firms and employees to choose either a defined benefit or a defined contribution scheme. Firms are required to take steps to ensure future benefit payments.

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Table 27. **Recommendations for structural reform and assessment of progress** (*cont.*)
Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2001 Survey	Survey assessment/recommendations
VIII. Reform the health care system		
i) Health insurance funds should be integrated to form a larger unit	Integration of health insurance funds is under discussion by a government council but no specific plan has been proposed so far.	This would not only reduce the horizontal inequity of finance through a more effective risk pooling, but also help strengthen their role as agents for patients.
ii) The payer role of health insurance funds should be strengthened	The service of reviewing bills submitted by doctors, which was monopolised by a public corporation, plans to be opened to private agents.	The governance mechanisms of health insurance funds should be strengthened to make management accountable for its performance.
iii) Payment system needs to move further away from fee for service	The official fee schedule has been revised to reduce some distortions between treatments. Trial of the DRG type system for particular cases has been introduced in 10 hospitals. Inclusive payment type system is to be introduced in hospitals specialised in particular functions.	The official fee schedule should correct the existing biases towards hospitalisation and high technology medicine, while moving towards inclusive payments of various kinds.
iv) Regulatory reform of health service provision is necessary	Restrictions on advertisement of medical services have been eased.	Entry restrictions should be eased to promote the restructuring of supply, and so should be restrictions on information dissemination by health service providers. Third- party evaluation of hospitals should be made compulsory.
v) Balance-billing restriction should be eased with prudence	Balance-billing has been allowed for additional 4 cases since April 2002.	A gradual expansion of the list of allowable services should be envisaged in tandem with the formation of consensus on the minimum package of socially-financed services, advances in the practice of informed consent and the development of private health insurance.
IX. Increase the flexibility of employment and improve active labour market policies		
i) Allow temporary employment agencies to play a larger role	Lifting the ban on having dispatched workers in manufacturing plants is under consideration. Maximum term for middle-aged and elderly dispatched workers has been extended to three years for the period 2002 to 2005.	Liberalise dispatched employment in more areas. Extend the one-year limit on fixed-term contracts further.

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Table 27. **Recommendations for structural reform and assessment of progress** (*cont.*)
Based on previous and current Surveys and the Review of Regulatory Reform

Previous Survey's recommendations	Action taken since 2001 Survey	Survey assessment/recommendations
ii) Make corporate pensions portable	See the reform in corporate pensions.	Reform important to promote labour mobility.
iii) Permit private job placement firms to play a more important role	Private job placement agents are allowed to charge job seekers under a certain condition.	The exclusion of port and construction workers is not justified. Use more private agencies for job placement service.
iv) Evaluate the effectiveness of all active labour market policies	Number and size of training programmes increased.	Need to investigate the productivity of the projects and the improvement in the employability in the training programme. Subsidies for employment need to be reviewed for displacement effects and dead weight costs. Ex *post* performance evaluation is poor and needs to be improved.
v)	The unemployment insurance scheme has been expanded to cover more temporary workers by abolishing the minimum requirement for annual income and monthly days of work.	Extend and widen the coverage of unemployment insurance scheme.
X. Increase labour force skills		
i) Improve the quality and availability of training outside of firms	Establishment of one-year vocational education courses at professional graduate schools was allowed in March 2002.	Subsidies for training need to be available for those who do not join the employment insurance scheme. Need *ex post* analysis to check the efficiency of the subsidies.
ii) Improve the education system	10 to 20 universities are to be selected as centres of excellence (COE) in 10 research areas. Competition among national universities is to be enhanced by their corporatisation.	Monitor how these plans will be implemented and whether selection is at arm's length.

Source: OECD.

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Competition in wide areas of the economy must be fostered

In promoting the further development of an efficient market environment, competition policy should play a key role. Greater efforts are needed to reinforce the operations of the Fair Trade Commission, especially in the area of investigation and enforcement where it has been relatively weak. Moreover, it should pursue the prevention of bid rigging by civil servants and monitor the actions of other public organisations, which might remain poorly oriented to stimulating a competitive economy. To carry out its work effectively, staffing policies will need to be re-examined and attention given to hiring sector specialists. Without such resources, the FTC will be poorly placed to deal with the technical issues which will come to dominate the development of competition-oriented regulation in the network and transport sectors. In order to underline the government's commitment, consideration needs to be given to making the secretariat of the FTC independent and not attached to a ministry.

The regulatory system needs to be improved to ease barriers to entry and exit

Regulatory quality and efficiency is particularly important in the key areas of incentives and barriers to entry and exit from economic activities. With respect to entry, there are numerous governmental programmes including incentives to create high technology start-ups. Deregulation measures, however, are much harder to find. In this context, the proposal to create "special structural reform zones" (by which selected regulation which is judged to be a key barrier to growth by the local authorities is waived) constitutes a pragmatic step forward that would finally empower local government to take responsibility and which could counterbalance the political power of vested interests. The reform needs to be implemented as envisaged and not captured by central government bureaucracy. But it should remain the first step to regulatory reform nation-wide. With respect to exit, a great deal has been achieved by the government with more flexible restructuring and bankruptcy laws and institutions. How these will work in practice will depend to a great extent on the will of the banks to force the pace of enterprise restructuring.

A great deal of progress has been made in recent years to improve the quality of the regulatory system. Administrative procedures have been established in many areas, public comment periods for legislation have been introduced, and the principles for no-action letters put in place. However, there is some way to go for these initiatives to become the culture of government. Public comments have sometimes been treated in a perfunctory fashion and no-action letters have been very limited and are in any case not legally binding, while some ministries do not even propose to publish them. Moreover, the test proposed in the *Regulatory Reform Review of Japan* that regulation be necessary and efficient appears to be far from being realised.

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Reforms to the commercial code have now given firms a great deal of freedom to establish their own board arrangements and has also lifted restrictions on their capital financing arrangements. Whether the new code will result in better governance and an improvement in the rate of return on capital will depend on changes in corporate behaviour and that of shareholders including investment funds through a proper exercise of their fiduciary responsibility. Effective shareholder pressure is much more important than the presence of "outsiders" on the board. It will also be important how commercial pressures develop, both from the side of bank lending and bank's activity as "stable" shareholders, and from the side of competition including improved government tendering practices.[123]

Labour markets need to support mobility and increased labour supply

Barriers to improved resource allocation include labour market institutions. If resources are to be reallocated to more productive uses, serious reforms are required in the direction of developing a more active and deeper external labour market. Non-portable pensions, seniority-based wages and strong *de facto* EPL all prevent the development of an external labour market to redirect labour and to provide signals for human capital formation. There is a limit to what policy can do. Employment protection legislation needs to be placed on a more rational basis by the Diet specifying clearly the criteria to be used by the courts. Current moves to increase the flexibility of fixed-term contracts and other forms of temporary work should also be continued. On the other hand, the social safety net needs to be reformed, which means that the eligibility criteria for social benefits should be eased and unemployment insurance widened. Public employment programmes do not appear to be efficient and need to be assessed rigorously, something advocated by OECD *Surveys* for quite some time now.

Japan faces a severe problem with re-employment of older workers, especially for those over 60 years which is the usual age for mandatory retirement. The current system is already evolving in the direction of a steep fall in wages after mandatory retirement and this development will need to be supported by further moves to establish flexible fixed-term contracts for these workers. But in the longer run private arrangements, which have encouraged a very steep age/wage profile, will have to adapt in the direction of more performance-based pay. The profile leading up to retirement would then be flatter and the disincentives to employ older workers less. The guideline covering age discrimination gives an exemption to companies if setting an age limit is necessary to avoid negatively affecting wage payments to existing workers. Consideration needs to be given to removing this exemption.

Labour supply by spouses is still discouraged by the social security system. Reform in this area is urgent and should be accompanied by the development of more childcare facilities. In addition, a more flexible style of employment, such as part-time and fixed-term contract work, should be encouraged by further deregulation.

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IV. Human capital, technology and sectoral policies for growth

This chapter takes up some key regulatory issues concerning the network sectors as well as policy questions more directly linked to growth, including human capital formation and the arrangements for R&D and for university research. The first section examines reforms of the network sectors – telecommunications, electricity and gas and posts. In the context of growth, the sectors are playing different roles. Telecommunications prices and the availability of services has a direct connection via costs with the diffusion of information and communications technologies (ICT). Despite the hype of the late 1990s, the diffusion of ICT appears to have an effect on productivity and growth although the process is complex, and can involve productivity gains in traditional sectors. The linkage of the other network sectors to growth is less direct. Electricity prices are high by world standards so that a reduction in costs due to competition would be expected to raise the steady state level of real incomes so that the direct impact on the growth rate would be only temporary. The postal sector is important because of its control of a huge amount of savings. However, in other countries courier and fast mail services have been an important growth sector. The second section deals with human capital formation covering not only tertiary education but also skill formation more generally that has traditionally been provided by enterprise training. The third section covers the difficult and hard to define area of technology including how policy and institutions affect the way enterprises go about furthering their research and innovation capability. The incentive structure the universities face appears to be an important determinant of their behaviour, and recent policies to improve the productivity of these institutions are also reviewed.

Promoting competition and thereby lower prices in the network sectors

Progress in establishing competition in the network sectors has been mixed, with the greatest progress being in the telecommunications field. In other sectors, resistance from incumbents is proving to be intense and their lobbying activity effective. The government has maintained its policy of retaining the previous ministry in the role of regulator for the relevant sector, albeit with input from the FTC through the joint issue of guidelines.

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Telecommunications

In the fast changing telecommunications market it is important that the authorities continue to develop the regulatory framework in line with changing circumstances. Even though prices are generally tending downwards as in other countries, they remain relatively high in comparison with other countries, especially in some market niches (Figure 28).[124] Market dominance remains an issue to be resolved both in the less competitive basic services and in the newer, more competitive sectors where the issue is the potential by the incumbent for leveraging power from one market to another. Rapid progress is also important in view of the government's strategy to promote the use and diffusion of ICT as part of its overall policy for future growth, and several recent regulatory moves will benefit consumers by stimulating competition.

Last year's S*urvey* noted that an important step forward had been taken with the new Telecommunications Business Law that established the principle of asymmetrical regulation based on market power and also addressed the issue of universal service obligations and dispute settlement. However, the S*urvey* also noted that a great deal would depend on how the enabling regulations are formulated and implemented by the regulator, the Ministry of Public Management, Home Affairs, Posts and Telecommunications (MPHPT). Clearly defined *ex ante* controls of anti-competitive behaviour needed strengthening, with particular emphasis on constraining the behaviour of the dominant incumbent.

In a welcome move, the regulator (MPHPT) and the FTC have now issued competition guidelines, which attempt to bring together telecommunications law and competition law in a comprehensive framework. However, this *ex post* synthesis reveals several weaknesses. First, since the telecommunications sector is still dominated by a powerful incumbent, adequate powers of investigation and enforcement are crucial. Enforcement must be credible through, for instance, the ability to exact heavy fines.[125] Moreover, for competitors it is essential that the dominant player be subject to restrictions on anti-competitive behaviour on an *ex ante* basis and not rely on injured parties to bring a case. In these areas both the FTC and the MPHPT operate with weak laws, and their weakness is compounded by their lack of specialised staff. Second, the new law and the associated regulatory system have been built around the essential facilities concept (*i.e.* the importance of bottlenecks), and they are consequently focused on the ownership of such facilities. It is therefore logical that the regulatory framework has emphasised access to buildings (colocation) and the determination of interconnection fees and conditions.[126] But the underlying issue is the potential for the abuse of dominance by the incumbent, including its subsidiaries and affiliates. Here the current law is, if anything, too explicit and its lack of clear guidance based on competition policy principles might at some stage undermine the enforceability of the associated guidelines. The latter recognise that problems arise from the possession of essential facilities and from "carriers that are

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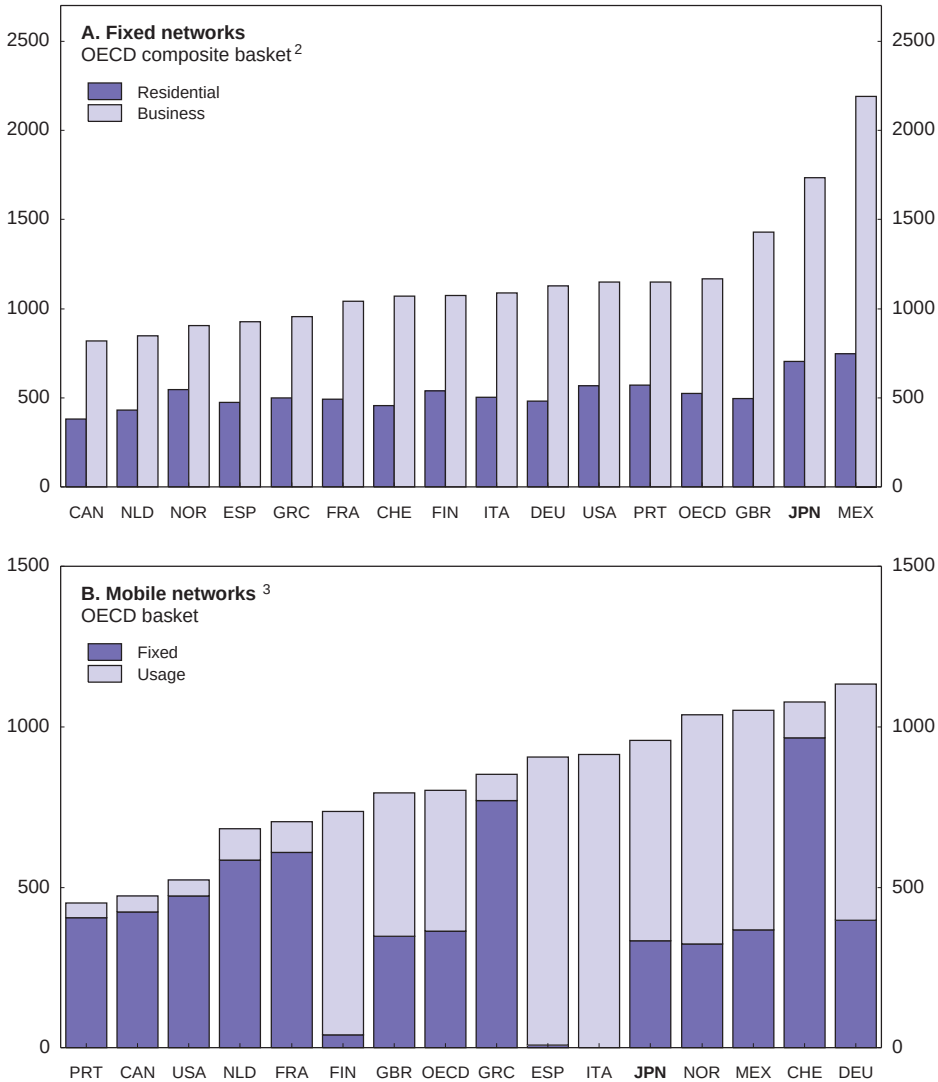
Figure 28. **Communications prices remain high**[1]
August 2002, in US$



1. Fixed and usage telephone charges.
2. Domestic and international services plus calls from fixed to mobile communication networks.
3. High mobile user charges.

Source: OECD.

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assumed to have market power that comes from big market share and other factors". Observers have noted that the authorities do not possess a clear methodology for determining the relevant market for telecommunications services and for assessing market power – other than the ownership of facilities. A new law is under preparation which is intended to address some of these issues.

A crucial feature of the current NTT law is the possibility for the two NTT regional companies, NTT East and NTT West to expand into new competitive areas of business even though they are regarded as dominant carriers enjoying considerable market power in their primary market. The scope of operations can be widened on condition that this does not detract from their usual business (especially the provision of universal service) and that fair competition is ensured through, for instance, firewalls (2001, *Survey*, p. 131). The enacted law thus moved away from the original intention of only allowing the NTT group into new activities in return for first establishing effective competition in its major markets where contestability is weak. The implementing regulations include a criterion – "the maintenance of competition" – which appears to assume that there is already a satisfactory level of competition. The regulations and the practice to date also appear to switch the onus of proof to the regulator who must argue why NTT should not be allowed into new activities rather than shifting the burden of proof to the company. It will be important to assess the situation not only one market at a time but to consider that power in one level of the overall market will often confer power in other sectors. An example of what may be involved concerns the advantages the incumbent enjoys from its customer data base. To encourage further competition in high speed net access, NTT will be required to let new entrants use its customer information relating to connection requirements.

In the absence of measures to change the structure of the NTT group by, for example, breaking it up into competing entities, a great deal of emphasis has been placed on firewalls with little actual physical separation. Last year's *Survey* was sceptical that such procedures would be strong enough to prevent cross fertilisation, information sharing, joint marketing and bundling in view of the commercial pressures at work.[127] Indeed, in summer 2001 the MPHPT was forced to issue administrative guidance three times over unfair marketing practices associated with carrier pre-selection. If firewalls are less than secure, regulatory oversight of *ex ante* rules becomes even more important. The fact that NTT was forced to enter the DSL market and to undercut its existing market in leased lines and ISDN (integrated services digital network) should be seen as a regulatory success. Policies designed to open the local loop to competition (unbundling and line sharing) enabled other companies that provide broadband services to enter forcing NTT to react. Although the incumbent has now achieved a 40 per cent market share, this is low compared which incumbents in other OECD countries. In such a situation, it will remain important to make sure that NTT does not leverage its power in other markets to gain an advantage in this competitive segment at some stage.

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The introduction of a fund to ensure universal service remains on the agenda but needs to be considered carefully. In a market where the majority of the population owns a mobile phone, the case for subsidising fixed line services even in out of the way places needs to be considered by reference to both the costs and benefits involved. In the United Kingdom, for example, it was found that the benefits to the incumbent from being a universal service provider outweighed the costs of being designated to maintain these services.

The Telecommunications Dispute Settlement Commission set up in November 2001 has examined 24 complaints in its first eight months of operation, mostly dealing with colocation and therefore interconnection disputes. The scope of the Commission is limited to contractual matters. It has power to ask for information, and can also recommend to the Minister of MPHPT to force a response. However, it has no power of subpoena and cannot look at anti-competitive behaviour as such, which is the role of the regulator.

A major problem in the past has been access to rights of way such as to ducts and poles, which constitute in many instances essential facilities. The competition guideline now classifies them as such, which is an advance over past practice. Moreover, the MPHPT has also insisted that an electricity company, which has entered the telecommunications field, make its poles available at a cheap price to competitors.[128] However, the pricing methodology for other rights of way appears to be unclear. As in other aspects of enforcement, it appears that a complaint must be brought for unfair restriction of access rather than access being an obligation in the law with exceptions to be ruled after a dispute. Rights of way will, however, become less of a problem if the government proceeds with its plans to widen access by private companies to the government network, including those at local level. This should be confirmed in the next amendment to the business law to be submitted in 2003.

Promoting the effective diffusion and use of ICT

By some measures such as numbers of secure servers and PC intensity per hundred inhabitants Japan lags behind other countries in ICT use (Figure 29). As regards the change in PC intensity, a measure used in the *Growth Project*, Japan is in the bottom group of countries in the OECD area. Indicators more oriented to business use are also poor: the ratio of regular employees per personal computer is five to one and about 80 per cent of firms reported problems in implementing IT investment.[129] In other areas there has been considerable progress. In the last six months, broadband connections have been increasing by 300 000 per month driven by intense competition by a new entrant, which offers access costs of only 20 dollars per month, the least expensive rate in the OECD. This is in no small way due to MPHPT forcing NTT to give access to its local loops at low prices. There is also a very high penetration of cell phones that have full time, constant mobile access to the

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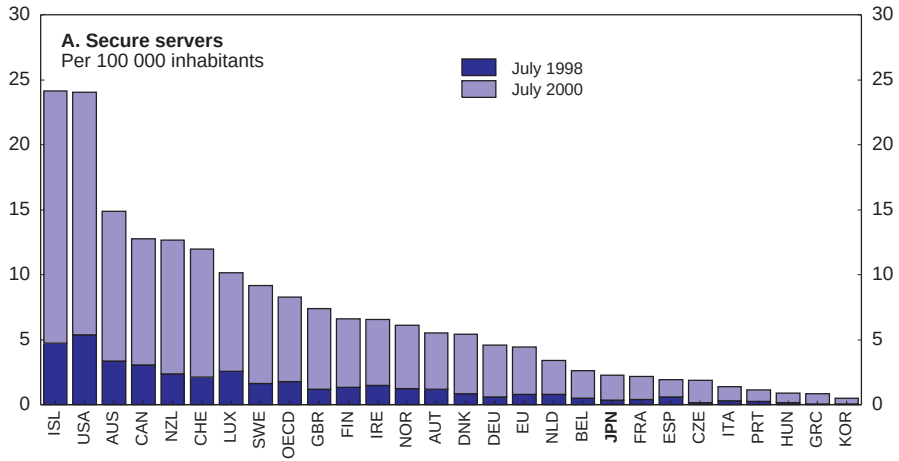
Figure 29. **The use of secure servers is lagging**



Source: OECD, *Science, Technology and Industry Scoreboard*, 2001 and OECD, *Communications Outlook 2001*.

Internet. Convenience stores have also become focal points for B2C e-commerce, serving as payment and distribution centres, as well as Internet access points through multi-media terminals. This has led at least one observer to conclude that a significant, though unique, electronic infrastructure is coming into place.[130]

The barriers to ICT diffusion have been identified by the *Growth Project* (Box 9) and are also applicable to Japan. Communications costs have been high through the 1990s – and remain relatively high in some niches – (Figure 30)[131] but internet costs have come down rapidly during the past year. There are also a number of barriers which appear to be specific to Japan and that are being examined by the inter-ministerial IT Strategic Headquarters. There appears to be a problem with keyboard literacy, though this might be related to the higher age of many executives compared with other countries. Many firms also report difficulties in acquiring computer literate staff (NLI, *op. cit.*). The lack of trained staff might well prove temporary until students graduate in larger numbers. But given the structure of wages paid in Japanese firms that favour seniority, starting wages in these highly skilled areas might be too low to encourage a major increase in supply.[132]

The government believes that ICT use will be a major force driving future growth and socio-economic developments and to this end has announced a national broadband initiative. The programme sets a goal to promote the deployment of high speed/ultra high speed Internet infrastructure to cover some

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Box 9. Which factors aid diffusion and effective use of ICT: lessons from the Growth Project

With technological advances in ICT available universally, the degree of uptake and use of ICT appears to depend on structural factors. Recent work by OECD (see Colecchia and Schreyer) points to differences in flexibility of product and labour markets and the business environment as explanatory factors behind differences in the uptake and diffusion of new technologies among some OECD countries. Widespread diffusion of ICT as well as the development of the ICT producing industry are closely linked to a tradition of open and competitive markets for telecommunication services as well as the liberalisation of other product markets. Countries that moved early to liberalise their telecommunications industry now have much lower communications costs and, consequently, a wider usage and diffusion of ICT technologies than those that followed later on. OECD finds that firms in the United States and Canada have enjoyed considerably lower costs of ICT investment goods in the 1990s than firms in European countries and in Japan. Barriers to trade, in particular non-tariff barriers related to standards, import licensing and government procurement, may partly explain cost differentials. Higher price levels in other OECD countries may also be associated with a lack of competition within countries. For example, Nicoletti *et al.* (1999) find that countries with a high relative price level of ICT investment tend to have a lower degree of competition, as measured by indicators of economic regulation. Over time, however, international trade and competition should erode some of these cross-country differences.

Evidence from Finland and Australia, admittedly partial, suggests that microeconomic reforms have helped ICT adoption, and that ICT diffusion is interacting with organisational and innovation factors in generating a positive impact on productivity. Contrary to Finland, the ICT producing industry plays a negligible role in Australia yet there is a direct and significant impact of ICT on Australian output growth. One explanation of this large impact is again in the complementarity between microeconomic reforms and ICT. Regulatory reforms and open market policies brought about rationalisation and restructuring of business processes, and ICT is thought to have been instrumental in this process. A similar pattern can also be seen in the United States where productivity gains in the competitive retailing sector were due in good measure to the adoption and use of ICT by Walmart (McKinsey, 2001).

Source: A. Colecchia and P. Schreyer "ICT investment and economic growth in the 1990's: Is the United States a unique case? A comparative study of nine OECD countries", STI *Working Papers*, 2001/7.
McKinsey, US *Productivity Growth* 1995-2000: *Understanding the Contribution of Information Technology Relative to Other Factors*, McKinsey Global Institute, Washington, 2001.

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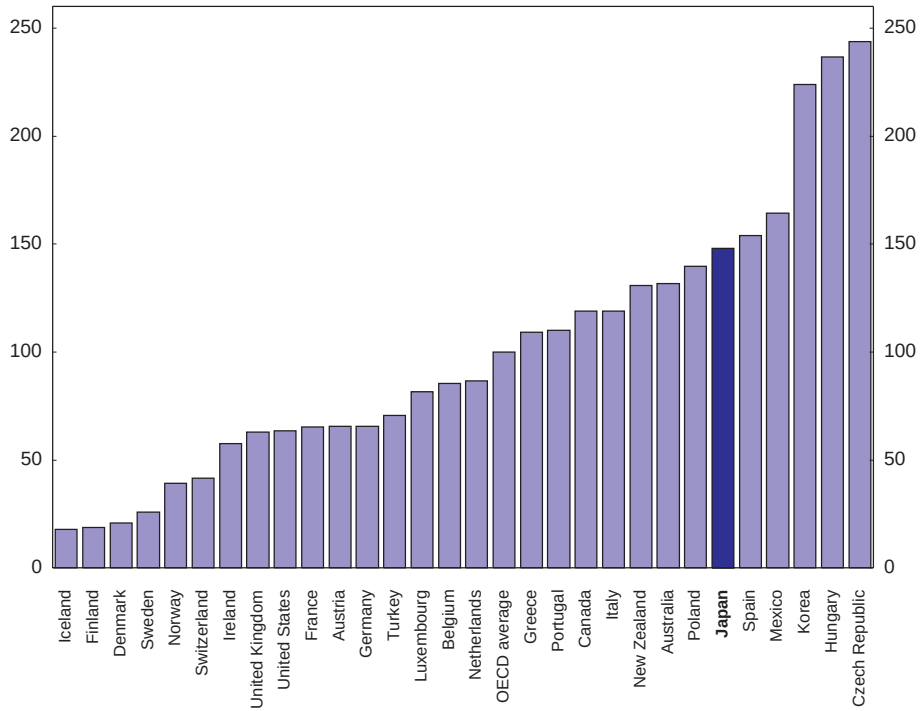
Figure 30. **The cost of leased telephone lines for business**[1]
August 2000, OECD = 100



1. Total charges (excluding taxes) within each country for a basket of national leased lines that can carry two megabytes of information per second.

Source: OECD Communications Outlook 2001.

40 million households by FY 2005. If achieved, this could make Japan "the most advanced IT nation in the world". Part of the programme simply involves projections about what the private sector is expected to attain by way of the extension of fibre optic networks, the development of DSL, the prices they will likely charge, and the response of households. Corresponding to changes in the telecommunications market, the Telecommunications Council has proposed to scrap the difference between those with and without their own networks (*i.e.* type I and type II business categories) and to deregulate market entry, moving from the present permission system to a simple registration/notification procedure. This move will also support the government's ICT programme. Internet firms could also expand to

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telecommunications. Under the proposed amendments, the MPHPT will also supervise carriers affiliated with power companies, which are not subject to the telecommunications law at present. Another crucial part of the programme foresees public investment in network infrastructure to cover those regions and activities not covered by the private sector, and some cases where public money will support the private sector. One of the most important components of the programme is the introduction of e-government by FY 2003 with extensive public local area networks (LAN) connecting public institutions including schools. Local governments are to develop their plans with the central government setting standards and providing finance. The task is huge: there are for example 36 000 forms currently in use. The government will thus have to learn the lesson from the private sector that the ways of doing things will also have to change and to be simplified.

It is too early to assess this potentially ambitious programme since many details are not yet known. For example, it remains to be seen how public funds will support certain activities by private competing firms; how government networks will be developed and integrated with the infrastructure more generally; and indeed, how private competition will in fact develop. The government should serve to help set standards and remove regulatory barriers as it did with the rapid development and dissemination of the Fax (Porter *et al.*). What needs to be avoided is any temptation to trade-off the development of a vibrant competitive telecommunications sector in favour of one which would be amenable to meeting the government's programme targets for extension of connections to less favourable areas.

E*lectricity and gas*

Progress in liberalising the electricity sector has been delayed, despite high electricity prices, because the reform process is relying for advice on an unwieldy panel that includes a variety of interest groups. These companies are reluctant to consider the separation of their generation and transmission activities. Selling to large customers, accounting for 26 per cent of the market, has been liberalised since March 2000. However, the system remains a virtual monopoly with new players only accounting for 0.4 per cent of the total market. New players must pay high transmission fees to each grid crossed, which has been an important barrier to establishing a nation-wide market. Moreover, there are also back-up fees to ensure supply by major generators when there are power shortages. This assurance would be provided better by time-of-use tariffs, as these would allow the more efficient use of power at periods when it is in short supply.[133] High transmission fees and low market share for the newcomers has not prevented the existing companies from taking action to raise barriers to entry. Such behaviour has led the FTC to become more active in cases involving

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newcomers. Three such cases have been examined since last November, which led to incumbents changing their actions. The government foresees reform proposals being finalised by the end of this year so as to prepare legislation for 2003. However, the Electricity Industry Committee, although having agreed on a phased liberalisation of the retail market, has yet to reach a consensus. Issues that need to be considered according to the government's initial planning include the precise form of a power exchange and how to ensure non-discrimination by the integrated owners of the transmission grid. In addition, as the *Regulatory Reform Review of Japan* recommended in 1999, terms and conditions of access to transmission and distribution networks and provision of ancillary services should be regulated, with prices reflecting the underlying costs; the networks and the (potentially) competitive activities such as generation should be separated; and the regulation of the sector should be independent from policy-making functions and electricity promotion functions, with transparent decisions and due process for the review of decisions.

Gas liberalisation is tied to the progress in the electricity sector, since natural gas is both an input into and, in part, a competitor to electricity. It is more difficult for gas companies to enter electricity markets than vice-versa. The gas sector is more fragmented with more than 200 companies. More than two thirds of imported gas is brought in by the electricity companies. Most of the remaining one third is imported by the few general gas companies that have facilities for receiving and storing liquefied natural gas. Thus access to regasification facilities and transmission are important for the development of competition in this sector.

Postal services and reform of the post office

Laws covering reform of the businesses run by the post office and the corporatisation of the entity (saving, life insurance and postal services) were passed by the Diet in July, and allow competitors to enter new areas of delivery services in competition with the postal agency. These bills illustrate the difficulties facing the Koizumi government and the complex issues involved. The Prime Minister viewed the bills as setting the framework for limiting the scope for what the public sector should do, a key element of the government's overall strategy, and for preparing the way ultimately for privatisation. Facing opposition, the government sent the bills to the Diet without prior approval from the ruling LDP which then negotiated changes during passage. Under the bills only businesses with approval from the Ministry of Public Management, Home Affairs, Posts and Telecommunications (MPHPT) will be allowed to deliver postal mail. To win approval, companies will have to provide uniform services nation-wide (uniform price and 100 000 mailboxes everywhere), including small out of the way places. Entry requirements thus appear to be restrictive. As with some other utilities they would also have to submit their business plans to the MPHPT for

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approval. A key issue is how mail is to be defined. Initial statements from the MPHPT indicate that credit card deliveries and some direct mail such as catalogues will continue to be regarded not as post and so can be handled as at present by private delivery firms. Express mail delivery has also been opened to competition but the conditions concerning minimum prices and maximum time for delivery will limit the size of the market.[134]

As the postal corporation will be a dominant player with substantial monopoly powers, there is a danger that it will distort competition in the liberalised sectors and engage in cross subsidisation. This has already happened in Europe and in the telecommunications sector in Japan. The threat is even greater in view of the generous financial treatment of the new corporation. While in principle it will be required to pay the equivalent of a corporate tax, this is due only every four years and will be waived if it will harm the financial stability of the corporation. A reason for restricting market opening in the mail sector and in opposing reforms of the postal savings bank is the concern of the authorities to finance universal service obligations. However, financing such obligations through cross subsidisation and market closure is highly inefficient. In the telecommunications sector, universal service obligations will be financed in a transparent manner by all operators. But in this sector there is at least some connection between the existence of the fixed network and the operations of new comers. This is not true in postal services while in postal saving there is nothing to prevent direct contractual relations with private banks. Universal service obligations should therefore be paid directly by the government but only after first assessing the relevant costs and benefits and putting incentive structures in place to ensure efficient provision of such services. In sum, although the limited opening of some market segments is welcome, the Diet has at the same time created an effective monopolist (which also offers banking and insurance products) with potential to distort competition. In these circumstances, plans for privatisation are premature until a clear, independent, regulatory framework including asymmetric regulation is established to ensure that competition develops in a fair and non-discriminatory way.

The banking and insurance sections of the post will be fully integrated in the new corporation and not handled separately as recommended in last year's *Survey*. In addition to the preferential rules regarding taxation of the corporation, the banking side may also benefit from not having to pay the equivalent of deposit insurance premiums. The post office is currently negotiating with the government on this, although it is hoped that broader considerations regarding competition in the financial sector will prevail.

Transport infrastructure

Regulatory inefficiency is apparent in both the operation of airports and harbours with Japan having the highest charges in the world. These constitute a

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major burden on the economy and act to limit trade. This has remained the case despite evidence that earlier deregulation in road transport and in domestic aviation has had a positive effect on productivity.[135]

The regulatory deficiency in running airports has been compounded by the enormous cost of building facilities due in part to weak enforcement of land acquisition laws and high construction costs. Rather than improving, the situation could deteriorate due to the inflexible slot allocation system run under the auspices of the Ministry of Land, Infrastructure and Transport. In essence, Tokyo has only one international airport, Narita, where slots are in excess demand. Yet with the completion of a new short runway the two strips are being treated as if they were two non-competing airports by allocating slots for each runway. An agreement with local communities limits options, but by not using the limited possibilities that are available to encourage small aircraft to stop using the main airstrip, the capacity for the larger aircraft remains limited raising scarcity rents.[136] Problems are also being created in the future when the small strip is lengthened since current operators (of small aircraft) will have grandfather rights. In sum, the regulatory system does not promote economic efficiency. The problem might be compounded in the context of privatisation of public corporations (Chapter II). One proposal is that the terminal operators will be fully privatised eventually, but a public corporation will oversee land development for the three major airports and cover existing debt, which will be serviced from rental income. In this case charges will remain high at Narita to help pay for the 1 trillion yen in debt already owed by the loss making airport at Kansai.

Maintaining a high level of human capital

Although the Japanese system of education, employment and training has contributed to dynamic growth in the past, the increasing importance of knowledge and the associated change in technology and business organisation including employment practices are challenging the traditional methods of human capital formation.

The traditional system of human capital formation has been successful up till now…

The Japanese educational system has been successful in a number of areas even though at the tertiary level it often plays mainly a screening role.[137] School under-achievement has been reduced, and the average educational attainment has been raised. In the post-compulsory tertiary system, the estimated returns to education have been reasonably positive, which suggests that students and parents have received the appropriate signals to carry out what is sometimes a large investment in education.[138] Nevertheless, the actual role of tertiary education *per se*, other than screening, is rather limited as firms play a large part in human capital formation after recruitment. This has significantly weakened the

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incentive for universities to improve the quality of education. The proportion of post-graduate students at universities is also relatively low compared with some other OECD countries.[139]

A key feature of human capital formation in Japan is that firms have a strong commitment to job training, which is often accompanied by frequent job rotation within firms. The life long employment system, together with a progressive wage profile based on seniority, penalises quits and effectively guarantees firms a return to their investment in the human capital of their employees. This system has contributed to the strong competitiveness of the manufacturing sector, where skill and knowledge accumulation by workers has played an important role in raising product quality and in promoting process innovation. Smaller firms especially in manufacturing also carry out job training, sometimes in co-operation with larger enterprises they supply. Traditionally, the government has supported the system by paying training subsidies to firms (only for off-the-job training), grants to individuals being very limited. This reflects the institutional arrangement that many of those subsidies are funded by the employment insurance schemes where funds for training subsidies are provided only by employers, rather than by employees. A downside of the system is that since human capital accumulated within firms is mainly related to firm-specific skills, such human capital can depreciate significantly once workers leave the enterprise.

... but pressures for change are rising

Firms have reduced their job training during the 1990s. While it remains to be seen how far this is a temporary reaction to cyclical factors, changing attitudes are already evident. According to a survey conducted by the Ministry of Labour, the proportion of firms which conducted particular training for their employees fell from 86 per cent in 1993 to 61 per cent in 1997 as firms intensified restructuring efforts.[140] Although 76 per cent of firms answered that they should be responsible for human capital formation of their employees, an increasing number of firms thought that individual employees should be more responsible for their own human capital formation in the future (the Japan Institute of Labour). Some experts have expressed concerns about the possible erosion of human capital in restructured firms, which could result in lower competitiveness of those firms in the long run. This concern could be exaggerated since there are many other forces currently at work.

The forces driving these changing attitudes include a much greater sensitivity to overall labour costs, an increased need on the part of firms to react quickly and changing demands for skills. Costs and flexibility considerations have led to an increase in non-regular forms of employment such as part-time work and temporary workers from agencies (known as dispatched workers in Japan). Since workers on part-time or temporary contracts tend to receive relatively little

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training, the increase in the numbers of those workers could raise efficiency concerns, unless their temporary status is only a transition period to a more usual work contract. However, temporary workers are not necessarily unskilled workers – just workers trained elsewhere and possibly on their own account. Greater mobility of workers and increased demand for ICT skills have also led to fears that company training might be reduced, but they appear to be misplaced.

The fear often expressed in Japan is that the diffusion of ICT will lead to reduced job tenure and to weaker incentives for firms to invest in human capital. Such a fear appears to be misplaced since the incentives for individuals to seek their own training have also risen. However, micro data suggests that the diffusion of ICT is not necessarily associated with reduced tenure/greater mobility across all categories of jobs. An OECD study has found that tenure for skilled workers has tended to increase in many OECD countries, while tenure for unskilled workers has tended to decrease.[141] Regarding the impact on incentives for training, many studies including Arnal *et al.* (2001) and CAO (2002) find that the incidence of training is higher in firms that have adopted new work practices suggesting that it facilitates the process.

Firms have shifted their method of acquiring human capital from on-the-job training to off-the-job training as the increased importance of new technologies requires higher skills and knowledge which cannot be provided efficiently by the firm itself.[142] This trend is reinforced by the shift of the economy from manufacturing to the service sector, where the incidence of off-the-job training is much more important. Many firms think that professional graduate schools should play a bigger role in providing opportunities for training (METI, 2001). At the same time, the attitude of employees towards job training has begun to change as they feel more insecure about their jobs. The incentive for employees to invest in their own human capital outside of their employment has risen as they wish to obtain professional skills in order to increase their employability. However, the opportunities for vocational education are limited as universities and graduate schools provide few short programmes designed for employees. Many workers who want to take training courses outside their firms also claim that they are very costly.[143]

Policy needs to strengthen the post-compulsory education system

Although the role of tertiary education was limited in the traditional system of human capital formation, the increased importance of specialised knowledge and skills for the economy both now and in the future requires universities to play a bigger role, including greater emphasis on post-graduate work. There are several implications. Universities will need to strengthen their research capabilities and to improve the quality of their education. Moreover, the diffusion of knowledge and skills accumulated in universities needs to be promoted by improving the knowledge transmission mechanism between universities and

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businesses. Since universities are subsidised by the government regardless of their performance, they are lacking the incentive (at least the state-run universities) to compete with each other to improve research and education. Lack of flexibility in management of personnel and the design of courses, which partly reflects restrictive regulations, also undermines the capacity of universities to adapt to the changes in technology and in the demand for education.

Responding to the need to rectify these weaknesses, the government has begun to promote reform of the state-run universities since the end of the 1990s (Table 28). The most important concept underlying the reform is to introduce competition between state universities. The government plans to select around ten to twenty "Centres of Excellence" in 10 major subjects based on a performance assessment by a third party, and to allocate more funds to them so as to provide a strong incentive to improve the quality of their research. Competition among universities for students should also be enhanced by the planned transformation of national universities into independent agencies in 2004, which will allow them more flexible management and greater autonomy. Another step forward has been the establishment of professional business schools. Since the easing of restrictions in 1999 covering the nature of education to be offered, six new professional

Table 28. **The reform of higher education**

Reform of Universities (National Universities)

- Reorganisation and merger of national universities
- Corporatisation of national universities
  Introduction of management skills from the private sector
  Participation of outside professionals in management
  Flexible personnel management through limitation on tenure and open recruitment
- Introduction of Centres of Excellence (COE)
  Assessment of performance of COE by third party
  Promotion of competition through fund allocation based on the assessment

Establishment of professional graduate schools

- Since 1999, the establishment of professional graduate schools which are specialised in two-year master courses has been allowed
- Establishment of one year master course is also being considered

Easing the restrictions on establishment of universities (planned)

- Procedures for authority's approval for changes in departments and courses are to be eased further
- Regulations which require universities to have open land space are to be eased

Promotion of technology transfer through Technology Licensing Organisation (TLO)

- In 1998, TLO have been established by the law
- Researchers in national universities have been allowed to work for private companies and to become business partners

Source: Cabinet Office.

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graduate schools have been set up and they have started providing courses such as business management, finance and accounting, and public health. In line with reforms of the legal profession, there are plans for law schools to be founded.

Demand for vocational education is also increasing as both firms and individuals are more willing to acquire specialised skills and knowledge which can be utilised in the private sector. However, the remaining restrictive regulations still discourage the establishment of new schools and professional institutions as well as the provision of short courses for post-graduates. Above all, new educational institutions in the urban areas have been prevented by the requirement that they maintain open land equivalent to at least 300 per cent of the space occupied by their buildings. In addition, more than a half of the land has to be owned by the schools themselves. Establishing new schools or new courses also requires that numerous other conditions set by the authorities be met, and approval has to be obtained from government councils.

While improving individual training outside the firm

Policy should facilitate greater provision of training outside firms to meet the increasing demand. Although there is evidence for the OECD area of externalities arising from human capital formation, the benefits accruing from vocational training mainly belong to firms and individuals. Policy measures should therefore focus on creating a more supportive environment for employers and employees to invest in training, rather than directly intervening in the market. In this sense, a key priority should be given to removing constraints on the provision of training and to limiting the distortion from public intervention in the market. In particular, it is crucial to take further steps to ease restrictions on the establishment of new institutions in the urban area to facilitate vocational training and professional education for adults. At the same time, the scope of training courses provided by public institutions needs to be limited to those for less-favoured groups who have little chance for training in the market. Public training programmes should also be accompanied by an *ex post* assessment of performance in order to reduce deadweight loss and to improve efficiency. Minimally interventionist measures also include information dissemination about training programmes and provision of certification that facilitates the recognition of skills acquired through training. In this area, the government has actively expanded its scheme for providing certifications, which covers a variety of skills for both white and blue collar workers.

Policy has begun to switch its focus from enterprise subsidies to direct payments to individuals. The education and training benefits system was introduced in 1998 to provide direct support to individuals who pay or have paid contributions to the employment insurance scheme. The benefit covers 80 per cent of training costs with a ceiling of 300 000 yen. From April 1999 to October 2001, 558 719 people received subsidies while 22 183 training courses

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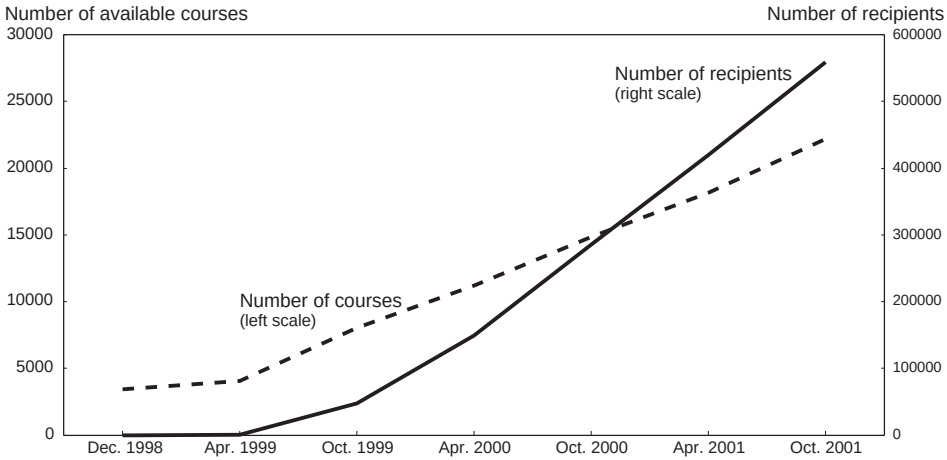
Figure 31. **Subsidies encourage participation in training**

Recipients of education and training benefits



Source: Ministry of Health, Labour and Welfare.

were designated by the authorities for this scheme (Figure 31). This figure shows that the subsidy has successfully stimulated the demand by individuals for vocational training. However, as noted above, it remains to be seen whether it is cost-effective and some drawbacks to the overall policy stance are apparent.[144] Since most public training programmes are free, the relationship between private and public training schemes might be distorted. Another problem is that the subsidy is limited to those who are members of, or who join, the employment insurance scheme; people outside the employment insurance such as jobless new graduates are not eligible. Even though these people can participate in public training schemes for free, their opportunities for joining private training schemes could be limited. If a subsidy is justified on externality grounds, then it should apply to all. To avoid these problems, it is desirable to expand the scope of the scheme or to introduce vouchers to cover a broader range of individuals and to allow more options for private training schemes.

Enhancing productivity through strengthening technology and innovation

In terms of R&D expenditures, patents issued[145] and the number of market-leading firms in the world, Japan is one of the key technological powers in the OECD (Figure 32). R&D is mainly financed by business (around 70 per cent) so

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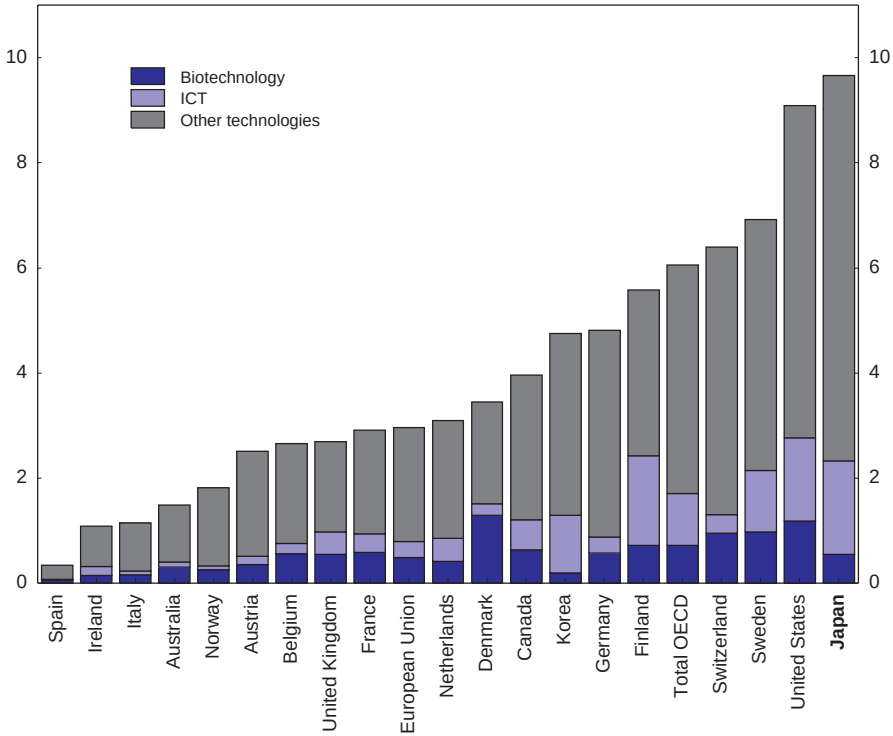
Figure 32. **Japan has a high level of patent activity**[1]
Per unit of GDP in PPP's, 1999



1. Patents granted at the US Patent and Trademark Office, by country of inventor.
Source: OECD-DSTI.

that it has been focused and applied. The government is also a significant player both directly through funding research as well as through its role in running 99 universities and a number of National Research Institutes (NRI). In FY 2000, budget expenditures amounted to 3½ trillion yen and the plans are for 24 trillion to be spent over the next five years in four sectors: IT, environment, biotechnology and nanotechnology. Although joint research programmes and government co-ordination may not have been as effective as was at first believed,[146] the overall system has been very effective with the *Growth Project* results pointing to a large contribution of R&D to productivity and growth. However, the lack of adequate market fundamentals might have lowered the actual impact on growth outcomes.

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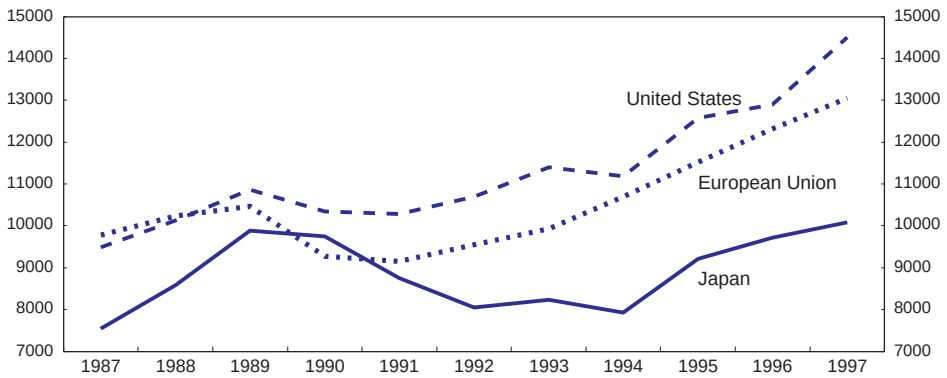
There are nevertheless concerns that the development and application of new technology by enterprises, and the returns to public funds invested in research capabilities, might be falling behind international developments. And evidence is not hard to find. Real R&D spending, although high as a share of GDP, has been stagnant through the 1990s and the number of patents, which is only a very crude indicator of innovation, has fallen relative to those in other countries (Figure 33). Japan also appears to lag in harnessing science to the development of ideas which can be patented (Figure 34) and, at a time of greater international collaboration, it appears to be insular. Japan has the smallest percentage of scientific publications with a foreign author and the lowest percentage of patents with foreign co-inventors. These indicators are not only a product of country size. Even after allowing for size and R&D intensity, one study still found that Japan remained insulated at a time of increased internationalisation of research.[147] The question is whether these are only private sector issues and amenable to policy or not–or whether they are mainly related to universities and NRI and can be handled by policy measures.

Private sector R&D *activity*

By around the end of the 1980s Japanese firms appeared to be well over the period of catch-up and a number have now moved to be active innovators.

Figure 33. **Japan's relative importance in world patents has declined**

Number of triadic patents[1]



1. Patent applications to the European Patent Office (EPO), and the Japanese Patent Office (JPO). Patents granted by the US Patent and Trademark Office (USPTO). The number of patents by residents in one country which were also taken out in the other two regions. Double counting has been eliminated.

Source: OECD, Patent database, June 2002.

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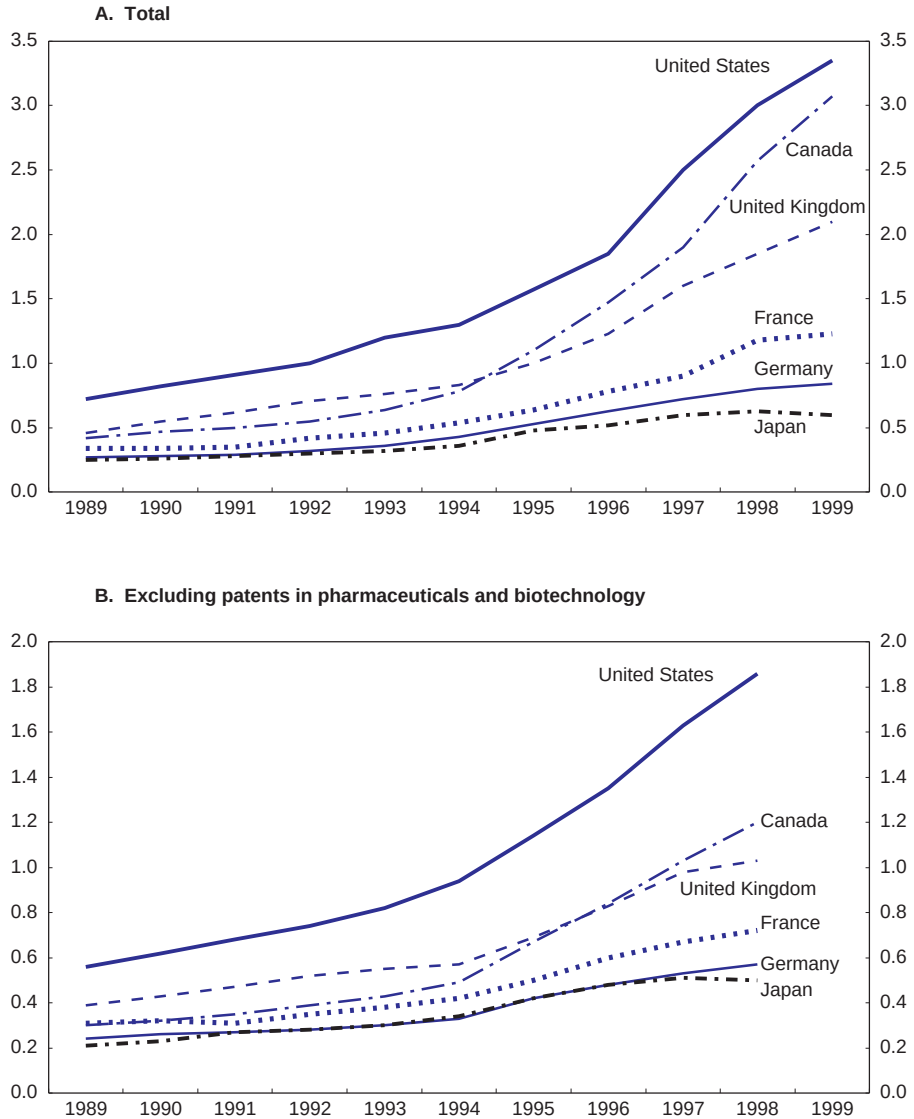
Figure 34. **Japan lags in linking science with patents**
Average number of scientific papers cited in US-issued patents



Source: CHI Research.

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The distribution of R&D across the categories of process *versus* product development and basic *versus* applied research converged to the US distribution by the mid-1990s and many large firms have established their own basic research facilities.[148] The new stage of development changes the requirement for qualified personnel and some studies have indicated that the relative scarcity of such staff (*i.e.* post graduates) and the lack of mobility on the part of researchers might have contributed to lower productivity in basic research departments noted in field work by Branstetter and Nakamura. However, Japanese firms, at least some large ones, appear to be well aware of the problems they face and, in line with trends in other countries, a number have taken steps in setting up overseas research centres and establishing R&D alliances with foreign companies. The results of Branstetter and Nakamura suggest that, for their cross-section of companies, increased international knowledge flows are strongly correlated with higher levels of innovative performance.

Policy can directly influence private sector behaviour in this area in at least three ways: R&D expenditures, intellectual property rights (IPR) law and enforcement, and through taxation. The efficiency of the first is to be put to the test with the new five year programme. However, whether the intention of the government to focus funds only on four schemes will stimulate spending by firms (*i.e.* is in line with their priorities), or whether it reflects bureaucratic inertia, is unclear. It would be better to look at company priorities first and to allocate accordingly. With respect to IPR, the evidence from the viewpoint of the economy is at best mixed. The scope for patent right protection was greatly widened in 1988. The number of patents per invention has increased but Sakakibara and Branstetter find no evidence of an increase in either R&D spending or innovative output that could plausibly be related to the reform.[149] The protection of IPR is of course important in collecting rents associated with an innovation, although many companies appear either to license the patent immediately or just use trade secrets.

With the R&D system financed predominantly by industry, the question of tax treatment is important and there are a number of proposals to raise benefits (see Chapter II). The tax system appears to be relatively neutral at the moment with a subsidy of around 2 per cent of business R&D spending (higher for small companies) which is less than for about half the OECD countries (Figure 35). It is difficult to establish best practice fiscal treatment of R&D although the costs and benefits of different measures are well recognised.[150] The Japanese system is based on the increment to R&D and involves tax credits.[151] The incremental method holds down fiscal costs and reduces the possibility of dead-weight cost (supporting research that would have been done anyway) but it may be more costly to administer relative to a flat rate system (*i.e.* a fixed percentage of actual R&D expenditures) which, depending on the tax credit rate, would entail greater foregone tax revenue. Tax credits tend to favour large companies (since in general

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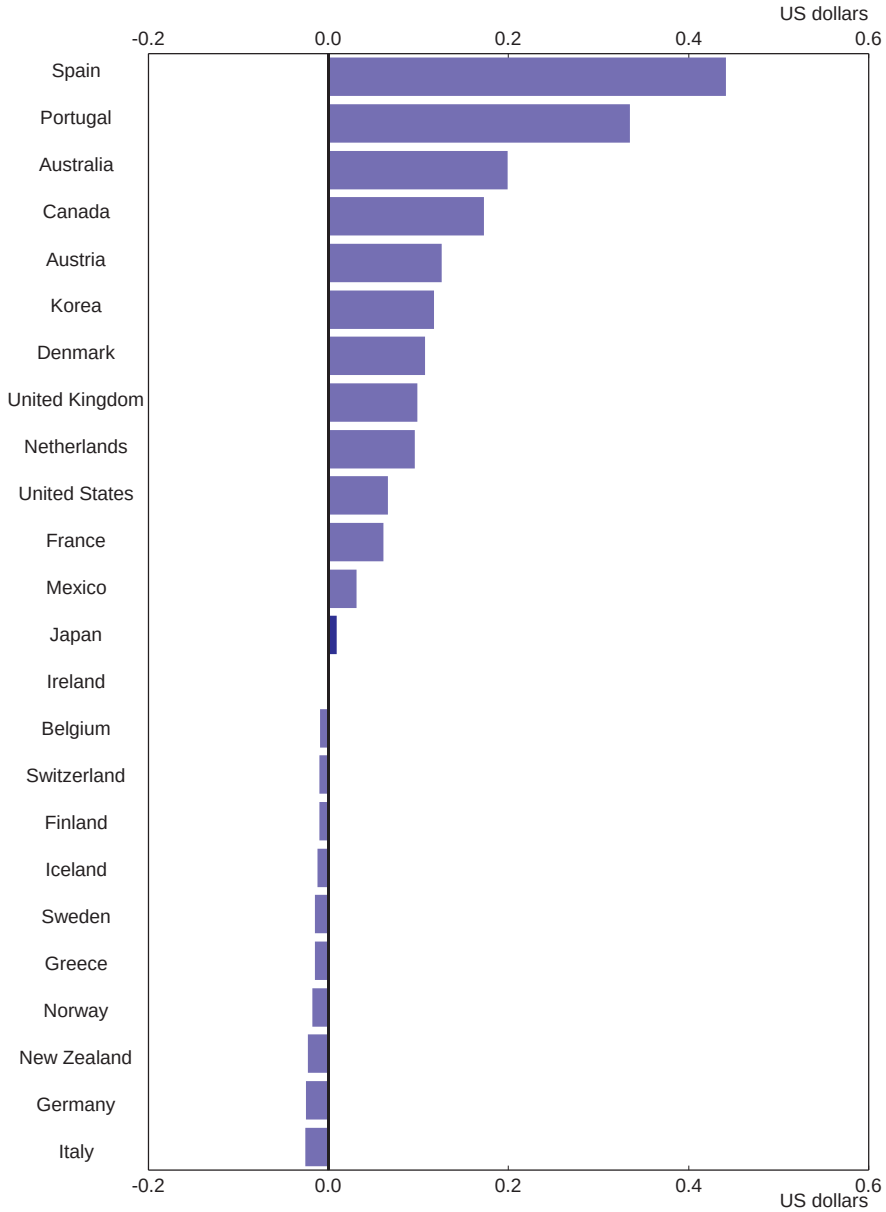
Figure 35. **Tax treatment of R&D for large firms, 2001/2002**

Tax incentives for 1 US$ of business R&D



Source: Warda (2002).

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they make profits) and have the advantage that they are more transparent and are therefore likely to stimulate R&D. However, they do not benefit new high-tech firms which do not usually make profits in the initial stage of development. Since FY 1999, a modified tax incentive has been in force, which is aimed to cope with the decline of private R&D by increasing the number of applicable companies and lifting deductions. According to the National Tax Agency, the total tax cost only amounted to 41 billion yen in FY 2001.

Experience in the OECD area indicates that tax incentives to promote R&D (and also human capital formation) have a number of advantages over the wide variety of potential measures available although the judgement depends on accepting market outcomes as efficient.[152] Studies still support the assumption that the social return to R&D is greater than the private return but they do not give a clear indication about how large the support for R&D should be. Under current fiscal conditions attention will also have to be given to prioritising tax measures, including whether to cut the overall corporate tax rate of around 41 per cent.[153] What needs to be avoided is the proposal to limit new R&D tax breaks to only particular areas such as nanotechnology and biotechnology, which would introduce distortions to the current system, and which starts policy down the slippery path of attempting to pick winners.

Science-based innovative activity by companies could be expected to strengthen the need for contact with universities and national research institutes (NRI) but this has been weak (at least formally) in Japan (Figure 36).[154] In part this could be due to the development of their own basic R&D capacity in the larger firms during the late 1980s. But there are also barriers. In a survey carried out by the Science and Technology Agency in 1998, the most frequently reported obstacle to co-operation with NRIs was the issue of ownership of R&D results, while the slowness of research at universities was the most often cited obstacle.[155] Universities and NRIs have been classed up till now as public sector institutions subject to central budget laws and civil service employment status (see below) which together have reduced the incentive for staff to undertake collaborative research with industry, at least formally.[156] For the universities and NRIs, research contracts were not popular since revenues covering indirect expenses were paid to the Treasury and contracts could not last longer than a fiscal year. In the same survey, speed was not an issue for research co-operation with foreign universities, the major barrier appearing to be communication difficulties. Research results from universities and NRI's were obtained mainly through "academic societies" and through personal contact. Indeed, the OECD (2002) concluded that informal relations between professors and large firms have been important: "Research funding was provided often based not on contract research with specified rights and obligations but on personal, tacit agreements between professors and firms. The professor published the research findings and the intellectual property was often given free to the industrial user." This system worked for some large firms

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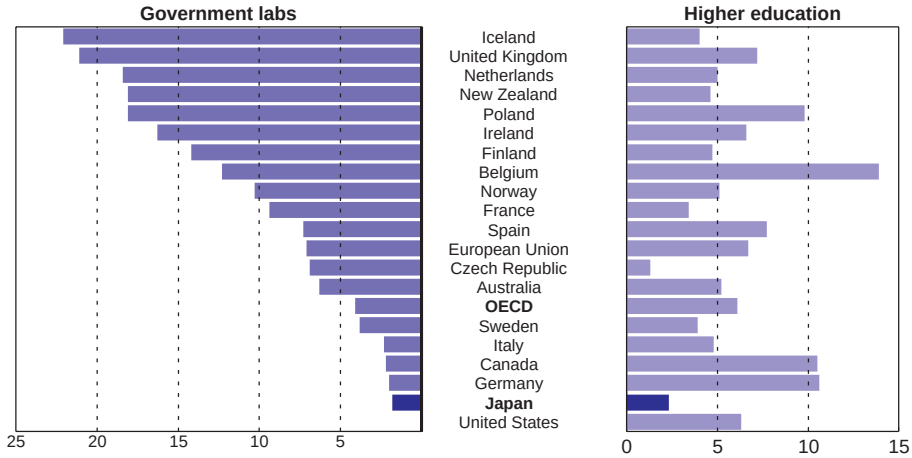
Figure 36. **Firms don't finance much work in government laboratories and universities**

Government and university research funded by business, per cent[1]



1. 1998 or 1999 for most countries; 1997 for New Zealand.
Source: OECD, *Science, Technology and Industry Scoreboard, 2001*.

although not for smaller and new firms so that pressures have arisen for a more open and transparent industry-science relationship. With respect to technology transfer, the most cited impediment concerned uncertainty about property rights although a number of firms felt that research results from universities and NRIs could be better disseminated. Surprisingly, less than 10 per cent of venture firms made use of patents owned by universities and NRIs, although more than 60 per cent of such firms had expressed an interest.[157]

Improving the returns from universities and national research institutes

The thrust of policy has changed toward promoting greater efficiency via improved incentives in the university and NRI system. Since FY 2000, a portion of research funds received from industry stays with the university, and contracts can now run longer than a fiscal year. However, the sums involved remain small. Firms can now be up to 50 per cent co-owners of patents originating from contracted research (since 1998) with universities and will retain preferential rights for a ten year period following patent application. Civil service status meant that researchers were not allowed to take up positions in for-profit firms. Since April 2000 this provision has been relaxed for researchers from universities and the NRIs. Property rights usually belong to the inventor unless special funding has

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been provided by the government or special government facilities have been used. This feature of the system is perhaps controversial. Other countries are now moving more to a system where the institution retains the property rights but the researcher shares in the revenues. The allocation of public funds to universities via competitive tendering for R&D is to be doubled and the number of young researchers who receive financial support will be increased from the current level of 10 000 persons. An attempt to improve mobility for this group through greater use of fixed-term appointments has not been entirely successful. University evaluation is to be improved, and to this end national guidelines were revised in November 2001. Such assessments should play a crucial role in the government's plan to consolidate funding of the nation's 99 state universities to promote some 10-20 of them as premier world class institutions.[158] However, it is not clear whether the assessments will be truly at arm's length.

In recognition of the success of the US system, Technology Licensing Offices (TLO) have now been established (there are 27 at present) to promote the transfer of research to firms. Although public subsidies are available for a limited period of time, sustaining TLOs until inventions generate sufficient revenues appears to be a challenge. The government has set targets, inevitably a questionable exercise, for the establishment of 1 000 venture companies stemming from universities within three years and to increase tenfold within a decade the number of intellectual property rights granted by universities. In addition to the measures implemented above, the targets are to be achieved by supporting incubators and venture capital for university-derived venture businesses. These measures will not obviate the need to lower entry barriers more generally for all activities and not just those associated with the four priority areas set by the government.

Fostering clusters and regional dynamism

According to the CAO 2001, about 46 per cent of fast growing firms, whose sales are increasing by more than 10 per cent for two consecutive years, are located in Tokyo and its adjacent prefectures (Kanto).[159] The number of those firms per head in the Kanto area is 30 to 100 per cent higher than other areas. The ratio of start-ups to the number of enterprises shows no big difference among the regions but their sectoral pattern is quite different. Moreover, many of the regional economies other than the Kanto area tend to depend heavily on public works, which produce more than ten per cent of value added in those regions.

The importance of creating good framework conditions for entrepreneurship in local areas will increase as the government implements its policy to cut back on wasteful public works programmes and to reform fiscal relations between the central and local governments. This move will make it necessary for local government to go beyond the passive tradition of the past, which relied on public

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works.[160] In an increasing number of OECD countries, fostering the agglomeration of entrepreneurs and intellectual networks is recognised as an important policy option for local governments since such clusters might stimulate innovation and start-up activity, and promote the subsequent growth of the enterprise.[161]

Although a number of industrial clusters already exist, the importance of fostering innovative clusters had not been widely recognised among Japanese policy makers until recently. In the past, regional industrial policy favoured such measures as building infrastructure and developing sites to attract large manufacturing companies. The initiative for such programmes was often led by the central government rather than by local governments as it required substantial central government funds. This kind of approach is no longer effective or feasible as manufacturing companies tend to locate their new plants outside Japan, and budget constraints in both local and central governments do not allow significant locational subsidies. The importance of building close relationships between firms and local universities was recognised even in the 1980s. Indeed, the government promoted the creation of industrial sites comprising knowledge-based industries in some local areas (technopolis programme). This programme, together with tight restrictions on building new plants in urban areas, led many electronics companies to locate their plants in Tohoku and Kyusyu areas. However, since the aim of this programme was to attract existing firms rather than to promote start-ups and enterprise development, the most important potential role of a cluster (to promote enterprise growth and start-ups, and to foster innovative entrepreneurs by taking advantage of externalities) was completely ignored.

Local governments have been active in establishing business incubators, which provide venture firms with office space, technical advice and, in some cases, financial support. Indeed there are now 203 incubators set up by both public and private bodies, the third highest in the world (Table 29). However, many of them do not actually play the role of an incubator, providing only office space and not technical advice and financial aid. According to a survey (JANBO), 34 per cent of public incubators and 50 per cent of private ones do not provide any services other than office space. Moreover, among the public incubators, only 23 per cent of them have managers and co-ordinators.

Table 29. **International comparison of incubators**

	Japan	US	UK	Germany
Number of incubators	203	850	90	300
Firms at incubators	2 247	6 458	1 710	–
Average number of staff	0.7	2.8	5.8	–

Source: METI (SME) 2000, Sakata *et al.* (2001).

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Box 10. A successful case of a local cluster: Kyoto

Kyoto is located near the second largest city in Japan, Osaka, and has 1.5 million inhabitants. Kyoto is now known for its successful hi-tech cluster, comprising firms such as Kyocera, Nintendo, Omron and Sanyo Chemical. The Kyoto region also boasts Japan's greatest concentration of higher education institutions; it has 33 universities and 11 junior colleges. Porter and Takeuchi (2000) suggests the following points as key for the success of the Kyoto cluster.

- The city is geographically distinct and is modest in size. The absence of large dominant firms allowed smaller firms to prosper. The central government's large co-operative R&D programme ignored Kyoto companies. Religious organisations, academics and artisans hold as much power in Kyoto as do government officials and business leaders. This dispersion of power has forestalled rigid hierarchies and encouraged the creation of intimate networks.
- Small Kyoto businesses, unable to penetrate the closed keiretsu networks, were forced to identify and market to foreign customers.
- Since Japanese banks were unwilling to lend to small firms with no collateral or keiretsu affiliation, Kyoto-based firms tended to raise capital through the equity market.

They concluded that the case of Kyoto illustrates the importance of competitive pressure in a business environment that is characterised by high quality inputs and institutions, and which is open to innovation and dynamism.

The experience to date of both TLOs and incubators shows that the serious lack of specialists and co-ordinators has constrained the development of local clusters. In response, METI has launched a programme (*Industrial cluster programme*) which allows their staff at local offices to play a role of co-ordinator in local clusters. However, it appears that the original concept might be flawed. Rather than building clusters around existing skills and competencies, many projects are aiming at creating essentially an industrial park like that in other locations with a preference for high tech, including biotechnology. An example of a successful cluster (Kyoto, Box 10) illustrates both the need to build on local skills and the fact that they do not spring simply from government decisions.

Overall assessment of policy

Progress in developing efficient low cost network sectors is most advanced in the telecommunications sector. This sector is growing rapidly, in part stimulated by past regulatory reform, with new market opportunities expanding in

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a dynamic manner. The allocation of access to dark fibre (unused glass fibre lines) of NTT to competitors at a reasonable price was an important step forward. These measures will aid the diffusion of ICT, which in turn should underpin productivity. However, there is still a need to better control the dominant carrier through greater reliance on *ex ante* regulation. To be effective, however, regulation must be backed by strengthened powers of enforcement and better disclosure by NTT of indicators which reflect the degree to which effective competition is developing. At a minimum, MPHPT should collect and publish statistics on the number of unbundled local loops or lines being shared by the incumbents with competitors, and the time required for providing circuits to competitors and to NTT clients. These indicators are published by most regulators in the OECD area.

In other areas reform success is mixed. Progress has been poor in the electricity sector with the current market incumbents given too great a role in deciding the regulatory reform route. With respect to postal services, a large part of the delivery system has been effectively ring fenced by restrictive entry requirements for the incumbent, which is now to be corporatised. While market opening has occurred in the express delivery part of the system, the incumbent will remain active in them. The experience overseas and in the domestic telecommunications sector that the dominant player will leverage its position of power into other markets has not been reflected in the legislation. There is therefore a need to establish a clear regulatory framework including asymmetric treatment of the dominant player. Moreover, the corporation will retain its integrated character in both banking and in insurance, raising similar regulatory concerns in these competitive markets. In view of the close connections with the Ministry it must be doubted whether it will establish credibility as an impartial regulator when it comes to inevitable conflicts.

Whether an "independent" regulatory body can achieve credibility in the fast developing markets while remaining part of a ministry, only time will tell. As far as international experience is concerned, only Japan and Korea have not established an independent regulator in the sensitive telecommunications field. However, there are other reasons why administrative independence from the ministry should be considered. Experience overseas has shown the need to employ highly specialised staff in regulatory activities. This fits poorly with the tradition of the civil service with generalists being shifted to new functions every two years. Independence would allow the new regulatory institutions to search for specialist staff and to employ them in a more flexible manner.

The demand for and the supply of human capital is evolving in line with new business strategies and technologies. While companies might have less incentive to provide in-house training, this is not necessarily negative since the incentive for individuals to acquire human capital, which is portable between firms, has also increased. The role for public policy is to ensure that the supply of

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training is improved by, *inter alia*, dropping restrictive regulation for building new educational institutions and allowing them greater flexibility about what they teach. Reform of the universities is important but in an attempt to establish premium institutions for research and teaching, care will have to be taken that assessment is at arms length (*i.e.* that the reform has content and not just form). Public support of training will also need to be reoriented from supporting firms to aiding individuals including those who have less opportunity for training such as part-time workers.

The enterprise-based R&D system has been very successful and is already evolving to meet new challenges such as the increasingly international nature of research. Whether they are basing their work enough on science is an open question, although if this is an important issue, commercial pressures should be sufficient to bring about necessary adjustment. Any further tax measures should remain balanced, and the government should allocate its considerable funding more in line with the efforts of businesses than the four priority areas specified by the bureaucracy. Such a change would be in line with the recommendations in Chapter III. There are, however, clear problems with the universities and the national research institutions. The government's move to create a more open and transparent industry-science relationship and to remove the disincentives to co-operation facing the universities and the NRIs goes in the right direction. However, it is too early to judge the effectiveness of the measures taken. The demand for more transparency might simply suffocate the current informal system of professors with companies without putting anything better in its place. The assessment of universities might not be at arms length and setting targets for university-based new start-ups might simply create new administrative distortions. Greater efforts have to be made to internationalise universities and to open opportunities for new staff. Above all they should focus on quality research and expand post-graduate education.

The lack of regional dynamism is a key issue, which will come to the forefront as wasteful public works spending is gradually cut back. All too often authorities have reacted by demanding new industrial parks (usually termed innovative clusters) based on high tech, and university TLOs are also viewed in this manner. More attention needs to be paid to facilitating or invigorating existing national clusters based on current skills which would be just as effective at promoting dynamism of existing firms as attracting new start-ups.

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Notes

1. The government adopted a substantial revision to the method of estimating QNA at the time of the release of the second quarter QNA in August 2002. The revised method utilises more supply side statistics for the estimation of consumption and investment with less weight on the household and corporate surveys. According to this revision, GDP growth rates from the second quarter in 2001 to the first quarter in 2002 have been revised substantially. Above all, the unreasonably high GDP growth in the first quarter of 2002 (5.7 per cent, s.a.a.r.) was revised down to 0.0 per cent, which seems more reasonable, compared with other indicators such as industrial production.
2. Although a sharp increase in exports to Asia partly reflects the recovery of exports by those countries to the US and other areas, the increase in exports of final consumption goods to Asia such as home electronics and vehicles outweighed the increase in exports of electrical parts and other intermediate goods. This could suggest that the Asian countries might become more important as a final destination of Japanese exports.
3. Since the March Tankan showed no improvement in business sentiment, the gain in the June survey might include a degree of catch up.
4. See, Matsuoka, "Capital investment outlook: Will cashflow and capex remain decoupled?", September 2001, Deutsche Bank Security.
5. This is partly because the full mark-to-market accounting has not been introduced for the real assets held by firms for the purpose of fixed investment. However, an increasing number of firms have started evaluating their real assets at market value with a view to adapting to the international accounting trend (*i.e.* asset impairment).
6. See, for example, Cabinet Office, Annual Report on Japan's Economy and Public Finance, 2000-2001.
7. Some argue that the massive increase in the monetary base may stimulate consumption, as some part of the increase in money holdings by households could flow into consumption. The possible shift to consumption from bank accounts due to the removal of blanket deposit insurance is also suggested to have some effect, but such an impact is thought to be small, if any.
8. For a review of some of these programmes see *Regulatory Reform in Japan*, Chapter I, OECD, 2000.
9. See the OECD *Survey of the United Kingdom*, 1985, and Lewis Evans *et al.*, "Economic Reform in New Zealand 1984-95: The Pursuit of Efficiency", *The Journal of Economic Literature*, Vol. XXXIV, No. 4, December 1996.
10. Although net lending in CY 2000 is slightly larger than in CY 2001, the difference can be explained by a one-off capital transfer in CY 2000, which amounted to 4.5 trillion yen.

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11. Funds in a special account obtained from selling shares in Nippon Telecom and Telegraph (NTT) several years ago were transferred to a special account of the central government (*Sangyo toushi tokubetsu kaikei*) that provides interest-free loans to local governments and public corporations to finance construction of infrastructure and public facilities. To give local governments a strong incentive to implement the planned public works, the central government also made a commitment to giving grants to local governments to cover most of the repayment cost of the loans provided by the special account over the next several years. Consequently, transparency of the budget has been further eroded.

12. Consolidated tax accounting has been introduced with limitations: the consolidation is only for domestic subsidiaries, 100 per cent of whose capital is owned by parent companies; the loss carry-over generated before the introduction of this scheme is only for parent companies; and the special losses due to the creation of reserves for company pension payments are excluded for all companies.

13. The LAT special account has accumulated 42.6 trillion yen of debt as of March 2001. The BOJ has placed the lending by financial institutions to the LAT special account on the approved list of collateral for discounting.

14. Moody's and Standard and Poor's downgraded their rating of JGBs in the spring of 2002 from Aa3 and AA to A2 and AA minus, respectively. Fitch also downgraded JGBs in November 2001 from AA plus to AA. The government's questionnaire included the following questions: what kind of risk is contemplated as default for local currency denominated debt; how the world's largest current account surplus (or domestic saving) and foreign exchange reserves are evaluated; and why a country whose per capita GDP is one third of that of Japan with a large current account deficit is rated higher than Japan. The government sent letters several times to those companies and, in one letter, it explicitly stated that it believes to possess the right to claim compensation if any government or corporation suffer unwarranted damage by the rating. The dispute is ongoing.

15. However, long-term interest rates recorded their largest monthly increase (105 bps) in the past 20 years in December 1998, when the Ministry of Finance announced the reduction of JGB purchases by the Trust Fund Bureau.

16. As of March 2002, the share of long-term bonds (10 year and more) was around 65 per cent, while that of medium-term bonds around 27 per cent.

17. To give some order of magnitude, the decline of interest rates since 1990 has saved the budget some 43 trillion yen cumulatively.

18. The stock of foreign assets is also important. See Matsuoka, *Iron hexagon: Japan's ponzi scheme keeps going*, Deutsche Bank Security, August 2001.

19. Under the past scheme, the Trust Fund Bureau (TFB) collected funds from postal saving and public pension funds and invested in a number of public corporations as well as purchased JGBs. Some of the funds at the TFB were reallocated to the postal saving and the public corporation for pension reserves, both of which also invested a certain portion of their funds in JGBs.

20. See M. Shirakawa, "The reform in the Japanese government securities market", Bank of Japan, Note to Roundtable on Capital Market Reforms in Asia, April 2000.

21. Pursuing these two objectives together could reduce risk aversion by the public financial sector, possibly raising bond prices, which could send wrong signals to the private sector. See Ihori, Katoh, Nakano, Nakasato, Doi, Kondo and Sato, "Public bond

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management and the role of public financial institutions", Chapter 6, *Budget deficit and economic activity*, Economic and Social Research Institute, Cabinet Office, March 2002.

22. One such mechanism is that as inflation returns, investors will see the danger of the government reducing the real burden of public debt on the budget by a period of unexpected inflation. They will consequently demand a risk premium and could shift funds off-shore.

23. The debt dynamics is derived as follows, $b_t = d_t + (1 + r)/(1 + g)\ b_{t-1}$, where b is the debt-to-GDP ratio; d is the primary-balance-to-GDP ratio; r is the nominal interest rate; g is the nominal growth rate. The required primary surplus to stabilise the debt-to-GDP ratio at time t is calculated as $d_t = (g - r)/(1 + g)b_t$.

24. The size of saving is calculated by the OECD based on the National Accounts. Government investment, and wage and non-wage consumption (excluding health care) are assumed to be cut by 3 per cent, 0.5 per cent and 7 per cent, respectively. A 700 billion yen saving in health care is also assumed.

25. These principles include: reducing public investment to the level prior to the introduction of stimulus packages; a steady reduction in the number of central government employees; social security spending to be limited and; non-wage expenditure should focus on reallocation.

26. The primary deficit for central and local government projected in the government's medium-term perspective is smaller than that for general government because the social security fund runs a primary deficit. However, the primary deficit in social security funds may not result in an increase in gross debts as it has accumulated net assets of 200 trillion yen (40 per cent of GDP). The gross debt projected in the government's perspective is also smaller than those on a national account basis as it excludes debts held by some special accounts of the central government, which amount to more than 50 trillion yen.

27. See page 78 of the OECD *Survey of Japan*, 2001. See also Giavazzi, F. and M. Pagano (1995), "Non-Keynesian effects of fiscal policy changes: International evidence and Swedish experience", NBER *Working Paper* No. 5332, Bertola, G. and A. Drazen (1993), "Trigger points and budget cuts: explaining the effects of fiscal austerity", *American Economic Review*, 83, and Alesina, A. and R. Perotti (1996), "Fiscal adjustments in OECD countries: composition and macroeconomic effects", NBER *Working Paper* No. 5730. Moreover, the fiscal theory of the price level would suggest that demand for money may, under such circumstances, fall, thereby stimulating consumption.

28. See, Ihori, Katoh, Nakano, Nakasato, Doi, Kondo and Sato, "Review of non-Keynesian effects in fiscal policy", Chapter 2, *Budget deficit and economic activity*, Economic and Social Research Institute, Cabinet Office, March 2002.

29. The past major tax reductions include: a special reduction in personal income tax (5.5 trillion yen) in 1994; advanced tax reduction in personal income tax (3.5 trillion yen) in 1995 and thereafter; a temporary cut in personal income tax (2 trillion yen for both 1995 and 1996, and 4 trillion yen for 1998); reduction in corporate tax rate from 37.5 per cent to 34.5 per cent in 1998 and thereafter; proportional tax cuts for personal income (4.1 trillion yen) and corporate income tax (2.5 trillion yen) in 1999; and a reduction in corporate tax rate from 34.5 per cent to 30 per cent in 1999. On the other hand, VAT was raised from 3 per cent to 5 per cent in 1997 (including 1 per cent local VAT).

30. The government's tax commission has opposed the suggestion of lowering the corporate tax rate. While keeping the marginal rate of corporate tax of the central government constant, it proposes to introduce a corporate tax based on sales as an

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alternative to the existing local business tax, which taxes corporate profits. Since the introduction of a new tax would enable local governments to raise tax revenues from more firms including those making losses, this would lower the effective corporate tax rate including central and local taxes by 3 percentage points.

31. However, even in the early 1990s when the economy was booming, 48 per cent of firms reported that they were making losses. This might say a lot about the ability of small firms to understate business earnings.
32. See, page 171, Chapter 4, 1999 *Survey*, OECD.
33. See, OECD Directorate for Financial, Fiscal and Enterprise Affairs, "Tax and the economy: a comparative assessment of OECD countries", OECD *Tax Policy Studies*, 2001. See also P. van den Noord and C. Heady, "Surveillance of tax policies: a synthesis of findings in economic surveys", OECD *Economics Department Working Paper*, 303, 2001.
34. See, Doi, T. and T. Hoshi, "FILP: How much has been lost? How much more will be lost?", March 2002.
35. This in fact happened in the period just before the collapse of Mycal in September. The main bank assumed loans granted by other banks thereby increasing its exposure. This case is now the subject of a shareholders law suit, which might lead other main banks to curtail their implicit commitment.
36. See OECD *Survey of Japan*, 2001, Annex I for a review of private sector estimates of NPL.
37. The evidence (anecdotal as well as based on company reports) is that bad borrowers can pay lower rates than prime borrowers.
38. For an example see M. Fukao, "Barriers to financial restructuring: Japanese banking and life insurance industries", in *Structural Impediments to Growth in Japan*, NBER, 2002.
39. In the case of one large company the banks tried to avoid the guidelines and arrange matters between themselves and the company. After dissatisfaction among other creditors became more pronounced, the company finally agreed to work under the INSOL guidelines.
40. The criteria even extend to supporting a supermarket chain.
41. For a sense of the tone of the debate see Y. Fuchita, "Recent developments concerning Japan's bad loan problem and the outlook for its financial system", *Capital Research Journal*, Vol. 4, No. 4, 2001.
42. As part of the sale agreements for two large nationalised banks the RCC has agreed to repurchase loans which have lost more than twenty per cent of their value within three years. This clause was intended to compensate the purchaser for not being allowed to conduct a due diligence audit. The RCC is now declining to repurchase some of these loans and the cases may be taken to court.
43. Standard and Poor's, *Unsustainable revenue growth at major Japanese banks*, Tokyo, July, 2002.
44. See Fukao *op. cit.* who also concludes that the current solvency ratio might over-state the financial strength of life insurance companies.
45. See Fukao *op. cit.*
46. See Fukao *op. cit.* 2002.
47. Some 6½ trillion yen of core capital is also in the form of preferred shares bought by the government during the re-capitalisation of the banks. Formally speaking it will need to be repaid but there is nothing to prevent the government from simply selling its shares to the public.

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48. For an insider's view of the crisis during the 1990's and of the lessons learned see H. Nakaso, "The financial crisis in Japan during the 1990's: how the Bank of Japan responded and the lessons learned", BIS *Papers*, No. 6 , 2001.
49. Foreign banks obtained yen funds in exchange for providing dollar funds to Japanese financial institutions for a certain period. Because the cost of obtaining yen funds (the yen swap rate) was negative, foreign banks were more or less guaranteed a profit margin even though the interest rate on yen investment was virtually zero. See M. Shirakawa, "One year under 'Quantitative easing'", IMES *Discussion Paper*, 2002-E-3, Tokyo, 2002.
50. The pattern of repatriation of foreign assets in the run up to the end of the financial year followed by an outflow afterwards is a well established pattern in Japan, although the period of outflow seems to have become more spread-out in recent years.
51. On one day the Ministry of Finance used the Federal Reserve Bank of New York and the European Central Bank as its agent.
52. The Tankan Survey includes sales price forecasts which have been negative for some time. Moreover, they actually deteriorated as the economy slowed in 2001 but as monetary policy eased. For a review of composite measures see Chapter I.
53. For example, M. Matsuoka, *Monetary policy, wealth effect and private consumption*, Deutsche Bank Economic Research, Tokyo, May 2002.
54. This methodology uses both the output gap and the price gap to explain price level movements. The latter is the deviation of the current price from the long run equilibrium price called P-star, which is supported by the current money supply level. This in turn is governed by the velocity gap. For estimates for Japan see M. Matsuoka, *Will inflation be back? Analysis from the P-star model*, Deutsche Bank Group, Economic Research, Tokyo, 3 June 2002.
55. A more controversial approach would also see a role for future tax liabilities arising from the build-up of debt.
56. The company bond market has been expanding by some 3 per cent per annum since 1998 which is about the same pace as the decline in bank lending. However, the size of the market is much smaller amounting to only 20 trillion by mid 2002.
57. Growth is driven not only by increased inputs of factors but also by technological progress, one aspect of which is summarised by multifactor productivity (MFP). Although MFP is a well defined theoretical concept, calculation is far from easy and small changes in the period considered and in smoothing procedures to account for business cycles can lead to large changes in estimates. Moreover, the measurement of capital stock by the statistical authorities is very imprecise with major problems arising in allowing for scrapping and depreciation, in particular, in periods when these rates are likely to be changing. The difficulties are even more severe in the case of Japan where technical progress over the catch-up period might have been incorporated in new capital stock (*i.e.* embodied technical progress) which would usually lead to an overestimate of MFP. Labour productivity (corrected for hours of work) is easier to calculate but is also subject to problems noted in the text. It is therefore important to consider broad tendencies over time and not to put too much weight on small differences in estimates unless underpinned by other information. For a detailed discussion of the issues involved, see P. Schreyer and D. Pilat, "Measuring Productivity", OECD *Economic Studies*, 33, 2001.
58. For a detailed account of MFP developments and of labour productivity in the convergence period see R. Katz, *Japan: The system that soured*, Eastgate, 1998.

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59. For the derivation of this relationship and the construction of an empirical model examining the path to a new lower steady state rate of MFP growth see F. Hayashi and E. Prescott, "The 1990s in Japan: A Lost Decade", *Review of Economic Dynamics*, 5, 2002.
60. Another reason for care in using MFP estimates is that capital stock estimates are unreliable.
61. The *Growth Project* focused not on growth but on growth per head of working age population which slowed continuously from the 1970s to the end of the 1990s. See *The sources of economic growth in the* OECD *countries*, OECD, 2002, forthcoming.
62. See for example M. Baily and R. Solow, "International productivity comparisons built from the firm level", *Journal of Economic Perspectives*, 15, 3, 2001.
63. See Katz *op. cit.* Figure 2.2 who shows that the globalisation index for the weak sectors in Japan is much less than in Germany or the United States. There is also a wider spread between the weakest and strongest sectors.
64. McKinsey Global Institute, *Why the Japanese economy is not growing: micro barriers to productivity growth*, Washington, 2000.
65. See M. Porter, H. Takeuchi and M. Sakakibara, *Can Japan Compete?*, Macmillan, 2000.
66. Net assets left by senior citizens as a proportion of annual disposable income is around 2 200 per cent in Japan and 660 per cent in the United States.
67. For correlations which make the relationship even more apparent than in the figure, see S. Scarpetta *et al.*, "The role of policy and institutions for productivity and firm dynamics", OECD *Economics Department Working Paper*, 329, 2002.
68. For a comprehensive review of the development of competition policy in Japan see OECD, *Regulatory Reform in Japan*, Chapter III and background report, 1999.
69. Two distinct forms of bid rigging need to be dealt with: one between firms (*dango*) and the bureaucratic-led bid rigging (*kansei dango*) which is equally damaging to the economy.
70. The Ministry of Land, Infrastructure and Transport has a long history of limiting entry into air transport and failing to promote competition among airlines. Two small airlines which were established in 1996 – one has now gone bankrupt – were allocated very few slots at the beginning and ticket counters and gates were inconveniently located. Moreover, the various authorities involved have been extraordinarily slow in increasing capacity at Tokyo's crowded domestic airport.
71. From the work conducted by the OECD *Growth Project* and the empirical literature more generally there appears to be a strong causal relationship between increasing openness (as measured by the trade/GDP ratio) and growth in the OECD area.
72. The high share for the euro area is distorted somewhat by the exclusion of the UK, which has been a rapidly growing market for Europe.
73. H. Wall, "Has Japan been left out in the cold by regional integration", *Monetary and Economic Studies*, Vol. 20, No. 2, April 2002.
74. The agreement with Singapore covers a wide range of areas including market access for goods and services, mutual recognition of standards, ICT, competition policy and financial services.
75. The producer support estimate (PSE) for Japan is 59 per cent for 2001 while the average for the OECD area is 31 per cent. *Agricultural Policies in* OECD *Countries: Monitoring and Evaluation* 2002, OECD, 2002, Table III.3.
76. Study undertaken by the Japan Centre for Economic Research using the GTAP model.

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77. Japan maintained extensive controls on inward foreign direct investment based on domestic industrial policy concerns until 1967 when greenfield foreign establishment was freed in a number of sectors designated as liberalised. Subsequently, the ceilings imposed in non-liberalised sectors were gradually lifted, but complete abolition of the cumbersome approval and notification procedures imposed on foreign investors came only in 1998, much later than in most other industrialised countries. At present, reservations maintained by Japan under the OECD Code of Liberalisation of Capital Movements in respect of inward FDI concern the following sectors: primary industry related to agriculture, forestry and fisheries, mining, oil, leather and manufactured leather products, air and maritime transport.

78. See Katz, *op. cit.*, for examples of how cartels set up to protect industries that were not competitive and to sustain high domestic prices were mutually supporting and prevented new entrants (including FDI). They also served to reduce imports and in some cases increased exports.

79. K. Fukao and K. Ito, "Foreign direct investment and service trade", in A, Kreuger and K. Ito, *Barriers to trade in services in the Pacific region*, NBER, 2001. See also K. Ito and K. Fukao, "Foreign direct investment in Japan: Empirical analysis based on establishment and enterprise census", RIETI *Discussion Paper Series*, 01-E-002.

80. It is a moot point whether this particular restriction is covered by the reservation lodged by Japan under the OECD Code of Liberalisation of Capital Movements with respect to investment in "primary industry related to agriculture…".

81. For a review of the trade and income effects of China's entry into the WTO see Annex II "Summary of studies of the impact of WTO on China", in *China in the World Economy*, OECD, 2002.

82. For a more extensive discussion see Y. Nakamura and M. Shibuya, "The hollowing out phenomenon in the Japanese Industry", *Studies in International Trade and Industry*, 19, REITI, Tokyo.

83. For estimates based on US import data (HS 10 digit classifications) see C. Kwan, *Complementarity and Competition between China and Japan*, REITI, *www.rieti.go.jp/en/index.html*

84. The study shows that 50-85 per cent of total productivity growth in five countries (excluding Japan) is driven by what happens in existing companies. Entry and exit of firms can account for 20-40 per cent of productivity growth with entry more important in high tech sectors. See S. Scarpetta, *et al.*, "The role of policy and institutions for productivity and firm dynamics: evidence from micro and industry data", OECD *Economics Department Working Paper*, No. 329, 2002.

85. Recession cartels and agreed capacity cuts during this period often led to proportional cuts across enterprises that bore no relation to productivity and also led to gaming outcomes on the part of firms which sought to increase capacity and market share to put them in a better bargaining position at a later time. See Katz *op. cit.* and also Porter *et al.*, *op. cit.*

86. Audretsh and Thurik (2001) have demonstrated that an increase in entry rates tends to result in higher subsequent growth rates and a reduction of unemployment. D. Audretsch and R. Thurik, "Linking entrepreneurship to growth", OECD STI *Working Papers*, 2001/2, 2001.

87. From K. Komoto, "Economic impact and policy implications of the long-term decline in Japan's business start-up rate", NLI *Research Institute*, 2002, No. 161.

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88. One of the model cases assumed by the Council for Regulatory Reform is a set of exemptions concerning port services, including facilitation of custom procedures, abolishment of additional charges at night, easing the qualifications for issuance of tourist visas, and the allowance of legal and accounting services provided by foreign lawyers and accountants. Another important model case assumes easing regulations in agriculture, which limit the size of agricultural land holdings and restrict the entry of corporations into many agricultural businesses.

89. To give an idea of the costs of the present system, advisors have estimated that reforms could lead to over 5 million new jobs in the service sector in five years.

90. See J. Peek and E. Rosengren, *Have Japanese banking problems stifled economic growth?*, mimeo for a study based on a unique data set which traces the link from individual firms to their main bank. They also discover no evidence of a credit crunch. Hayashi and Prescott *op. cit.* also find no evidence that potentially profitable investments lacked finance during the 1990s. A study by the IMF also indicates that balance sheets of both banks and enterprises contributed to the decline of credit. See IMF Article IV Consultations, Japan 2002.

91. Although hard data are not available, firms are known to have cut back activity in some areas as part of their debt reduction strategies. Industrial processes and even whole factories have been moved abroad, a process which also took place in the 1980s following the appreciation of the yen. At the other end of the scale, older firms are now increasingly failing: companies with a history of 30 years or more accounted for a record quarter of the bankruptcies in 2001 and this pattern has continued into 2002.

92. The criteria even extend to supporting a supermarket chain.

93. There is a certain guarantee that loans will be repaid since they are classed as common interest claims which have priority over any claims (general claims) originating from pre-petition causes. However, the protection is not strong. See M. Iwatani, "Issues surrounding debtor in possession financing in Japan", *Capital Research Journal*, Vol. 4, No. 2, 2001.

94. Y. Seki, "The use of debt equity swaps by Japanese companies", *Capital Research Journal*, Vol. 5, No. 2, 2002.

95. For a description of the Japanese bankruptcy framework in an international perspective see OECD *Economic Survey of Japan*, 2000, Box 6.

96. In addition, it is also proposed to ease the condition that all directors must resign to cover the case where some directors are brought in to help solve a deteriorating situation.

97. For a review of the impact of corporate governance arrangements on performance focusing on shareholder rights, see S. Johnson and A. Shleifer, "Privatisation and corporate governance", forthcoming in T. Ito and A. Kreuger (eds.), *Privatisation, Corporate Governance and Transition Economies*, University of Chicago Press. They find that various dimensions of shareholder protection do affect performance, not only at the corporate level but also when a cross-section of countries is examined, although their sample is heavily weighted to Asia.

98. Foreign holdings have now risen to around 18 per cent. Financial institutions continue to hold around 40 per cent despite the reduction of holdings by banks.

99. For a general overview of the new code see S. Osaki, "Corporate governance and reform of Japan's commercial code", *Capital Research Journal*, Vol. 5, No. 2, 2002.

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100. The new committee will have similar responsibilities to the "operating committees" and "management committees" that exist already. Unlike these unofficial committees, the new one has powers and responsibilities clearly defined in the law.

101. The Tokyo Stock Exchange survey of corporate governance in 2000 covered 1 310 firms and arrived at somewhat different results. 60 per cent replied that they had taken measures to strengthen the board. Of these, 33 per cent said that they had nominated outsiders, 46 per cent said that they had reduced the number of board members, and 35 per cent that they had introduced executive officers. See K. Nitta, "Corporate governance rating", NLI *Research*, 02/06/13.

102. The reason for reducing the size of the board of directors is less concerned with efficiency than to lower the total cost of shareholder law suits. These have now been capped at six years annual income of a representative director.

103. At municipal level they are 70 per cent and 45 per cent, respectively. The ratios are better at prefectural level but still below those of the central government.

104. For example, in one case a Ministry received 301 comments in the period 25 July to 27 August. The final version of the bill was published only 13 days later raising doubts about the sincerity of the procedure. The bill was virtually unchanged.

105. While on mission the Secretariat was given numerous examples of contradictory action by customs and tax officials; in one case a submission for a license was initially rejected, even though the relevant Ministry had no right to do this, and subsequently reversed its decision.

106. Population estimates in the past have failed to anticipate the fall in the number of children per couple so that population growth has been overestimated. The most recent projection appears to have reacted to widespread criticism and is based on the assumption that a couple born after 1985 will have only 1.72 children in their lifetime. The current post-50 age group had an average of 2.14 children.

107. Ono and Rebick calculate that a male employee with 30 years of tenure would lose 30 per cent of his earnings by leaving his current job. Such a loss should not be attributed to the loss of firm specific capital since there is little evidence that the wage profile reflects productivity rather than other more sociological factors. H. Ono and M. Rebick, "Impediments to the Productive employment of Labour in Japan", in M. Blomstrom *et al.* (eds.), *Structural Impediments to Japan's Economic Growth*, NBER, 2002.

108. The loss of pension rights can be very substantial: 10-20 million yen for an average pension of 35 million yen depending on the age of separation. For this reason, firms offer lump sum payments to individuals who leave under early retirement plans or who are transferred, often permanently, to other companies. Ono and Rebick, *op. cit.*, report that additional lump sum payments amount to between 5 and 10 million yen but do not cover all the losses in pension value. Overall losses of up to 100 million yen may be realised by workers who lose their jobs at large firms at age 40.

109. For example, promotion in a US company often occurs immediately after entry into a firm but in a typical Japanese firm is non-existent for the first 12 years (see Ono and Rebick and references therein). In these circumstances, bringing in older workers disrupts the system.

110. This is the main conclusion of Kato who also shows that restructuring and downsizing have depended on early retirement and transfers of employees to subsidiaries (often to sales subsidiaries) and related firms and hiring cuts. T. Kato, "The end of lifetime employment in Japan? Evidence from national surveys and field research", *Journal of the Japanese and International Economies*, 15, 2001. With respect to the ability to transfer to

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smaller firms his results might be somewhat misleading since Fujiki *et al.* (2001) have shown that the smaller firms are no longer characterised as in the past by a shortage of labour. H. Fujiki *et al.*, "Structural issues in the Japanese labour market", *Monetary and Economic Studies*, 19, 2001.

111. For more detail, see "Employment protection and labour market performance", Chapter II, OECD *Employment Outlook*, 1999.

112. Redundancy dismissals require urgent business reasons for reducing the number of staff, reasonableness of selection criteria, and reasonableness of procedure.

113. The change in the law in 1999 opened up most areas to dispatched workers except those mentioned in the text.

114. The relatively high proportion of spending on unemployment benefits reflects in part the recent rise in the unemployment rate.

115. See R.G. Fay, *Making the public employment service more effective through the introduction of market signals*, OECD, 1997 and OECD, "Labour market policies that work", *Policy Brief*, July 2001.

116. If the requirement would be strictly adhered to, it could prevent the headquarters of a holding company from recruiting employees on behalf of their group companies. See Ohtake, *Discussion in Economics*, Spring 2000, Toyokeizai.

117. For example, the Australian government has introduced a competitive framework in job services by contracting public employment services to private and community placement organisations while the functions of registration and eligibility assessment were amalgamated with the administration of income support in social security.

118. The eligible age for employment grants in the new and growth sectors has been expanded to unemployed between 30 and 60 years who are on public vocational training. Initially, to get those grants, firms were required to hire unemployed through the public job placement offices. Now firms can receive the grants when they employ workers through private job placement agencies licensed by the government. One of the reasons for low utilisation of these schemes could be the economic downturn since late 2000, which might constrain employment by firms even with public grants.

119. Dead-weight costs arise from the situation where many of those for whom the subsidy is paid would have been recruited anyway: money paid for those recruits is dead-weight and has no effect at all. The substitution effect means that some of those recruited merely replace others who the firm would have recruited instead. See R. Layard, S. Nickell, R. Jackman, *Unemployment: Macroeconomic performance and the labour market*, Oxford press, 1991.

120. J. Martin (2000) summarises the effects of various active labour market measures. Evaluations of wage subsidies in Australia, Belgium, Ireland and the Netherlands have suggested combined dead-weight and substitution effects amounting to around 90 per cent, implying that for every 100 jobs subsidised by these schemes only ten were net gains in employment. See J. Martin, "What works among active labour market policies: Evidence from OECD countries' experiences", OECD *Economic Studies*, No. 30, 2000.

121. Among the mechanisms involved, contributions to health insurance and public pensions are exempt for spouses provided that their employed hours do not exceed a certain level and annual income does not exceed 1.3 million yen. Contributions to unemployment insurance are exempt for spouses whose annual income does not exceed 900 000 yen. There is evidence that these factors influence hours of work. C. Horioka, "Japan's public pension system: What's wrong with it and how to fix it",

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Japan and the World Economy, 11, 1999. For details of how the income tax system influences the return to work decision see OECD *Economic Survey of Japan*, 1999.

122. The guidelines covering age discrimination are effective only to some extent and age requirements are still usually associated with job offers. For example, one of the exceptions is related to seniority based wages: "Cases where recruiting or hiring is intended for workers under a certain age in situations where in order to make wage payments regardless of age to new employees, companies will be required to revise present regulations determining wages mainly in accordance with age in such a way that it will have an adverse effect on the wage payment to existing workers."

123. A great deal will also depend on how corporate groups (*i.e. keiretsu*) evolve. For an analysis see Y. Yafeh, "Japan's corporate groups: Some international and historical perspectives", in M. Blomstrom *et al.*, *Structural Impediments to Japan's Economic Growth*, NBER, 2002.

124. Figure 28 converts yen prices to dollars using the exchange rate for August 2002. The MPHPT makes its calculations using purchasing power parity which has the effect of lowering prices.

125. For example, the regulator in Britain has the power to impose fines of up to 10 per cent of UK turnover for up to a maximum of three years.

126. Long run incremental cost (LRIC) has been adopted as the methodology for determining interconnection prices although the precise form of the technique is still under discussion. See *Survey* 2001 for a discussion of LRIC A and B methods.

127. An example of bundling would be combining new products, which are subject to competition, with the existing local exchange business, which is not subject to competition.

128. The logic here is that the right to place poles was given free by the authorities to the electricity companies so they should not be left in a position to extract scarcity rents from telecommunications operators. Charges related to operations are permitted.

129. See "Corporate IT investment and internet usage gain momentum: The NLI Survey of Business conditions", NLI *Research*, No. 140, 2000.

130. H. Joffe, "Japanese business models for electronic commerce–laying the foundation of a ubiquitous networking infrastructure with mobile phones and convenience stores", *Vierteljahrsheft*, 4-2001, DIW. Berlin.

131. More recently, ADSL (asynchronous digital subscriber line) and DSL have been spreading due to lower prices following local unbundling and better access to facilities (colocation).

132. For highly qualified engineers, treaties have been signed with India, Korea and China which should allow work permits to be granted more readily.

133. This was the recommendation of the 1999 *Regulatory Reform Review of Japan*.

134. Competition will be allowed in express mail delivery services where the mail item is charged 1 000 yen or above; items weighing 4 kg or more or with a combined length, width and depth of more than 90 cm and; where the delivery time does not exceed 3 hours.

135. See OECD *Survey*, 2001 Table 6 which is in turn drawn from CAO, *The economic impact of recent regulatory reform*, Tokyo, April 2001.

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136. At present 96 per cent of slots on the longer runway are subject to coordination rules set down by IATA. However, raising slots by some 4 per cent would still be a significant change for an airstrip which is already suffering from capacity constraints.

137. Students invest a great deal of money and effort to pass difficult entrance exams for prestigious schools and the investment does pay. Employers, however, do not assess graduates on the basis of their university performance but on the basis of being at a given university. See H. Ono, "College quality and earnings in the Japanese labour market", SSE/EFI *Working Paper*, 395, Stockholm, 2002.

138. Blondal, Field, Girouard and Wagner (2001), estimate that the private rate of return to tertiary education in Japan, which is based on pre-tax earnings and the length of study, is around 8 per cent. This is below the average of sample countries but higher than in Germany and Italy. The social rate of return to tertiary education in Japan is 5½ to 6½ per cent. Private rates of return to tertiary education for men 45 years and older are negative as is the case in other non-Anglo-Saxon countries. This reflects the high opportunity cost for older workers due in part to the steep age/wage profile in Japan.

139. The ratio of post-graduates leaving universities each year to normal graduates is a little over 10 per cent.

140. Ministry of Labour, *Minkan kyoiku kunren jittai chosa*, Tokyo, 1993, 1997.

141. Arnal *et al*. suggest that employment tenure can be affected by two conflicting forces: a change in industrial structure towards low tenure industries and an increase in tenure within industries. E. Arnal, W. Ok and R. Torres, *Knowledge, work organisation and economic growth*, OECD, Paris, 2001.

142. Ministry of Labour, *White Paper on Labour*, Tokyo, 1996.

143. Y. Higuchi, *Koyo to Sitsugyo no Keizaigakn*, Nikkei press, Tokyo, 2001.

144. Ohtake, 2000, "Special Employment Measures in Japan", *Japan Labour Bulletin*, December 2000.

145. For example, seven of the top ten companies by patent applications in the United States in each of the last five years were Japanese. US patents are used because of a break in the Japanese patent series after 1988. Since then more patents are required to protect the same intellectual property. Patents have been adjusted for quality by measuring the number of citations received by a patent from subsequently granted patents over four years, information that is available in the US data bank. See, L. Branstetter and Y. Nakamura, "Has Japan's innovative capacity declined", Forthcoming in M. Blomström, J. Corbet, F. Hayashi, A. Kashyap (eds.), *Structural Impediments to Growth in Japan*, NBER, 2002.

146. Porter *et al.*, *op. cit*. Underpinning this conclusion is econometric work which suggests that co-operative R&D projects did not yield productive outcomes when they involved close competitors (who presumably use a similar technology).

147. D. Guellec and B. van Pottelsberghe de la Potterie, "The internationalisation of technology analysed with patent data", *Research Policy*, 2001, 30.

148. *Gijutsu Yoran*, Tokyo, 2000.

149. M. Sakakibara and L. Branstetter, "Do stronger patents induce more innovation? Evidence from the 1988 Japanese patent law", RAND *Journal of Economics*, Vol. 32, 2001.

150. For a discussion as well as estimates of the value of R&D tax measures in the OECD see *Tax Incentives for Research and Development: Trends and Issues*, OECD, 2002.

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151. An earlier study of marginal effective tax rates indicated much the same pattern and noted that short run R&D projects were more favourably treated in Japan as elsewhere. K. Gordon and H. Tchilinguirian, "Marginal effective tax rates on physical, human, and R&D capital", OECD *Economics Department Working Papers*, No. 199, 1998.

152. For a discussion of the advantages and disadvantages of various measures to support R&D, see OECD, *op. cit.* Although it is often claimed that tax measures are ineffective in raising R&D, this is not supported by more recent empirical evidence which suggests a short term elasticity of 0.16 but a long run elasticity of 1.1. See OECD, 2002, for references and N. Bloom, R. Griffith and J. van Reenan, "Do R&D tax credits work? Evidence from an international panel of countries 1979-1994", *The Institute for Fiscal Studies Working Paper*, W99/8.

153. The statutory business profits tax is 30 per cent for the central government and 9.6 per cent for local government. There is also a local residential tax amounting to 17.3 per cent of the corporate tax payments, but which is tax deductible. This leaves the effective statutory tax rate at 40.87 per cent.

154. The number of joint research projects between industry and universities increased by 29 per cent in FY 2000 to 4 029 while research commissioned by companies grew by 8 per cent to 6 368. However, the sums involved were not large.

155. For a summary see "Industry-science relationships in Japan", in *Benchmarking Industry-Science Relationships*, OECD, 2002.

156. Since April 2001 the NRIs have become administrative legal entities which will increase management flexibility. University reform is to be implemented from 2004.

157. 1 007 venture firms (42 per cent) replied to the questionnaire. A venture firm is defined as: introducing a unique technology or know how; achieving high growth in recent years; being relatively young or having recently changed its line of business.

158. The policy is meant to also cover private universities. However, a fundamental problem has not been addressed, namely, unlike public universities they are taxed on private research contracts.

159. Geographical agglomeration is important in most countries but Japan appears to be highly concentrated. In the United States, a much larger country, 380 local clusters are reported to produce approximately 60 per cent of the country's output. Opening speech by Donald Johnston, Secretary General of the OECD, at the World Congress on Local Clusters in 2001.

160. For a description of the local political dynamic which is oriented to obtaining central government projects regardless of how they could be used locally see A. Kerr, *Dogs and demons: The fall of modern Japan*, Penguin, 2001. The major deficiencies of the fiscal transfer system are documented in OECD, *Economic Survey of Japan*, 2000, Chapter III.

161. The new theories of growth and trade also point to the importance of geographical agglomeration. Knowledge spill-overs are often restricted geographically, leading to the spontaneous development of clusters around the world. This has led to numerous policy initiatives to create clusters.

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Annex I

Assessment of the government's structural reform programmes

This Annex reviews the government's reform programme in detail so as to support the overall assessment in the *Survey*. The measures of particular importance are discussed further in the text. Conversely, a number of less important measures are not covered in the text but are taken into account here. Tax reform measures are not considered due to their highly specific nature. The programme is assessed from two perspectives: the progress in implementation which simply checks what has and has not been done and; the degree to which the measures serve original policy goals. As for the *stage of implementation* (column "Progress"), the rating is 0 for the discussion stage, 1 for having a concrete plan, 2 for a preparatory stage of necessary legislation, and the maximum 3 for the passage of legislation. As for *fulfilling policy objectives* (column "Quality"), it is measured against the deviation from the objectives set in the June 2001 programme. The rating hence ranges from 0 for plans and legislation that are not compatible with original goals (all reforms at a discussion stage are automatically rated zero) to the maximum 3 for those that broadly meet original objectives. The ratings of 1 and 2 respectively represent large and small deviations from the June 2001 objectives. The distinction between 1 and 2 is inevitably somewhat arbitrary in some cases.

Reform objectives	Action	Progress	Quality
1. Privatisation and corporatisation of public service			
1. Review the roles of postal savings, insurance and mail-delivery services including the possibility of privatisation.	*a*) Laws for establishing public postal corporation passed the Diet. The entry barriers to mail delivery market are very high. The role of postal saving and insurance remains unchanged.	3	1
	b) There is no consensus on privatising this corporation, though the discussion continues.	0	0
2. Promote privatisation of public corporations and reduce subsidies to them.	Of 163 special-status public corporations, 17 are to be abolished, 45 to be privatised, and 38 to be made independent agencies. Specific reform plans are still under discussion. FY 2002 budget cut subsidies for public corporations by 1 trillion yen.	1	2
3. Review the function of public financial institutions.	*a*) The Government Housing Loan Corporation is to be abolished by FY 2006.	2	3
	b) Reform in other major public financial institutions is under consideration.	0	0

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Reform objectives	Action	Progress	Quality
4. Enhance competition among the national universities through corporatising them and introducing private management technique.	National universities are to be corporatised in 2004 (see Chapter 4).	2	2
Comments: Reform of public corporations including financial institutions and privatisation of postal services should be accelerated. The entry requirements for basic postal services appear to be restrictive and the regulatory system needs to be clarified so as to limit the potential for the postal corporation to distort competition. The reform of public corporations should aim to reduce the scope of public intervention.		Average score: 1.3	Average score: 1.3
2. Deregulation			
1. Promote deregulation in general.	A revised three-year timetable for regulatory reform was adopted in March 2002.	3	2
2. Revitalise urban areas and improve commuting.	A new law is in force to allow private developers to manage city planning for designated sites regardless of existing regulations in urban areas. A quality assessment system for second-hand houses is to be introduced. Regulation requiring residents' unanimous support for rebuilding condominiums has been eased. Some public infrastructure projects in urban areas such as a new fast railway to Narita airport and an extension of circular roads are planned.	3	3
3. Encourage competition in non-profit areas including medical services and nursing care.	Private corporations are allowed to manage nursing homes and nurseries. Assessment by a third party is to be introduced for providers of elderly care and nursery services. Restrictions on advertisement of medical services have been eased. The review service of bills submitted by doctors has been opened to the private sector.	2	2
New measures announced in the June 2002 programme (too early to be assessed).			
4.Introduce "Special zones for structural reform" which allow local governments to ease regulations and to design their own reform measures.	A unit in charge of promoting special zones for structural reform has been established in the Cabinet Office.		
Comments: Deregulation for redevelopment in urban areas is a good move. The new proposal to allow "structural reform zones" is promising and needs to be developed quickly. But it should be seen as a first step to nation-wide regulatory reform.		Average score: 2.7	Average score: 2.3

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Reform objectives	Action	Progress	Quality
3. Entrepreneurship, competition and openness			
1. Strengthen the Fair Trade Commission to enforce competition policy more vigorously.	*a*) Additional 40 staff are appointed by the FTC.	3	1
	b) Independence of the FTC secretariat from the Ministry is still under discussion.	0	0
2. Encourage competition in telecommunications sector by imposing asymmetric regulations on NTT. Promote open bidding for electromagnetic spectrum and for other public assets.	Asymmetric regulation on dominant career has been introduced. The law covering the electromagnetic spectrum has been revised to allocate frequencies more efficiently.	3	2
3. Open up unutilised capacity of optical fibre owned by the public sector and disclose information about the utilisation of cables owned by the private sector.	Unused optical fibres located under roads and rivers are opened up. Information about the utilisation of optical fibres owned by electric companies and railways has been disclosed.	3	3
4. Review commercial code so as to strengthen corporate governance	The diet has passed the revised commercial code, which allows replacing statutory auditors by board committees (audit, compensation, personnel), with the majority comprising outside directors.	3	1
5. Revise relevant laws for judicial system reform within 3 years. Revise bankruptcy and corporate restructuring laws by 2003.	*a*) Headquarter for judicial reform has been established at the cabinet. A plan for judicial reform has been proposed by the council.	1	2
	b) A draft of revised corporate restructuring law is to be discussed by the Diet by the end of 2002.	2	3
6. Review the system of rice production and distribution. Promote the entry of corporations into agricultural business.	A restriction on agricultural land area for rice producers is to be replaced by a production quota for regions in order to encourage enlargement of the production unit. Additional measures for easing the entry of corporations into agriculture are discussed.	1	2

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Reform objectives	Action	Progress	Quality
New measures in the June 2002 programme (too early to be assessed).			
7. Promote FTA and inward FDI: – Standardise institutions and rules to establish East Asia Free Business zone. – Facilitate the entry and employment of foreign engineers in strategic areas. – Restrictions on co-operation between foreign and domestic lawyers are to be eased by 2003. – Promote one stop service at the government to facilitate inward FDI.	Although some of its components have already been planned as part of the judicial reform and the regulatory reform programme, the proposal for a Free Business Zone in East Asia is a new initiative and the details are as yet unknown.		
8. Ease barriers for start ups: – Ease the minimum requirement for capital. – Review the coverage of personal guarantees.			
Comments: FTC should be encouraged to pursue criminal penalties and be given more investigative powers. Abuse of dominant power of NTT should be checked effectively. To extend FTA to Asian countries other than Singapore, it is important to reform the agricultural sector by promoting competition and by encouraging larger-scale operation.		Average score: 2	Average score: 1.8
4. Health care reform			
1. Improving efficiency in health care services: – Set a target on the growth of medical care expenditure. – Standardise medical services including greater use of payments based on diagnostic related groups (DRG). – Disseminate information and establish informed consent. – Differentiate functions of hospitals and reduce excess beds. – Modernise and improve the efficiency of health care provider management system. – Strengthen the role of insurers.	A new health care reform plan has been adopted: – The eligibility age for the elderly insurance scheme is to be raised to 75 and above. – Co-payments are to be raised (10 per cent for elderly and 30 per cent for SMEs employees). – Medical service fees for doctors have been reduced by 2.7 per cent. – Restrictions on advertisement of medical services have been eased. – By FY 2004, more than 50 per cent of bills in all hospitals are encouraged to be submitted in electronic form. – The role of insurers as agents for patients is to be strengthened by asking private companies to check bills submitted by doctors.	3	2

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Reform objectives	Action	Progress	Quality
Comments: Progress has been made in health care reform, though measures for improving supply-side efficiency should be strengthened.		Average score: 3	Average score: 2
5. Pension and social security reform			
1. Establishing a sustainable pension system: – Review the current pension system to make it compatible with greater diversity of work arrangements and life styles. – Ensure intergenerational equity and balance of benefits and burden. – Decide specific measures to raise the tax financing of basic pensions to 50 per cent to ensure stable revenues. – Lift temporary suspension in raising pension contributions.	Pension reform measures are to be decided during the periodical review planned in 2004.	0	0
2. Introduce social security numbers and individual social security accounts.	A study of the experiences of other countries about social security numbers and individual social security accounts has been conducted.	0	0
Comments: The agenda for next pension reform should go beyond changing parameters and include ambitious measures to ensure the viability of the system in the face of changes in demographic and economic conditions.		Average score: 0	Average score: 0
6. Human capital and labour market			
1. Introduce competition among universities to foster world-class universities.	10 to 20 universities are to be selected as centres of excellence (COE) in 10 research areas to promote competition by allocating funds based on their performance.	3	1
2. Promote retraining of unemployed at universities and graduate schools.	The scope of subsidies for training has been expanded to cover vocational training courses at university and graduate schools.	3	2
3. Establish one-year courses at graduate schools and strengthen vocational courses at colleges (community schools).	Establishment of one-year vocational education courses at professional graduate schools was allowed in March 2002.	2	2
4. Increase labour mobility through: promoting training; easing restrictions on flexible work styles such as temporary work and fixed-term contract; enhancing job matching functions; and eliminating discrimination in employment by gender and age.	Lifting the ban on having dispatched workers in manufacturing sector is under consideration. Maximum term for middle-aged and elderly dispatched workers has been extended temporarily to 3 years. Private job placement services are allowed to collect charges from some job seekers.	2	2

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Reform objectives	Action	Progress	Quality
5. Alter focus of taxation and social security system from families to individuals.	Tax reform planned in FY 2003 will reduce allowance for dependent spouses.	0	0
6. Boost measures to eliminate waiting list for nurseries to support working women.	Child care facilities are to be expanded to accept 50 000 more children by FY 2002 and 100 000 more by FY 2004.	3	2
Comments: More emphasis should be put on enhancing research capacity at universities and reducing barriers to collaborating with foreign institutions and individuals. The regulation which requires universities to hold open land should be eliminated. Although some progress has been made in labour market regulations, remaining restrictions on dispatched workers should be eased further. The use of private agents in job placement should be encouraged. Elimination of social security disincentives for spouses to increase their labour supply should be implemented as soon as possible.		Average score: 2.2	Average score: 1.5
7. More responsible local governments			
1. Promote mergers of local governments in order to improve efficiency.	Mergers of local government are promoted by some financial supports of central government such as: financing a part of initial costs arising from mergers; allowing the merged local government to receive lump sum grant from central government at the same level as before the merger; and allowing local governments to issue additional bonds to finance merger costs.	3	2
2. Allocate a local allocation tax (LAT) to local governments by setting objective standards.	Complex adjustment system for allocating LAT to local governments is to be streamlined gradually by FY 2004.	3	1
3. Review central government's share of contribution to local government administrative costs. Consider shifting tax revenues from central to local government and adopting a corporate tax based on sales and other factors to deal with low tax revenue facing local governments.	Introduction of a local corporate tax based on sales and other factors is discussed. The government is reviewing the revenue structure of local government including state subsidies, LAT and the allocation of tax resources between the central and local governments with a view to establishing a concrete plan by June 2003.	0	0
Comments: Huge transfers from central to local governments, which distort incentives for local government spending, need to be changed. The discussion about the reform of subsidies and grants from central to local governments should be accelerated.		Average score: 2.0	Average score: 1.0

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Reform objectives	Action	Progress	Quality
8. Fiscal reform			
1. Aim at primary surplus as a medium-term goal. Prepare medium-term fiscal consolidation plan.	Medium-term economic and fiscal perspective aimed at achieving fiscal surplus by early 2010s has been adopted, though how to limit spending as a proportion of GDP is not specified.	3	2
2. Change budget formation process. Council for Economic and Fiscal Policy (CEFP) to propose broad direction of budget plan, while specific components of budget plan to be decided by Ministry of Finance.	CEFP has played the expected role in budget formation.	3	3
3. Reallocate spending to priority areas.	FY 2002 budget plan has allocated 2 trillion yen to priority areas, while 5 trillion yen was cut in general spending. FY 2003 reallocations not yet clear.	3	2
4. Review long-term public works projects. Lower public works spending in proportion to gross domestic product in the medium term.	*a*) FY 2002 and FY 2003 budgets have cut spending on public works by 10 per cent and by 3 per cent. *b*) Long-term plans for public works are being reviewed.	3 0	2 0
5. Reallocate earmarked road taxes.	A part of the revenue from road related taxes is now used for other purposes than road construction. Reallocation of earmarked revenue is being discussed in the context of a broader reform including public works and taxation.	1	1
Comments: The budget formation process and the outcome of FY 2002 budget are satisfactory though the 30 trillion yen ceiling on public bond issuance involved creative accounting. The medium-term economic and fiscal perspective is not sufficiently ambitious and lacks specific measures for containing spending to achieve a primary surplus. It needs to make use of shorter run real spending targets to improve credibility. The discussion about reallocating road taxes and reducing the size of road construction needs to be brought to a swift and successful conclusion.		Average score: 2.2	Average score: 1.7

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Reform objectives	Action	Progress	Quality
9. Financial sector reform			
1. Dealing with non-performing loans (NPLs): – Remove existing NPLs from balance sheet within 2 years and new ones within 3 years. – Encourage Resolution and Collection Corporation (RCC) to purchase NPLs by adopting fair value for purchasing price. – Request the Development Bank of Japan (DBJ), private investors and RCC to set up and/or participate in funds for corporate reconstruction. – Introduce a special inspection for major banks	Financial revitalisation law was revised in December 2001 allowing RCC to participate in open bidding and to have flexibility in purchasing price. RCC has been permitted a trust banking licence. 100 billion yen has been funded by DBJ to set up funds, which purchase shares issued by restructuring companies. The funds will also purchase shares which banks obtained from borrowers through debt-equity swaps. Special inspection for major banks was conducted and the result was published in April 2002.	3	1
2. Encourage individual investors to participate in stock market by reviewing tax system.	Tax on capital gains has been based on self-assessment rather than a withholding system, and its rate has been reduced. Capital losses can be deducted from asset incomes for three years.	3	1
Comments: See Chapter II for the assessment of the measures to deal with NPLs. New tax measures for capital gains are too complex to be used.		Average score: 3	Average score: 1
10. Others			
1. Focus funds on four areas in allocating budget: life sciences, information technology, environment and nano-technology.	Supplementary budget for FY 2001 and budget for FY 2002 have allocated more funds to these four areas. Funds are also allocated to promoting knowledge-intensive clusters and fostering venture business at universities and technology licensing organisations (TLOs).	3	1
2. Encourage the use of ICT for administrative procedures.	A new law which promotes electronic submission of administrative documents has been prepared.	2	2
3. Reduce waste and create environmentally friendly society.	Private agents who have advanced skills in recycling and waste disposal are supported by subsidies and public loans. Government procurement favours environmentally friendly goods. Residents and NPOs are encouraged to promote waste reduction and recycling by disseminating information about the necessity to do something.	3	1

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Reform objectives	Action	Progress	Quality
New measure in June 2002 programme (too early to be assessed).			
4. Promote tourism and longer vacations			
Comments: Ensure appropriate economic incentives in pursuing waste and recycling targets. Streamline government in order to allow effective use of ICT.		Average score: 2.7	Average score: 1.3

Source: Assessment by the OECD.

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Annex II

Chronology of main economic events

2001

November

The Diet passed the first supplementary budget for FY 2001, which included 1 trillion yen (0.2 per cent of GDP) of additional spending for employment measures and subsidies to public financial institutions for lending to SMEs.

The government decided to abolish seven major special-status public corporations including Japan Highway Public Corporation, the Government Housing Loan Corporation, and the Japan National Oil Corporation.

December

The Bank of Japan (BOJ) raised the target for the outstanding balance of the current accounts at the Bank from 6 trillion yen or above to 10 to 15 trillion yen and to increase outright purchase of long-term government bonds from 600 billion yen to 800 billion yen per month.

A framework for the consolidation of 163 special status public corporations was adopted by the government, of which 17 are to be abolished, 45 are to be privatised and 38 are to be made independent agencies.

The government adopted the second supplementary budget for FY 2001 including 2.6 trillion yen of additional spending for public works. The supplementary budget is financed by revenue which was obtained in the recent past by selling NTT shares held by the government.

The government adopted the draft initial FY 2002 budget, envisaging general expenditure (*i.e.* total expenditure less debt servicing and transfers to local governments) of 47.5 trillion yen, down from 48.6 yen in the previous initial budget, with new public bond issues limited to 30 trillion yen.

2002

January

Japan and Singapore signed a FTA treaty (the Japan-Singapore Economic Agreement for a New Age Partnership).

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Prime Minister began talks for a comprehensive tax reform in FY 2003.

The government adopted the *Structural Reform and Medium-term Economic and Fiscal Perspective for* FY 2002 *to* FY 2006, which illustrated the medium-term economic prospects and fiscal consolidation paths, including the introduction of a cap on spending as a proportion to GDP.

The government submitted the draft FY 2001 second supplementary budget and the draft initial FY 2002 budget to the Diet.

February

The Diet passed FY 2001 second supplementary budget.

The BOJ raised its outright purchase of long-term government bonds from 800 billion yen per month to 1 trillion yen.

The government adopted an anti-deflation package, which includes measures for accelerating disposal of non-performing loans and stabilising financial system as well as those for strengthening the security market regulations to curtail short-selling.

March

The Diet passed FY 2002 initial budget.

Council of Regulatory Reform adopted the regulatory reform plan for the next three years, which covers broad areas including social welfare, health, urban revitalisation, and education.

April

Protection on time deposits restricted to 10 million yen per depositor per bank since 1 April.

Financial Service Agency (FSA) published the result of the special inspection of large borrowers at major banks.

May

The government announced in its monthly economic report that the economy had reached the bottom of the cycle.

June

The government adopted a second anti-deflation package, proposing a reduction in inheritance tax and tax credits for business investment and R&D.

The government adopted the *Basic Policy for Economic and Fiscal Policy Management and Structural Reform* 2002, to update and revise the structural reform plan adopted in June 2001.

July

The Diet passed the laws for establishing a public postal corporation and setting the conditions for the entry of private agents into mail delivery services.

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The Diet passed laws for reforming the health insurance system, which include measures such as a rise in the eligibility age for the elderly insurance scheme and an increase of co-payments (10 per cent for elderly and 30 per cent for SMEs employees).

August

The FSA announced the "Programme for Promoting Security Markets Reform" in order to encourage the participation of a wide range of investors.

The cabinet approved the guideline for FY 2003 budget requests, setting general expenditures at 48.1 trillion yen, slightly higher than in FY 2002 budget.

The committee for privatisation of road construction public corporations released its interim report, proposing a separation into several road operating companies and a road maintenance company.

September

The BOJ announced that it will purchase shares held by banks at market prices to help them reduce their holdings of shares to the level equivalent to their tier I capital.

Prime Minister Koizumi reshuffled his cabinet members and appointed Minister for Economic and Fiscal policy, Takenaka, as Minister for Financial services.

October

The FSA announced the postponement of the introduction of a cap on deposit guarantee until April 2005.

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